PCBL Chemical (PCBL)

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"PCBL Limited
Q1 FY202 3 Earnings Conference Call "

July 21, 2022

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 Moderator : Ladies and gentlemen , good day and welcome to the Q 1 FY2023 Earnings Conference Call of PCBL hosted by ICICI Securi ties. As a re minder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by press ing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sanjesh Jain from ICICI Securities . Thank you and over to you Sir!

Sanjesh Jain: Thanks Mitchell e. Good afternoon everyone. Thank you for joining on PCBL Limited Q 1 FY2023 Results Conference Call. We have PCBL management on call represented by Mr. Kaushik Roy , Managing Director , Mr. Raj Gupta, Chief Financial Officer, Mr. B . L. Chandak , Executive Director, and Mr. Pankaj Kedi a, Vice Presid ent, Investor Relations. I would like to invite Mr. Chandak to initiate the call with his opening remarks post which we can have a Q&A session. Over to you Chandak Ji!

B. L. Chandak: Thank you Sanjesh. Good afternoon ladies and gentlemen and very warm welcome to all of you. I will quickly take you through the company update s and then open for questions thereafter.

Operating and financial performance of Q1 FY2023 is already in. PCBL reported operating and financial performance in this last quar ter. PCBL repo rted sales volume of 109377 metric tonnes during the quarter with strong domestic sales volume of 77097 metric tonnes and international volume also picked up to the extent of 32280 metric tonnes.

If we look at the segment wise details ty re accounted for 7 7650 metric to nnes, performance chemical s recorded sale volume 21 860 metric tonnes and specialty black sales volume of 9867 metric tonnes. Our revenue increased on year -on-year from 1004 Crores to 1409 Crores in Q1 FY2023. EBITDA increased b y 27% to 205 Crores year -on-year. EBITDA per metric tonnes stood at 18,832. PAT stood at 126 Crores a jump of 21% year-on-year.

Power generation increased to 144 million units during the quarter with external sale volume of 86 million units. With rising demand for power in the country a nd consequent increase in power tariffs , PCBL's average realization against power sale jumped from Rs.2.65 kilowatt of unit to Rs.4.06 per kilowatt of unit year on year. In FY2022 we added two m ore CPP totalin g around 15 mega watt cap acity in Mundr a and Palej that also helped us to have increase volume.

Despite steep increase in crude prices EBITDA per metric tonne improved on the back of conduc ive demand supply scenario and improved performance from power an d facility

Page 3 of 22 volume. Now I re quest Kaushik Roy, our Managing Director to give you outlook on current market scenario in the remaining quarters for the year.
Kaushik Roy: Good afternoon everyone , Kaushik Roy here. Thank you Mr. Chandak for talking on the numbers . I will talk little ab out last quart er scenario and how it is looking like at this point of time and what is our feel going forward.
Last quarter as you know initially what we talked on the unrest (inaudible) 04:35 between Ukraine and Russia , there is kind of opportunit y for organizations like us becau se Russia n supply was kind of restricted to rest of the world and that was actually the case, but eventuall

y as the war continued , the high level of inflation now persisting for quite long because of food price increase because of the war and consequently what we feel that demand cycle has started getting impacted a bit globally. As you all know that in USA today the percentage of inflation percen tage is about 9% I am talki ng about the month of June and Europe also close to 8.6%.
Now in this geographies such kind of high inflation is almost like unheard of kind of situation and since these are big consuming geographies … economi es so therefore is bound to impact the demand of overall basis for the entire globe.
India scenari o on the upsi de is close to again 7% inflation but India as a country has seen similar kind of inflation in the past, the ability to manage that kind of infl ation is slightly better compared to the world, but as I also said that India is today a part of th e integrated global market so therefore at some point of time India will also start getting impacted and we have already started feeling the same pain in thi s quarter .
The point I am trying to make that la st quarter we got some advantage and we spotted some opportunit ies because of impact on Russia n supply but slowly the situation is reversing now because of persistent high inflation coupled with high inte rest in many countries and we are seeing the overall demand globally coming down, so that is a bit of botheration f or us at this point of time.
We need to find solutions for this. We need to be extremely agile to look at our ability to move from one geogr aphy to another geography keeping in mind the demand scenario in different geographies, w e need to be extremely agi le in terms of our product portfolio moving between tires and performance chemical and specialty chemical of course is kind of standalone so the ability has to be very high, the agility has to be very high in that area as well. S o this is a si tuation we ar e facing in recent time.
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Page 4 of 22 Last quarter was good. This quarter so far is looking alright. It is under control. In India on the automobile industry is doing more or less decently. The re is no sharp growth but more or less steady at this point o f time. Ty re companies were facing a bit of problem because of the high raw material cost s as their inability to pass on to their customers so they are facing some challenges but they are also quit e optimistic. We have been talking to some of them, they are also quite op timistic that going forward the crude situation will improve and consequently the cost structure will be much more conducive and that will help their cause and of course which in tur n will help us all as well.
As you all know that currently our portfolio , we are having roughly about 64% to 65% with tyre and rest is between performance chemicals and specialty chemicals. I will say as an organization we have been working on this portfolio for quite some time through our R&D initiative and over a period of time if we manage to bring some kind of balance, w e are not too dependent on any particular sector which is pretty well spread, so that’s the level of confidence that going forwar d also we will be able to manage the show (inaudible) in the organization as a whole.
Talking about our focus areas in organization, I will highlight some of the points which is critical for us as an organization. We feel that we are on a very strong wicket to look for a very fast growth and in line with that as you a ll know that we are com ing up with Greenfield Chennai plant, which is likely to go on steam by end of this calendar year-December 2022, our target for commissioning, give and take , we are more or less on time. We are responding to external factors which are influencing the progress so br oadly on the control and we are hopeful tha t by the end of this calendar year, we will be ready to commissi

on the plant and thereafter some time will be required for stabilization to take care of the teething problems, tria ls for our customers etc, and eventual ly it should b e running commercially full-fledged , so that is on the Greenfield side.
On the Brownfield side as part of our fast growth strategy, Mundra expansion for specialty is going on, phase one of that is going on right now. So out of two lines one line is under construction a t this point of time and we are expecting that the line will be ready for

commissioning by the end of March 2023 which i s financial year 2023 end actually and thereafter whatever time is req uired for trials and all that will be needed.
With this , the capaci ty of specialty also will go up from the level of 72000 MT currently and after phase one and phase two of Mundra it will become 112,000. Our current power capacity is 91 megawatt another 7 megawatt power plant is under construction at this po int of time in K ochi which should be ready in another couple of months ' time for commissioning that will take the power capacity to 98 megawatt. T he seco nd strategy is

 specialty chemical, the focus of t he organization on the specialty chemical. I talked ab out the growth which is through the Brownfield in Mundra currently and we will be looking for further opportunit ies, but the biggest focus area for speci alty today is initiated through research and development.
We have two research an d devel opment center s as all of you know one is India outski rt of Baroda and one is Belgium, outskirt of Brussel and between this two R&D sector and technology team we have r oughly about 60 scientist s and engineers and chem ists they are working coming out with ne wer products, newer technologies for processing and some fundamental initiatives and also we are working on usage of raw material, usage of oil , varied kind of oil for different application. Second focus area as I said as an organization is a specialty chem ical area.
Third one is international market. As we are adding capacity it is also important that we spread our wings adequately. Currently we are roughly doing about close to 30% of our production is going outside of India and internatio nal markets we are representing number of countries as well as geographies and as with time we will be increasing this rate further we will be going further up in terms of our reach and therefore we are focusing not in internationa l market on the s ervice network, on putting t he supply chai n block across the world in terms of having the warehousing system in terms of having decanting system , and so on so that we can supply to our customers on-time, just in time kind of delivery that we can adopt that is the objective.
Supply feels like i t is virtual p lant supply, our manufacturing unit is not there but our product is available next door t oo. It gives the feeling of virtual plant and the third is the international market w e are foc using a lot on people leadership in two areas particularl y one is on th e technological area, we will have our own people from those countries and they can connect with the customers, connect in their own language, they can converse with the peopl e on their own language and the second area is people fro m the sales and marketing side.
From the people leadership side on international market , we have been focusing on technological si de and s ales and marketing side. Fourth focus area fo r the organization is digitization. Now when I talk about digitization, we started taking some baby steps a few years back in different areas, different function so there are things like document management system , things like production planning, automate d production planning things like managing documents of import and export these are already done but this was not really a comprehensive approach, it was m

ore like looking at different processes and trying
to make them automated and make them more efficien t which we are going on.

 As an organization the first major compressive target is pu tting the Chen nai plant as per industry 4.0 standards . As I mentioned last time also Industry 4.0 is the latest standard of manu facturing globally. It actually means it is closed loop feedback sy stem , which is a system we will pick up feedback from the running plant and incase there is a problem in the running condition it will quickly analyze and through that control system that problem will be sort ed out , so close loop feedback system and the an alysis is being done through Artificial Intelligence and Data Analysis . We are hop eful that it w ill lead to benefit in terms of profitability because we will be ab le to manage our quality system better. We will be able to improve the reliability of our pla nts. We will b e able to possibly improve productivity and yield as well, but these are exp ectations and based on calculation on the paper we feel it is possible. W e will really get to have the feel once the plant is commissioned and stabilized and then we will see over a period of time how the benefit is coming to us. Once we are sure ab out the benefit on in dustry 4.0, we will also deploy it in our other pl ants.
So that is fi nally a major focu s area for us, from a competitive point of view, industry 4.0 for manufacturing and manufacturing being the backbone you can understand this is t he most critic al journey from our point of view and as far as digitizatio n is concerned. There is another criti cal focus area for us and the final one from my side is ESG and sustainab ility. I

think as a responsible organization as well as responsible corp orate this is one initiative we needed to take. We started this journey a bout three years back we took some baby steps very small step we have taken but now I think that it ha s picked up. We have collaborated with one of the leading consultants in the countr y and there are identified material targets to work on. We have taken a def ined target wit hin a define d timeline for achievement to be achieved and our second sustainability report was issued about 4 to 5 months back, it was posted on our website also in case any of you want to see you can definitely have a look . So this is about the focus areas of the organization.
We will continue to grow that is the primary thing. We will continue to focus on the portfolio more focus on R&D driven, specialty side as I said, internati onal market, digitization and finally ESG and sustaina bility . With this I will open the session for Q&A and let us go for it.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Aditya Khet an from SMIFS Limited . Please go ahead.
Aditya Khet an: Thank you for the opportunity. Sir m y first question is on the China so what is the current situatio n so that 2 million tonnes of shut down in China is still a continuing problem or the capacities are coming back ?
 Kaushik Roy: Well, t here is no major ch ange per se in terms of Chinese capacity . I think you are aware of that. Over a period of last few year s because of different reasons one reason is raw material availability and the other reason was envir onmental chall enges. Lot of consolidation happened in China in carbon black industry like many other industries in China and consequently as we understand but ther e is no official report on this , let me qual ify here . As I understand almost 25 to 30% of the capacity is actually not avai lable for prod uction today and to our understanding the situation remains more or less same. We also understand in addition to that there is lack of availability raw material is a fur

ther issue in terms of
availability of raw material so that is causing fu rther pain for them and their raw material prices have also gone up substantially so some of the players over there they are trying to see if they can switch from CB O to coal based oil to crude based oil that is what their target is some of them are workin g I believe o n that. That is the situation in China. There is no major change in terms of supply side from China market. In view of this , what we feel there is no major change from the point of view of supply side from China.
Aditya Khetan : Just a followup was asking t o China, consider tomorrow if the crude prices fall by 20 % to 25% now considering the Chinese capacity is still trading, so can we make a statement that the carbon black prices would not fall to that extent and we could stabilize somewhere around Rs.110 to Rs.115 per kilo so considering if the crude prices fall by 20% and carbon black prices would not fall to that extent. Can we make our statement that the China shutdown which is going on?
Kaushik Roy: I think what you are saying is kind of hypothesis . It cannot be directly linked to raw material price or something like that because there is also something called su pply demand situation in the market . The size of the product is also driven by supply demand situation in the market . Of course cost does play a rol e, but that cannot be t he final deciding factor so it is very hypothetical question I will say. So can ’t rea lly put a figure but of course if costs comes down there will be some reduction on that on the price of carbon black for sure but again there is another major factor or parameter which is supply demand so at that point of time what is he supply demand sit uation we need to keep that in mind as well so that is what I will say to your question.
Aditya Khetan : I will join b ack in the qu eue.
Moderator: The next question is from the line of Dhaval Shah from Girik capital . Please go ahead.
Dhaval Shah: Great set of numbers. Sir my only question so our spreads and our EBITDA per tonnes has been one of the best in the last four years , I would like to unders tand basis on last concall we did not expect such great improvement in the performance in this quarter so has t here
 been any sort of one off or what has led to this massive expansion in our spreads in EBITDA per kg ? Thank you.
Raj Gupta : If my understandin g is correct you are asking current margin profile is not sustainable is that your question?
Dhaval Shah: I mean I was just looking at your numbers in last five years we have never done such high EBITDA per kilo or gross profit per kilo and basis our last concall so we did not feel any sort of large increase in spread which you would lead to such high profitability so is there any one off item in the current quarter which has led to such high profitability which I

would like to u nderstand mor e where such gr eat strong numbers have come from and ho w do you see them going forward?
Raj Gupta : Well, there is no one off i tem as such but like Mr. Roy was talking about the tight supply situation currently on back of this Eastern Europe geopolitical cr isis so there was an opportunity in the market and we are very agile organization and if there is an opportunity we w ill ensur e that we utilize this. The current quarter 's margins are reflection of above change s. Our long term guidance remains in line w ith what we ha ve communicated last quarter and whatever improvement happens that will be more gradual and that will reflect more gradually over a period of next four to five years because of better opera ting leverage, because of better operating efficiencie s and also because of product portfolio improvement . So these kind of margin are reflecti ve of immediate opportunity in the market. I would not say we should take this margin as base.

Dhaval Sha h: Understood, so if now the geo political problem has gi ven us a benefit so w as the benefit in the spot prices in the domestic market or export because our export volumes are at four quarter or five quarter low right now for the Q1 2023 so basically we gai ned on pricing in the export market or we gained in pric ing in the domestic m arket ?
Raj Gupta : This is ultimately global market. I am not saying that we are selling more in global market but I am saying because the market is global so when price increase i n one market, automatically it also reflects on the pricing in other market s and generally we are (inaudible) the margins, pricing and margins in those case, so when global market margins are better or the realization is bet ter, typically domestic market margins also improve with them so all around I thi nk it is a good situa tion what was there in the previous quarter.
Dhaval Shah: As we speak today how is the situation, is it similar to the last quarter or those shorter oppor tunities are gone ?
 Raj Gupta : I would say, see we do not give any forward guidance . I wou ld say that it is a n extremely volatile and uncertain market so it is one day at a time, but we can only give you assurance that we are very agile organization. In pas t also we have withstood a lot of headwinds , like the situation created by pandemic, geopolitical cris is and all , and we do not get overwhelmed by any situation. So if there is any situation , if there is headwind we will ensure that we withstand that and if there are tailwinds then we ensure that we take advantage from the opportunity.
Dhaval Shah: Sir now given crude has sta rted correctin g, I would not say falling. Historically have you seen that wh en the crude starts co rrecting the customer become little cautious in their purchase because now t he prices are on a downward trend, the raw material prices are on downward trend, how is the cus tomer behavior ?
Kaushik Roy: You are right. If crude starts fa lling naturally custom ers will eventually expect there will be a correction in the price and therefore chances are high what you are saying, it cannot be ruled out , but the cost plus pret ty as Mr. Raj Gupta was saying just now it is more about our agility, the ability to move f rom one product to another product, one geography to another geography. One customer to another customer shifting volume depending on the spot opportunity so we have to be extremely agile to conquer those kind s of things. I mean these are normal thing part of any business, it is nothing any unusual so if you stay agile if you stay focused and continuously analyze and scan the situation and still we will be able to fin d out solution for that.
Dhaval Shah: Sir this drop in oil prices wou ld have definitely als o led to drop in our raw material prices and if we reflect with a lag in our P&L currently is there a fall which is happening in our carbon black feedstock and if it stays at curr ent level in which quarter will you see the impact ?
Kaushik Roy: See which im pact?
Dhaval Shah: The fall in CFS, the carbon black feed stock or raw materi al so the fall in this prices with the fall in oil prices, has it happened and in which q uarter shall w e see the impact on that ?
Kaushik Roy: Impact in ter ms of cost reduction you are saying ?
Dhaval Shah: Yes the raw material cost reduction ?
Kaushik Roy : I will say one thing here in between oil was at about 120 plus level per barrel , oil I am talking about crude. It came down below 100 at one point. It was 97 or 95 it came down to and there was expectation when M r. Biden, the American President he was vi siting Saudi
 Arabia, so Saudi Arabia will increase production of oil and subsequently the oi l prices will go down further but unfortunately Mr. Biden could not g

et any commitment from Saudi
Arabia for increase of production and what happened after that imm ediately the oil prices went up again. Today as we speak it was 107 per barrel the blend pri ce so it is qu ite volatile, couple of days it is coming down and t hen again it is going bac k. It may not reflect that much in our buying but if the trend wise it is downward of course it will reflect typically after two to three months time typically that is the kind of lead time becau se oil primarily we got it f rom USA as you know there is lead time , there is selling time, there is storage all the thi ngs are involved so typically it is two to three months time but all ups and downs it will be difficult to capture that road.

Dhaval Shah: Okay understood Sir and how is the freight cost. Will you see any reduction there because that was also troubling us?

Kaushik Roy: Freight cost the reduction well as of today I will say the continuous upward movement what we have seen a coupl e of quarters back that has becom e little bit soft now. It is more of plateauing at this point of time whether going forward it will come down or not we have to wait for some more time meanwhile unfortunately because of this geopolitical conflict it has gone little bit on the other direction so again two things are playing the re, one is supply demand situation availabil ity of feed, container, etc., and on the other side the cost of fuel , so it is combination of both, so one has improved a bit which supply demand availab ility in terms of container ship. Unfortunately the oil pri ce is going to haywire. So we have to wait and watch. I think the w orst situation possibly it has gone hopefully it will not worsen from here.

Dhaval Shah: Thank you Sir and that was my question.

Mode rator: Thank you. The next question is from the line of Dharshil Zaveri from Crown Capital. Please go ahead.

Dharshil Zaveri: First of all congratulations on a great set of results . I am bit new to the company so I would just like to ask how do we see the demand going further and as you said we might face some demand issues in the next quarter so what should I assume as the base quart er and margins for current year? That is my first question.

Kaushik Roy: Demand point of view when you look at I will say the last quarter the demand was strong because war between Ukraine and Russia started and there was constraint in supply from Russian side, many companies many industries with all of them we got benefit but unfortunately as the war gets prolonged we are cl early seeing due to high oil cost inflation is going up, in terest rates are high and now unfortuna tely that has started impacting the

overall demand of many products including power plant s so this quarter we have feeling that there will some chal lenge from demand side having said that I think India is little bette r off not completely insulated of cours e from the global market but little better of f with respect to the global market. In the opening remark I mentioned that in USA and Europe inflation ary rate i s as high as 9% which is kind of record for them in so many years so there are challenges definitely on the demand side. We need to find out solutions for that and as I mentioned earlier also the agility is the key to conquer this kind of situation.

Dharsh il Zaveri: Correct Sir so maybe the recent quarter might be a bit challenging , but overall for the full year could we guide something and my second question is the new capacities will kick in completely next year or how much time do we take in the trial an d what k ind of additio nal revenue can we expect from our new capacities ?

Kaushik Roy: In terms of giving guidance for this quarter we will not prefer to do that because we rather prefer to tell you that we will face the challenges and we are confid ent that we will overcome those chal

lenges. It is looking a bit cha llenging but we are sure that w e will able to work on that to be rest assured on that, number one. Number two on the new capacity of carbon black in Chennai after it is commissioned I guess it will take some time for stabilization of the plant there will b e some initial hiccups . I am sure there will be some problem and once we stabilize then we will start trials with our customers with our products and since it is primarily a ru bber plant and we have regular supplies to m any big rubber companies across the globe, tire companies and other consumer across the globe. It may not take much time for us because our product is pretty well proven, well accepted across the globe in terms o f quality, so I am hopeful tha t within a per iod of time we should be able to get approvals from mo st of the customer. Three to four months time once it is stabilized and then thereafter a full fledgedcommercial production can go on.

Dharshil Zaveri : Sir as this plant commences on December 31 so we will be able to see revenue maybe flo w in from FY2024 will that be a fair assumption and what kind of an asset turn would we expect from this additional capacity ?

Kaushik Roy: Well, I think what you said i s right possibly next financial year we will be seeing benefit out of the particular pla nt so we should be seeing that benefit s coming in then going up almost in terms of capacity almost 30% capacity will be going up so consequently with

reflection in revenue as profitability at that point of time.
Dharsh il Zaveri: Thank you so much. That a nswers all my question s. Thank you so much Sir and all the best.
Moderator: The next question is from the line of Riya from Aequitas Investments . Please go ah ead.
 Riya : My question is answered. Thank you.
Moderator: The next question from the line of Abhij eet Bora from Sharekhan by BNP Paribas . Please go ahead .
Abhijeet Bora: Good afternoon Sir and congratulations on the good set of numbers. Sir my question in the last quarter the commentary was quite optimi stic in terms of both demand and also in terms of the margins because of the geopolitical issues. You mentioned that because of the supply concern we would see a multiyear growth opportunity for Indian carbon black manufacturer. Now I think that the commen tary has been cautiously optimistic in terms of you to may be challenging inflation and the export markets especially so like are we seeing any reversal in overall demand environment and that can impact our u tilization of the new capacity which is coming u p or still we remain confident that we ramp up fas ter given capacity clos ures in China and also the concern in Europe ?
Kaushik Roy: I mean you have rightly pointed out last quarter commentary of course w e were much more optimistic and positive because initially there was some silver lining and Russia n supplies were getting impacted and therefore it was opportunity for us and you are seeing the reflection of that right in terms of numbers and etc. Now unfo rtunately the war is getting prolonged and because of this inflation and other things there are a bit of concern but I think they are quite optimistic but cautious at the same time as I mentioned and the fundamental strategy in this scenario is basically a gility, right kind of strategy and extreme agility so we feel we wil l be able to sail through without an y major problem. As regards Chennai plant it is going on track, absolutely on time, the progress is absolutely as per the timeline s what we have decided. We are not too concerned about that and I think gene rally what I w ill say do not get to dist urbed by one quarter or one month etc ., what we talked about that we remain and we stick to that that we remain optimistic on a long -term guidance so one quar ter here and one quarter there does not really matter and even in this q uar

ter we are quite optimi stic.
I will not say we are not optimistic but as you rightly said we are cautious at the same time but our long term guidance remain same that we remain opti mistic and we stay focused on our goal.
Abhijeet Bora: Secondl y I think you guidance for 35,000 to 40,000 ki nd of incremental volume in FY2023 given the inflationary pressure s would will be able to achieve the incremental volume number s and for next year a lso you have added for 50,000 incremental volume and 30% utilization on the new capacity so any co ncerns on these numbers o r these still remain to be factored into the assumption?
Kaushik Roy: I think what indication we have given there will be some growt h in terms of volume. We will stick to that barring some natura l calamities h ere and there. Just t o share wit h you we
 have recently seen very, very heavy rain in Gujarat, heavy rain in Gujarat which led to flood situation and we have two major plants in Gujarat as all of you know one in Mundra, one in Palej and produc tion got affec ted to some extent no t majorly b ut some impact was there so this kind of different things happen but by and large we will be on growth journey for sure exact number plus and minus es may happen but again as I said it will continue to grow.
Abhijeet Bora: Sir lastly on the margi n front we did close to around 18,000 per tonnes of margin, so in Q2 and also for the full year do we se e the sustainable though the demand is lower but still the concern on supply side remains so like the lower demand ca n be offset by higher margins ?
Kaus hik Roy: I think this was already discussed and Mr. Raj Gupta has responded to this that do not take at one quarter particular margin as benchmark and natural ly Q1 margins were little higher, EBITDA margin was quite high per tonne so do not go by one quart er’s margin , look at long term guidance and I think we have already given the long term guidance and that remains same that will be steadily growing on the margin side by virtue of better operation, more efficient operati on, richer por tfolio rather, our t rade across the globe, international markets as well as domestic market and combination of everything and that is a continuous process, a structural change. In between there might be some spot opportunity for us in that quarter we will grab that opportunity . As an agi le organization we will definitely grab that opportunity but do not get carried away with those kind s of spot opportunities and do not please take that as benchmark in terms of profitability but long term guida nce remains strong we continue to grow in term s of profitability as well.
Abhijeet Bora: Last one clarification on the margin front that commodity margin assuming at 10,000

around that kind of level , you mentioned about the change in the product portfolio, efficiency so what rise in the sha re of this specialty segment, so what incremental margin on a sustainable basis we can build into assumption can you guide on that part ?
Kaushik Roy: Just one clarification I must give you here there is nothing called com modity in our business. The material which goe s to t yre, are also equally technically high end product s. It is highly engineered product I would say. From our point of view as an organization we really do not call them commodity grade, we rather call them as foundation grade and then of co urse there a re further valua added grades like performance chemical grade or specialty chemical grade for different application so it is more about application. We have got foundation grade for t yre application. We have got performance grade and specialty grade s for d ifferent applications like plastic, paints, ink, batteries all those kinds of things, so there is nothing called commodity in our product. In our product everything is equally important even so -called foundation grade a

lso give a different profit margin to us. Figures possible guidance I am not sure whether we can give it. I will request our CFO to give some idea.
 Raj Gupta : Abhijeet as a policy we do not give any guidance or numbers but I would just give you an indication so if you look at how our margins profile has improved in last five years over previous five year , I think in the next five years possibly there can be similar kind of change in our margin profile .. that is how we see it.
Abhijeet Bora: Thank you Sir.
Moderato r: The next q uestion is from the line of Bharat Sheth from Quest Investment Advisors Private Limited. Please go ahead.
Bharat Sheth: Good afternoon Mr. Roy and Raj and congratulation. Would you just take us through our R&D approach and how do we see with s pecialty capacity increasing and how do we see new product and how are the new product vis -à-vis what earlier we were doing can start contributing and over all and how is the profitability of the new product vis -à-vis old ?
Kaushik Roy: Typical ly for us for example about 10 years back our portfolio was such that 95% of our product used to go to t yre companies so primarily we are a raw material supplier for t yre companies with those fundamental grades which we just ta lked about the foundation gra de, the fundam ental grade and then we thought it is important that we focus on our profitability improvement and therefore there was need to get into other segments li ke performance chemical and specialty chemical with those applications which I just menti oned. Now that obviously needed lot of focus on the R&D side and first R&D center came about in India about five years back in Baroda, second one came up about two and half years in Belgium and as I mentioned between this two R&D cent ers the technology function etc., we have roughly about 60 odd sci entist s and engineers and chemist working on this. We have got four verticals in R&D. One vertical focuses on developing ne w product. It may be absolutely new product or it may be new for us but cannot be new for the market per se every one of our competit ors are making advance product we did not have in portfolio so therefore it was new product. The one vertical is working on new product. Raw material is a big thing for us and one vertical is working on raw mater ial or oil en gineering a s we call it so oil related lot of research is going at our end for use of different oil, different t yres, different application and all carb on black are not made for the same oil. There are different oil, different applications so there is oil engineerin g in one vertical where the scientist are focusing on. Our fundamental research where we are looking at absolutely new mechanism or ne w method of making carbon black something completely different but these are pure play fundamental research. The fundamental research as you can understand will take its own time. I will give you one example. We are working on plasma reaction technology. W e are trying to use plasma reaction as a technology in our reactor t o produce carbon black, so one focus area so this is on the fundamental res earch side and the fourth one is c alled post
 production treatment. Now once we produce carbon block then you go f or certain treatment of that carbon black to get certain properties to achieve certain properties so one particu lar vertical is working on post treatment of carbon black or post treatment of different chemical so this is the fourth vertical in R&D center so these are the four verticaals that is how we are approaching the whole journey of R&D.
Bharat Shet h: How do we g et what stage we are I mean g etting the benefit and when do we expect certain one is the new product introduction tim eline and what we introduce last five year

and how do we see over next five years as well as this oil engineering and plasma. What kind of

benefit overall company will have ?
Kaushik Roy: I think y ou need to study result of PCBL, if you go back 10 years and you see the numbers today you can see what is the impact of that. As I mentioned 10 years back it was about 95% product it u sed to go to t yre companies currently it is just about 54% which goes to tyre company balance 35% is between performance chemical and specialty chemical. In the specialty chemical our share in the market was zero. As we speak in the global mar ket we are th e fourth large st player with close to almos t 10% of the global market share and consequently of course the numbers are reflective of that. If you study the numbers for PCBL over the period of 10 years I am sure you will get the answer yourse lf.
Bharat Shet h: How do you see your aspiration, without commit ting anything but aspiration for next five years?
Kaushik Roy: I think Raj has already mentioned that that our aspiration is for last five years the kind of improvement we have seen in terms of margin we sho uld be seeing similar kind of margin improvement going forward in next five years and that will happen because of many initiatives and one major one is obviously diversification of product portfolio.
Bharat Sheth: Okay and this oil engineering journey wher e do we are an d how do we see that ?
Kaushik Roy: I cannot explain on phone what is the meaning of oil engineering and what is the journey, you have to come down and we can have separate discussion on that
B.L. Chandak: And whenever we see something we will come back and speak to you.
Bharat Sheth: Thank you very much and all the best.
Moderator: The next question is fr om the line of Radha Agarwalla from B&K Securities . Please go ahead.
 Radha Agarwalla: Thank you for the opportunit y and congratulations on good set of numbers. Sir my qu estion was on the capex side. So given that both Chennai and the Mundra plant work in b oth the plants are expected to be completed by FY2023 and also we have the second phase of Mundra plant capacity expansion so on back of this what could be the expected capex number for FY2023, 2024, and 2025?
Raj Gupta : 2023 possibly it will be between 900 Crores and 1000 Crores and based on the current capex pipeline , FY2024 will be around 200 Crores to 250 Crores . But if we come up with any new Greenf ield or Brownf ield plan , then for 2024 the overall capex might increase.
Radha Agar walla: For FY2025, if you can ?
Raj Gupta : As of now we do not have visibility around 2025 because that will depend on what kind of capacity we are pursuing. Our existing projects w ill be through by end of FY2024 .
Radha Agarwalla: Okay the numbers for FY2024 does it contain the second phase of Mundra expansion or the numbers that you gave 200 Crores to 250 Crores ?
Raj Gupta : Yes it does include second phase of Mundr a. It does in clude second phase of Mundra. FY2024 numbers does include second phase of Mundra.
Moderator: The next question is from the line of Santosh Kumar Keshri from Keshri Wealth . Please go ahead.
Sant osh Kumar: Thank you for giving me an opportunity. I had one question like we can see there is global fall in automobile deman d. Today we got the news that UK has a fall of 15% in the car demand so let us say that there is recession in USA and it is little deep compared to what we are expecting today so how is it going to affect our production that is the first que stion and second question is a very small , if you can give me a split of your specialty sales and non - specialty sales?
Raj Gupta : So Santosh there has been periods of demand softness earlier also l ike 2020 was not a good year. I am talking about the year before COVID but that is where I think the organization’s own capability comes

into play and our MD was ta lking about laying down our infrastructure globally getting up decanting stations, warehouses, investing in our own supply chain and therefore our current dependence is not on any single geography. Again if there is softness of demand in some part of the w orld, we have the ag ility to move from one geography to another , to change our product portfolio so that if one type of product , the demand is getting impacted , then you can create new type of product and sell . I think that is about agility of the company and tough situations also in pa st we have been able to ensure
 higher capacity utilization so we feel pretty confident tha t cap acity utilization should not be a challenge. Of course, there will be periods when the supply side or the demand situation i s good. In those periods the margin profile suddenly spikes up in other periods there is an impact on the other s ide but I do not th ink capacity utilization is going to be much of challenge for us. Our global market share is still very low so I think we ca n increase our

market share also.
Santosh Kumar: That is what the news in the market right . The governments are predicting US reces sion at least?
Kaushik Roy: There is a fear. We are not sure whether it will lead to eventually a major recession like what we had seen in the year 2008 which got triggered because of Lehman Brothers issue so let us hope for the best. Why shou ld be pessimi stic about the whole thing. Let us think positive and I think Raj has explained on the agility part and let us hope for the best a nd I think your second question was about specialty share and all , roughly about 65% is t yre and rest goes into p erformance ch emical and specialty chemical .
Santosh Kumar: Thank you so much.
Moderator: The next question is from the line of Nagraj Chandras ekar from Emerge Capital. Please go ahead.
Nagraj Chandrasekar: Thank you. Just going through the commentary from Cabot or (ina udible) 56:59 Orion, Tokai it looks like nobody is interested in adding capacity on the t yre side of the business . It is more, Cabot talking about capacity for EV battery, anodes and other specialty chemicals and so on and so forth the others as well. You a re also sayi ng Russian capacity is out even finding its way to any markets and Chinese capacity is also not come back yet could you see a scenario, there was talking about $2000 capex cost per ton all in for the capacity in the west including all environm ental norms in place whereas we built this Chennai plant for something like $800 I think roughly ballpark per ton effective capa city. Could you see a scenario of prolonged shortness over a few years especially if you see after two negative years say 2019 a nd 2020, CY. Okay growth in 2021 positive demand growth for tyre volumes in India in the next few years because here there are more of new car driven market whereas global markets even if you have decline 10 % to 20% decline in new car sales demand is mostl y replacement driven so the actual hit to carbon black demand would not be as steep and with no capacity really getting add ed you might not have that much slack room in the market which is what a lot of these guys are also saying in the commentary so want ed to just ge t your view in this?
 Kaushik Roy: We have little bit of different perspective. As you know we are the leader in terms of Indian market. We are the largest player in the Indian market and we have certain responsibility and the markets you talked a bout and the players you talked about a lot of them are very active say in European market or US market and th ose market are actually extremely saturated today from the point of view of automobile as well as from the point of view of tyre companies theref ore whereas In dian market is not saturated it is

still evolving. It is a growing market. The economic situatio n is quite different in India, different from thes e countries and this geography so we do expect a substantial growth of automobile in Indian mark et and consequ ently that should also grow and therefore Indian point of view we feel that there will be scope for improvement, scope for growth even for regular rubber black having said that in the beginning itself I mentioned that as an organization we st arted focusing on performance chemical and specialty chemicals a few years back, 5 to 6 years back and that led to a situation where today we stand about 65% goes to t yre and the rest goes into performance and specialty chemical s so that really shows our i ntention that we are focusing in that area as well. At the same time we do not want to vacate the growin g tyre market. We do not want to vacate that and I think it is responsibility as well. We are the largest player we are the leader here because of that w e cannot affo rd to do that also so O ur approach will be slightly different vis -à-vis some of the names you have just taken , so that will be my answer to your question.
Nagraj Chandrasekar: Supply isn’t a big constraint on the t yre supply globally, the tyre carbon black supply?
Kaushik Roy: I think considering the sense, the t yres are getting manufactured get ting produced so naturally they will be requiring carbon black, and if you go back and look into little more details of t yre and automobile, this w ill actually either they are black or they will be growing in Europe and USA and these are actually growing in Asia region. Asia is becoming the manufacturing hub which includes obviously India on t yre and automobile so if you look at Asia perspective and In dia perspective definitely there is an opportunity for growth even in t yres so therefore for us tire rel ated raw material and therefore carbon black but I am not saying at the same time that there is no scope for specialty of course there is and that is how we have g rown in last five years and as I said that we are the fourth largest globally today in the specialty side. So it is a good news for us from both angles from specialty as well as for t yre.
Nagraj Chandrasekar: Thank you.
Moderator: Ladies and g entlemen this will be the last question from today whic h is from the line of Anubhav Sahu from McPro Research . Please go ahead.

 Anubhav Sahu: Thanks for the opportunity. Couple of questions ; one is if you look at the domestic market s I wanted to understand, how are we placed in terms of market share. I underst and that import intensity from China has come down over the years but if you exclude that factor of imports , how many domestic manufacturers, how has the market share been for us in the last few quarters ?
Kaushik R oy: Market share of us in the domestic mar ket are you saying that ?
Anubhav Sahu: In the carbon black market yes .
Raj Gupta: Your question is about our share of domestic carbon black market ?
Anubhav Sahu: Yes our share of domestic carbon black market exact ly. Say for the horizon on the last two years how has it been and two years back how w as it and how is it now ?
Kaushik Roy: As I mentioned just a while back that we are the largest player in Indian market today and percentage share honestly varie s from tim e to time because there are new play ers then at time we decide to export more etc., but definitely we are steadily at one -third level and above.
Anubhav Sahu: On the capacity expansion , I understand that Greenfield and Brownfield would be pr ojects will c ome up in Q3 from next fiscal, in the last call you also pointed towards some efficiency gains for this fiscal year for increasing production volume are we on track for that or given the demand situation that is not the case right now ?
Kaushik Roy: Efficie ncy you are talking

about ?
Anubha v Sahu: I mean I think you were alluding to adding some capacity through efficiency gains around 30,000 tons or something in the fiscal ?
Kaushik Roy: Are you talking about t his year we are adding 30,000 or somet hing. We are not adding. There is no new capa city coming. We are excluding our efficiency on pr oductivity and we are expecting some additional volume coming in over last year and therefore we are targeting this additional volume but hopefully there is no m ajor natural calamity etc. Like as I mentioned in Gujarat we had some issue heavy rain and floo d like situation other than that we should be seeing some improvement some upside on the volume side also in this year over last year.
Anubhav Sahu: That weight sho uld be somethin g around 30,000 tonnes is t hat would be a right figure I am looking at ?
 Kaush ik Roy: I do not know what those calamity or situation we will face going forward. It is difficult to give a number but I think intention is clear that we want to gro w and grow fa st.
Anubhav Sahu: Okay got it and Sir last call you also pointed towards you we re waiting for some customer approvals for these specialty grades which could have added up something around 10,000 tonnes of sales volume for this fiscal so any co lour on that any views on that ?
Kaushik Roy: It is a continuous process because on continu ous basis we are producing some product we are coming out with newer product s and going for approval and it is on track and our target remains. We talked about 10,0 00 tonnes of quantity of specialty this ye ar and our target remains and we are on track as already.
Moderator: The management has decided to take one more question which is from the line of Saurabh Mehta from East Lane Capital . Please go ahead.
Saurabh Mehta : Sir my ques tion is slightly repetitive , but I wanted to know Sir the EBITDA per tonne if you look at the four to five quarter has been very volatile so could you share what part of volumes which we are selling in the spot market are really affecting o r bringing this volatility in EBITDA per tonne annually?
Raj Gupta: Usually Saurabh we do about roughly 27 -28% of our volumes in spot market and that remains sensitive to demand supply situation and if you look at our performance …. if you dont look at on a quarterly basis , but if you look at year on year journey last five to six years , you will see gradual improvement in our margin profile. So periodic al volatility will be there across all businesses not only in our industry, but I think the whole idea is that whether we are improvin g our business structur ally so that our margins keeps on improving and I think that s the guidance we have given. Over a period of long time maybe four to five years one should look at how our margins have improved. I think that will be a good reflection of the real improv ement in th e efficiency .
Saurabh Mehta: I said 20% volumes the slide into the performance chemical segment ?
Raj Gupta: This is both. I mean t yre largely remains large account for us and there is a pricing formul a so mostly you c an say it is mostly the per formance segment .
Saurabh Mehta: The second question is on specialty basically we used to have this aspiration for high end application in the specialty segment so what is the progress there and is there any EV

battery application wh ich few of our peers have d eveloped. Is there something on which we are also working if you can share some details about that ?
 Raj Gupta: The progress in specialty has been very satisfactory as you said. Whatever portfolio today we hav e, we have developed in the last sev en years . We h ave started almost with zero and today slightly more than 9% of our volumes are coming from this segment. And it is not only the volumes but also the number of grades

that we have been able to develop.
Currently we have more than 45 grades an d now wi th our increase R&D bandwidth , we are also rolling our newer and newer products, more new products every year. Speaking about the grades which we can cater to EV batter ies, our R&D team has been working on it but you know R&D activit ies take time an d whe n the b reakthrough happens it just happens so currently it is under research and development. I will not comment on the timeline. If we are lucky it can come up soon or otherwise it might take a little time but yes I think we are in advan ced stage.
Kaushik Roy: We have made some significant progress in that area also. It is primarily lithium ion battery for EV and we are quite hopeful that we will able to crack it sooner than later and that is kind of final frontier for us at this point of time because we h ave alr eady cracked for example grades relating to plastics, paints, ink, coating, we are kind of through with them, having said that we are continuously improving in those areas enriching our portfolio further and then currently our team is working e xclus ively on this lithium ion batteries and we have made some significant progress. Very recently I was in Belgium for quick review and then I realized that some good progress has been made by the m. We are quite hopefu l.
Saurabh Mehta: The last question i s on EBITDA per tonne . What would be the gap between a tire and the specialty and we used to have aspiration for few grades in specialty where we thought ver y, very high margins could also be made upwards of a lakh per tonne so is there any gr ade which we have been ab le to develop very high and overall what is the difference between the tyre grade and the specialty for EBITDA per tonne?
Raj Gupta: I would not give you exact numbers, Saurabh. We do not publish separately these numbers but I will just give yo u an indica tion. First of all even the foundation grade margins have gone up, all the tire business margins have also gone up in the last four to five years and that is because these are not the same grades that we are selling to t yre companies. Ther e has been lot of customization, lot of new grade roll out and we have even discarded some of the old grades. Even the tire portfolio has changed quite bit, and the m argin profile in tyre segment consequently has improved. As we speak currently we make abou t 2x in specialty business on the margin side when we compare to the t yre segment.
Saurabh Mehta: And performance would be how much?
Raj Gupta: Performance would be 20% to 25% more than tire.
 Saurabh Mehta: Thanks a lot and congratul ations on ver y good set of numbers.
Moderator: Thank you. As that was the last question for today, on behalf of ICICI Securities Limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2023

"PCBL Limited
Q3 FY2023 Earnings Conference Call "

February 02 , 2023

ANALYST : MR. SANJESH JAIN – ICICI SECURITIES

MANAGEMENT : MR. RAJ GUPTA – CFO - PCBL LIMITED
MR. SAKET SAH – HEAD - INVESTOR RELATIONS - PCBL LIMITED
MR. PANKAJ KEDIA – VP - INVESTOR RELATIONS - PCBL LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to PCBL Limited Q3 FY20 23 Earnings Conference Call , hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conferen ce is being recorded. I now hand the conference over to Mr. Sanjesh Jain from ICICI Securities. Thank you, and over to you, Mr. Jain .

Sanjesh Jain: Thanks, Nirav . Good morning, everyone. Thank you for joining on for PCBL Limited Q3 FY2023 Results Conferenc e Call. We have PCBL management on the call represented by Mr. Raj Gupta, C hief Financial Officer ; Mr. Saket Sah, Head, Investor Relations; and Mr. Pankaj Kedia, Vice President, Investor Relations. I would like to invite Mr. Raj Gupta to initiate the call with his op ening remarks, post which we will have an opportunity for a Q&A session. Over to you, Raj . Thank you.

Raj Gupta : Thank you, Sanjesh, thank you, Nirav, and a very g ood morning to everyone. On behalf of PCBL I extend a very warm welcome to all of you on our earning s call.

I would first like to take a mo ment to introduce Mr. Saket Sah who has just joined the group as Head, Investor Relation. Saket is an Alumnus of Welingkar Institute of Management in Mumbai and brings to us over 20 years of the rich strategic experience across various industries and functions. Prior to PCBL he was heading the investor relations and ESG reporting for Grasim Industries. He also had a stint with Citi Group. At the group level , Saket will also be spear heading ESG and sustaina bility initiative.

Coming to quarter three performance. We reported Rs.1463 Crores in the operating revenue during the quarter. EBITDA for the quarter was Rs.176 Crores. PBT and PAT stood at Rs.128 Crores and 100 Crores, respectively. On YTD basi s, our re venue from o perations was Rs.4500 Crores while EBITDA stood at Rs.575 Crores as against Rs.3228 Crores of revenue and Rs.534 Crores of EBITDA during the same period last year.

On quarter -on-quarter basis realization per ton was almost flat due to steep co rrection in crude prices. The formula pricing would correct by over $200 per ton in quarter four over quarter three. As a result , there was a significant level of inventory liquidation at customers end, resulting in lower off take during quarter t hree. Vol umes during the quarter were around 10 1000 ton , down about 10% from the previous quarter, . We believe part of this volume , we will be able to make up in quarter four.

 Also despite the drop i n volume , with our well-spread customer and product portfol io, we could still maintain the overall profit margin s. EBITDA per ton during the quarter was Rs.17357 as against Rs.16 863 during quarter two. Commissioning of new Co- generation power pl ant during the year has resulted in significant debottlenecking of our power capacity and now we are able to generate and sell more units of power per ton of carbon black production. On a YTD basis , we have generated on an average about 1338 units of power per ton of carbon black and this nu mber in the same period last year was 1148 units , which is almost 190 units of increase d generation per ton of carbon black production. Quarter three power generation was e

ven higher at 1361 units per ton of carbon black.
Average realization duri ng quarter t hree from power sales was Rs.3 .73. We are seeing an uptick in power tariff in the current quarter with average exchange price of around Rs.6.4 per unit in January as against an average of Rs. 4.55 during quarter two.
Specialty volume during the quarter was around 9000 tons, which is ro ughly 10% lower than previous quarter , again primarily on account of inventory liquidation at customers end. We are getting very strong demand commentary from auto and tyre industry a nd which is also reflecting in of f take in th e current quarter in our ind ustry. So we expect volume wise better quarter in quarter four.
On the project side first line of Tamil Nadu is ready, which is roughly 40% of total Tamil Nadu capacity . We are awaiting some approval s from electri cal Authority for start up power. We expe ct maybe about two, three days' time before which we can start the trial run. Second line will come up with a g ap of about 15 days or , so ideally by en d of this month that line should also be ready and we will commiss ion the thir d line maybe soon after th at, but more or less the project is ready and anyone of you if you happen to be in Chennai we will be happy to host you there s o you can have your own a ssessment of the project . On expansion of specialty line , out of the proposed two lines first line is in advanced stage of construction and we expect the line to be ready by March 2023, it will be around 20000 tons line. Commissioning of second line t o take another year, so maybe by March 2024 we will have that line also ready. With th is, friends I open the floor for your questions.
Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Aditya Khetan from SMIFS Institution. Please go ahead.
Aditya Khetan : Thank you for t he opportunity, sir. My first question is on the domestic market volume. We are witnessing in this quarter that the domestic volumes have declined by 7% on quarter -on-

 quarter basis. So are we witnessing domestic demand also have started to falt er or has become weak and how is the current trend for the month of January.
Raj Gupta : Like I said our volume during the quarter are around 10% lower compared to the previous quarte r and I said that there would be steep price correction between last quart er and this quarter. So there would be a temptation at customers end to reduce the inventory level.
Aditya Khetan : So what you are expecting that the export demand was somewhat weak , but now we have started to witness a decline in the domestic volumes also s o just wante d to get an idea how is the domestic market like going right now.
Raj Gupta : Domestic demand scenario looks pretty encouraging, I mean, not only tyre and auto companies are manufacturing more, they are also exporting more. So both domest ic demand as well as overall manufacturin g level in India that has gone up and that is more structural. So we do not see any challenge on the demand side, but if there is the 16%, 1 7% price drop and we operate in a formula pricing industry , our customer s know that by shifting part of their offta ke to subsequent quarter they will be able to procure it more economically. So therefore , both domestic market and international mar ket there was a volume drop. Now international market ; yes in Europe there is recessio n likely and theref ore there are issue s, but we have our own strategy. I t is a pretty big market and what we are doing g lobally currently , is very small. In international market the volume that we do i s just about a percentage of the total global demand. All we have to do is to knock on more c ustomer s doors and we have already invested heavily in our supply chain network so we are well connected with custome rs, ha

ve very strong presence locally in so many countries . so we do not see this scenario as something which is concerning.
Aditya Khetan : Sir for the Q3 FY2023 whatever stating the government data so when we get the imports of carbon black so t here it was showcasing that import in India has started to increase on

quarter -on-quarter basis they have gone up by roughly 7%, 8% so jus t wanted to know so this is particularly from which countries if you can highlight from China, Russia, South Korea, wh erein we hav e started to witness increase in imports in India.

Raj Gupta : Well, first of all China is not as prominent both in terms of volume as wel l as in terms of their product costing. So the import from China in India is far less . I mean last month it w as about 500 tons. You are right that the level of import in the interim ha d gone up . see the market in last one, one and a half years has been extr emely volatile in terms of Interest rates, commodity prices, oil prices, war in in Eastern Europe etc. Russia was not being able to utilize their capacity as before the war, they were s elling pr imarily in Western Europe and then eventually Indian importe rs realizing that if they procure from Russia then they can

 procure it at a dis count .Also, Incidentally in quarter two and even in quarter three the realization , carbon bl ack pricing w as very high . We were selling at almost Rs.140000 per ton and therefore there was an opportunity for them. So these things will continue to happen . some quarters you will see import going down significantly some other quarters it will move up , but for us wha t is important is to hold on to our own strategy, ensure that we have a balance between our margins and capacity utilization and that is exactly what we did in quarter 3 .

Aditya Khetan : Sir now we are witnessing that the carbon black p rices are started to decline so in declining carbon black prices scenario how does our spread grew like just an idea if you say we can maintain if there is a decline into the spreads.

Raj Gupta : Any change in crude prices should not impact our margins. Margin impact may come from different reasons. If we are talking about gross margins , then it can happen maybe if there is some kind of inventory buildup in the system . Similarly EBITDA level margin can change maybe because of change in some expense structure, your fixed cos t is moving up or going down and there are other cost s also, but otherw ise, generally speaking , change in crude prices should not impact margins, as long as we are not building on massive inventory .

Aditya Khetan : And similar difference that are now expressing into the C BFS prices also so just want ed to know so this price declin e in carbon like so this is majorly because of d emand softening or this is a raw material pass on kind of a thing what is happening.

Raj Gupta : It is a raw material cost pass on. See previous quarter, quarter three when we are s elling , our raw material was linke d with crude at $100 and in quarter 4 , our raw material will be linked with $85 crude. So it is just a reflection of change in crude.

Aditya Khetan : For the current quarter also so you are expecting that the crude price will remain in this range only $80 to $85 so that could be the range.

Raj Gupta : Last three, four months, crude prices have remain ed range bound betwe en around $80, $ 85 so we are not seeing any significant price change in next quarter as of now , unless crude changes in February and March signif icantly .

Aditya Khetan : Just one last question from my side. Sir, on to the specialty business, the global growth what I was seeing, s o that is expected to be around only 3% to 4% till around 2027, but we are confident that the specialty busine ss will grow faster than the normal rate. So how should we look this in context with PCBL.

 Raj Gupta : In Sp ecialty if you look at global industry, the industry in last 4-5 years has been growing at a CAGR of about 6 % to 7% so that % to 5 4% number I do not thin k that is correct number one. Number two , we are a new entrant in this space, specialty space, and therefore we have a smaller portfolio as compared to some of the large manufacturers. Also our market share is very small , in a 1 -million -ton mark et what we have currently is just about 40000 tons. So it is a very small market share. We are yet to create a larger portfolio and we are yet to connect with number of more customers . So that is an opportunity for us and that is exactly what we are doing and therefo re, we believe that next four to five years are going to be rapid growth period for us in specialty space.

Aditya Khetan : Thank you sir, that is all from my side.

Moderator : Thank you. Next question is from the line of A atur from ICIC Pru dential. Ple ase go ahead.

Aatur: Hi! Sir, thank you for the opportunity. Sir, b asically just on the previous question just wanted to check in terms of inventory impact, if you can help us understand given you said there are some decline in formula pricing, etc. So should we expect some kind of inventory valuation related impact goin g ahead in the coming quarters?

Raj Gupta : No, nothing significant, because we did not increase the inventory levels, we had a fair visibility around how the crude prices are moving and the formul a price work s with the quarter lag. So it is not something which happened suddenly for us and we knew that the prices are going to drop steeply and there will be tendency for our customer to shift part of the p rocurement to next quarter and accordingly, if you look at our production number s, even the production has gone down in sync with our sales volume. So we have produced about 105000 tons as against 101000 tons of off take. So just 4000 tons , and tha t we built because we wanted to make up part of the lo st volume s of quarter three, in quarter four . we believe that quarter four is going to be better volume wise considering the overall demand scenario plus the order book that we have . We believe that part of this 4000, 5000 tons we can utilise during the quarter over and above the normal volume, . So that is how we are looking at next quarter. So no significant impact of inventory.

Aatur: Second question on in terms margin like if w e see gross mar gin per kg or EBITDA per kg which we have reported. So broadly one should expect similar trend even in the near term or should one expect some more normalization say next three, four months gi ven where the pricing has moved.

Raj Gupta : So in our earlier calls as we in dicated , because of all the initiatives the compan y has taken on portfolio buildings and operating efficiency side, we believe that structurally there would

 be a change in our margin profile and we took 2 022 as base , the full year number as base, and we believe that in next four, five years on an average every year there should be about a Rs.1000 kind of increase in our EBITDA performance and we stick to that . In some years maybe that will be little more i n some other years it will be little less . Quarter -on-quarter there can be some kind of fluctuation be cause this entire macroeconomic environment we are having currently, that itself is extremely volatile ; demand scenario, supply scenario everything is changing so rapidly. Every quarter there can be li ttle up and down , but trajectory wise or direction wise I think we are on the right path to reach what we communicated earlier.

Aatur: Fair sir thank you so much.

Moderator : Thank you. Next que stion is from the line of Riya from Aequita s Investments. Please go ahead.

Riya: Hi! Thank you for giving me the oppor tunity. My firs

t question would be in regards of we have seen that 0.5 -million -ton capaci ties coming up in domestic for all the players an d we are seeing that export demand is also decreasing. Do you se e that the g oing forward the domestic demand will make up for the incremental s upply as well as decrease in export s going forward, and where do you see this coming from.

Raj Gupta : Well there are two to three things which we will have to understand here . Yes supply ha s come up , new capacity has come up . we have added about 0.5 million ton . But if we go two years back and if you look at where China was in terms of capacity and where they are today in terms of their capacity and production. They have created a massive vacuum on the supply side an d that is way mo re than 0.5 million ton. So in a normal steady state , the market will remain under supplied that is number one. Number two while we are ha ving this discussion of demand in Europe ; we are talking about reces sion and a possible scenario in Europe. What has a lso happened simultane ously, the energy prices have gone up in Europe and therefore the level of manufacturing in Europe will al so go down a nd while their overall consumption might go down, their manufacturing level will also go down. So Europe should also import more from other countries and that is an opportunity. So we do not be lieve that o verall potential for export is going to go down despite whatever we are talking about Europe and the western part of the world. India is certainly producing more and s elling more . Domestic demand is going up and India's export across the whole chain , not only in carbon black but also in auto and tyre that is also going up. So we believe that this production will be well supported by adequate demand and while there can b e period s when capacity comes up and market look maybe a little over supplied , but till the next phase of capacity expansio n, you will see old capacity getting utilized . So like when we

 also commission Tamil Nadu capacity , we are not saying that in the yea r one we will be able to utilize it fully , but what we said earl ier also was that we feel that in two years ' time we should be reaching peak utilization and therefore we are already now working on some brownfield expansions . So we do not think demand as a challenge or capacity utilization as a challenge for us going f orward.

Riya : Export like you said Europe can be a n opportunity if things go the other way where else do you see export, where do we see a decline which came in, in this current quarter and where do you see opportunity coming forward in terms of export.

Raj Gupta : The current quarter was not a reflection of demand scenari o changing in Europe . Honestly

even now . while we are talking about recession in Europe , it is still not reflecting in demand and therefore in current quarter we attribute this volumes drop primar ily to the p rice correction whi ch is expected between quarter three and quarter four. So it is not only Europe , it is across geographies. But then again the destocking which happened thi s quarter will support the volume off take in the next quarter .
Riya : So basically I am t alking about 30000 production of carbon black which we did for exports this year 29098 versus 39000 almost 40000 last year and almost 36 000 the previous quarter. So you are seeing a 20% decline on a Q-o-Q basis so where is this decline coming f rom in expor t volume.
Raj Gupta : It is across geographies . Europe in any case is just about 20% of our overseas volume . As of now Europe is not very big for us . Almost 75% of our volume are still sold in South East Asian countries . Europe strategically i s imp ortant for us because we believe that going forward , because of changing trade relations, China producing less, Russia becoming kind of blacklisted for them

, it creates a bigger opportunity for India . So that is structural change in the trade relatio n. Also our portfolio is well spread and we are present in 45 geographies . we also know that we need to create a strategy so that we don’t have to depend on any part of the world in a big way. So our strategy is to knock on more customer s doors if we see demand dropping in some part of the world . And like I said that we have inve sted heavily in our supply chain network and capability . We have creat ed number of of fices , warehouses, decanting stations , even R&D center also to engage well with customer s.
Riya : And in terms of China now what is the spread currently t he thin spreads and what would be the breakeven for them to do surpass our prices.
Raj G upta : It is still more than $300 . China prices remain $300 higher compared to our s.India I think the time has come when we should stop looking at what China is doing . They are no longer

 dominant in that space. This is reality. In two years’ time , we will be competing with them and giving th em a tough competition in their own geography.
Riya: Then where are we seeing the higher import coming from and do we see it is coming down this quarte r.
Raj Gupta : Mostly it is Russia n material which is getting imported in India some directly some through Middle East countr ies.
Riya: In terms of specialty since we saw some inventory liquidation at customers end this quarter do we see the volumes of 11000 comi ng back agai n next quarter like when do we see such kind of volume.
Raj Gupta : Yes, hopeful it will come back in this quarter.
Riya : There is no demand issues in specialty right.
Raj Gupta : No there is no demand issue and as I said that we are still very small . For us next five years growth will not be a problem.
Riya : Thank you that is it from my end.
Moderator : Thank yo u. Next question is from the line of Bharat Sheth from Quest Investments. Please go ahead .
Bharat Sheth : Good morning Raj and Saket. Raj in Q-o-Q despi te decline in the quantity we have been able to improve our EBITDA margin so what has led to this is a structural change which we were talking help us in improving the EBITDA margin.
Raj Gupta : First of all as we lead the domestic industry, we hav e to be a little responsible and therefore when we saw supplies coming up and little so ftening on the off take because of price correction , we acted responsibly and did not start a price war that is number one. Number two, a good part of our other expense s is also va riable so again volume goes down and our expenses also go down. For us w hat contrib uted to better EBITDA is there is a significant drop in freight cost. Freight cost which was very high in quarter one andquarter two , has gone significantly down in qua rter three and it has almost come back to that pre-COVID level now and consequent to tha t we could still maintain better EBITDA profile despite this volume drop.

 Bharat Sheth : In Q4 again a Y -o-Y there would be a significant improvement in EBIT DA because l ast year we had a very high logistic cost correct is that fair understanding.
Raj Gupta : Last year logistic cost was on an upside mode whereas this year it is on declining mode.
Bharat Sheth : Now coming to this specialty business see we we re expecting around 45000 ton in initial first part of our estimate so wh ich now whereas we are roughly around 29000, 30000 so how do we see and then going back from 45000 to 54000 that medium -term projection that we were looking so where do we stand in that and how m any number of products we have

been really able to a dd during nine months.
Raj Gupta : First o f all I would say that more or less we are on track . I mean I understand that initially it was around 45000 tons but when we started t

he year the global growth outl ook was at about 3.5% GDP growth rate . Today it has already come down to around 1.5% . it is more than 50% decline in GDP growth. Now in that scenario if you look at our run rate , it is still better than last year's run rate, th ird quarter the volume drop which has h appened , roughly a 1000 odd tons,is primarily on account of the price correctio n. It is not our in ability to s ell and therefore we are confident that we should be again able to get back to that 11000, 12000 ton kind of a run rate quarterly . We are optimistic about that.
Bharat Sheth : So is that fair understanding roughly we will be abl e to do around 40000 to 41000 tons for 2023.
Raj Gupta : I feel so.
Bhara t Sheth : And now coming back to then a gain going back to see we were talking of additional 10000 so then it will remain around 50, 51 rather than 54 is that fair understanding for 2024.
Raj Gupta : See as I said market conditions are extremely volatile and therefore it is not that once we have lost some volume in one quarter , we can not make it up in subsequent quarters. So as of now I am not giving any indication about next year . Let us walk through the next quarter . Also I think by end of the year we will be in better position because then we will be more clear . so I think then I will be able to give you a projection. But we feel confident about our specialty journey. we are launch ing newer grades, we are adding specialty lines , and we are adding specialty customer. So we do not see any major challen ge.
Bharat Sheth : So how many new products we have been able to and now currently what is product portfolio and where do we see in this two, three years' time.
 Raj Gupta : Yes, we have been launching about 9-10 new grades every year. I think that should be our minimum pace of launches . As of now we have close to about 50 odd products in our portfolio.
Bharat Sheth : And is that fair to assume th at new products generate a better margin than the current one.
Raj Gupta : Not nec essarily , some of the grades will be a little highe r on the value side but the whole idea is that we keep on creat ing newer solution s for our customers because what is S pecial ty today eventually in four, five years' time it will become a commodity. And therefore we will have to constantly do resear ch constantl y create something which is more meaningful for our customer.
Bharat Sheth : Okay, last, I mean, the commissioning of thi s new Tamil Nadu plant will have some kind of a because of lower utilization things goes so our EBITDA may not be high as we ll as intere st cost may also go up.
Raj Gupta : We do not have significant borrowings in Tamil Nadu so interest cost will not be much , number one . Number two , because it is based on latest technology , we expect our overheads to be also relatively lower in this com pany. It is a new company and we are developing this Greenfield and therefore I do not think that to be a concern . we do not see a challenge at all in the utilization of capacity . So like we said that in two years' time possibly we should be utilizing it fully.
Bhar at Sheth : Thank you and all the best Raj.
Moderator : Thank you. The next question is from the line of Sanjesh Jain from ICICI Securities . Please go ahead.
Sanjesh Jain : Thanks for taking my questions. First on the demand side , particularly demand supply dynamic in domestic for the export market it is us who have been dominantly established by the capacity addition which is coming by the tw o of our competition is largely cater to the domestic market and so we have highlighted this earlier as well that they d o not have a meaningful export presence will this create a sort of imbalance in terms of demand supply situation in India that is number one. Number two , will it have any pressure on relooking the business model in

the domestic where last five year has been a phenomenal for us in terms of cost -plus basis do you see risk in terms of your cost -plus basis in the situation where we expect for next two, three years at least there will be an excess supply that on the domestic market side. Second on th e feed stock side, we have seen India importing almost 1/3rd of the crude oil requirement from Russia are we also looking to im port more CBFS
 from t he Russian market which gives us some sort of a cost advantage in terms of the raw material procurement , are we doing it is there on the card so these are two my initial

questions. I will come back for more questions.
Raj Gupta : To ans wer your first questi on first. ,We consider the whole globe as our market and while India remain the largest market for us , so far as ou r own strategy is concerned on the capacity utilization side , we do not depend on any geography including India in a big way. capacity that have come up and because these players do not have that bandwidth to export more or sell more in int ernational markets possibly we will try to see the world market as source of utilization and we are well aware of that and thi s quarter also you will see that . We played responsibly and we strived to strike a balance between volumes and margins. Speaking on how we are looking at the overall demand supply scenario, the space vacat ed by C hina is very big and global ly that has to be filled up ; whether the capacity comes in India or somewhere else. So while there can be a redistribution of demand and supply but from overall supply and demand perspective , we do not see a scenario where supply significantly goes up. Number two the level of manufa cturing in Western Europe is also going to go down because of higher energy prices and cons equent to that we do not feel that we will not be able t o utilize capacity . In fact as far as our international contracts are concerned , we signed new contract somet ime in November -December and we have a go od order book in international market .. Coming to your question on the feedstock import side, we explore d other possibility of establishing the procurement relationship with Russia . Problem is the qual ity that we ge t curr ently in US Gulf coast , that quality is far superior than what is available in Russia . Number two, the logistics cost of bringing Russian material to India is even now very expensive and it will take away the gain that we have on the pricing side now . And there is one more practical pro blem which is , currently it is very difficult to get insurance on s hips carrying Russian material. So with these key problems , as of now it looks tough and commercially also, it does not make much sense for us .
Sanjesh Jain: One follow -up on the firs t answer is it fair to assume the way you have explained our mix in terms of domestic and international is going through significant change in ne xt two years because while domestic market is oversuppl ied export markets looks a very interesti ng positioning s o is it fair to assume that a lot of incremental capacity will be sold in an export market. In such a scenario do you also see risk to the gross profit per kg because historically we have seen that export market has been at a slight discount so the domestic market do you see that also panning out along with it that is my first question. Second on the power side with all this power capacity coming up how much more power at a peak utilization that we can s ell and incrementally how m uch more uni t can be sold fr om the increased capacity and what is the capacity sold today so these are the two questions.
 Raj Gupta : Last three, four years our margins in international market s have been almost equal to domestic margins . So sometim es domestic margins are hi

gh and sometimes international margins are high , but if you look at average margin generation , the domestic and international segment is almost in parity . So therefore , there is no reason for us to say that if sell more in i nternatio nal market , this is going to impact our blended margins. Coming to power generation side , like I said that we are generating more number of units per ton of carbon black production because of debottlenecking this year that we carried out and we believe that our qua rterly run rate of power sale which was about 75, 76 million unit per quarter it has already increased 80 to 90 million unit per quarter . we believe we can gradually take it more towards 100 millio n units per q uarter. So based on our current capacity (I am not considering Tamil Nadu capacity that will be separate), we can go up to maybe a run rate of about 100 million units a quarter.
Sanjesh Jai n: So another 10% from here is w hat we can see upside in terms of the power unit sales.
Raj Gupta : Right .
Sanjesh Jain : One last question to sum up from all the earlier answer you said. So it is fair to assume that next year whatever has happened assuming the situations being stable we s hould be able to add 50000 metric tons on a standard carbon black and an other 10000 metric tons on this specialty that will be a fair assumption.
Raj Gupta : Yes, it is true but like I said that maybe in couple of month time when we are through with our budgeting exercise, we will be in a better position to give the guidance . but it looks fairly reasonable.
Sanjesh Jain : And gross profit sustaining at these levels does not seems like a challenge
Raj Gupt a: In a steady state level no we do not consider any ch allenge.
Sanj esh Jain : Got it. Thanks a lot sir all the questions and answer and best of luck for the coming quarters.
Moderator : Thank you. The next question is from the line of Dhiral Shah from Phillip Capital . Please go ahead.

 Dhiral Shah : Good afternoon, sir. Thank s for the opportunity. Sir, what is our debt position as on December 2022 and in terms of long -term and short -term debt as our finance cost has ris en sharply in Q3 and how do we project by March 2023.
Raj Gupta : Debt on standalone basis has not gone up. Iit remain s where it was last year and it was around 684 Crores . out of that long-term was around 300 odd Crores rest was on the working capital side. Debt levels have not gone up but what has happened between March last year and no w US FED rate s have gone up by 425 basis points . Even repo rate has gone up by 225 basis points , from 4% to 6.25% and in spot market interest rates on the commercial paper etc., that has gone up even higher. So roughly on an average about 3% interest rate hike. That 3% interest rate on our debt rate of roughly 700 odd Crores converts into some 21 Crores for the full year. For the nine months that will come to around 16, 17 Crores and our increase in interest cost is less than that. So it is only the change in i nterest rate scenario which is reflecting on our borrowing cost . but per se the level of borrowings has not gone up while we have given a guidance that our debt maybe around 250 odd Crores more compared to last year but so far we have been abl e to manage w ith the same level of debt.
Dhiral Shah : So by March also we see this level of 700 Crores kind of a debt.
Raj Gup ta: Yes, we feel it will be somewhere maybe 15, 20 Crores here and there but more or less it will be same. There is no significant change in de bt profile that we are seeing.
Dhiral Shah : And on the Chennai plant particularl y since we are almost ready with the two lines so how much volume we expect in current quarter from these two lines.
Raj Gupta : From current quarter whatever we said we are likely to start the trial runs etc. So maybe commercial quantity may not

be much in the curre nt year . Whatever we sell w ould be for getting the approval etc., from the customers. So no commercial impact on the that side.
Dhiral Shah : So fr om maybe Q1 w e will see the commercialization.
Raj Gupta : Yes, because the plant is in the process o f getting commission ed ; the lines will come up gradually and then we have to go through the process of approval from various customers. So therefore the re will not b e any commercial supply in the current quarter, small quantity maybe there but as we are n ot considering that.
Dhiral Shah : And if you look at our performance chemical business particularly and what I understand majority of our sales premium i s spot basis. So what explains the decline in the volume.

 Raj Gupta : Again like I said t hat the price p oints are different between quarter three and quarter four and this market is very fragmented market small, small customers making up good volumes . So fo r them this p ricing is more lucrative. So other than that we do not see any struc tural change in the de mand scenario.
Dhiral Shah : Thank you so much sir.
Moderator : Thank you. Next question is from the line of Radha from B&K Securities. Please go ahead.
Radha: Thank yo u for the opportunity. My question is on the performance chemical si de. So, given that per formance chemical the user industry for this is the industrial users, conveyers, agri, pipes, etc. So is there any number that you track to track the vol umes of perfo rming chemicals for our business , any industrial numbers.
Raj Gupta : Yes, so primarily con struction industry like effect so this performance segment is more linked with construction industry. So generally when construction industry does well then there is b etter off take for this. But for us, I mean, our focus is on the holistic basis like on the overall capacity utilization . so whichever segment we see the opportunity , we try to iutilise the same . This performance portfolio has been created to get be tter flexibility in terms of our offering, so we created number higher end application in non -tyre rubber and non-rubber industrial application s. So it was to offer us flexibility to move in different kind of customer segm ent when we see change in market scenario. W hat is important for us is to ensure that we operate at a high-capacity utilization ac ross different market scenario.
Radha : And lastly how many grades have we launched till now in specialty for nine months FY2023 in the next two year how much can you launch.
Raj Gupta : I will not give you a specific number, but every year we have been launching about 9, 10 grades . End of the year when we publish our annual reports , you will get the detailed reflection of what all we did .
Radha : Thank you sir and all the best.
Moderator : Thank you. N ext question is from the line of Rohan from Nuvama. Please go ahead.
Rohan : Hi sir good morning and this is Rohan this side. Couple of questions. First is on our new capacity is commissioning so do you see that when we go in full commercialization from Q1 onwards maybe on Q2 do we see any marg in pressure or realiz ation pressure in the

 market or we think that we have already catered enough orders to meet this additional capacities.

Raj Gupta : We do not see any such challenge and like I said that this plant s hould have better efficiencies compared to all other plants . It will come up in a new technology. So overall efficiencies , cost wise and manufacturing wise should be better. So somewhere that should make up for , even if we have to maybe give away som ething on the margin side.So we do not see any impact of the mark et condition also.

Rohan : So is not that realization in the market will not be under pressure with that additional capacities coming in.

Raj Gupta : W

e do not see that; we do not feel so.

Rohan : Sir second on this the n ew capacities, so there also in terms of that the performance and the specialty black the output range will be similar or initially it will be firstly starting from the rubber black and then we going forward only we will be slowly moving to pe rform with an y specialty.

Raj Gupta : You are talkin g about Tamil Nadu ? … But Tamil Nadu as of now we are only coming up with tyre and performance capacity . There will not be any spec ialty capacity in Tamil Nad u.

Rohan : So I was saying that how do you s ee that the capacities of the greenfield plant in Tamil Nadu will move forward towards performance and its specialty over next two years to three years, I mean, how it will move.

Raj Gupta : As of now our next phas e of Specialty expansion would come up in Mundra , not in Tamil Nadu . We have to do some work arou nd supply chain before we come u p with specialty capacity in Tamil Nadu . Performance of course, we will prod uce in Chennai and again like I said that what is important is to ensure higher capacity utiliz ation . so what ever opportunity is there in performance or in tyre , will try utilis e the same.

Rohan : And you also mentione d that due to a steep correction in crude prices the formula link pricing which we have. So realization definitely will come d own from Q4 onwards right. So do you see that our margins wil l definitely remain intact or because we generally have a EBITDA per kg margin intact, however you see that with the fall in prices there will be some impact on margin as well.

 Raj Gupta : Like I said , movement in crude prices or raw material prices or even realization would not have any impact . I would not comment on fourt h quarter margin but like I said that our guidance remains intact for next five years' time because of all the measures that we have taken . Gradually there will be an upward movement in o ur margin level.

Rohan : So in EBIT DA per ton generally which we have in nine months roughly 17000.

Raj Gupta : In some quarters it will be less, some quarters it can be a little more, b ut like if yo u look in totality, I think we are on track.

Rohan : Okay si r that is it from my side thank you.

Moderator : Thank you. Next question is from the line of Peter from Ksema Wealth Management. Please go ahead.

Peter: Sir that Mun dra plant the first line is commissioned or the second line is in process can you throw som e light on that.

Raj Gupta : First line is in advance stage of construction. we believe that by end of current quarter we should be able to do the commission and the s econd line is about a year away. Sometime by March 2024 it will come up.

Peter: And sir, we missed the volume so can you give the volume split for domestic export and by the tyre specialty and performance.

Raj Gupta : It is there in our investor update , can you ta ke it from th ere.

Peter: And sir, in terms of exports which are the top three, four export countries b y market share for you and what is the demand outlook in those respective regions.

Raj Gupta : Well our exports are well spread so we have market presence in more than 45 countries now so no single country accounts for more than 7%, 8% of our volume . We are very strong in countries like Japan, Indonesia, Vietnam, in the SouthEast Asia side. On Europe side we are supplying to countrie s like UK, Ne therland, Italy, France, Germany . It is w ell spread . And demand outlook like I said, domestic d emand outlook is pretty encouraging even while Global GDP growth may not be very high. .Some interesting thing that we not ed is that while we all are talking about a slowdown in Europe and their GDP growth is going down, but if we go through some of the glo bal auto and tyre industry report s, they indicate an uptick in the demand in the these geographies . S o in Europe, the auto industry and tyre

 industry is estimated to grow at a high rate than what it was in the last year. From that perspective we expect a fairly stable kind of market scenario .

Peter: And sir, this as you have mentioned that this availability of low -cost product from Russia and including many other Indian players and global players have increased production so there seems to be oversupply so how much pricing pressure can we expect in FY2014 and FY2024 and 2025 so from the current levels how much can the pri ce fall also given that growth prices are coming down.

Raj Gupta : See we have to understand one thing that Russian material is not new in the market when we look at the global market s. Russia in any case was producing and selling to to the western Europe . now because there are sancti ons, they are trying to put their material in other markets including in India. What is important her e is whe n people import in any country, there is a time lag between their placing of order and getting the material.

So I was talking about the time lag between one placi ng the order for imports and then eventually imports happening. Now last quarter, I mean, whichever customers placed order for Russian material , they will have to buy at a significan tly higher price than the prevailing price. There is 15% - 17% pric e correction between last quarter and this quarter . So whether to import in such a fluctuating price scenario or to depend mor e on domestic supply . so this quarter therefore , in the fir st month we are seeing significantly lower imports in India.

Peter: So in terms of pricing pressure so going forward with from the current highs how much it can be price correct for next year.

Raj Gu pta: We do not see any pricing pressure because from a gl obal demand supply scenario we think there is a fair balance between demand and supply . The market is not over supplied and therefore it is unlikely that there would be pressure on the margi n side. Prici ng would be a reflection of change in crude scenario.

Peter: And sir you mentioned that there is a possibility to visit the Chennai plant when is that.

Raj Gupta : Sorry you will have to repeat.

Peter: You said that there is a possibility to visit the Chenn ai plant.

Raj Gupta : Yes, you can visit it I mean you would have to coordinate with our IR team for that .

Peter: And finally sir just last question so what is the Capex plan for FY2024 and 2025.

 Raj Gupta : See, as our curre nt Capex program is com ing to an end, most of it I mean , there maybe one line left in Mundra after the current phase of expansion but then we have also acquired small pieces of land adjacent to our existing facilities. The whole idea is to do some brownfi elds in the interim . So in next two years FY2024 and 2025 we might undertake some brownfield expansion. But as of now that plan is not ready with us. So once we finalize that , then we will come back with more details on that but o ur current Capex program i s comin g to an end.

Peter: And sir what is the current capacity utilization you are on.

Raj Gupta : In last quarter we were around roughly 82%, 83%.

Peter: And this quarter sir.

Raj Gupta : This quarter it should be better.

Peter: Thank you so much sir, best of luc k.

Moderator : Thank you. Next question is from the line of Varshit Shah from Envision Capital. Please go ahead.

Varshit Shah : Thank you for taking my question. Sir, what kind of investment should we need to in terms of ramp ing up our specialty utili zation both in terms of R&D and adding newer grades.

Raj Gupta : On an average we are spending about 15 to 20 odd Crores on R&D every year and this spending is going to increase from here. We are adding more number of people and al so we are undertaking som

e projects , not only on p roduct side, but also on getting a new kind of a manufacturing process.

Varshit Shah : And any further expansions in terms of capacities.

Raj Gupta : Like I said currently we are running this greenfield . Then there is s ome brownfiel d expansion which is happening on specialty side and after that we intent to do some small - small brownfield s in Mundra and Chennai . but as of now we have not finalized the p lans. So when we finalize , we will come back to you.

Varshit Shah : Alright sir. Than k you for taking my question.

Moderator : Thank you. Next question is from the line of Sachin Kasera from Svan Investment s. Please go ahead.

 Sachin Kasera : What is the current Capex which is remaining to be spent from the current ongoing that is what we ann ounced?
Raj Gupta : We have about roughly 100 odd Crores against our brownfield expansion and roughly about 250 odd Crores on Tamil Nadu. Now when I say 250 Crores , this also includes retention money which is released after the lag based on perf ormance and all that. That is more from cash flow side than from pending orders perspective.
Sachin Kasera : My question is also moving from the cash flow side. So f air to assume that March will be take debt where do you see the debt picking out is it the De cember end debt that you mentioned or where do you see the debt picking out Q4, Q1…
Raj Gupta : We have taken 250 Crores worth of borrowing as part of project fundi ng so it is more or less going to be in the same level at year end. Maybe some working c apital , once w e start operation . And on a standalone basis , we would be more or less where we were last year . I am talking about March 202 2 versus March 2023. it will be more or less similar level.
Sachin Kasera : It is about more on the co nsole side. S o console side what is the level at which you see the debt will be out.
Raj Gupta : Console side it will be only that incremental Chennai , 250 Crores , more or less.
Sachin Kasera : But then once the line is commission ed we will als o need some funds for working capital right.
Raj Gupta : That will not be significant. Chennai is just about 25% of our existing capacity . And on a standalone basis our total working capital borrowing is jus t about 400 o dd Crores.
Sachin Kasera : So fair to assume that in FY2024 our console debt at the net or maybe even the net debt on a console basis in FY2024 end should be lower than what we end with FY2023.
Raj Gupta : I am not commenting on that because one thing we nee d to understand , our business and working capital requirement also depend largely on crude level . So tomorrow if crud e comes down to 40 yes what we are saying possibly it will be that kind of a scenario . Crude moves to 120 then that will be a different k ind of scenario.
Sachin Kasera : And even crude remains at the current level.

 Raj Gupt a: Yes, but there may be some borrowings in Chennai . if you look at leveraging ratio it is largely there even with that it would be around 0.3 what we are talking. There is hardly any leveraging I mean the consolidated level also and including working capi tal.
Sachin Kasera : And one thing on the return ratio sir you mentioned that on an average you are looking at Rs.1000 per ton EBITDA impro vement on an average level is more so in that scenario how do you se e your return on capital employed moving up in the next two, three years from the current levels.
Raj Gupta : See once we through with our Capex program then the ROC E should be somewhere closer to around 20%. Currently w e are running a Capex program and therefore the return ratios are looking a little low er.
Sachin Kasera : Thank you.
Moderator : Thank you. Next question is from the line of Anik Mitra from Silvassa Resear ch. Please go ahead.
Anik Mi

tra : Than k you for taking my question. Sir my most of the questions are answered. I have a question like what w as the price of carbon black thing. Last quarter that is current scenario.
Raj Gupta : Last quarter average realizatio n was about c lose to Rs.140000 and this quarter it will be around Rs.17000, Rs.18000 lower.
Anik Mitra : And sir, due to poor audio up on the quality I could not understand inventory situation if you can please repeat.
Raj Gupta : I could not hear properly.
Anik Mitra : Sir wh at is the inventory situation I actually missed out due to poor audio quality.
Raj Gupta : inventory as I said that we have not buil t up any significant inventory. So it is the line with usually what we retain . We have just build up about 3000, 4000 tons of extra inventory to support our volumes in current quarter.
Anik Mitra : Got it sir. Thank you so much.
Moderator : Thank y ou. Next follow up question is from the line of Aditya Khetan from SMIF S. Please go ahead.

 Adit ya Khetan : Sir continuing with the earlier participant question. Sir onto the inventory cycle how is the inventory with the tyre players right now so they are at the nominal level or still we have some sort of inventory in it.
Raj G upta : You are talking ab out inventory level.

Aditya Khetan : Yes sir at the tyre players.
Raj Gupta : Sorry.
Aditya Khetan : Inventory position that the tyre players built.
Raj Gupta : See last quarter there was significant destocking at their end and while I do not have exact number s how much quantity they are maintaining currently, but it is reflecting in the higher offtake. So they are trying to rebuild that.
Aditya Khetan : Sir one more question onto the Chennai plant. Sir t he Chennai plant have a benefit of additional yield so can you explain like as compared to our four plants how much is the additional benefit of yield which we will get into the Chennai plant.
Raj Gupta : No I did not me ntioned that. I said that in terms of number of parameters both on manufacturing side as well as on cost side, the plant should be more efficient because it is coming up in the latest industrial technology.
Aditya Khetan : Okay sir, got it.
Moderator : Than k you very much. On behalf of I CICI Securities w e conclude this conference. Thank you for joining us, you may now disconnect your lines. Thank you.
Raj Gupta : Thank you Nirav, thank you Sanjesh. Thank you everyone.

Call: May 2023

"PCBL Limited Q4 & FY23 Earnings Conference Call"

May 15, 2023

MANAGEMENT : MR. KAUSHIK ROY – MANAGING DIRECTOR
MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER
MR. SAKETH SAH – HEAD (INVESTOR RELATIONS)
MR. PANKAJ KEDIA – VP (INVESTOR RELATIONS)
MODERATOR : MR. SANJESH JAIN – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to PCBL Limited Q4 FY23 Earnings Conference Call hosted by ICICI Securities.
As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjesh Jain from ICICI Securities. Thank you and over to you, sir.
Sanjesh Jain: Good afternoon, everyone. Thank you for joining on for the PCBL Limited Q4 and FY23 Results Conference Call .
We have PCBL Management on the Call today represented by Mr. Kaushik Roy – Managing Director; Mr. Raj Gupta – Chief Financial Officer; Mr. Saketh Sah – Head, Investor Relations; and Mr. Pankaj Kedia – Vice President Investor Relati ons.
I would like to invite Mr. Kaushik Roy to initiate the call with his opening remarks post which we will have a Q&A session. Over to you, sir.
Kaushik Roy: Good afternoon, everyone. Thank you for taking time out to join us today for the call. Our Resul ts are announced today and I will quickly take you through the updates and then open it up for questions.
We will start with the Highlights of our Performance of 4th Quarter:
PCBL reported a good operating and financial performance during the quarter. We reported a sales volume of 1,19,238 metric tons during the quarter. This was backed by domestic sales volume of 80,045 metric tons and international sales volume of 39,193 metric tons. If you look segment -wise sales , then tyre accounted for 79, 617 metric tons, performance chemicals reported sales volume of 28,126 metric tons, and specialty chemicals sales stood at 11,495 metric tons.
Our revenue increased year on year from Rs. 1,219 crores to Rs. 1,374 crores in Q4 FY23.
EBITDA increased to Rs. 200 crores year on year from Rs. 148 crores. EBITDA per metric ton stood at Rs. 16,767. PAT stood at Rs. 102 crores during the quarter. Power generation increased from 149 million units in Q4 FY22 to 153 million units during the quarter with external sales volume of 96 million units as against 91 million units in Q4 FY22. With rising demand for power in the country and consequent increase in power tariff s, PCBL's average realization against

power sale saw a sharp jump up to Rs. 3.93 per kilowatt hour year o n year from Rs. 3.30 per kilowatt hour in Q4 FY22.

Now, let me talk about FY23 Full Year Performance :

Our revenue increased year on year from Rs. 4,446 crores to Rs. 5,874 crores in FY23. EBITDA increased to Rs. 775 crores year on year from Rs. 682 crores. EBITDA per metric ton stood at Rs. 17,405. PAT stood at Rs. 444 crores during the year. PCBL reported sales volume of 4,45,184 metric tons during the year. This was backed by domestic sales volume of 3,08,717 metric tons and international sales volume of 1,36,467 metric tons. If you look at segment -wise sales, tyre accounted for 3,12,209 metric tons, performance chemicals reported a sales volume of 92,600 metric tons, and specialty chemicals sales of 40,375 metric tons. Power generation increased from 544 million units in FY22 to 597 million units during the year with external sales volume of 366 million units as against 321 million units in FY22. With rising demand for power in the country and consequent increase in power tariff, PCBL's average realization against power sales saw a sharp jump up to Rs. 3.81 per kilowatt year on year from Rs. 2.99 per kilowatt in FY22. Despite steep increase in crude price, EBITDA per metric ton has improved on the back of improvement in operating efficiencies, product mix c hanges, and strong performance from the power segment.

Current market Scenario an

d Outlook :

In the domestic markets, demand is growing with continued strong momentum in the OEM segment and improvement in the replacement market as well. We expect tyre demand to remain healthy going forward. In FY22 and FY23, Indian tyre industry volume grew at 10% + CAGR . Going forward over the next couple of years, we expect tyre industry growth to settle in high single digit volume growth. This would help the carbon black industry to increase capacity utilization.

International market is witnessing visible signs of pickup in demand and we expect demand outlook to sustain over medium term. We expect further recovery in the international market. PCBL is geared for the next leg of growth with sufficient capacity to cater to demand from India and global market. The c ompany has taken several initiatives to expand its overseas market presence and expect consistent improvement in international sales volume.

Status Update on Expansion Plan :

The first phase of the greenfield project in Chennai in Tamil Nadu being implement ed by PCBL Tamil Nadu has been commissioned ; rest of the capacity is going to be commissioned over the next 3 months or so in phases. The first phase of brownfield expansion of the specialty line at Mundra is almost ready and is under commissioning.

So, that is the summation I had on the business outlook. At this point, I am more than happy to open it up to the floor for questions.

Moderator: Ladies and gentlemen, we will now begin with the question & answer session. We will wait for a moment while the question queue assembles.

The first question is from the line of Madhav from Fidelity. Please go ahead.

Madhav Marda: I was just reading about the global carbon black scenario and I think there was some news flow around either Europe or the US looking to ban import of carbon black from Russia I think sometime this year or next year. And also, I think the US is looking to impose some import duties as well on import of any Russian carbon black. So, just wanted to get your thoughts like is that something which has happened already or something which is under discussion?

Kaushik Roy: There has been this talk going on for some time. Europe talked about banning import of carbon black from Russia from June 2024. The USA has talked about it, but they have not defined any timeline as of today. In the current scenario, Russia is still supply ing to Europe as well as to the USA. But I guess the customers from Europe and the USA, they are possibly looking at other options as well, which is in a way good for an organization like PCBL. While generally there is a bit of a challenge on the economic side in Europe, but because of this reason that they might be looking at alternate sources against Russia, so it will be an advantageous position for us.

Madhav Marda: Have we seen any increase in inquiries from customers in Europe and the US trying to div ersify their base from Russia?

Kaushik Roy: Yes, we have seen some increase in inquiries from both the USA and Europe. The USA as such structurally is also not really in favor of not importing because the supply -demand gap is increasing. There is no new ca pacity which has come up in the USA in recent times whereas demand has gone up over a period of time. So, USA anyway structurally they need to import

from outside and this Russian thing has kind of added a problem for them. And Europe as I already said, th ey are looking at other options. Therefore, this is where we stand and to my mind, it is a sweet spot for us.
Madhav Marda: Because what we understand is at least from reading some of the global commentary on tyres or carbon black or auto industry, it seem s like carbon black is in some sort of a shortage or might be entering into a shortage scenario in Europe and the US going ahead because of what's happening especially in Russia. Is that a fair understandi

ng to have?
Kaushik Roy: Yes, I think demand is lik ely to remain strong, and if Russia is not able to supply – Russia is a fairly big for them obviously, I will not say this as a shortage really, but I think the demand will be strong which is good for everyone in the carbon black industry.
Moderator: We wi ll move on to the next question that is from the line of Vishal Prasad from VP Capital. Please go ahead.
Vishal Prasad: Sir, the battery chemicals that we are working on, is there any update there?
Kaushik Roy: Battery chemicals is part of our specialty ch emicals portfolio, and in that portfolio, we have plastic, ink, paint, coating, and also battery chemicals – carbonaceous material actually. The

research team is still working on it. They have made some progress already, but the final product has still not come out. We have looked at some products which are closer in terms of specifications and characteristics, but some fine -tuning is still going on. I guess we will be there very soon. But , a lot of progress, yes, we have made in this area.
Vishal Prasad: Sir, I understand we are still not there but if you could talk about the opportunities that we see in battery chemicals so that I understand the opportunity size, the kind of customers we are looking at, and the continents we are looking at, that w ill be helpful.
Kaushik Roy: As I already said, it is part of the specialty chemicals portfolio. In terms of opportunity, as more and more EV vehicles come on the road, this will be a kind of requirement for automobile manufacturers and actually for the ba ttery manufacturers. But at this moment the percentage of vehicles with EV is still small compared to the IC engine -based vehicles, it is much lesser. So, not in absolute terms it is huge, but it is likely to be a fast -growing market as more and more fossi l-fuel driven vehicles will be replaced with electric -driven vehicles which is battery -driven vehicles in this case. We are also keeping pace with that, and I think as soon as possible, we will come out with this final product which then can bring value to the organization in a big way.
Vishal Prasad: Once we have the product, usually what's the approval cycle from our clients in battery chemicals? It is months or it may take years.
Kaushik Roy: It may not be years, but it can take anywhere between say 6 mo nths to 1 year or maybe a little more than 1 year but not like 3 -4 years or something. No, not really. I think we can manage within a year's time.
Vishal Prasad: What are the hybrid fillers? You have mentioned it in the deck. If you could help me understan d.
Kaushik Roy: Hybrid fillers?
Vishal Prasad: Yes, under specialty chemicals.
Kaushik Roy: Have you read something somewhere you are referring to that or….?
Vishal Prasad: No, your deck. Just beside nanotubes, we have mentioned hybrid fillers.
Kaushik Roy : That is in the space of material science. Our R&D team is also working on some area that is relating to advanced material science and nanotube is one of them. Nano material is one of them which has got different applications, in not only tyres but much b eyond tyre also, but it is a completely newer kind of product and it is based on fundamental research. This is that hybrid material we have talked about in the deck.
Vishal Prasad: I am not talking about carbon nanotubes. Under focus on futuristic technology, we've mentioned hybrid fillers.

Kaushik Roy: For different applications in rubber particularly, we are also looking at a possibility of mixing different polymers with carbon black and come out with certain properties. It can be for rubber; it also can be used for things like plastic. For both kind of applications, we are looking at it but it has not yet taken a final shape because we are trying out with a few different p

olymers and we
have to come out with the final one which is suiti ng the requirement of tyre, particularly from the angle of say wet grip or noise reduction or reduction of rolling resistance to bring down the fuel consumption. These are some of the opportunities we are exploring at this point of time but this is at the stage of exploration at this moment. And nanotube what I just now mentioned, that

is also one of them, kind of.
Moderator: The next question is from the line of Aditya Khetan from SMIFS Institutional. Please go ahead.
Aditya Khetan: Sir, the first question is on the carbon black prices. Carbon black prices have been correcting and the trend is largely onto the declining side only. This is largely led by decline in raw material prices or are you witnessing some sort of demand impact into the exports or into the domestic market for this quarter only?
Kaushik Roy: The raw material price increase, we are kind of immune to cost increase or decrease because in most cases, we have a formula understanding with our customers. So, whether it increases or it decreases, it is normally a pass -through for us. We focus more on the market demand side rather. That is from the market side. Purely, we look at the demand. And from our side, what we look at is, offering higher value products to our customers to get market share f rom maybe other competitors and better services. That is from our side purely and demand is driven by the market, of course.
Aditya Khetan: Sir, how are you seeing the demand in Southeast Asia? Because that is the larger pie into the export market. And con sidering inflation biting the consumer budget, do you see any near -term pain in demand into the exports market?
Kaushik Roy: I think demand , to my mind , globally will be strong, especially Asia will be very strong from a demand point of view. We are also well geared up because the Chennai plant as I mentioned a while back is in the commissioning stage and first phase has already been commissioned. We are in a spot where we can capture this growth which is likely to happen in the South Asian market particularly and also beyond that in the USA probably. Europe is a little bit of a challenge but overall, basically I think it is looking pretty positive at this moment.
Aditya Khetan: Sir, our volumes in this quarter have gone up quite significantly. This is largely led by that first phase expansion? What would be the utilization of the current plant which we have started in this quarter? If you can share the num bers.
Kaushik Roy: You are talking about Chennai?
Aditya Khetan: Yes.

Kaushik Roy: Chennai, in this financial year, we are likely to utilize roughly about 40% to 50% of the capacity. It honestly depends on the approval process of different customers and the time required for that. If it is approved faster, we might be able to utilize it more, but if the approval takes more time, then we might not be able to utilize 40% to 50% capacity. But based on our understanding of the….
Aditya Khetan: Sir, 40% utilization onto that 62,000 tonnes which we have done, right?
Kaushik Roy: You are right, 40% is roughly about 50,000 odd. We do expect that we will be able to utilize to that extent.
Aditya Khetan: One last question, sir, onto the spreads part. W e had stated that on a quarter -on-quarter basis, the spreads have corrected. Are we into a scenario wherein the spreads would continue to decline and come to a normalized level which we have seen over the last 4 -5 years? Or the upcoming specialty black cap acity expansion can offset the decline into the normal grade carbon black? How do you see this trend to move from here onwards?
Kaushik Roy: The carbon black which is used in tyre has got certain properties and certain application in tyre and that will con tinue , there is no question of it not being used. It is a major raw ma

terial for the tyre industry and the utilization of carbon black will continue so that one stream continues and definitely we will grow along with that business growth. And specialty is kind of indep endent. It has got multiple applications. It goes into plastic -related applications, it goes into paint, it goes into ink, coating, batteries; many other applications it goes into. It is like part of our daily life. So, both will grow, to my mind.
Aditya K hetan: The current quarter spreads are sustainable or there could be further pain?
Kaushik Roy: Current quarter of what is sustainable, specialty?
Aditya Khetan: The spreads of current quarter what we have reported.
Kaushik Roy: Spreads of current quarter in near term, I think we should be able to maintain that. We are quite positive about it. A little bit of benefit we got in recent times because of some corrections here and there which cannot be but overall, it will be decent one .
Moderator: The next ques tion is from the line of Chintan Chheda from Quest Investment Advisors Private Limited. Please go ahead.
Chintan Chheda: Sir, my first question is on specialty carbon black. This quarter we have reported a record -high volume in the specialty business. How do you see this trajectory going forward for FY24?
Kaushik Roy: We should be looking at further growth from here on keeping in mind particularly the Mundra line is going to come into operation. So, we do expect a decent growth. Other than these numbers what we have already achieved in Q4, we will definitely maintain and possibly improve from

thereon. We really say this rate will be maintained and additionally maybe we will look for another 10,000 tonnes to 12,000 tonnes overall we will be looking at for sur e.
Chintan Chheda: Another 10,000 to 12,000 on this FY23 full -year numbers?
Kaushik Roy: Right, on the FY23 numbers, which means I am talking about 25% growth kind of thing.
Chintan Chheda: Sir, recently we have seen that the coal tar prices in China have corrected quite a bit. Because of that, are we seeing any pressure on the spreads for our company in the export market?
Kaushik Roy: Not really, because coal tar is not a direct raw material for carbon black. The direct raw material is actually CBO. CBO pr ices have not come down that much. They have come down marginally but still there is quite a bit of gap between petro -based product and CBO. So far, we have not seen any major issue on anything really and I don 't think that is the cause of concern s as well.
Raj Gupta: Even at the current level of coal tar because of drop in crude prices , it (CBFS) is still about $70 to $80 cheaper per tonne and this difference will be significantly higher with CBO.
Chintan Chheda: We were seeing in the earlier quart ers that a difference between CBFS and CBO had gone somewhere above $300. How much would be that difference as of date?
Raj Gupta: That difference actually went up to almost $500 a couple of months back. The difference is again back to $250 to $300.
Chinta n Chheda: In that case, our say blended gross margins per tonne will they be around this say 30 -31 levels for FY24? Per kg I am talking about.
Raj Gupta: Like our MD just mentioned that we are hopeful of maintaining this.
Kaushik Roy: A little here and the re can always happen but by and large, we will be on the strong wicket in that sense .
Moderator: The next question is from the line of Varship Shah from Envision Capital. Please go ahead.
Varship Shah: Sir, you mentioned earlier that there was a 10% volume growth in the tyre industry in this fiscal but then why have our volumes declined for the entire year? Did we face any capacity constraints like probably we were operating at max utilization?
Kaushik Roy: We talked about growth of tyre industry, yes, of c ourse, but last year was a little unusual. I just also mentioned that t

here were huge ups and downs in prices which consequently impacted all the crude -based raw materials to tyre industry and that led to major inventory adjustment at the tyre industry sid e. And what happened in particularly two quarter, in quarter 1 and quarter 3, there were inventory corrections on the side of tyre industry, which negatively impacted us. So, there is no direct correlation last year because of unusual volatility in crude. That is what

happened last year. But now, crude has more or less come to a level and it is likely to remain within a range and if it is range bound, then this kind of inventory corrections normally doesn't happen. Going forward, in this financial year, we are hopeful the things will be much better.
Varship Shah: Did I hear you correctly that 40% capacity utilization for the new Tamil Nadu plant for the overall capacity of 1,47,000 tonnes for an additional 50,000 to 60,000 tonnes from that new plant?
Kaushik Roy: That's what. Against this 1,47,000 gross, we will be roughly getting based on the actual production around 1,20,000 to 1,25,000 maximum of carbon black. And 40% to 50% of that we are hopeful to utilize this year itself subject to certain appro vals from different tyre companies which we are hopeful about and which we are kind of considered planning in this year. Additionally, Mundra specialty line will give some volume to us. At the same time what I just mentioned that Q3 and Q1 were not good th e last year because of inventory correction. Hopefully, this year it will not happen. That will also add to some volume. So, overall, from this 4,45,000 what you have seen, this year we feel we should be crossing 5,00,000 tonnes comfortably in the coming f inancial year which is FY24.
Moderator: The next question is from the line of Radha from B&K Securities. Please go ahead.
Radha Agarwalla: Sir, I just wanted to understand on the specialty carbon black side. Given that the global demand is about 1 million tonne, and if we assume India to be at 70k tonne and we are making 40k tonne, but largely out of 40k tonne, 70% we are exporting. So, I wanted to understand out of the total sales of specialty carbon in the domestic industry, who are the top players and if you could understand some kind of market share based on the sales of specialty carbon in India.
Raj Gupta: Radha, we are growing very rapidly and aggressively in the specialty field and therefore we did not want to depend completely on Indian market deman d and therefore the focus was to spread out and add more customers everywhere across the globe. This was a strategic decision taken by the company and therefore currently almost two -third of our volumes we are selling in the international market. The marke t size is very large and that will take care of our next 5 -6 years of expansion without even having to eat into other market players' share because the market

itself is growing at 7% to 8% CAGR.
Radha Agarwalla: I understood sir but based on the 30% sales volume in India that we are doing, is it safe to assume that we are the largest player in specialty carbon black as well in India.
Raj Gupta: In terms of manufacturing, yes, but in terms of market share, no, because lot of specialty material which comes in India, those grades we don't have in our portfolio yet. And a good part of Indian requirement is currently being imported. But as we keep on adding the grades to our portfolio, then of course, that's an opportunity for us.
Radha Agarwalla: Sir, are you ta lking about conductive and superconductive grades?

Raj Gupta: Even in the ink, paint, and dye segment, there are a number of grades currently where we are not present.
Radha Agarwalla: Sir, a year back, we had 45 grades in specialty carbon and we were plan ning to add 9 to 10 grades every year. Is it at 55 as of no

w?
Raj Gupta: If you look at our growth in specialty, it is not only volumes which is increasing every passing year but the portfolio is also expanding. We already have about close to 45 to 50 odd grades. And if you go through our annual report, you will see a fair coverage on that which indicates all the grades that we have launched in last year. Current year also when we published our annual report, you will get an insight into all the grades that we have launched or commercialized during the year. So, the portfolio is expanding even horizontally.
Radha Agarwalla: And sir, the feed stock prices between India and China, previously it was $300 difference and now you mentioned $215. We were largely ex pecting it to increase, and even if this is a short - term phenomenon, what would be the reason for this reduction in the difference between India and China feed stock prices?
Raj Gupta: The feed stock is a derivative of two different things. Our feed stock is a derivative of crude and price of it depends on the movement in crude prices. And Chinese feed stock is largely carbon black oil which is a derivative of coal. So, the price of that material will largely depend on coal prices and also the demand -supply of coal tar and CBO and their economy. These are two different materials and therefore the price points are always different and depending on the demand and supply of each of these materials, the arbitrage between the two materials keeps changing over a p eriod. Having said that, even the current price difference is significant. In this business, especially on the tyre grade, the average gross margin that we make in this is about $400 per tonne of finished goods. So, with the $300+ kind of a price differenc e at raw material level, you can't compete. Despite all the drop in coal tar prices, CBO still is expensive.
Radha Agarwalla: Sir, we were expecting some peer companies to commission their plants in this year, in FY24. For example, Continental and some cap acities in Balkrishna and Epsilon . Do you expect the carbon black prices to reduce in this year because of this excess supply to continue to reduce?
Raj Gupta: The overall opportunity for growth is very large for Indian carbon black manufacturers and that is the reason why even the non -carbon black players are entering this field. So far as we are concerned, we don't depend solely on Indian market. We have a reasonably good presence across different geographies, and in the last 6 -7 years, we have also inves ted heavily in our supply chain capabilities across markets wherever we see potential. So, we are very optimistic about utilizing our capacities, the whole capacity that we have added now, maybe in the next 2 to 2 -1/2 years.
Moderator: The next question is from the line of Madhav from Fidelity. Please go ahead.

Madhav Marda: I just had one follow -up. I think in April, we had incorporated a new subsidiary for specialty chemicals in Europe. Just wanted to understand what is that about? Are we looking at any n ew initiative there?
Raj Gupta: Madhav, that we did not incorporate because of specialty chemicals. In Europe actually or rather in Belgium, we already had our R&D center. There are a few projects where the Belgium government is contributing to the whole R&D program. So, there is a kind of sponsorshi p from the government but that comes with a condition that only local entities can participate in those projects. Our branch was like a wing of PCBL India. So, it was not considered as a local entity and therefore in order to increase our R&D bandwidth and participate in those programs, we decided to convert that branch into a local entity. That is the rationale behind it. Basically, we continue to carry out R &D activit ies primarily and maybe some sales and marketing because now that we have this facility, we can also cater to the local

customers through local invoicing
and all. But primarily it is for R&D activities.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: I've got a few questions. First, on the Chennai facility, this incremental capacity consumption what we are talking in that 50,000 to 60,000 metric tons in FY24, do you expect that mix to be more tilted towards export and less domestic? How should we see and what is the implicatio n of this on the overall blended spread?
Kaushik Roy: We will be supplying from Chennai to both the international customers as well as domestic. It will kind of also depend on how fast we get approvals from different customers. Our primary objective initia lly will be to utilize the full capacity as quickly as possible. That is the primary objective. It also depends on approval status from different customers. So, we are a little bit flexible on this but as an organization, international market is important for us, is a big market, and we need to grow in that market quickly and rapidly. So, we are open for both. In terms of margin, I think nowadays both international and domestic margins are equally healthy and strong. So, we are not too worried about margins whether it is the India supply or international supply. Both are fine with us. In a blended manner, it is quite okay. There is no issue.
Sanjesh Jain: Now we are talking of faster ramp -up in the capacity and we are also seeing an opportunity there. Are we also thinking to add that remaining 50,000 metric tons in Chennai which we intend to?
Kaushik Roy: Yes, I think we need to explore that. We are already having some discussions and we are starting the process because as I mentioned, beyond India, there are opportunities outside India also. And being a large player in this field, there is no reason why we should not grab that. Possibly you will hear some announcement from us on this very soon, but before that, we want to see how fast this capacity is getting utilized or some …………. we get. Once we have that clarity, then possibly we will go ahead. But that might not take longer time because initially when you put up a new plant, it takes typically 2 years kind of thing but brownfield doesn't take that much of

time. It is normally faster. That is one advantage of brownfield. And definitely we can go ahead with that capacity as soon as we feel it is alright to go ahead.
Sanjesh Jain: But will that end all the land available for us? Or post that also, we have scope to expand the capacity in Chennai or we will consume the entire land with that expansion?
Kaushik Roy: We will have options. One is, Chennai, if we get some adjacent land, we may go for further expansion there. Even existing one also, we can go for, but we would prefer to have a green spacious land, so therefore, we have not put too much of pressure there. Other option we have is we have a lot of space available in Mundra plant. Mundra is another option where a lot of land is available. So, we can loo k at Mundra also. But we will cross the bridge as and when it comes.
Sanjesh Jain: Next, on the market situation. I was looking at a peer presentation. They are clearly showing that the US is having a demand -supply gap in favor of demand and we have Europe market which is now becoming favorable with the probable regulatory curtails on the Russia side of it. Do you think export now can become too lucrative for us and do you think it is sustainable over a longer period of time?
Kaushik Roy: I think internatio nal market will definitely be lucrative; no doubt about it. And I think it's a mindset of being a global player, we should not bifurcate too much between India and outside India. In India, we are a leading player; of course, we will maintain that leading p osition, but at the same time, we want to grow in different parts

of the globe, especially the US. I think a stage is set for that. This is a structural situation, like in the USA, the demand -supply gap will only increase over a period of time. So, it will be in a way a kind of positive and sustainable over a period of time. Europe, I am not sure whether they will go back to Russia after some time but even in Europe, there is no new facility coming up as such whereas the demand is growing. So, even in Europ e, structurally it is alright, but yes, Russia is next door and tomorrow if they remove restrictions, there will be bit of a challenge, but I think we are equally capable to face that kind of challenge. Net -net, my take on this is that international market is very attractive for us going forward, and at the same time, we will definitely maintain the leadership position in India.
Sanjesh Jain: Just one last question from my side on the silica part of it. Now that Tata Chemicals is also expanding the capacity , do you think that silica can become a bit of a challenge for us going forward as more and more percentage in the tyre is replaced by carbon to silica?
Kaushik Roy: No, not really. Silica cannot be utilized beyond a certain percentage because the properties of carbon black and silica are quite different. The properties which are offered by carbon black, silica cannot offer. And same way, silica also has certain things which carbon black cannot offer. To my mind, both will have their own place. Sili ca will grow in its own place and we will be growing in our own place, carbon black. It is not that we will be eating each other's share. That will not happen here.
Sanjesh Jain: What is the share of carbon black and silica in a tyre at an optimal level yo u think?

Kaushik Roy: Carbon black in terms of volume, it is about close to 24%. Silica, I don't remember exactly. I think it is somewhere around 2%.
Moderator: The next question is from the line of Dhiral from Phillip Capital PCG. Please go ahead.
Dhiral Shah: Sir, my question is again pertaining to the spread. You mentioned that the current spread will remain the same for the next few quarters. But for the full year '24, you still reiterate to improve by Rs. 1,000 per tonne or maybe Rs. 1 per kg as you gu ided earlier.
Raj Gupta: Dhiral, as per our guidance you know that because of our product mix changes, operating leverage, and also improving manufacturing efficiency , it is likely that our margins would expand by around Rs. 1,000 a year. But last year, if you look at the jump in spread, it was close to Rs. 2,700. A good part of that was because of higher power realization which led to increase in power segment profitabil ity and also about Rs. 600 to Rs. 700 out of the total margin was on account of opportunities which got created because of disruption in the market, the war between Ukraine and Russia. Those are market opportunities and those are not structural changes in our efficiency. Therefore, this year, I think with our further improvement in our efficiency, we should be able to maintain what we could achieve in the last year. So, it is not going to increase by Rs. 1,000 over the last year's number.
Dhiral Shah: So, is it safe to understand, sir, at least for FY23 average which was there in on the gross margin per kg side which is around Rs. 32, that we will try to maintain or maybe on the EBITDA part which is around Rs. 16.44, that we will try to maintain for FY24?
Raj Gupta: Yes, that's what we are hopeful of.
Dhiral Shah: On the power side, what is our guidance for FY24 and what kind of average power rate we can assume? For FY23, it was Rs. 3.81. What will be for FY24?
Raj Gupta: I would not comment on power tariff b ecause that's a function of, again, power market demand and supply. But as of now, it look s like the overall energy demand is in favor of power tariff. In number of states, tariffs have gone

up. So, it is unlikely that power tariffs are going to come down sharply from the current levels. In terms of volume, I think last quarter's power volumes are reflective of our next year's sales performance.
Dhiral Shah: What is the outlook on the debt part, sir? And what could be the peak debt by March '24 as we are still expanding on the specialty part?
Raj Gupta: Most of the capital expenditure has already been incurred, well a good part of that. A very small portion is left out now. And if crude remains at current level, we don't see any increase in the gross debt.
Dhiral Shah: So, it will be same as FY23?

Raj Gupta: Yes.
Moderator: The next question is fr om the line of Jigar Shah from Maybank. Please go ahead.
Jigar Shah: My question is regarding your specialty strategy. Specialty, as per your guidance or your answer to one of the questions, should grow at about 25% this year. So, it should touch about 50, 000 tonnes. Say, over the next few years when it goes to 80,000 or 100,000 tonnes on an annual basis, where would it put us on a global map? Like we are 6th or 7th largest globally in the carbon black business. Where would 80,000 or 100,000 tonnes of sales volume put us in terms of the specialty players and what all else you are looking to do to get to that position?
Raj Gupta: Jigar, the current gap between the top 3 players and us is significantly large. They are all above 100,000 tonnes already – all thr ee of them. And with our volume of last year, we are already at 4th position in the specialty entity. So, even that 100,000 tonnes in the next 4 -5 years is not going to change our rank but certainly it is going to close the gap between us and the third lar gest specialty player. What we are doing is essentially there are three things. One, of course, we are launching newer grade every year; we are expanding our portfolio. Also, as the newer grades which we are launching can't be produced on the equipment tha t we have. we are increasing our bandwidth in the area of process and equipment technology. There is a team which is working on creating equipment which can give us the desired properties in the newer grades. And third, of course, is a marketing -related st rategy. We are reaching out to more customers across the globe and expanding the customer -base so that when we increase the volumes of the existing grades as well as when we launch newer grades, we have ready access to all the customers . So, strategy for s pecialty is based on these 3 broad pillars .
Kaushik Roy: Just one thing I want to add here. While you are looking at specialty growth and at the same time, we are keeping an eye on the value -added specialty growth. It is like a pyramid. The top one being conductive battery purpose and then it comes down to the l owest level which is the plastic applications. Our focus is more on the value -added products. The objective is growth but profitable growth; that is the objective.

Moderator: The next question is from the line of Anupam Agarwal from Lucky Investment Manage rs. Please go ahead.
Anupam Agarwal: Just a clarification on the timelines for commissioning the second phase of Chennai plant.
Kaushik Roy: One part, almost 50% of the plant has already been commissioned, we have announced; and the rest also, right now th e trials are going on; and within the next 3 months or around that, we will be formally commissioning it.
Anupam Agarwal: And Mundra, the 20,000 plus 20,000 or incrementally 40,000 together or that also in phases?

Kaushik Roy: The first phase out of that i s almost in final stage. Within the next month or two, we will be announcing commissioning of that also, the first phase out of this 40. And the second phase, we might take some more time.
Anupam Agarwal: But will that commissioned by the end of FY24 or th at will ha

ppen in FY25?
Kaushik Roy: That will possibly go into the end of this financial year maybe or early next financial year.
Anupam Agarwal: The second clarification on the debt repayment schedule. I understood the earlier participant's question that there won't be an increase in the debt. Any repayment schedule you can help us with?
Raj Gupta: First of all, our long -term loan book is very small. There is just about Rs. 270 odd crores. And second, most of these loans are for a period between 5 and 7 y ears. So, it is well spread over the next 4 -5 years about Rs. 50 -60 crores kind of a repayment every year.
Anupam Agarwal: We have Rs. 1,100 crores CWIP, I understand, that's part of the Chennai and Mundra plant. What will be the CAPEX in FY24?
Raj Gupta: Like I said that we are almost through with our CAPEX program. This year, there will be incremental about Rs. 150 odd crore s investment on brownfield expansion and maybe about Rs. 100 odd crores in Chennai. So, roughly about Rs. 250 odd crores will be the CAPEX for the coming year.
Anupam Agarwal: Over the last 2 -3 years, we have been talking of yield improvements. What exactl y is happening on the ground with respect to our targets? What percentage we are there? How far are we in touching our targets? And if you can give some color there, please.
Raj Gupta: Anupam, we have been talking about yield improvement not 2 -3 years but 4-5 years and there has been consistent improvement. In fact, the increase in margin performance that you are seeing now and last few years is also partly on account of yield improvement. In some of the grades, we have already set the industry benchmark. S o, we are leader there. We are the best performers in some of the grades. In some of the grades, we are closing on in the gap with the best manufacturers of those grades. And of course, there is further scope for improvement. Also, wherever the gap is, tha t is largely identified, but in some cases, that would require replacement of equipment. The trade -off between the residual life of the equipment and the benefit that we will get out of yield improvement doesn't work out currently. So, it makes sense for u s to allow those equipment’s to be depreciated completely and then when we replace them with the new equipment’s , then the efficiency will creep in. But most of this efficiency will be visible in the new plant in Tamil Nadu from the first year itself.
Anupam Agarwal: And the benefit of that yield improvement would also flow in from the first year itself.

Raj Gupta: Yes, largely it should be that, but grade stabilization takes time. So, first year may not be indicative of the full efficiency. I g uess second year would be a better indicator of the plant efficiency.
Moderator: The next question is from the line of Jainam Ghelani from Svan Investments . Please go ahead.
Jainam Ghelani: Sir, what would be our CAPEX plan for FY25?
Raj Gupta: Fy'25, like MD just mentioned that we are still chalking out our road map and it will also depend on capacity utilization we achieve in the next few quarters. But having said that, while the current market conditions remain a little volatile, on long -term growth prospects , we are very optimistic and we believe that in the next 5 -6 years, we should continue to grow at lower double digit, i.e., 12% to 13% kind of and that would require a constant capacity addition every passing year. So, it is a little early for us to g ive you some indication about the CAPEX for '25 but maybe in the next 2 quarters or so, we will have done our work and would be able to give you more clarity. Mundra second line will of course certainly come up either by the end of this year or early next year, but that's a small CAPEX actually, that's not much. Like I said that in 2024 we are going to incur about Rs. 250 odd crores. In 2025 if we decide to add capac

ity on brownfield, then it
will be a small expenditure, but if we decide to go a little large, then again between 2025 and 2026, again we will be incurring about close to Rs. 800 crores t o Rs. 900 crores.
Jainam Ghelani: Sir, what would be our target ROCE for the next 2 years?
Raj Gupta: The last 5 years if you look at our average ROCE, we have been around 18% to 19%. With any capacity addition and when we incur CAPEX significantly, there is no return on that CAPEX during the implementation period. But once the CAPEX is completed, then ROCE increases. Over a mid to long term, I think we should remain around 20%. That's how it would be because we will be in a constant CAPEX phase between now and 2030. So, with that, ROCE should be around 20%.
Jainam Ghelani: And sir, one of the earlier participants had asked a question about gross margins. I just wanted to confirm whether…. What we are saying is that we can reach 29% to 30% gross margins in FY24 or I got it wrong?
Raj Gupta: It will not be appropriate to look at our margins in percentage terms because that will vary depending on the crude level. In absolute terms, whatever we have achieved in the current year, we are hopeful that we should be able to maintain that and build upon that going forward because of change in product mix and manufacturing efficiency improvement.
Moderator: Ladies and gentlemen, we will be taking the last question that is from the line of Aditya Khetan from SMIFS Instit utional. Please go ahead.

Aditya Khetan: Sir, during this quarter, into the specialty black business, we had witnessed almost 30% jump in volumes on quarter -on-quarter basis. But despite this, our gross spreads have contracted by 7%. Just want to know if t he specialty volumes are going up. They are commanding around 2x to 2.5x margins than the normal spread. Our spreads should ideally have been remained constant or might have gone up to some extent but we are witnessing dip in spreads. That indicates that the normal grade business and the performance chemicals business are struggling quite hard. Is there any sense which you can give us on how is the business shaping onto that front? Because the numbers are not matching.
Raj Gupta: Aditya, what happened in la st quarter was there was a significant level of inventory reduction at our customers' end both for specialty as well as for higher customers. Therefore, we were caught up with a little high inventory in the last quarter which was based on high raw material prices. That volume when we sold in this quarter, our margins were not at the same level. So, we made significantly lower margin in that one and therefore the blended margins for the 4th Quarter looks a little lower compared to the previous quarter. That is the reason.
Aditya Khetan: Sir, our guidance also we have reduced by Rs. 1 per kilo for the next 2 years. I suppose we are expanding by the similar fashion only. Specialty black we would be adding 10,000 tonnes volume per annum. So, what is the reason y ou are downgrading your guidance of Rs. 1 per kilo will be maintaining that? Are you witnessing that pain into the performance chemicals which is from the latex side that will continue for the next year? Or from the tyre segment you are witnessing some demand constraint? Because the guidance and the number s we are not getting that correctly.
Raj Gupta: I don't think, Aditya, we have changed our guidance. There is no change in our guidance , where did you get that number.
Aditya Khetan: Sir, we are maintaining our EBITDA per kilo for the current quarter. Earl ier we had stated we will be improving by Rs. 1 per kilo per annum. What is the reason for that despite increase in specialty numbers?
Raj Gupta : Aditya, when we were saying Rs. 1 per kg per year, we were mentioning that on an average in the next 5 years' time, our average EBITDA performance is go

ing to increase at Rs. 1 per kg per
year. But the last year and this year if you compare , our EBITDA has gone up by Rs. 2.7. In a particular year if there is a significant jump, essentially that full amount doesn't come from internal efficiency. Part of that is also because of the opportunities in the market. Therefore, we are saying that in the current year, we will try and ensure that we remain at the last year's numbers. Even that number will be a little higher t han what was indicated a year back. Based on our 1 year back guidance, our 2024 EBITDA per tonne should have been somewhere around Rs. 16,400. We are still clocking about Rs. 16,700 or Rs. 17,000. So, that's still a little higher than the guidance given. W e have to see it in that perspective.

Moderator: Ladies and gentlemen, that was the last question. On behalf of ICICI Securities, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jul 2023

“PCBL Limited
Q1 FY ’24 Earnings Conference Call ”
July 12, 2023

MANAGEMENT : MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER –
PCBL LIMITED
MR. SAKET SAH – HEAD, INVESTOR RELATIONS
MR. PANKAJ KEDIA – VICE PRESIDENT , INVESTOR
RELATIONS
M
ODERATOR : MR. SANJESH JAIN – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to PCBL Limited Q1 FY24 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines w ill be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero, on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sanjesh Jain from ICICI Securities. Thank you, and over to you, Mr. Jain.

Sanjesh Jain: Thanks, N eerav. Good afternoon, everyone. Thank you for joining for PCBL Li mited Q1 FY24 Results Conference Call. We have PCBL management on the call, represented by Mr. Raj Gupta, CFO, Mr. Saket Sah, Head Investor Relations, and Mr. Pankaj Kedia, Vice President, Investor Relations. I would like to invite Mr. Raj Gupta to initiate the call with his opening remarks, post which we will have a Q&A session. Over to you, sir.

Raj Gupta: Thank you, Sanj esh. Thank you, N eerav. Good afternoon to all of you who are on the call and thank you for taking your time to join the call. I would like to point that there would be some statements during the call which may be forward looking and an appropriate disclaim er to this effect has been included in the investor update which we have shared earlier. Let me start with the highlights of our performance in the first quarter. While during the quarter a part of PCBL Tamil Nadu facility was commissioned, but for the sak e of easy understanding and comparison, we will discuss the subsidiary performance separately.

The year has started on a good note despite the ongoing geopolitical and economic challenges. During the quarter, our standalone revenue from operations was INR1,297 crores. The drop in revenue is on account of drop in crude prices from an average of USD 97 to USD 82 year -on-year. Standalone sales volumes were ` 118,000 tons up around 8% year on year. EBITDA grew by around 4% year on year to INR 214 crores. And EBITDA margins translated into roughly 16.5%. This is highest ever EBITDA and PB T in our history.

As you are aware the first phase of greenfield facility in Tamil Nadu was commissioned around middle of April. During the quarter we achieved a production volume of roughly 6,300 tons from this facility and a sales volume of around 5,000 tons. It is rough ly 45% capacity utilization against the first line. We expect to ramp up production from this line further during this quarter with some approvals that are expected from tyre customers during the quarter. We expect TN facility to achieve break -even at arou nd 45% capacity utilization once all the other remaining lines and cogeneration power plants are commissioned.

We expect to commission the balance capacity during the quarter. Consolidated sales volume during the quarter was ` 123,000 tons. This was backed by domestic sales volume of 82,000 tons and international sales volume of 41,000 tons. Moving on to the segmental performance, tyre accounted for roughly 83,000 tons. Performance chemicals sales volumes were ` 28,500 tons and specialty black volumes were ` 11,800 tons. We continue to expand our product portfolio and customer base.

Consolidated revenue from operation during the quarter was INR 1,348 crores , consolidated EBITDA per MT stood at ` 17,550 while consolidated PBT stood at INR 156 crores. Power gener ation also increased during the quarter from 144 million units in same quarter last year to 156 million units this quarter. And corresponding sales volume was 98 million units as against 86 million units in the same quarter last year. PC BL's average realization from power sales stood at INR3.79 per kilowatt hour.

We are pleased to announce commissioning of 20,000 tons per annum of brown f ield expansion of specialty line at Mundra. Company's total specialty black capacity now stands at 92,000 tons. The newly commissioned state-of -the-art capacity would lead to further premiumization of product portfolio and cater to demand of our Indian and overseas customers. Initiatives are being undertaken to progressively ramp up production from this facility. Long-term p rospects of specialty black segment look very positive and we believe there would be adequate business potential to sustain the growth momentum.

Considering the changes in global supply chain and consumption pattern, demand and margins in this segment should continue to remain very strong. Structurally, we are increasing resource allocation to this segment. With regard to market scenario and outlook, domestic market demand is grow ing with continued strong momentum in OEM segment and replacement market is also doing fairly well. We expect tyre demand to remain healthy going forward. In FY22 and 23, Indian t yre industry volumes grew by around 10 %.

Going forward over the next couple of years we expect t yre industry growth to settle in high single digit volume growth. Most of the research agencies also indicate around 9% to 10% kind of growth for this segment. This would help carbon black industry to increase capacity utilization. In te rms of near -term outlook, we are a little cautious about the global demand momentum. Continuing high inflation in developed economies might weigh on consumption.

We are continuing to work on strengthening our supply chain, improvement in our product mix, and also cost optimization initiatives within the company.

Moderation in oil price is helping our customers to increase margins in their business and is also helping us release a part of our working capital requirements. In terms of mid to long term prospec ts, the changing cost structure in China and sanctions on Russia has opened a big door of opportunity for Indian manufacturers across industries. Our industry would also benefit from this structural change and we therefore , will have to keep adding capacit y over the next few years.

We continue to work on fundamental building blocks of our business to achieve our long -term growth and profitability targets. But at the same time, we also remain conscious of volatility of global business environment and would remain judicious about our capex and ROC E. So gentlemen and ladies, with this I conclude my opening remarks and I would be happ y to take your questions now.

Moderator: Thank you very much.

We will now begin the question & answer session. The first quest ion is from the line of Aditya K hetan from SMIFS Institutional. Please go ahead.

Aditya Khetan: Thank you, sir, for the opportunity. Sir, my first question was on to the gross spreads. Sir, when we look at the carbon price for the quarter has declined, similarly carbon bl ack feedstock prices have also declined. So generally, sir, in declining price scenario, businesses face inventory loss. But despite this, your spread have came at an all -time high. So what is the reason? And considering the demand also, like into the exports market was not that good. So what is the reason for this good number of spend?

Raj Gupta : Okay, so I think there are two questions, Aditya, which you have asked. One, declining cru de prices have not resulted into any inventory loss. And second is how we are able to increase our volumes despite market conditions, right? Now, answer to your first question is, time and again, we have said that we don't speculate on crude prices or inventory levels. So we only maintain the inventory level for which there is a pass -through in our pric ing arrangement with customers. And therefore, in changing crude scenario, whether it goes up or down, inventory-related impact on our business is as

such not there. Unless there is a very steep movement in crude price over a very small period. So like tomorrow suddenly from the current say USD 78-USD 80 level if it drops to USD 40, would there be an impact on our business, yes. But if it drops from USD 80 to say USD 70, would it also create an impact on business? No. Right? So we do a dynamic calculation of our sales forecast in the preceding next three months and accordi ngly we build up our inventory.

With respect to the overall demand scenario in the market and our volume performance , see, while overall global demand scenario, I would not say it is most conducive period from that perspective. But supply chain relations are changing globally. And Europe is now opening its door for Indian manufacturers. And his torically, Europe was a very small market for India. Now, gradually that share is increasing. And it's a big potential, it's a large market, the whole of Western Europe.

And we have in last 6-7 years, invested a lot of money on building up and improving our supply chain in this market. And even now it is just the beginning. I mean, the real improvement in business in Europe has started happening in just last two years. I think gradually it will unfold more and more in next few years. So we are seeing Wester n Europe as a large opportunity for Indian exports from our industry.

Aditya Khetan: Okay. And then also the spreads part, and the broad spread, like we have reported the highest ever spread. So considering even if the specialty volumes, they come up in the coming quarters, but considering weakening of demand, export related uncertainty. So can we say that, so this is the peak numbers which we have done in this quarter and we coul d be sliding down from here on?

Raj Gupta: I would not say it will go down or move up. See structurally, I mean, there are a lot of areas upon which we have been working since last few years and gradually that is helping us improve blended margins from the business. So that is the structural change that we are trying to bring to business. Now of course in market there would be pockets of opportunity and then when we see these opportunities or the pockets or windows of opportunity, we try to utilize them. So in some

quarters you might see some jump in the margin over the previous quarter. In other quarters you might see some softening. But structurally if you look at year on year performance, I thin k there is still a sig nificant scope for us to go up.

Aditya Khetan: Okay. Sir, on to the specialty volume size, for the last 4-5 quarters the numbers have been almost constant at around 11,000 to 12,000 tons . And we are not been able to ramp it up , plus w e are adding another 40,000 tons capacity. So what is going wrong here? Like is there a demand issue or the weaker exports market is not helping you to ramp up the vol umes for the last 4 -5 quarters?

Raj Gupta: No, I would say 4- 5 quarters numbers have gone up. You may not have noticed, but till last year, I mean except for the last quarter, our numbers were in 4 digits. So we were doing about 9, 000 tons, 8 ,000 tons, those were the numbers. And last two quarters we have been doing around 11,000 tons. So volumes are on an increase. In fact, between the same quarter last year and this year, the volumes have gone up by 16% , 17%. Now, why we are adding capacity? Our existing capacity can only support production up to maybe 47, 000- 48,000 tons annually.

And we see specialty segment as a large opportunity. Our aspiration is to take our annual volumes to six digits over a period of time, next few years. And that would require us to keep on adding capacity. So as per our existing plan, every year we'll have to keep at least, adding one line, one new line in this space. And it is not only capacity addition, but there is also a very strong R&D team. Currently we have m

ore than 50 persons working in that. We are launching new grades every year . Similarly, marketing team is working hard to create larger market of our specialty customers across geographies. So there's a lot of effort, a lot of work which is going on in this area.

Aditya Khetan: Got it. Sir, from the newly expanded line of Chennai, that line w as started in April. So considering a two to three months full period for the quarter, the volume number still looks to be very low of around 6,900 tons.

Raj Gupta: Aditya, that line, if we were to utilize that line for the full quarter, it would give us r oughly around 13,000 tons quarterly. I am talking about the quarterly volume. And because it was commissioned during middle of April, so proportionate volume we could have got at 100% utilization level, it would have been around 11,000 tons. That was the t otal utilization if we were to do. Now, against that 11,000 tons, we have produced more than 6,000 tons already in that quarter, which is more than 50%

of production.
Now, initially when we produce on a new line, it takes a little time to stabilize the qua lities in
the grade. And therefore, the approval from major customers takes time to come. So in the first
quarter, even that 5,000 tons of sales volume and 6,000 tons of production itself is a big feat to
achieve. But we are confident that as we step into the current quarter and going forward, the capacity utilization would only increase.
Aditya Khetan: Got it sir. Sir, just one last question from my side. Sir, we are witnessing increase of imports
from China and so sir, into the carbon black space also, for the last two months we have
witnessed increase in imports?

Raj Gupta: China at one point in time used to export about 7,000 tons to 8,000 tons in India. Last two, three
months their average is 500 tons.
Aditya Khetan: So, okay. So, which other countries which are exporting, which are importing to India right now?
Raj Gupta: See, overall imports in India have come down from an average of about 2 lakh tons to less than
1 lakh tons. And part of this import is also because there are some grades which are still not
produced in India, primarily in the specialty segment. Also becaus e there are very few carbon
black manufacturers in India, for tyre companies it's a business risk and therefore they want to
keep some relations lubricated from abroad, so that if there is some disruption here in the carbon black industry, they still can get supply from overseas manufacturers. So the level of import as
such has come down significantly, and now India has become net -net exporter. So India is
exporting around 200,000 tons and importing just about 100,000 tons.
And among the countries which are exporting to India, it includes some of the Middle East
countries like Iran, Saudi Arabia. Then there are some with South Asian countries like Thailand
and South Korea. Russia also is exporting something to India. But it's a host of countries, but
small -small quantities. And good part is that the landed price in India at which imports are
happening is still higher than the price at which we are selling in India.
Aditya Khetan: Okay. Thank you, sir. We'll join back in the queue.
Raj Gupta: Sure Aditya .
Mode rator: Thank you. The next question is from the line of Jainam Ghelani from Svan Investments. Please go ahead.
Jainam Ghelani: Hi, sir. Thanks a lot for giving me this opportunity and congratulations for a good set of numbers. So what would be the current spread between us and the other Chinese products?
Raj Gupta: Jainam, could you please repeat your question?
Moderator: Jainam, can I request you to speak through the handset please?
Jainam Ghelani: So what would be the current spread between our products a nd the Chinese products?
Raj Gupta: You are talking about the raw material side, right? The carbon black, oil and…

Jainam Ghelani: Yes.
Raj Gupta: So last quarter ’s average difference was around USD 251 and for June it was USD 269. CBO
being on the higher side.
Jainam Ghelani: Okay. And so what would be the max capacity utilization we can reach for our specialty black plants?

Raj Gupta: So now with this Mundra commissioning, Mundra possibly would give us around 15,000 tons
to 16,000 tons, this new li ne. And the existing capacity that we had prior to this can give us
around say, 47,000 tons to 48,000 tons. So in totality, we can go up to maybe 63,000 tons to
64,000 tons against our existing line. Additionally, one more line currently is under implement ation. That should be operational by around this time next year, maybe by May, June
of 2024.
Jainam Ghelani: Okay. And we expect mainly demand from Western Europe as you mentioned. So we see that if Russia is open, like, if Europe accepts products from Rus sia again in the near future or whenever,
so that wouldn’ t affect our demand much, right? Because we started gaining traction from
European countries.
Raj Gupta: I did not understand your question. Are you saying that once Russia starts reproducing carbon
black and whether that would have any impact on our business, is that the question?
Jainam Ghelani: Yes.
Raj Gupta: Okay. See, Russia is already producing, Jainam. It is not that Russia is not exporting. I sanctions
on Russia are only from Western countries, Western European countries and USA. But they
have been selling in neighboring countries, I mean, China and other, some of the Asian countries.
So that material is finding its way in the market. But the real benefit of this whole thing that we
will get, is Russia will stop adding capacity. Because the price at which they would be selling

now, they would not be making margin in this business. Their logistics costs would have increased , plus they will have to sell at a discount to the market price. So on bo th count, the manufacturer would incur losses.
And therefore, there is no case for them to invest in further capacity. And Russia prior to this, , Eastern Europe issue, they were adding capacity very aggressively. They have their own crude. It was cheaper for them logistically, and therefore, they were adding capacity. Almost 70% of their capacity was available for exports . So the real advantage we are going to get is because of their halting on to capacity addition, which is a structural change. So we do not see any further disruption from Russia because the material is already there in the market. Have I been able to answer your question, Jainam?
Moderator: Sir, the line for the participant dropped. We move on to the next participant. The next question is from the line of Vikram Ramalingam from Quantum Advisors. Please go ahead.
Vikram Ramalingam: Hi, Raj. Congratulations on a good set of numbers. What I wanted to check was last year and even the year before that, our logistic costs were very hi gh because of generally, those containers not being available and some new regulations in the shipping industry. Any update as to what the situation is right now?
Raj Gupta: The freight rates, container freight rates have come back to pre-COVID level.. And the contracts under which we supply to our overseas customer s are annual contracts which are typically signed around November, December for the calendar year. So the recovery also gets reset every year.

Vikram Ramalingam: Yes, You know, why I asked this because that had impacted our margins on the exports business because we were factoring in or we were taking in the higher freight rates. So that 's what I wanted to check. If we have gone back to previous levels then automatically our margins from export business should have improved, correct?
Raj Gupta: Yes, the impact of freight rates has gone long a

way. It has been more than two, three quarters.
Vikram Ramalingam: Okay, fair enough. My second question is regarding this Tamil Nadu plant, will we be having a specialty chemical facility over there as well?
Raj Gupta: As per our current plans, no. So only in the next phase, if we plan any capacity, we still have space there for brownfield expansion. So in next phase of expansion, we might plan but under the current phase of expansion, no.
Vikram Ramalingam: Okay. And we already have capacity in the Palej plan, right. Any scope to increase that as well because specialty if things go right you are pretty close to again utilizing your full capacity almost. I mean give or take a few thousand here and there. So if you want to increase the contribution of specialty to your total volume to the tune of 25% then we need to work on the capacity part, right? Because the lines are very different.
Raj Gupta: Yes, the lines are completely different. I mean, the process of manufacturing and oil is also different. Now, Palej does not have any space available for expansion. But Mundra we still have some space and where we might put in a third specialty line. So Mundra has scope and thereafter we will have to decide whether we put this capacity in Chennai or we identify a new location.
Vikram Ramalingam: Okay. Any product specific grade that we are, that is contributing to this higher specialty sales, specialty chemical sales? In the sense that we've been always in.
Raj Gupta: There are grades, , see currently we have about close to 50 -odd grades in specialty and all of them are premium grade. Of course, I mean, some of them like, Bleumina , where the realization and margins a re very high, but the overall market size for those grades is also not as large.
Specialty, is a recent journey for us. We started it just seven, eight years back. And there are a number of grades available in the market where the margins and realizations are extremely, extremely high .Mmuch higher than the grades that we have in our portfolio. So I think, going forward, margin in this segment should improve further. I mean, as we keep on launching newer solutions in this Segment .
Vikram Ramalingam: In this plan to increase exports to Western Europe, or rather you believe that that 's where the next wave of demand will be from. But I wanted to check is we 're talking about still the tyre carbon black only, right? Because are we talking about specialty black when you say, Western Europe? And because in the sense I am not sure whether Western Europe has that kind of tyre manufacturers capacity or facility over there. So I just wanted to check that.
Raj Gupta: So the opportunity is in both space Vikram, in tyre as well as in specialty. Europe is a big specialty market. So the scope is across segments and already a good part of our specialty sales is happening in Europe.

Vikram Ramalingam: Because your R&D center is also in Belgium.
Raj Gupta: Yes, that was one of t he rationale behind setting the R&D center there. We can also provide technical support to the local customer.
Vikram Ramalingam: Okay, fair enough. Thank you so much, Raj.
Raj Gupta: Thank you, Vikram.
Moderator: Thank you. Next question is from the line of Bharat Sheth from Quest Investment Advisors. Please go ahead.
Bharat Sheth: Hi, congratulations Raj and team on good set of numbers.
Raj Gupta: Thank you, sir.
Bharat Sheth: My question is first is on the specialty , last year, we in annual report, we st ated that we introduce a new product under Energia brand which is a heavy offer exceptional conductivity superior dispersibility . So is that so, can you give some color? How big is the market and again whether this product is a higher superior among the whole Bleumina or not? And second thing is this our journey towards the high conductivity area that we were always ta

lking.
Raj Gupta: Sir, we shifted to conducting grades about three - four years back. So I was talking about, this recent initiative of ours, which we started three, four years back. So there is a team of R&D professionals, which has been working on conductive grades. And w e have been successful in launching some grades in this segment. But having said that, the pure superconductive grades which will be used in the high-end EV batteries, those grades are still in the lab. We have had some success, initial success in that space, but we need to improve on the purity level. And I mean, we are hopeful that we will be able to launch it soon once we have success with increasing the purity level.
The current grades that we have, they are mostly used in the conventional batteries and also in the internal coating of electric wires for better conductivity. But a very strong team is working on superconductive stuff and we are hopeful that we will see these grades being launched in the market soon .
Bharat Sheth: So Raj, this Energia brand, what is the potential that we are really looking, I mean?
Raj Gupta: Sir, in the superconductive space, the demand, actually the market just got created and it is expanding exponentially. Like in India, two years back, the monthly average sa les of electric cars was around 1,000 units and in current year it is about 8,000 units per month. So that 's the way consumption of electrical vehicles is increasing. And we are seeing similar kind of trend in Europe and China. So the market is expanding r apidly and therefore, estimating the size of market, I think would not be appropriate. It is expanding, it is going to be a really big market. And next five years or 10 years, this market will continue to expand. So there is adequate

potential in the market for manufacturers to sell their products and market to absorb their volumes.
Bharat Sheth: Is this product is most superior, I mean premium product in our all category?
Raj Gupta: So the one that currently, we are working on, that is going to be the ver y high superconductive quality. But the ones that we have already launched under the Energia portfolio, those are mostly semi -conductive grades of carbon black.
Bharat Sheth: And premium wise?
Raj Gupta: Premium, there will be very high premium. S ome of the grades, which get sold in the market, the average realization is around USD2 0,000 per ton. And because, we don't have those grades in our portfolio, we would not exactly know the kind of margins. But the realization itself is a n indication that margins will be in a different trajectory altogether.
Bharat Sheth: And coming to this carbon, tyre grade carbon black, the way disruption is happening in China consumption side, is there any probability of, even at loss, they dump carbon black for tyre gr ade carbon black into India?
Raj Gupta: So the way we see the current market dynamic, the cost structure has changed significantly in China and it may not make commercial sense for the manufacturers to continue to produce or add capacity. So over next four years, five years, six yearsperiod, there will be further consolidation. And because now, Russia will have a lot of countries, in the sanction listso they will not be able to sell there. For them, it will make sense to sell to China, which is a bordering country for them. And between them, if they absorb each other 's capacity, somewhere I think at the global level, the market will be under supplied and which should continue to support, the price and margin even for the tyre grade carbon black.
Bharat Sheth : Okay, and last question, with decline in this raw material price and how do we see now, working capital change in absolute, number of days may remain same.
Raj Gupta: The working capital has already come down. T hough we don't report our borrowing numbers

quarterly, bo

rrowings have come down by about INR50 crores in last quarters. So, working
capital requirement will go down with low er crude.
Bharat Sheth: Okay, thank you very much and all the best.
Raj Gupta: Thank you, sir.
Moderator: Thank you. Next question is from the line of Sanjesh Jain from ICICI securities. Please go ahead.
Sanjesh Jain: Yes, thanks for taking my question. I got a few of them. First, talking about the export market, in your opening state ment, you did caution on the demand from the export market. What do you
see the challenge? And we have seen one of your peers has issued a profit warning. Do you
think, the situation is stabilizing, worsening? How do you see the exports market because that 's
where, we are getting a significant growth factor?

Raj Gupta: So Sanjesh, so far, we have not witnessed any issue with our ability to sell in those markets. But
having said that, we are seeing very high inflation numbers still coming from those countrie s.
And also interest rates continue to rise. So at what level those issues will impact the local demand , it is difficult for us to assess. But as of now, we don't see any impact. It might have so
happened that the overall demand of these countries might have gone down, but maybe because
they are now purchasing less from other countries and therefore, it is not reflecting in our volume.
So our volumes in this market are still on an increase. We just put in a word of caution that the
market volatility is still remaining. It is not that market conditions have become better than what it was a couple of quarters back.
Sanjesh Jain: Second, on the export side, incrementally, where is our volumes going to? Because I understand last time you said that the largest buy for us was APAC and Europe was 20%. How is this mix
changing incrementally with more volumes going in? And is it fair to assume that a lot of the
Chennai facility initial volumes will be placed in the export market?
Raj Gupta: Till the time, we get approval from domestic tyre companies, we will be selling a little more in the international market, but that will be only inter im arrangement. Structurally, because
Chennai has a lot of tyre manufacturing facilities, so again, a good part of the facility, will go
towards catering to domestic demand only. I guess for us to increase our overall, geographical
distribution or export volumes in terms of percentage, we will require beyond Chennai capacity.
For export volumes to go significantly beyond that 30%- 35%, Chennai will not be adequate for
us to achieve that.
Now in terms of geographical distribution outside India, Southeast Asi an countries will remain
a big market for us. There are a number of countries, which solely depend on imports, which
either doesn't have any capacity or which have very little capacity to cater to their requirements.
So the countries like Indonesia or Viet nam. These markets will continue to remain important
and big for us. Having said that, Europe is assuming importance.
Europe at one point in time, it was around 4%, three years, four years back. Last year, we could
do about 14% -15% of our international volume. And this year, we feel that we should be able
to cross 20% of volume coming from this market. So over a long term, maybe four years, five
years, Europe possibly will assume more importance, maybe it will become 25% to 30% of our
overseas volume. That 's how, we see it. But that will take further capacity addition by us, because
our existing capacity will not be able to cater to this change.
Sanjesh Jain: Just wanted to understand, the Europe situation better. Russia has a certain quota to export close to 7,50,000 metric ton this year, which will expire in July ‘24. And from July ‘24, I guess, Europe
is looking at a complete ban. So there is 7,50,000 metric ton of additional demand, which will
start being. Have you start

ed discussion with any customer or are we looking to evaluate that
opportunity, where we can get more share out of that and we have Chennai facility to cater that?
Raj Gupta: So, Sanjesh, the challenge before us is that the local tyre manufacturers are also expanding and
there is a very hi gh level of interdependence between tyre industry and carbon black industry.

So we can't afford to commit Chennai entirely to or a large portion of Chennai to European
customers. What we are doing is, while in the space of performance grade and specialty, we are
adding customers, in tyre space, we are only adding those customers with which, we already
have relation in other geographies.
Like some of these customers to whom, we were supplying in some countries but not in Europe,

now we are also supplying to them. But we are only committing a part of Chennai or our overall capacity, which we feel confident of, continue to supply to them. So that's how, we are doing it. And like you said that the sanction on Russia is going to create a massive impact on Europe. Yes, it is likely and it has already started happening because most of the customers will not wait till next June or July. They will want to tie up with other manufacturers much in advance and the process is already started.

Sanjesh Jain: So are we lookin g to get some of those customers and stop for sales or cut down on lower margin spot sales in India and tie up with this long -term European guy?

Raj Gupta: What we are doing is, we are shifting part of our spot market volumes to the strategic customers in these geographies. That's how, we are planning it. We've already started doing it, Sanjesh. So, we have committed some volumes to customers, but it is more of replacement of spot to the strategic customers. And of course, Chennai, to some extent, , it will add to the overall volumes, which will go to the overseas market.

Sanjesh Jain: Do you think, you will need to announce another capex, very soon?

Raj Gupta: Yes, we will.

Sanjesh Jain: Okay. Last two questions. One, on gross profit per kg, last time highlighted that, we will maintain the last year's gross profit close to INR32, and this quarter, we have done better than that. You see a reason to change that guidance?

Raj Gupta: No, our long-term guidance, we don't want to change Sanjesh and typic ally like I said that there are always some windows of opportunity in some quarters and whenever we see that, we utilize that. Structurally, we continue to work on our own efficiencies and product portfolio, which will provide support to improvement of mar gin. But we will want to retain our guidance on the margin.

Sanjesh Jain: And last question on the tax rate, last two quarter tax rate has suddenly gone up to 31%, 29% from some 20%. Any change in the tax rate? Why there is a sudden jump in the tax rate?

Raj Gupta: Yes, in fact, during last quarter also I mentioned, so our power business was enjoying tax immunity for 15 years under Section 80-IA of income tax. Now that 15 -year period has lapsed. It has got completed and with that, now even the power profits have become taxable. So that puts our company in a 25% tax bracket.

And last year, initial quarter actually, we were not sure whether the whole of the shield would expire, in the fourth quarter. And therefore in the earlier three quarters, it was based on that exemption. And therefore the rate was 21%, as against that 24% - 25%. So that impact was taken

in the quarter 4. So that quarter, the tax rate was unusually high. Now for this year, we estimate our tax rate to be around 25%- 26%. And once Chennai is f ully operational, then Chennai will be subject to a 17% tax rate. So then again the blended tax rate for on a consolidated basis would come down to around 22% to 23%. But that will take a year's ti

me. In the interim, the tax rate will remain around 25% - 26%.

Sanjesh Jain: Okay, fair enough. Just one question. You said that Chennai facility is more efficient, technologically as well. Have we seen any early signs of better yields, low cost, any of those signs?

Raj Gupta: Yields, we are getting to see that, im provement. But it is still very early stage, Sanjesh, and it will take us, at least two quarters to three quarters more, to see the real impact of the technology , once everything stabilizes . Because when we are running our plant at a lower rating, even tha t impacts the yields. Right? And currently, we are operating only at, about 45% capacity utilization level. So once, we cross, maybe 70% level, then, we will get to see the real improvement. And it will not only be the yield, but it will also be the produc tivity, lower maintenance costs, and many other things.

Sanjesh Jain: Got it. That's it from my side. Thank you for taking all my questions.

Raj Gupta: Thank you, Sanjesh.

Moderator: Thank you. The next question is from the line of Dhiral from Phillip Capital. Please go ahead.

Dhiral: Hello. Good afternoon, sir. Thanks for the opportunity. S ir, what kind of utilization, sir, we expect from the Phase I Chennai facility for the full year FY24?

Raj Gupta: Sorry, what kind of ? utilization?

Dhiral: Yes, we expect for the full year, for the Phase I of Chennai facility?

Raj Gupta: I guess, in the first year, it should be around 40% to 45% capacity utilization level.

Dhiral: Okay, sir. Even if the current run rate, working at the 45% utilization, right?

Raj Gupta: Yes, but it is, current utilization is only against one line and there are two more lines, which we are going to add in the current quarter. So when I say 45% I am talking about on the full base of the line.

Dhiral: Okay, understood sir. And sir on the gross spread side, so whatever gross margin per kg that we have delivered in Q1, so with the higher export and the improving specialty sales, do you expect

this spread to sus tain at least for the full year?
Raj Gupta: See, like I answered this question a couple of times in this call also that one part is the structural change in our own efficiency improvement, efficiency level and product portfolio. It will pull up the margin structurally going forward. And second is the changing market condition. Last couple of years, the changes which have happened in the market on the demand supply side, also on the changing supply chain relation, that is supporting margin. Now that is somet hing which

is difficult for us to read. We are agile enough to gain from the pockets of opportunity. Wherever we see, we try to utilize that.
Dhiral: Okay. And lastly, sir, you are talking about adding capacity with the industry tailwind that we are seeing right now. So what kind of capacity addition we are looking in coming years, let's say FY ‘25 or FY ‘26?
Raj Gupta: Yes, I believe that for our growth to be properly supported, we will have to keep on adding between 80,000 tons to 100,000 tons every year. That's the kind of run rate internally we are assessing.
Dhiral: Okay, so probably from next year we might add around 1 lakh.
Raj Gupta: Yes, 80,000 to 100,000.
Dhiral: And so what kind of capex this will require? If it is a brownfield?
Raj Gupta: It will also depend on the metal prices, but typically on a brownfield expansion, we incur about roughly INR50,000 to INR60,000 a ton.
Moderator: Thank you. Next question is from Radha from B&K Securities. Please go ahead.
Radha: Hi, sir, thank you for the opportunity. Good evening. Sir my first question was, you spoke about for the export market, you're connecting to customers who you're already supplying in the tyre segment. But could you give some light on the specialty side as we know that Europe is a large market for specia

lty. So who would be our top customers in terms of specialty and also if you could give just some light on performance chemicals?
Raj Gupta: Europe is a big market for specialty, but Europe is not the only market. Middle East is a bi g market, North America is a big market, and even China is a big market for specialty, and we are focusing on all of these markets, Radha. So it is not only Europe. Europe primarily is getting impacted because of Russia and Russia as such did not have much specialty capacity. So the disruption in their specialty space is not much because of Russia, , on the supply side. But specialty market itself is very large.
It's more than a million -ton market and the volumes currently that we are selling is very small portion of this market. Last year we did about 40,000 tons. Even our current rate is about 50,000 tons, so it is not much. So there is a very big scope for us to improve, just by adding customers across globe, wherever we have market.
Radha: And sir any color on the top customers that we are supplying in the Middle East region or the European region?
Raj Gupta: There are a number of them. So like Middle East, Borouge is our big customer. Europe we have Borealis, we have Sabic , there is MDI, these are all big customers as we speak.

Radha: Okay sir, and sir you mentioned that this year you will be having a 25% tax rate. Now, this is assuming that we are moving to new tax rate from FY ‘24 itself, right?
Raj Gupta: Yes.
Radha: Okay. And sir you mentioned that we will be getting the benefit of 17% tax rate for Chennai, but that will kick in from FY25. But sir, this year you are expecting 45% utilization. So partly we should get benefit of that as well in this year?
Raj Gupta: So Radha, actually at 45% the facility will just about break even. So unless the facility has profit, it will not go on to reduce our weighted average rate. So only once, the capacity utilization is at a high level and we start generating profit from Tamil Nadu then only our w eighted average tax rate will come down.
Radha: Understood, understood right sir. Thanks sir.
Raj Gupta: Thank You Radha.
Moderator: Thank you. Next question is from the line of Naushad from Aditya Birla Sun Life Asset Management. Please go ahead.
Naushad: Hi, thanks for the opportunity. A few clarifications. Firstly, in terms of your spot business, typically what percentage of volumes comes from spot business currently and how this

percentage was three, four years back?
Raj Gupta: Currently it's ab out 30% volume that we are doing in international market and going forward, structurally we want to strike a equal balance with domestic volumes and international volumes. So maybe over a period of 5 to 6 years, we would want 50% of our volumes to come from overseas markets. But that's what requires significant capacity.
Naushad: Sorry, not export, I'm asking spot business.
Raj Gupta: Spot business, okay, okay, sorry. So spot is also roughly around 30%. I mean, but that spot will also include, so let me jus t give you a breakup of our segment -wise volume. Roughly about 65% of our volumes come from tyres, which is kind of a committed volume. I mean, there 's no hard written contract, but there 's a tacit understanding with our customers. Now 25% to 26% is what comes from performance segment, and balance roughly nine to 10% is what comes from specialty currently. Now, this 25% volume which comes from performance, out of this, almost 90% is spot. And again this specialty of 10%, about 2% to 3% is spot.
Naushad: Okay, understood. Secondly, in terms of we see this Russia ban in Europe market is an opportunity but if you look at other way, can this thing create a problem for us in the domestic or Asian market because they may start dumping here and there if they don't have European market to sell?

Raj Gupta: Russia's most of carbon black facilities are in landlocked locations and therefore the logistics cost for supply from Russia to India would be very high. In fact, in past when we tried to bring oil from Russia, the thing did not work out because of logistics cost issues. And in the last one - one and a half years since this crisis started, while Russian material has started coming in India, but it is not coming at a significant lower price, significantly lower landed price, so as to say. So from that perspective, we don't see as such any issue in India.
Naushad: Okay. And typically, how much time it takes to build a greenfield and a brownfield capacity in our industry of a commodity grade ?
Raj Gupta: Brownfield doesn't take time. Brownfield takes about a year's time once the project is started. And Greenfield, assuming that all the clearances and land is available, then it will take around one and a half years. But getting land and clearances is a lengthy process and that takes about another one and a half years.
Naushad: Okay. So broadly, within one and a half years a capacity should come in. So why there is so much gap we are talking about in industry of demand and supply if there is a demand by others are not you know , why industry is not able to match up the capacity which is required?
Raj Gupta: So the supply gap has happened primarily because of China and Russia. In China, their raw material cost has gone up, right, and because of that there has been significant consolidation in the unorganized space there. Now the capacity that they have vacated is estimated at around 2 million tons, which is big capacity, and it will take time for that capacity to be rebuilt elsewhere in the world. But because of that, countries ha ve started adding capacity. Like in India, we have witnessed capacity addition in recent years . Indonesia also added a small capacity. So gradually the capacity will come up. So the demand supply gap certainly will be filled up over a period of time. Our estimate is that it will take at least six to seven years before this gap is bridged .
Naushad: Six to seven years?
Raj Gupta: Yes.
Naushad: And what percentage of our commodity grade carbon black we export?
Raj Gupta: We do about 30% of our volume in international markets.
Naushad: And what would be the largest export market for us?
Raj Gupta: South East Asia, I mean it consists of number of countries but like Vietnam is a big market, Indonesia is a big market, Sri Lanka, Bangladesh, these are big mark ets. Some countries in Europe gradually are becoming bigger.
Naushad: Okay, so our reasoning of Russia export to India because of the logistic cost, and here we don't have much exposure in the Russian -- European market, maybe because of the logistics cost issue. So even though if that whatever Russia export to European market goes off, we may not

be able to fetch the good amount of share from that market because of the logistics cost issue. So the local or nearby players should get the maximum share. Is th is understanding correct?
Raj Gupta: First of all, there is no nearby or local manufacturers there, I'm talking about Western Europe as a whole geography. And that's a supply deficit region. Last 10 years, they have not added

capacity and primarily depended on China and Russia to fill that gap. Logistics cost between India and Western Europe is not very high. Currently it is about USD70 a ton which converts into roughly INR5000. Now from our Durgapur facility when we are supplying to MRF facility in Tamil N adu, we are incurring almost the same cost, INR5000 a ton, sometime even more. So in terms of logistics cost, it is not much. Third, Europe is not a very price sensitive market. And from all this perspective, we don't see any impact on margin when we sell in Europe.
Naushad: One last, just

in terms of, you have answered this question, but just I wanted to touch this again in terms of your EBITDA per kg. In our business, do we at least, you know, get at least two, three quarters visibility in terms of the confidence to get X, Y, Z number of EBITDA per kg or is it very difficult for us to at least predict beyond one or two quarters?
Raj Gupta: So we have fairly good visibility around year's performance. Unless something significant happens in the market, whi ch is beyond our comprehension. On a steady state scenario, we have good visibility for our next 3 to 4 quarters.
Naushad: Thank you sir and all the best.
Raj Gupta: Thank you.
Moderator: Thank you. I request all the participants, please limit to one quest ion per participant. The next question is from the line of Anupam from Lucky Investment Managers. Please go ahead.
Anupam: Yes, thank you for the opportunity and congratulations on your number. Firstly, Raj, if you can help us understand, so we 've done abo ut 12,000 tons of specialty in the first quarter. Given the run rate of 48,000, are we looking to hit 52,000, 53,000 tons kind of a number for the full year?
Raj Gupta: Yes, we are hopeful ofachieving that. And Mundra 's new line is going to support that volume.
Anupam: So, of the 20,000 tons of new line, how much are we looking to hit from that line?
Raj Gupta: I think in a couple of quarters time, we will be reaching full utilization level. That's how we see it.
Anupam: By full utilization, you mean 16,000 tons? That will be a good quarter kind of run rate, right?
Raj Gupta: Yes, so roughly, I mean, we're going to get about 4,000 tons a quarter from the line. And it will take some time to stabilize the quality in the grade . So maybe a couple of quarters from now. It is not that we will not be doing any volume in the interim. But I'm talking about the full utilization we expect to achieve that towards last quarter of this year.

Anupam: Understood. A couple of years back the difference in EBITDA per kg between our normal grade and specialty grade was about two and a half, three times. How has that changed in your assessment currently at this kind of demand scenario?
Raj Gupta: Around 2x. Currently we are getting about 2x in specialty. Not that specialty contribution has gone down. It is that even the base volumes are yielding better margins.
Anupam: Understood. One question on your current quarter spreads, 32 we've been able to maintain. Was there some sort of one -off kind of opportunistic gain like, we had in the last same quarter last year?
Raj Gupta: There is no specific one-off event in this quarter. Last year, same quarter was impacted because of Russia disruption. Right, but in this quarter, there was nothing of that sort but market dynamics itself i s changing very rapidly. And therefore for all we know, I mean, this kind of pricing and margins would be there. But we refrain from commenting on that because we only trust our own doing.
But when we give guidance, it is based on what we are doing interna lly in the company, and not on the demand supply condition, per se, because that may be very short lasting. Honestly, we don't have visibility around this thing that, how these conditions are going to change. For all we know, these are going to remain as i s. But structurally, a lot of things that we are doing and our margins are going to improve from here. Anupam, just a point, we can only talk about the volumes and how the overall performance could be. Everything on the pricing may be, it's not -
- that will be speculated.
Anupam: Fair enough. Just wanted to check on the local supply that was coming up by about 0.5 million ton. Has both our peers started production or is there some sort of timeline delay or some sort of?
Raj Gupta: Yes, those lines have bee n there now for more than a year. 0.5 million tons did not come a

quarter back. I mean, it came in the last seven, eight quarters and those lines are being utilized.
Anupam: And they have been able to ramp it up as quickly as the industry usually does?
Raj Gupta: They are in unlisted space and therefore we would not know, we would not have a clear picture. But based on market conditions it is likely that they are utilizing the capacity. Some of the capacity is may be unutilized depending on the quality of t he output. That could be one thing. But again, export market is a good avenue for most of them.

Anupam: Right. Last question, if you can just call out your net debt number for the quarter?
Raj Gupta: We don't report it, so anything that we have not reporte d to stock exchanges I can't mention here, but I can give you an indication, the net debt has gone down by roughly INR50 crores.

Anupam: Okay. And you mentioned INR50,000, INR60,000 per ton if a brownfield capacity is announced. I believe in the interim, till we exhaust our space in Tamil Nadu and Mundra, we won't be announcing a new greenfield, is that a fair understanding?
Raj Gupta: No, we'll have to announce it sooner than that because we can't wait for the capacity to be exhausted. Then we wi ll be compromising on growth.
Anupam: No, not capacity, I mean space, space-wise. So till we utilize the space that is remaining in Tamil Nadu and Mundra, we will be going ahead with the...
Raj Gupta: Yes, we have space in Tamil Nadu, we also have some space in Mundra.
Anupam: Fair enough. Thank you so much. That’s it from my side. And wish you all the best.
Raj Gupta: Thank you, Anupam.
Moderator: Thank you. The next question is from the line of Madhav from Fidelity International. Please go ahead.
Madhav: Yes, good evening. Thank you so much for your time. I just wanted to understand, seems like there are two things which are changing. One is more of our volumes are becoming more contracted in nature versus selling more on spot, is that a right understanding for the business that is becoming more of a contracted business?
Raj Gupta: Yes, Madhav. You are right.
Madhav: Which obviously would mean more stability in our pricing and margins versus earlier?
Raj Gupta: In a way, yes, but I mean, I mean, the margins also in this segment is good. I mean in the new arrangement when we are selling more to tyre customers in new geography, margins are relatively better, comparable with the spot market.
Madhav: And just the second question from my side was in the specialty blacks which we are selling, is it fair understanding that the competitive landscape is much better, that the number of people who are competing in that market would be very limited globally, maybe like single digits, like five, six players or is that lik e a lot of players who supply these? Because for us also it's taken like eight years, right, to ramp -up, so it's a long gestation business.
Raj Gupta: The industry itself has a very consolidated structure. So most of the countries will have only two, three large players. So as such, I mean, it is not very highly competitive from that perspective, but there are some local manufacturers like, Orion also there, which are big.
Madhav: Sir, let me ask you this way, like when we look at our tyre blacks versus our specialty blacks, is the number of players in the specialty blacks lower versus the number of competitors we have in the regular grade?

Raj Gupta: No, number of specialty black players are much higher because these are all small -small unorganized faciliti es, lot of them.
Madhav: Okay. All right. Thank you so much.
Raj Gupta: Thank you, Madhav.
Moderator: Thank you. Next question is from the line of Anik Mitra from Finarthaa Research. Please go ahead. Due to no response, we move on to the next participant. The next question is f

rom the line of Vignesh from Ksema Wealth. Please go ahead.
Vignesh: Thanks for the opportunity. Just want to understand the pricing difference between the performance chemical grade and the normal grade?
Raj Gupta: Pricing differenc e is not much, pricing difference is just about 5%, 6%. But typically, we make about 20% to 25% more margin in this segment.
Vignesh: Okay. And other thing is just want to understand how for volume in the next five to six years going forward the mix betwee n performance chemicals and special black will be in comparison now.
Raj Gupta: Would you please repeat your question?
Vignesh: The volume mix as of now, we see performance chemicals and specialty black to be around 30%. Going forward down the line, five to six years how would you estimate this figure to be at?
Raj Gupta: Currently, I mean, if you look at last year, it was 30%. This quarter it has been around 33%. I think, somewhere it will remain around 35%, 36% at least in next two, three years.

Vignesh: Okay, thank you. That's it from my side.
Raj Gupta: Thank you.
Moderator: Thank you. Next question is from the line of Rahil Shah from Crown Capital. Please go ahead.
Rahil Shah: Hi, sir. Good evening. Most of the questions have been answered. Jus t wanted to have an outlook on overall volumes over in FY '24, over FY '23 numbers if you just want to share something about that?
Raj Gupta: We expect about 10% to 12% kind of a volume growth this year over last year.
Rahil Shah: 10% to 12%, okay, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.
Raj Gupta: Thank you.

Call: Oct 2023

"PCBL Limited
Q2 FY2024 Earnings Conference Call "

October 17 , 2023

ANALYST : MR. SANJESH JAIN – ICICI SECURITIES
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ANAGEMENT : MR. KAUSHIK ROY – MANAGING DIRECTOR - PCBL
LIMITED
MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER - PCBL
LIMITED
MR. SAKET SAH – HEAD - INVESTOR RELATIONS - PCBL
LIMITED
MR. PANKAJ KEDIA – VICE PRESIDENT - INVESTOR
RELATIONS - PCBL LIMITED
 Moderator : Ladies and gentlemen, good day and welcome to Q 2 FY20 24 results conference call of PCBL Limited hosted by ICICI Securities Limit ed. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conf erence over to Mr. Sanjesh Jain. T hank you and over to you Mr. Jain !

Sanjesh Jain: Good afternoon, everyone. Thank yo u for joining on the PCBL Lim ited's Q2 FY2024 Results Conference Call. We have PCBL management on the call represented by Mr Kaushik Roy – Managing Director, Mr. Raj Gupta, C hief Financial Officer ; Mr. Saket Sah, Head Investor Relations; Mr. Pankaj Kedia, Vice President, Investor Relat ions. I would like to invite Mr. Kaushik Roy to initiate the call with his opening remarks, post which we will have a Q&A session. Over to you Sir!

Kaushik Roy : Thank you so much and good afternoon, everyone and a very, very warm welcome to each one of you to this call. First of all, I would like to wish a happy festive season ahead and additionally I would like to say that some of the points , some of the statements made in this call maybe forward looking and a disclaimer to this has been included in the investor update shared with you.

Now coming to the performance of the organization . PCBL reported a strong quarter with the highest ever volumes and best ever quarterly financial performance despite the worsening geopolitical scenario and econom ic issues. D uring the quarter, our consolidated sales volume was 1,30,111 m etric tonnes, which is up by around 14% on year -on-year basis . While consolidated revenue from operation was Rs. 1487 Crores, the drop in revenue is primarily on account of dro p in cru de price fr om an average of $112 a barrel to $88 a barrel year -on-year basis. EBITDA grew by around 25% year -on-year to Rs. 240 Crores translating to an EBITDA margin of 16%. PBT stood at Rs,172 Crores while PAT increased to 123 Crores. Consolidated EBITDA /MT stood at Rs.18,427. We have already shared with you that we have commenced our commercial production of the final phase of Chennai plant which is 84,000 m etric tonne per annum. W ith this our total installed capacity of the company now stands at 7 ,70,000 MTPA gross . W e have also commissioned the cogeneration captive power plant at Tamil Nad u site having a capacity of 12 megawatt . With this the total co generation power capacity stands at 110 megaw att. D uring this quarter PCBL Tamil Nad u ach ieved production volume of 9410 metric ton ne and a sales volume of 9008 metric tonne which is roughly 50% of capacity available during the quarter. W e expect further ramp up of Tamil Nadu facility with approval s from major customers
 expected over a pe riod of next few weeks . Of the total s ales volume domestic sales volume stood at 82,276 metric ton nes while international sales volume stood at 47 ,835 metric

tonnes.
Moving on to our segmental performance, tyre accounted for 79,793 metric tonnes.
Performa nce ch emical s reported sales volume of 34,744 metric tonnes. W e also achieved specialty sales volume of 15,574 metric tonnes, which is the hi

ghest ever in our history . We continue to expand our product portfolio and customer base. T he volume with our recen tly launched Energia brand is gradual ly picking up. S amples have also been sent to one of the major EV battery manufacturer s for bu lk trial purposes . We also achieved the highest ever power generation and sales volume during the quarter . Power generation increased from 156 MU in Q2 FY2023 to 167 MU during the quarter with external sales volume of 103 MU as against 95 MU in Q2 FY2023. PCBL's average realization stood at Rs. 4.06/kWh . With commissioning of 12 meg awatt CP P at Tamil Nadu , power generation and sales volume would increase further going forward . PCBL also secured two patents in relation to oxidized and surface-modified grades, which further strengthens the specialty portfolio of the company . Oxidized grades hav e applications in ink and coating applications while the surface-modified gr ades improve fuel efficiency and t yre life. Long-term prospects of specialty segment look very positive and we believe that there would be adequate business potential to s ustain th e growth momentum . Considering the changes in global supply chain and consumption pattern, demand and margins in this segment should continue to remain strong . Structurally we are increasing resource allocation t o this segment .
Let me now talk abo ut curren t market scenario and o utlook . Domestic tyre segment demand continues to remain r obust on the back of healthy performance of both OEM and replacement segment . We expect the upcoming festive season to provide further boost to auto sales. Industry 's long-term demand supply scenario continue d to look favor able. T he industry is going to re main in a tight s upply situation for years to come. Only one major concern that remains in the worsening geopol itical scenario while we do not have much trade with co nflicting countries there may be indirect impact due to trade r oute disruptions , high oil prices and inflation . We remain watchful of the developing situation and continue to work on strengthening our supply chain, improvement in our product mix, and cost optimizat ion initiative s within the company . With this I conclude and open the floor for your quer ies. Thank you so much.
Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Aditya Khetan from SM IFS Institution al. Please go ahead.
 Aditya Khetan : Yes, thank you for the opportunity . Sir first question is onto the specialty black volume on quarter -on-quarter basis t here is almost a 30 % jump into specialty black volume but despite this our gross spread has been almost flattish like I believe this is commanding almost two times the gross margins as compared to the conventional grade so this jump in volumes has not been translated into your gross spreads ?
Raj Gupta : The gross spread has gone up. What you are looking at is the c onsolidated number s and Tamil Nadu still is not fully operational . Though we commissioned the line towards the end of September we still do not have approval s from major customers . It is more of spot market sales and realizati on is a tad less than what normally we get in P CBL so that is also kind of havin g a pul ling down effect on the gross margin . But having said that overall gross margin has gone up on a standa lone basis , and which will be more reflective of the change in product mix. O ur gross margin per tonne h as gone up from roughly Rs.33,700 to Rs.34,700, so there is around Rs.1000 improvement in the gross margin.
Aditya Khetan : On quarter -on-quarter basis also the domestic sales volume has been flattish so what is the reason for that?
Raj Gupta : Domestic m arket continues to remain a little oversupplied , lot of capac ities came up in las

t
two years and therefore we are p ushing more materi al in overseas m arket .
Aditya Khetan : Any recent comp etitor s which have expanded the capacity recently ?
Raj Gupta : In last two years most of the manu facturers added capacity , Epsilon capacity came up , Continental added capacity , Himadri added some capacity , BKT added capacity and we also added capacity .. if you look at our performance from overall capacity utilization perspective, we are almost operati ng, if you leave aside the T amil Nadu plant which has got recently commissioned) most of our facilities at almost full capaci ty.
Aditya Khetan : On to the gross spread guidance like you had said earlier that that wo uld improve by Rs. 1 per kilo for the next 2 to 3 years so does t hat hold right now because currently only we are stand ing at a very high spread number so that will rem ain constant or how you see that going ahead ?
Raj Gupta : Long-term gu idance remains as is . There is no change in long -term guidance and we believe

that we shou ld be able to deliver that .
Aditya Khetan : Last question from my side. On to the export market I believe we are selling almost 15 % to 20% to Europe and some of the quantities also into t he United States so we are facing some issues like demand issues or an y sort of short -term hiccups which is like ho lding back your
 volumes over there and that could improve over the short term like how is the trend and demand into this international market ?
Raj Gupta : This should be looked at from two different point of view . One is long -term strategy of the company - so in Europe we did not have much of the market and structurally we are trying to become big in Europe . So going forward if you are talking abou t next four to five years perspective, Europe certainly has lot of potential and going to become big market for us. In short term , because of all the volatilities which a re there in the market , our objective is to ensure high capacity utilization . So whichever geographies offers scope and potential we will move o ur mater ials there.
Aditya Khetan : So currently the market s are weak or..
Raj Gupta : Geography wise … in the int erim I think , but structurally we are fo cusing big way on Europe and therefore we have al so opened up our own offices in a number of countries there.
Aditya Khetan : Thank you. That is it from m ine.
Moderator : Thank you. The next question is from the line of Riya from Aequitas Investments . Please go ahead.
Riya : Thank you for giving me the opportunity and congratulation on good volumes and specialty after a long time . My first question is in regards with demand coming from the international market, w e are seeing volume growth here so which geography are we seeing this particularly I suppose you just mentioned about Europe so could you elaborate more?
Raj Gu pta: We are present in more than 50 c ountries now . Like I said all geographies are important for us but w e are trying to focus more on markets w hich holds bigger potential and where our market share is still not as high as we would have wanted . In the interim, till the time th ese global trade disruptions or slowdown is continuing we will have to ensure highe r capacity utilization by looking at opportunities wherever it is available and structur ally in some of the geographies we see big potential where we are investing in our own supply chain capabil ity which will create foundation for larger volume in these geography for us.
Riya: Right so this particular quar ter no one geography contribut ed majorly for the growth?
Raj Gupta : No, it is a m ix of all the countr ies and Asia Pacific still remains big for us.
Riya : Asia Pacific was the major ?
 Raj Gupta : Yes it is major . It is accounts almost 70% of market of overseas market .
Riya : In terms of specialty black , newer capacity and addition al 20,000 phase two when do w e expect that to come?
Raj Gupta : It will take I guess about a year’s time.
Riya : So maybe ar ound October 2 024?
Raj Gupta : Yes around four quarter s’ time.
Riya : Do we se e this kind of 16,000 tonnes quarterly run rate for specialty to sustain ?
Raj Gupta : We will hold on to our yearly guidance. I think we should be able to deliver that.
Riya : Because I think for Q4 we ha d guided for 16,000 so we have already achieved that so just want ed to have a true sense for it.
Raj Gupta : As I said we hold o n to our guidance.
Riya : In terms of margins like specialty since we have got two ne w patents could you elaborate more on that , what kind of process patents are there, any quantitative numbers if you could give across that what kind of cost sa ving or some thing like that value added would give us?
Raj Gupta : These are kind of ne wer grades in the market and the potential for volumes in these gr ades would increase gradually . As of now based on our capa bility, we see may be volume of 6,000 tonnes annually. In terms of market potential , I am talking about us specifically , so initiall y it will be about 2000- 3000 tonnes and in two to three years time we expect to reach 6-7,000 tonnes .
Riya : Thank you. That is it from mine.
Moderator : Thank you. The next question is from the line of Jatin Damania from Svan Investment Managers . Please go ahead.
Jatin Damania: Thank you for the opportunity and congrats on good set of number s. Sir carryin g on to the previous participant’s questions in terms of the pa tented products , now since you i ndicated that the volume will be 6000 per tonne but can you help us in understanding what would be

the margin or the EBITDA per tonne as compared to the current product mix on the patented produc t?
 Raj Gupta : I can give you an indication because it is a re cently launch ed grade . We have just p atented it and just introduced it in the m arket . Our expectation is that it will be around maybe $1200 to $1300 kind of contribution per tonne.
Jatin Damania: So that will be about 4-5x at the current base rate you can assume it right ?
Raj Gupta : Yes roughly .
Jatin Damania: Second question now with the ramp u p of Tamil Nadu and the Chenna i facility that will be starting in October 2024 so if one were to look at the longer term h orizon of 4 years to 5 years down the line what are the volume growth drivers one should assume , are we planning to l ook at some a cquisitions or looking at some another round of expansion of Tamil Nadu o r Chennai for the base grade and the specialty grade?
Raj Gupta : With the kind of potential, whic h is there in the market , we believe that we will have to keep adding capacity ev ery y ear. Sometimes it can be through Brownfield , sometime it could be Greenfield . And in terms of inorganic opportunity if something comes up, there is nothing available in the market a s such, but if something comes up at a valuation which is acceptable t o us and if the portfolio is right , we may also consider that .
Jatin Damania: With the c urrent land bank what we have, what is the i ncremental expansion w e can carry on in the base grade and the specialty grade ?
Kaushik Roy : I will te ll you both rubber black as well as speci alty. Down south in Tamil Nadu we can add another 90,000 tonnes of Brownfield capacity . It will be mostly rubber grade for t yre application and industrial app lication . As far as specialty is concerned , we are already working on this additiona l capacity in Mundra which should be ready within a year 's time and in paral lel we h ave started to look at the possibility to add something more over there . We have still n ot decided on the exact capacity or the react or design so cannot ma

ke any comment beyond tha t at this point of time on specialty.
Jatin Damania: So as of now you can probably go with 20 ,000 tonnes of specialty until October 2024 and rubber black of incremental 90,000 whenever we decide in the future, right ?
Kaushik Roy: 90,000 additional rubber black facility o ver a period of say next year or two years ' time maxim um.
Jatin Damania: Sure Sir. T hank you. T hat is all from my side. I will come back in the queue.
 Moderator : Thank you. The next question is f rom the line of Sanjesh Jain f rom ICICI Securities. Please go ahead.
Sanjesh Jain : Good afternoon, Sir. Thanks for taking my question . Starting with our energized brand which is a b attery chemical earlier I thin k a quarter or two back you said that we are very close and now we have supplied the sample can you ca n you elaborate more particularly in battery chemical what is the component we are looking at it, what is the present opportunity, how critical that element is and what does our internal assessment t alks about our ability and what are the other opportunity within the battery if at all we are looking beyond this product ?
Raj Gupta : So Sanjesh in market currently there are three types of battery technology. One is the old technology, which is dry cell, the second one is lead aci d battery which is s econd generation battery technology and the latest one is lithium -ion technology which is the ion batteries with high power storage and all . We already have done great work catering to the first - generati on battery dry cell. W hat we have devel oped now is going to cater to the second generation and the third -generation battery . See there are different kind of grades which can be manufactured and w e are targeting grades with more capacit y so the grade that we have launched is kind of interim capacity or little less than where we would have wanted the conductivity in these particles . While this will cater to lithium -ion batteries also but this will be like low end of lithi um batteries not t he really high end T esla kind of batteries . Those grades are still at the lab level in our R &D lab and this Energia grade that we have launched , we have already given the samples to one of a very large EV manufactu rers who also is into ba ttery cell manufactu ring. Lab level testing was successful at their end and now they ar e testing it at industrial scale.
Sanjesh Jain : Fair enough, fair enough that is quite useful . The second one is o n the specialty there has been a sharp acceleration in the volume wha t is driving it more of a coating or pigment which is rubber what within the specialty is driving this growth and what are in the catalyst because it has been a very smooth and steady growth but it looks like there is a step of jump this quar ter can you elaborate more on that ?

Raj Gupta : One is we got additional capacities Sanj esh during th e quarter. This Mundra specialty line getting commission ed, that gave us this capacity cushion. S econ d, generally demand for high end things have gone up, be it fabric , be i t automotive and all so that is where s pecialty gets consumed . Moreover our market penetration has also increased . We have added a number of customers . The foundation was already laid when we gave the annual guidance
 about the volumes, etc. Most of the w ork was already done so now that we have capacity, we are able to sell more volume.
Sanjesh Jain : The guidance was that we will sell 10,000 metric tonne more versus pr evious quarter and in one quarter we have sold 5000 more it appears that we are way ahead of our guidance .
Raj Gupta : Our annual guidance Sanjesh for 50,000 to 55,000 tonnes of specialty and we remain on track so the first 6 months volume is about close to that 2 7,500 tonn

es .
Sanjesh Jain : The number is 10,000 additional but got the point and numbe r three on the operating cost particularly now that the Tamil Nadu has come in but our total operating cost sequentially has come down . Can you explain that Raj how is that ?
Raj Gupta : Our operating cost structure remains very lean and cost structure s if we were to discu ss not only operating but overall cost structure, we expect about Rs. 45 Crores of depreciation on a full year basis roughly about Rs. 35 Crores o f interest cost and another 40 o dd crore of plant maintenance cost , manpower etc.
Sanjesh Jain : If you look at other expenses last quarter was Rs. 149 Crores this quarter is Rs.144 Crores while we have operated the first phase of Chennai plant for the full who le quarter this quarter this was not here for the last quarter and yet our other expenses has declined by 5 Crores.
Raj Gupta : You are talking abo ut the other expenses right so last quarter there were some fees, etc., also which was paid during the quarter and which appeared here which was more of a one - off.
Sanjesh Jain : Got it so this Rs. 144 Crores is a steady state from here on or because of phase t wo there will be a little bit more increase?
Raj Gupta : So, the current quarter is reflective of the an nual run rate.
Sanjesh Jain : This will be for the full operational plan t, right?
Raj Gupta : Yes.
Sanjesh Jain: We were suppos ed to commission 24 megawatt o f power we have started with 12, the other 12 should c ommission soon?
 Raj Gupta : It should take us about 3 to 4 months more .
Sanjesh Jain : That is fair and one last question on the global market . Europe is supposed to remove t hat quota of buying from Russia starting I think if I remember like July of next year are we in active discussion with the large player European to have long-term contract for buying carbon black and hence ramping up Chennai facility faster than what we th ought . I think even in this qua rter we are already at a 50% uti lization which I think is a very good run rate to start with , you expect this ramp up to be much sooner than what we have ear lier anticipated ?
Raj Gupta : The major hurdle now in way of capaci ty utilization , I would say , is approval from major tyre customer s. And it is more of the process, which is taking time , not a ny problem as such which is delaying the process . The normal process itself takes abou t two to three qu arters time for all the approvals to come by and t yre accounts for almost 65% of volume s. We believe in next three to four quarters ’ time we should reach 80% capacity utilization and we expect gradual ramp up from here on so whatever volum e we have been able to do in current quarter , next quarter vol ume should be better from the cu rrent quarter and fourth quarter should be even better.
Sanjesh Jain : So, the emphasi s is what more domestic customer or more European customer , Chennai is a swee t spot for us right considering the port we are very close to t he port?
Raj Gupta : Geographica l mix Sanjesh would remain more or less similar , so maybe about two third is domestic market and one third is international m arket . In the interim , till the time we have appro val from all the tyre customers in the domestic market , we are just trying to utiliz e capacity by s elling more in international m arket .
Sanjesh Jain : Got it. F air enough . Thanks for answering all my questions and best of luck for the coming quarters.
Moderator : Thank you. The next question i s from the line of Dhiral from Phillip Capital PCG. Please go ahead.
Dhiral : Good evening, Sir. Thanks for the opportunity. S ir in next three to four quarters you talked

about Tamil Nadu plant will reach 80% utilization am I r ight?
Raj Gupta : Yes.
Dhiral : So, this is overall 147,000 tonne you are talkin g about ?
 Raj Gupta : This product mix and all the real capacity would be somewhere around 1 ,25,000 to 1,30,000 tonnes roughly 10,500 tonnes a month roughly.
Dhiral: Got your point S ir and any debt reduction plan in ne xt two or three quarter s since we have generated a very good cash flow ?
Raj Gupta : If you look at our debt equity ratio leveragin g is hardly there, I think 0.2 2 on a standalone basis.
Dhiral : So, going ahead our working capital which is there at our short term borrowing which is around Rs.550 Crores that would remain same or we would like to use from the internal accrual ?
Raj Gupta : If you look at total debt, we had on a net basis we had just about Rs.650 odd Crores of debt as of September 30, 2023, and the cost of debt is also very competitive . Our average borrowing cost is sub e ight, long-term, short -term all included . And like we mentioned that we are on a high growth path in our mix, five to seven y ears we expect to add capacity almost every year , so some d ebt would remain on book . But philosophy w ise we want to go down on debt . Maybe once we are through with our capacity expa nsion program me, then we will pair debt completely.
Dhiral : Just last one q uestion Sir for the domest ic market particularly do we expect any high er volume growth at least for th e next few quarter s since the capacity has been added even by the other peer as you talked about so what kind of volume growth we are expecting in domesti c market ?
Raj Gupta : I wou ld not say domestic or international but our focus would be to ensure high-capacity utilization and the guidance that we gave for the full year we are on track to achieve that.
Dhiral : Thank you so much Sir.
Moderator : Thank you. The next question is from the line of Sailesh Raja from B&K Securities . Please go ahead.
Sailesh Raja : Yes, thanks for the opportunity . Sir I have two questions you are saying only gradual ramp up production from Chennai facility but due to lower tax rate and also expect a better production yield in Chennai facility is it pos sible to shift the production from existing plants to new C hennai facility , also I need to understand basically how easy to get the customer approval for s hifting the product ion and how long it will take to get c ustomer approval for change in production fa cility and also with each custo mer we will be taking approval for all
 our facilities or particular customer will be taking approval only from the particular facility will be supplying, so how this will work in our industry can you explain it will be helpful ?
Raj Gupta : You are right Sai lesh that Ta mil Nadu from tax point of view is more efficient . And when I say gradual ramping up of volume it is only because of the process involved in the grade approval right - the quality approval by the major tyre customer. So even if we vacate PCBL capacity does not mean that we can utilize Tamil Nadu capacity and we believe in next 6 to 8 we eks' time these approvals should start coming in. And once we have these approvals then the ramping up would be faster. W hen I say 4 to 6 quarters it is little conse rvative maybe we will be able to achieve faster ramping up. W e feel that there can be few things which we may not factor in now and therefore it is bett er not to create expectations of full capacity utilization before that . But our focus would be to ens ure to get thos e approvals faster and utilize capacity to the maximum as possible.
Sailesh Raja : Great Sir. Sir my second question for the incremental volume growth for next two years so how much you are betting on new customer wins and how much it will come from increas ing share of business from existing customers in percentage terms if you could give us it will be very helpful and also in Europe we are expecting orders fr

om new customer s or again their increase in share of business with existing customers and also can y ou share what is our landed cost there in Europe versus Russian carbon black next two years how much volumes you are expecting from Europe M arket due to this ban on Russia n carbon black from next year can you explain this?
Raj Gupta : Sailesh so far as our customers are concerned , domestic or i nternational , we are already there. We have existing relationship with most of them and therefore , in that space, new customer addition w ill not be many ; there will not be too man y. New customer addition is

mainly happeni ng in the area of performance and specialty grades w here we are also launching new grades every year . In terms of potential in Europe , like I said that we look at Europe a s geography with large potential . And we have been in last 3, 4 years started invest ing in our supply chain capability there . So that holds potential. O ur aspiration is to increase our volume from the current level to at l east 2x in next two years' time .And it is growing rapidly , like I said 2 to 3 years back we were hardly d oing any vol ume, o ur share of Europe in overall international volume s was just about 3-4% and from there last year we clocked 14%. Europe currently is going t hrough a slowdown so therefore , this year may not be the ri ght year to track performance in term s of volume growth, etc., but structurally it holds lot of po tential and that is how we are looking at these geographies. We are building up and setting up our own office s. We are inv esting in distribution capabilities .
Sailesh Raja : What is our landed cost difference between PC BL or any Russian carbon black?
 Raj Gupta : We are competitive. L anded cost would also depend on what grade we are supplying. I n terms of logistics cost we incur red just about $4 0 to $50 a tonne and which is not much because even when we are suppl ying in domestic markets to tyre customer ,, our average cost works out to around Rs. 2500 to Rs. 3000 so if we are incurring $40 to $50 it doe s not have impact on the margin s.
Sailesh Ra ja: Thanks .
Moderator : Thank you. The next question is fr om the line of Balasubramanian from Arihant Capital . Please go ahead.
Balasubramanian: Good evening, Sir. Thank you so much for the opportunity. I am new t o this company. Sir, I just want to understand how much we have invested for this Chennai and Mundra plan t and what kind of asset turn we can expect in these investments ?
Raj Gupta : Mundra this capacity addi tion is happening in two phases . One is already commissioned and the s econd will come up i n a year's time. B etween these two lines we esti mate a capit al outlay of about Rs.330 Crores to Rs.340 odd Crores. A good part of that is already spent about Rs.220 odd Crores is already spent because lot of infrast ructure is common. Tamil Nadu, we expect t he overall project cost to be about Rs. 950-1000 odd Crores but then again, the spending that we are doing will also kind of have some kind of civil infrastructure creation for the next phase of Brownfield expansion.
Balasubramanian: Sir what kind of asset turn we may expect in those investments ?
Raj Gup ta: On a ful l capacity utilization basis and at current crude prices we expect to generate about Rs.1400 Crores kind of revenue on a full year basis from Chennai .
Bala subramanian: Including both investments right Sir this Rs.950 Crores and another Rs.340 C rores?
Raj G upta : That Rs.200 Crores is Mundra this is not Chennai . So, I am talking about Chennai and on Mundra side we should be able to generate roughly about Rs.200 Crores kind of revenue.
Balasubramanian: Got it. T hank you.
Kaushik Roy : Annual revenue from that facility.
Balasubramanian: It is increased ?
Raj Gupta : From the phase one facility right.
 Balasubramanian: Overall in Mundra plant capacity like asset turn o r incremental rev enue around sa y Rs.200 Crores i ncremental revenue from Mundra facility or it is only for phase one or it's included in both?
Raj Gupta : Phase one. Rs.200 Crores .
Balasubramanian: What about phase two Sir?
Raj Gupta : Phase two the line is s till under design, so it will also depend on the product mix and all. We expect a s imilar kind of revenue from that line also.
Balasubramanian: Got it. Thank you.
Moderator : Thank you. The next question is from the line of Deepak Poddar from Sapphire Capi tal. Please go ahead.
Deepak P oddar: Thank you very much Sir for this op portunity. S ir first of all I just wanted to understand this quarter our EBITDA per tonne was around Rs. 18,200 odd and I think the mix of specialty was also h igh in this quarter so jus t wanted to understand what sort of sustainable EBITDA per tonne we are looking at maybe this year or next year as we also tend to increase the share of specialty volume?
Raj Gupta : So, this is sustainable . The market is not in best of the situation currently. The domestic market remai ns oversupplied and international market w e all know t here are problems. There are geopolitical issues, t here are gr owth issues with global economy, right , and therefore whatever we have made is not only sustainable but we expect that next three to

four ye ars because of changing product mix, increas ing efficien cy and operating leverage
we can further improve on it.
Deepak Poddar: Would we look to t arget 20,000 kind of a range in next two to three years ?
Raj Gupta : Yes, our guidance was 2027 we ex pect it to be around that level. I t may happen before t hat also.
Deepak Poddar: Fair enough and in terms of volume overall at the company level what sort of growth we are expecting over the next two years I think we were at about 4 ,50,000 rig ht in FY2023 and
we do look to improve our capacity utilization as you mentioned in one of the comment s?
Raj Gupta : So, we believe that next five to six years we can grow at lower d ouble digit, may be 12% to 13% kind of growth.
 Deepak Poddar: 12% to 13 % volume growth CAGR right ?
Raj Gupta : Yes.
Deepak Poddar: That is very he lpful Sir. I think that is it from my side . All the very bes t to you. T hank you .
Moderator : Thank you. The next question is from the line of Vallabhee Rungta from Robo Capital.
Please go ahead.
Vallabhee Rungta: Sir other day I was reading this article like which says that some of your clients are talking about switching to s ilica instead of using carbon black so I would like to have your view on
this and what price diffe rence this silicon c arbon black per kg or per metric difference you
are seeing if you co uld guide on that?
Raj Gupta : See silica has been there since ages. This is not a new ly discovered material and while
carbon black has both adhesive and binder ability, s ilica on its own does not have that
adhesive capability and therefore it require s to be mixed with s ome other additive s for it to
be used in tyre compounds. A lso, it is very corros ive for ty re equipment and t herefore , even
now, most of the ty re companies are u sing onl y very small portion of silica in their t yre
compound and that too from showing that they are adopting green practices. F rom that
perspective it is not a replacement in real terms.
Vallabhee Rungta: Got it. Thank you.
Moderator : Thank you. The next questio n is from t he lin e of Omkar Kamtekar from Bonanza. Please go ahead.
Omkar Kam tekar: Thank you for taking my question so first question is say about three or four quarters down the line what would be the blended capacity utilization of all say our total cap acity currently
stand at 770 metric tonnes so what would be the one year down th

e line b lended capacity
utiliz ation?
Raj Gupta : I guess in four to six quarter s time we should be reaching our full capacity utilization but
then this 770 is the installed capacity which can be achieved only if we were to manufacture
one gr ade all the time. The mix that we have we can go up to maybe 625 ,000 to 630,000
tons, that is maximum that we can achieve. In four to six quarter s' time, we should be
reaching the fu ll capacity .
Omkar Kamteka r: Would it be possible to give a segment wise c apacity breaku p as to how much of the total capacity is for specialty black , rubber black and others is it possible?
 Raj Gupta : Specialty as of now we have 9 2,000 ton nes and in a year's time we will have anot her 20,000 ton nes. I am talking about in terms of the gross ca pacity right the breakup of 770
and the rest is capacity which is fungible between tyre grades and performance gr ade.
Omkar Kamtekar: Okay so 92 is the current specialty black plu s 20 which will be coming about in a year's time and the rest is fungible that is correct okay and finally with respect to from a longer
term horizon this was covered to a certain extent by the comment in the previous question
so 20,000 co uld be achieved say by FY2025 an d it will be an optimistic thing based on the
crude oil being benign and our growth being in double digits so we can reach say a
quarterly run rate of revenue closer to Rs.1600 Crores or Rs.1700 Crores would that be a
fair a ssumption?
Raj Gu pta: Yes, that is possible so if crude w ere to remain stable then volume grow th will reflect on the topline. If we are saying 12 % to 13% CAGR volume growth that would reflect on our
topline if crude prices were to remain the same and if there was no change in our prod uct
mix.
Omkar Kamtekar: So, product mix would also play a big role ye s you are right on it?
Raj Gupta : Our product mix is also improving.
Omkar Kamtekar: On the product mix the specialty black what is the EBITDA per tonne on the specialty black can you di sclose it?
Raj G upta : We roughly make about 2 to 2.5x of our tyre grad e margin.

Omkar Kamtekar: Thank you. That is it from my side.
Moderator : Thank you. The next question is from the line of Harsheel Mehta from Mehta Vakil and Company Private Limited . Please go ahead.
Harsheel Mehta: Good evening, Sir. L ately we have been reading a lot about the chemical industry being affected in general by dumping by Chinese companies is this something that affects us for our portfolio products or is it somet hing that th e Chinese industry is no longer as competitive or carbon bla ck and s pecialty bla ck?
Raj Gupta : See in our space what we are discussing is that their cost structure is adversely changing for them and th erefore last five to six years they have no t been very p rominent in terms of pushing their material in India and surrounding ge ograph ies. 30% to 35% of our volumes we are selling in the overseas market , which is a level playing field. E ven in India there is
 no antidumping duty now , despite that, we could , not only increase our volumes in overseas market but also improve our margin . So that is a reflection of improvement in our capability and also simultaneously some problem s that are there in China . What we u nderstand is that their cos t structure is now not suppor ting this industry and therefore there is a structural consolidati on which is taking place . So while they still hold largest capacity globally , but in terms of price competitiveness , they are not where they were five to s even years back.
Harsh eel Mehta: Thank you so much.
Moderator : Thank you. The next question is from the line of Mahesh Attal from Attal & Associates . Please go ahead.
Mahesh Attal: Congrat ulations on a good set of numbers. Basically the

thing is that what is the lookout for the Masterbatch industry , we are the biggest supplier to the M asterbatch industry and l ately we are seeing that there is a huge demand of black m aster batch coming in the market so what is the growth coming from there and also I w as just wondering like we are already supplying to t yre industry and all that industry since a long time , are there any new channels opening up for us as a company where we are seeing that there is huge demand maybe in future it may come up or are you also in talk s, as a industry we ar e able to supply to entire industry as such , I am talking about the opening up of new chan nels so if you can elaborate on?
Raj Gupta : In terms of opening up of new channel , there are lot of new er solutions that we have be en creating t hrough our R&D initiat ive and earlier like primary use of carbon black were in tyres and rubbers and now it caters to all sorts of different industries. I n terms of the latest evolving opportunity, it is the conduc tive statement. T he battery s torage indust ry is growing very rap idly and that creates a large opportunity and that is where currently our company is focus ed upon . So a lot of work is happening on that front. I n terms of your question on masterbatch I will not be able to comment on that. Maybe I will revert to you once I have spoken with our specialty marketing head . Maybe he will have some view on that .
Mahesh Attal: Just to add on to this s o when you say that th is conductor industry itself is so big that you are also working in that d irection so are we just looking at domestic market or we are opening up the entire world markets for this partic ular segment ?
Raj Gupta : No M ahesh we do not consider India as our only market. We are a global company and we consider the entire globe to be our market. E ven now almost 70% of o ur specialty volumes are sold ou tside India and we have a very strong custome r connect an d supply chain network outside India globally . In fact so the opportunity is everywhere not only in India.
 Mahesh Attal: Do you see that Indian markets growing in this particular segment ?
Raj Gupta : Yes, India is also growing rapidly but I think this opportunity is evolving across all geographies ; most of Europe, Asian countries and India included.
Mahesh Attal: Alright Sir. Thank you.
Moderator : Thank you. The next question is from the line o f Radha from B&K Securities . Please go ahead .
Radha: Sir thank you for the opportunity and congratulations on good results. Sir I wanted to ask on that patented products you mentioned that we could do 7K to 8K tonne , now every year in specialty we wanted t o increase our volumes broadly by 10K ton nes so is that included in this 10K or it will be over and above that ?
Raj Gupta : See when we give long term guidance Radha it is like somethi ng where we have very high level of confidence , right , and this is usually a conservative guidance. N ow the grade s that we have lau nched and we got patented are grade s which got developed in our R&D lab . But having said that every year we are laun ching some 8 to 10 new grades so it is just part of those new innovation or products which we are developing every year . So I would not say

whether this will be outside that guidance which was given to you. O ur efforts will be to
obviously maximize the opportunity which is there , right , but we believe that 10,000 ton nes
incremental vo lume every year is something that we should be able to achieve.
Radha: The production of this will start from ?
Raj Gupta : Production has already started. F or these two g rades production has already started .
Radha: I wanted to unders tand now that all the ca pacities that are expected to be commissioned for
this y ear is done so what would be the maintenance capex expected from

this year onward s?
Raj Gupta : We incur about roughly Rs.12 Crores to Rs.13 Crores of maintenance capex per plan t every
year. Now that we have five plan ts, it should be around Rs.60 Crore s to Rs.65 Crores
annually.
Radha: Lastly just wanted to confirm if I heard it right the Chennai plant volumes for first half
FY2024 would be 14k ton nes which is 5K in 1Q and the remaining in 2Q?
Raj Gupta : Correct.
 Radha: Lastly in Mundra we d o have some extra land so for that extra l and just wanted to know
whether we are looking in future if we do extend after p hase two so will we be expanding in
specialty products or are we looking for some other ne w opportunities ?
Raj Gupta : In all likelihoo d it will be a specialty line only.
Radha: Thank you Sir. That is all from my side and all the best.
Modera tor: Thank you. Ladies and gentlemen that was the last question for today. O n behalf of ICICI
Securities that concludes this conference. T hank you for joining us . You may now
disconnect your lines.

Call: Nov 2023

"PCBL Limited

Conference Call"
November 28 , 202 3

MANAGEMENT : DR. SANJIV GOENKA – CHAIRMAN – PCBL LIMITED
MR. KAUSHIK ROY – MANAGING DIRECTOR – PCBL
LIMITED
MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER – PCBL
LIMITED
MR. SAKET SAH – HEAD, INVESTOR RELATIONS
MR. PANKAJ KEDIA – VICE PRESIDENT , INVESTOR
RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the PCBL Limited conference call. Present on the call would be Dr. Sanjiv Goenka, Chairman; Mr. Kaushik Roy, Managing Director; Mr. Raj Gupta, CFO; Mr. Saket Sah, Head, Investor Relations; Mr. Pankaj Kedia, Vi ce President, Investor Relations.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
Please note that this conference is being recorded. I now hand the conference over to Dr. Sanjiv Goenka, Chairman, PCBL Limited. Thank you, and over to you, sir.
Sanjiv Goenka: Thank you, and good afternoon, and welcome, and thank you so much for joining us at short notice. It's always a pleasure to meet all of you. And many of you have been very strong supporters of the group and off late the PCBL a nd I thought it's only fair that I share with you some important developments at PCBL.
The last time I had interacted with you all, I had shared with you the very strong growth track that we have for PCBL and the Carbon Black business, the addition of specialty chemicals and specialty blacks. So, that was a shift from Commodity Blacks to Specialty Bla cks. Growth in volume -- and the target remains over the next few years to get to 1 million tons .
The growth in volumes, change in product mix to shift to specialty Carbon Blacks and value - added products for specialty use with higher margins and to shift platforms, and this is something that I've been talking about for the last several months. We have to shift platforms from Carbon Black. And it is with that in mind that I thought I must share with you a very exciting development today.
We signed a share purchase agreement with a company called Aquapharm, which is based out of Pune, which is largely involved in chemicals. In phosphonates, in oil and gas chemicals, in polymers and gives us access to a different platform , where we can shift from the carbon molecule to phosphorous molecule to the amino acid molecules. So, this is a very significant step in our company's journey towards getting away from pure commodity carbon black to specialty chemicals.
Aquapharm is a company which has revenues of INR 2,045 crores a nd this year, will have an projected EBITDA of INR 370 crores, slightly lower than last year's EBITDA. The gross margins are at about 31%. The EBITDA margins are 20%. The plants -- the principal plant is in America with two other plants in Saudi Arabia and India. Phosphonates are used in soaps, detergents, water treatment, desalination and the main customer base for Aquapharm is Procter & Gamble, Unilever, Henkel, Reckitt. It is a world leader. It's number two in the world and is in the area of specialty chemicals.

Phosphonates is 53% of the portfolio; oil and gas chemicals is 25% and polymers, rest. We are paying or we have agreed to pay a sum of INR3,800 crores, which is -- which amounts to 9.1x

current EBITDA levels and 8.5x ' FY25 EBITDA levels. Between PCBL and Aquapharm, over the next 30 months, the cash flows would be adequate to take care of this entire acquisition cost. Let me also remind you that PCBL sits on a certain amount of INR 450 crores of liquid cash at this point in time. And Aquapharm has no borrowings whatsoever, it 's a debt free; and PCBL has only working capital borrowings. The exciting thing about this is that it accelerates our growth. It helps in future -proofing our portfolio within products which are sustainable, so, A; sustainability; and B; decarbonization.

Green chelates is something that 's very, very exciting, e

xtremely exciting. It 's biodegradable.

It's sustainable. It 's green. So green chelates are biodegradable chelating agents, which improve detergency. The global market for this product is 1,30,000 tons as it stands. Aquapharm today is at 3,300 tons . The growth rates are interesting. The headroom for growth is enormous. And the plan is to increase it to 20x over the next 5 years; 20x of the current production of 3,300 tons .

Water -soluble polymers is something that also offers a very exciting opportunity, 35% contributions. The global market is 4 lakh tons . Aquapharm 's capacity is currently 4,000 tons . So again, significant headroom for growth. Global leaders who are customers, plants, which are diversified with global supply chain and in Chemicals, which are high in value, high in contribution, high on growth rates.

So, you have Commodity Blacks, which are stable; then you have Specialty Blacks , which are very high in terms of contribution and high in terms of growth; and you have expansion there, and now you have another platform, which is the phosphorous molecule and the amino acid

molecule platform.

And this calls for even stronger growth. So, it's a huge opportunity. It 's both margins accretive and earnings accretive. So , I think overall, this is a unique opportunity for us. We decided to sign the share purchase agreement and I thought I must take you into confidence. So immediately after the Board met and approved the transaction , I'm having this call with you. These are the

broad outlines of the transaction, which, as I said, to my mind, is extremely bullish for the company, puts us in a different area, but with synergies, synergies on the supply chain, synergies on manufacturing processes , operational synergies.

And we do believe , we can add value to Aquapharm from where it is. And so combined, to repeat, it will be both margins and earnings accretive. So that in a nutshell is what I wanted to share with you. I'm now opening to answering questions that you might have. I 'm there. The PCBL team is there, my Investor Relations team is there, and we will all together try and answer as many questions as you might have. So over to you.

Mod erator : Thank you very much. Our first question is from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta : Congratulations on such a big move in the company. Sir, many questions, but I will restrict myself to two to three . Sir, first is that we are in a specialty black business while we have been continuously focusing more towards specialty chemicals, but this move that it 's a completely

unrelated chemical chemistry and product basket also catering to different set of industries. So what value addition PCBL can bring in here?

Also , in terms of the end user industries and the business profile, the company is quite – the product category is also quite different catering to detergents and other industry cleaner materials. So how do we see that the synergy will be achieved from our current business? And

how do you see that the focus of the group is going to change over a period of next two to three years? That is one.

Sanjiv Goenka: Yes. Okay. Thank you, Rohan. Very simple. First, this product is – this company is number two in the world, in the areas in which it operates. So, it's a global leader. It has critical mass. It is supplying to P&G, Unilever, Henkel, Reckitt, so all global leaders in their own right. So, it has a very good management , has a very good team , which is functional, successful , operational , where we can bring immediate contribution is in the manufacturing process, which is very robust but we do beli eve we can improve it.

We do believe we can h elp in the procurement and the supply chain where we do believe there is some potential. But overall, it is our first step into getting into specialty chemicals. A

nd as I
said, future proofing the portfolio of PCBL . So, it should be commodity blacks we got into specialty blacks and now from getting out of – I mean, remaining in black, growing there but getting into chemicals.

Rohan Gupta : Sir, second is that you mentioned that the payment terms would be over the next 20 months of the entire sum of the money. If you can just shed more light on that, that how much you have plans to fund it through debt? And what is the payment terms? How it w ill be paid over a period of time?

Sanjiv Goenka: Well, initially, we will take debt. But let me just say that combined on a conservative basis over the next 30 months, we expect the two companies to have EBITDAs of INR4,000 crores -plus. The acquisition cost is INR3,800 crores. Both the companies are debt free. So, over the next 30 months, we anyway expect the debt to be completely paid.

But I do believe that we would actually be repaying before that. I am personally very debt averse. I have said that time and time again. I'm uncomfortable when we have debt. I frankly don't get sleep if we have debt. So, most of our companies, you will see our long-term debt free. And that is the way PCBL has been, that is the way it will be. So, there is a short -term debt that we will have. But hopefully, well before 30 months, we should be debt free. And we have INR 450 crores liquid cash lying with us at this point in time.

Rohan Gupta : Sir, this INR3,800 crores, you said that will be paid over a period of 20 months? What will be the payment terms?

Sanjiv Goenka: No, no, no. INR3,800 crores – see, so we 've signed the share purchase agreement. Now , over the next 3 months, we expect the transaction to get closed when we pay the INR3,800 crores and which will be funded by a borrowing at this point in time and the cash that we have, as it stands

in PCBL. And over the next 30 months, we will repay the entire borrowing and maybe we will repay it even before.

Rohan Gupta : Sir, with a such a strong margins and as you mentioned that they' re number two position in a global business, the reason for sale of this business would have been?

Sanjiv Goenka: Well, what we were told is that the current promoters, it was a joint venture between two families. The family had many branches. And as it sometimes happens in families, which become large, they want to cash out. So I can tell you that there were three people bidding, and we did not overbid. Our bid was the same as our bid as our next competitor's bid. But the Aquapharm ownership preferred to deal with us because they were more sure of our credibility and our reputation than our nearest competitor.

Rohan Gupta : Sir, just last bit then I'll come back in the queue...

Sanjiv Goenka: Both bids were exactly the same amount.

Rohan Gupta : Okay. Sir, just last bit, and I'll come back in queue. You mentioned statement, which I couldn't get that, the current capacity is roughly 3,300 tons and you have plans to increase it by 20x over the next 5 years? I couldn't get that ?

Sanjiv Goenka: That is in green chelates, so not phosphonates. That is in green chelates. The green chelates is a future product, which is biodegradable, it 's a biodegradable chelating agent which improves detergency. The global market for that, as it stands, is 1,30,000 to ns. Aquapharm 's capacity is 3,300 tons. We do believe that we have this. I 'm saying we, let say, Aquapharm has the ability to expand this to 65,000 to 70,000 tons, the market would then grow much more. And with that growth and Aquapharm 's credibility with the customers, we should be able to get that market share.

So that provides a huge growth. But when I'm talking of the cash flows for the next 30 months, that growth is not factored in. So we have been conservative in our forecast at this point in time.

We are not factoring in growth from additional capa

city expansion. We are factoring in contributions fro m things as they stand.

Rohan Gupta: Okay. Sir, just one small clarification on financial front, you mentioned that INR 370 crores is EBITDA on a INR 2,045 crores revenue. If you can just sort of give us what is the PBT and PAT number? And what is the cash profit from this Aquapharm, right now?

Sanjiv Goenka: So last year, I mean, March '23, the PAT was INR 280 crores. And this year, it 's still underway.

Rohan Gupta: And sir, out of INR 280 crores – what would have been the, sir, cash profit? I mean what is the tax part paid? The reason I'm trying to understand that the INR3,800 crores debt at the average debt cost of at least 9.5% to 10% whether this will be EPS accretive for our numbers or not?

Sanjiv Goenka: Yes, it would be. I mean those workings we will share with you very, very clearly. And we will send that data across to you, and it will be. And this is a bad year for the industry. Next year

should be a better year. So hopefully, cash flow should actually be higher than INR 370. In fact, the forecast is for higher and FY' 26 is even higher.
Moderator: Our next question is from the line of Krishan Parwani from JM Financial. Please go ahead.
Krishan Parwani : Firstly, congratulations on the acquisition. Just one question from my side. Since I think you mentioned that the promoters want to cash out. So just wanted to understand who would be running the show once we complete this acquisition in the next 2, 3 months, would the current promoters render any know -hows for some time? Or would we be running the show from day one?
Sanjiv Goenka: Well, the current promoters would be involved for a couple of years, at least the operating promoters. But it 's not just one individual who runs the company, it 's a whole team. So , the whole team exist s. And that team will be there. And – so I'm not at all concerned about the change in ownership. I do believe that the change in ownership can actually help in terms of some value addition in terms of manufacturing process, some value addition in terms of supply chain.
And hopefully, RPSG might bring some other practices, which might improve. So , I think as a group, the one thing we 've done very well is we managed acquisitions very well. So, I think this is something that is our core competence. It 's something that we 've done well over generation, frankly. And certainly, we 've done well with our last few acquisitions, including sports . So, we're looking forward to it. And we do believe this provides an area of huge opportunity for PCBL and its entire family of stakeholders and shareholders.
Krishan Parwani: Thank you for patiently answering my questions, and all the best and congrats once again .
Moderator: Our next question is from the line of Aditya Khetan from SMIFS Institutional. Please go ahead.
Aditya Khetan : Thank you for the opportunity. Sir, as I mentioned in earlier participant that the reason for selling that because the families are becoming much larger. Sir, but I believe this Aquapharm was looking to sell the stake since April 2023. Sir, is there any other specific reason why this Mangwani family, which is the promoter of Aquapharm, want to like divest at a time when the global -- when the Indian chemical sector is diversifying in terms of like value chains and growth opportunities. Any other reason which you can like highlight apart from these families and all...
Sanjiv Goenka: They've been looking at selling. Of course, any transaction takes time and they ran a process. So, you're right about your time on April, and it's taken 7, 8 months to come to a conclusion. And we had three competitors, and they've had a very strong process. And the reason ascribed to us was that they really want to cash out and it's quite normal. I think -- it's actually a huge opportunity because

the Indian chemical sector is poised for very big growth as indeed the global chemical sector.
And you will have consolidation. We are seeing this across industry, across portfolios. And I think we are fortunate that we have bagged this one. We do believe it's a phenomenal company

and has huge growth potential. We do believe they've done a good job. It's not that they've not done a good job, but we do believe we can do better with this.
Aditya Khetan : Okay. Sir, somewhere what I've read in that this company is having a cumulative capacity of 70,000 tons. And sir, you're mentioning some 3,300 tons. So , this is tons...
Sanjiv Goenka: No, there are different products. So, phosphonates is where they have 70,000 tons. Green chelate is something which they 've just started. It 's very new – it's a very new product in the whole world. So, this is very green. And as I said, we are – and I 've said this earlier, from commodity blacks to specialty blacks, from specialty blacks to chemicals and the next phase is going to be chemicals, which go into electric vehicles.
We are close to it, hopefully soon. So, it's a portfolio shift of PCBL. And you will see the profile of the company changing to value -added products more and more and getting away from commodities, getting more into green sustainable biodegradable kind of products. And this is what you will see mor e as PCBL progresses.
Aditya Khetan : Got it. Sir, just one more question, sir, like this Aquapharm farm is totally an unrelated acquisition. So, the current Board, you said that at least for the initial year, so the current Board will run the company. So, like, sir, how competitive would it be for the management and how we can like handle all the challenges related to this?
Because since this is a newer business, and we might not have that handle like – so handling like the water treatment and all these phosphonates. So, is this a good decision by the management? Like so for running initial years or like we should be like looking out for an expert from outsider who can run this company?
Sanjiv Goenka: So firstly, there 's a very strong management. So , it's not only the promoters, but it's also team

underneath the promoters who run the company, right? It's not one individual, but it's several people who are in the company. So, the promoters cash out, the management team, the operating team remains , one.
Two, there is enough talent available in the market who are specialists in this. So, you need technologists who are specialists, which we have , management skills are the same, whether you apply to product A or product B, the general management skill are the same. It doesn't take that long to learn and acquire knowledge about customers, global supply chains, manufacturing processes . Principally, they remain the same, and there is talent available.
Yes, we have identified some talent. And no, we are not concerned about the management at all where we are actually very excited, and we do believe that we will add value and the company will grow more than it has grown in the past.
Aditya Khetan : Got it. Sir, in FY '23, we have seen a dip in EBITDA of Aquapharm, like from around INR 420 crores, the EBITDA has dipped to around INR380 crores, as you had mentioned in your earlier remarks. Sir, this dip is largely because of like because this company is into exports market into

Europe and like Saudi. So wherein the markets are weak, that is one reason, which could be attributed for this decline?
Sanjiv Goenka: I think -- I mean, since I was not specifically -- or RPSG was not specifically running the company, so we cannot precisely tell you why the dip has happened, but yes, the dip happened. But we do believe the dip or that aberration pertains to two quarters only. And from quarter four of this

year, which is January-March quarter, the performance will get back to where it was and more. So that is our belief and expectation and I think I'm told that we are already seeing the October month being better and November-December should be even better.
Aditya Khetan : Got it, sir. Sir, just one last question, sir. If you can highlight more on to the like on the capex side, what Aquapharm would be doing? How much is the revenue potential on top of like INR2,200 crores ? And what sort of numbers are like growth or something, sir, which you can like highlight to us for the next two, three years, as we are having no idea on how much capex , how much numbers would the company can do over the next two to three years?
Sanjiv Goenka: Well, very simply put, chemicals don't invest high capex , okay, that's very, very clear. There are production facilities or manufacturing facilities, which can be scaled up. But the big expansions will come in green chelates, which is a very high contribution item. Again, biodegradable, sustainable and water -soluble polymers, which has 35% contribution.
Now we are like a few minutes into the company. So , we'll need a little bit of time to specifically go through the plans. We have seen the plans that exist as is, but we do believe there might be some changes, and we may be more aggressive with the growth plans. So give us a few weeks, let us conclude the transaction. And we will come back to you with very specific plans.
I mean we have some thoughts, but we would on growth, which are, as I said, aggressive. And -- but just give us a few weeks. I mean it's literally been like less than an hour since we signed the share purchase agreement, and we haven't taken control of the company yet. So it's a little early, but yes, it's exciting, it's strong growth, and it's -- these products are not high on capex at all.
Aditya Khetan : Got it, sir. No worries. Sir, just one last question, sir, if you can highlight the H1 revenue EBITDA impact, half yearly, sir, H1?
Sanjiv Goenka: Raj, you're on the call, would you like to share this number?
Raj Gupta: Sir, there was some voice disturbance, so...
Sanjiv Goenka: So, Raj, what the question was, what was Aquapharm 's half one financial numbers? Would you just like to share that with all the people on this call, please?
Raj Gupta: Yes, the first half was around INR1,000 odd crores revenue number.
Sanjiv Goenka: And bottom line?

Aditya Khetan : And sir, EBITDA?
Raj Gupta: Bottom line would be roughly around INR160 crores / INR170 crores.
Aditya Khetan : EBITDA, sir?
Raj Gupta: EBITDA would be roughly around -- so this INR160 crores I'm talking about is PBT number. And EBITDA would be around INR190 odd crores, roughly.
Aditya Khetan : Okay, sir. Thank you, sir. Thank you.
Moderator: Thank you. Our next question is from the line of Sanjeev Mohta from B&K. Please go ahead.

Sanjeev Mohta: Congratulations on the acquisition.
Sanjiv Goenka: Thank you.
Sanjeev Mohta: Yes. So just a couple of things. One, who are you competing with in this acquisition, regard whether the large players or...
Sanjiv Goenka: One was very large. I don't know whether we're at liberty to talk about who were other competitors.
Sanjeev Mohta: Sure. Yes, that's fine. I'm just trying to understand the type of players. Yes.
Sanjiv Goenka: One was very large. And one was a company which has done a couple of chemical acquisitions. They have a strong chemical portfolio. I don't know whether they'll be a target to take over at some stage.
Sanjeev Mohta: Right. And like what was the reason we won the deal?
Sanjiv Goenka: I think at one stage, it looked that we were out of the transaction and then it came back on the table. We were very clear that we are not going above this value, and we had strong conditions and conditions precedent to closure. And

the price was -- I'm told exactly the same.
Sanjeev Mohta: Right.
Sanjiv Goenka: There is no difference in the price. But I think maybe there were doubts on the other parties ability to conclude. I don't know, not for me to comment.
Sanjeev Mohta: Right.
Sanjiv Goenka: But when the deal came back on the table, we're working on the transaction because we are convinced about the prospects of this company. And as we are about something else that we are pursuing in the electrical vehicle space but hopefully soon, hopefully soon.

Sanjeev Mohta: Right? So yes, that was actually -- you led to my next question, which was -- you're talking -- you are alluding to another potential acquisition. So if I look at the capital structure of the company, of course, this is a debt -free company. So that helps i n terms of debt taking capacity.
So like how are you looking at it post, let's say, what you would want PCBL to be, let's say, once all the acquisitions are done ?
Sanjiv Goenka: I don't know about all, but I can tell you about the immediate thing a s I said, PCBL's commodity blacks is one part, specialty blacks is the second part , where , we're going to grow between these two, to about one million tons, which is the current portfolio and which is very strong, very strong in growth, very strong on margins now with specialty.
The second is specialty chemicals, and the third is chemicals, which go into electrical vehicles.
So those will be the three pillars for the moment. All three which are very high on growth, higher margins and two and half out of them are certainly very high or very futuristic in terms of being green, being sustainable, being leading towards decarbonization and biodegradable.
Sanjeev Mohta: Right. But in terms of capital structure, would you want -- would you then have to raise some equity you think or from a capitalization, how are we placed do you think?
Sanjiv Goenka: Sanjeev you see those are calls which we haven't yet taken and we will refer to advisers very soon. But for the moment, we will take debt and we will see . Equity is always an option that's available. And it is something that we could well do, but those are calls we haven't taken finally yet. All I'm saying is if there is equity, of course, the debt becomes that much less, etcetera, etcetera. There is no equity over the next 30 months, the combined entity's cash flows can take care of the enti re debt. That's the limited point I was trying to make.
Sanjeev Mohta: No, so I understand from this acquisition, but if you're talking about one more, I'm just trying to understand how are you looking at that?
Sanjiv Goenka: Well, that's something which we will acquire . I can't say much at this stage, but hopefully very soon, hopefully, very, very soon we should be back to you. with something that's extremely, extremely exciting. And that is in the electric vehicle space that I can tell you. And as we speak, our team is negotiating the final terms of the agreement. So the principles, I think, are broadly agreed. But specific clauses, the lawyers are discussing at this point in time. I don't know how long that wil l take, but it shouldn't be too long.
Sanjeev Mohta: Sure, Sanjiv. Thanks. All the best for that acquisition as well. And I think we are very, very exciting company, I guess.
Sanjiv Goenka: Thank you. Yes, somebody told me it's going to become the flagship of the group, and I said I hope I have more than one flagship so -called flagships. PCBL is certainly going to be one of the strongest growth entities for the group. I mean all companies in the group are growing and growing very fast. But PCBL is certainly growing faster. And it's quite exciting.
Sanjeev Mohta: Okay. Thanks a lot.

Moderator: Thank you. Our next question is from the line of Nitin Agarwa

l from DAM Capital. Please go
ahead.
Nitin Agarwal : Congratulations on the transaction. Two, three housekeeping questions. One is, does the transaction amount, I mean, what extent of working capital is included in the transaction cost?
Sanjiv Goenka: So, the current working capital is included.
Nitin Agarwal : Can you give us a rough sense of how much will that be on a net working capital ?
Sanjiv Goenka: I mean it's an ongoing company, so you're acquiring an ongoing company. So the working capital is totally there. I mean your debtors, your creditors, everything is already there. So you acquire as is, where is and you pay this money to the promoters, exist ing promoter.
Nitin Agarwal : I get that. If you can give a sense of the quantum of the working capital in the business right now?
Sanjiv Goenka: It's about INR450 crores, right, Raj?
Raj Gupta: Yes, sir, it is INR450 crores.
Sanjiv Goenka: Yes, it's INR450 crores.
Nitin Agarwal : Secondly, in terms of -- when you think about the IRR on the transaction or I mean, how are you looking at the payback? How many years do you think you can recover the cost of the transaction?
Sanjiv Goenka: So, there are different ways of doing it. One is from current levels. The other is how you improve profits, how you improve capacity, how you improve capacity utilization, how you add on capacities? And how does the market view it? So chemical companies once listed, I would believe that the multiples should be much higher than nine . And that in itself is -- there is headroom there.
But profitability wise, I do see strong growth. But as I said earlier, that we've literally been less than an hour into the acquisition. And -- so payback should be soon, but there are specifics when we formally take over the company, I would be in a position to share much more detail with you . Because it would have given us a couple of months of insight into the company. So far, all our insights are based on the diligence that we've done.
But then one would see it as with the perspective of insider and one could be in a much better position to talk about growth and far more confidence. So, what we are sharing with you is what the existing plans were. But we do believe, from the outside out in that it can be much more aggressive. And chemical capex are not high.
So it's something that we would be much more specific -- I'm sorry, I'm not in a position to give you more details at this stage. All I can say is , it appears that we can grow faster than the previous

management forecasted, but we would need a couple of months before we can specifically tell you precise numbers, which product , how much will phosphonates grow by, how much will green chelates grow by, how much will water soluble polymers grow by? I mean we are telling you what we have been told and what the management believes. But we have had McKinsey to validate these numbers for us, but we would need to get in ourselves and validate that.
Nitin Agarwal : That's absolutely fine, sir. Secondly, since you mentioned the green chelates a few times, what proportion of our current business is green chelates business?
Sanjiv Goenka: Green chelates is small at this point in time. So let me just take you through the portfolio mix. Phosphonates is 53%. The chemicals, which go into the oil and gas industry is 25%. And the polymers constitute the rest. So, amongst the polymers is green chelates and the water-soluble polymers. So, you're looking at the whole thing of the amino acid chemistry and that whole polymer platform, which is very small for the company at this point in time because they're very new products, right?
And this whol e -- these products become more -and-more relevant when the world becomes is moving towards a greener future. And therefore, the prospects for these products are much more exciting today than they were tw

o years ago.
Nitin Agarwal : Right. And last one, while you've given the three -year financials , if you just probably can go back a little bit more and just give us maybe the five -year CAGR revenue growth and EBITDA growth for this business, historical growth?
Sanjiv Goenka: That I'm going to ask the CFO of PCBL, Raj Gupta, to share with you. Raj?
Raj Gupta: It has grown by about 15%- 16% CAGR. And that's what the trajectory for the future also is for the next four years , five years.
Sanjiv Goenka: Let me just come in. No, no, no. 15% -16% is what the existing management forecast, that is not the trajectory I' m forecasting.

Raj Gupta: Yes. Right.
Nitin Agarwal : Right. Okay, perfect. And wh ile I'm sure, there 's been a, obviously, as you rightly said, it 's only been an hour since you acquired the business. But apart from the interventions that we can undertake to accelerate the growth of the business, are there any prima -facie synergies between what PC BL does right now and in this business or they're absolutely complementary businesses?
Sanjiv Goenka: Well, they are complementary largely, but there are synergies in – as I said, the global supply chain , procurement and manufacturing processes, we do chemical process manufacture very well. And we have to now get into the plants. So yes, we've had teams out in America and Saudi Arabia. And we do believe our teams have come back to say that we do believe certain value addition can be made. But now we have to get into that much more. And in a few weeks, we should be in much better position to s hare those details with you.

Moderator: Thank you. Our next question is from the line of Abhijeet Bora from Sharekhan . Please go ahead.
Abhijeet Bora: Congratulations for the acquisition. And my question is that are we going to keep this company separate and list later on, like what are you merged with the existing business? What are our plans? Because -- you said that it is at around 8x, 9x EBITDA valua tion. So there then be a value unlocking opportunity going forward?
Sanjiv Goenka: Clearly, there is a value unlocking opportunity. And as I said early on in the conversation, we are speaking to specialists who are examining the exact structure, but it will be part of PCBL, whether it's a 100% subsidiary, will go public or it is a divisi on, I think -- and PCBL goes to the equity markets, those are calls that yet have to be taken. But it will be part of the PCB L. It will be in a manner that whichever way it gets , consolidate s into the balance sheet and the earnings of PCBL .
Abhijeet Bora: Okay. And secondly, when you say that it will be earnings accretive, you mean to say it will be earnings accretive from the first year of acquisition or like post the -- when the debt is being repaid? Because what my understanding is that INR 380 crores of EBITDA and it's being entirely funded through debt 9% to 10% of the interest would mean that EBITDA will be taken -- the interest will -- EBITDA will be absorbed by the interest itself.
Sanjiv Goenka: So that is for this year. That is for this year. But look at next year, the forecast are much higher and the year after, they are even higher. So, for the first full year that we have Aquapharm, we do believe that we will be bottom line and margin accretive. But again, more details when we take over the company. And sorry to keep repeating it, but the excitement and confidence is huge. And I'm not one who makes commitments that I can't honor. I have -- my policy has always been to under-commit and over-deliver.
So I don't want to say anything more at this stage because our knowledge about the company is very limited. It's limited to the diligence we've done, it's limited to the exercise that McKinsey did for us . And some of the consultants we used it for. So, we've got top level advice, very, very strong advice fr

om the chemical space. And off the record, I can also tell you that a part of the family, not direct family, but a part of the family is very strongly involved with the chemical business. And we've been c onsulting with them also. So yes, I mean, I can't say more, I'm sure you understand what I'm referring to. They've been very successful in what they've done and they understand the chemical space extremely well. And they've also been extremely excited about this opportunity.
Abhijeet Bora: Okay. Just to like clarify it have I understood correctly that we expect to the very first year of the acquisition to be...
Sanjiv Goenka: First full year acquisition to be better yes, first full year of acquisition, yes, that is a commitment. Absolutely.
Moderator: Thank you. Our next question is from the line of Dhruv Bhatia from Bank of India Investment Managers. Please go ahead.

Dhruv Bhatia: Congratulations for the acquisition. Sir, my first question is you mentioned in your opening remarks that on a combined entity in 30 months, you were expecting an EBITDA of INR 4,000 crores, right? And when I look at your base PCBL business and the capacity expansion that's going on and with the EBITDA you mentioned of Aquapharm, it seems like there is either a way underutilized capacities in Aquapharm or probably you need to do incremental capex to achieve this INR4,000 crores number. So , could you please c larify this?
Sanjiv Goenka: No, no. There's -- what I've told you is based on where we are, okay? And earlier, not in today's call, but earlier I talked about the whole PCBL plan of unlocking capacities. And as of now, the

PCBL cash flows don't take into account the Tamil Nadu contri bution. So far, it's been six
months since the plant has started. And last month, we got to about 50% capacity utilization,
which gets us to breakeven.
Now let's just look at the whole arithmetic very simplistically. 150,000 tons, INR20,000 per ton,
INR300 crores contribution, simple. Then I had talked about oxidized carbon black, which will
give us an additional contribution of INR 62 crores per annum. Then, our new specialty plant at
Mundra will get commissioned in March, it's virtually done with the finishing stages of that plant
or within March, let me put exactly. That again, should give us significant additional
contribution. And I'm not talking about anything else that we do. So, this year, our EBITDA in
PCBL should be, as it stands, INR 980 crores. Just add these numbers to that, okay? That takes
you to whatever it does.
And I'm not talking of any further expansion if that happens, which is going to happen, then it's more. Aquapharm capacities
as they exist, the forecast are 380, 430, 525. Whatever expansions
happen will be over and above these, whatever value additions ha ppen will be over and above
these . So, when I'm talking of INR 4,000 crores EBITDA for FY '24, FY'25, FY'26 combined, it
is on what we have. Whatever additional happens will be over and above, and that will happen.
Dhruv Bhatia: Okay. So, I mean, just again, just a clarification here with what you just mentioned with the
numbers of Aquapharm maybe two years down and of PCBL, that comes up to roughly about
INR1,800 crores, INR2,000 crores. And over and above that is that implying that this includes
some acquisitions in that INR 4,000 crores of EBITDA? Or does it include...
Sanjiv Goenka: No, no. This is as is. As I said, the chemicals for the electrical vehicles, which we are very
hopeful of concluding that will add to it, okay? We can just do marginal capex with Tamil Nadu
and increase the capacity by 90,000 tons , that will add to it. Any expansions at Aquapharm will
add to it. Sorry?
Dhruv Bhatia: There still seems to be a very big gap between the INR2,000 crores EBITDA and the INR 4,000
crores. So, I'm just trying to add, I mean, even if you add...
Sanjiv

Goenka: No, no. Where is the gap?
Dhruv Bhatia: Sir, you mentioned INR 1,200 crores to INR 1,300 crores PCBL and whatever over and above,
you can...

Sanjiv Goenka: Per year, per year. Simple. I'm giving you a number specific. INR1,360 crores for FY'24
combined as is; INR 1,530 crores , FY'25; INR1,750 crores , FY'26.
Dhruv Bhatia: Okay . So combined of three years will be INR 4,000 crores of EBITDA.
Sanjiv Goenka: That's exactly what I'm saying. As is. And the actual will be much higher than that. So I'm giving
you assuming there is no equity raising over the next 12 months and assuming that there's debt
the cash flows of the combined entity is still enough to pay t he entire debt within 30 months.
That may not be the scenario, the scenario might be a mix of equity and cash.
Dhruv Bhatia: Sure. Sir, the second question is because this acquisition value is about INR 3,800 crores, my
assumption would be that there would be a fairly decent amount of goodwill accretion. So could
you quantify what type of goodwill accretion -- because I can see that in FY '21, the dated
number where the net worth was just about INR 1,000 crores. So what type of goodwill accretion
will you see?
Sanjiv Goenka: You do the – net worth is about INR1,000 crores. That is a fact. But chemical companies are
today being traded at multiples which are -- the industry average is well above 20. So , I mean
you talk of goodwill, you talk of, however, but it's a question of opportunity and the opportunity
for growth and whether this multiple of 9x or 8.5x FY '25 earnings can actually take you can get
over a period of time or multiple of 15, 16, 18, 20. Now that is a critical question.
Dhruv Bhatia: Understood. So is there any number you can quantify of the goodwill that will get accreted?
Sanjiv Goenka: I mean we paid INR 3,800 crores. The current net worth is INR 1,000 crores.
Dhruv Bhatia: Okay. Fair enough. Sir, last question was on -- could you quantify the top 5, top 10 customer
concentration? Because you mentioned the big...
Sanjiv Goenka: So those are the ones. Procter & Gamble, Unilever, Henkel, Reckitt. And bulk of the suppliers ,
sorry?
Dhruv Bhatia: The revenue contribution to -- of these customers to your overall top line?
Sanjiv Goenka: Well, these are the bulk customers, but I don't have this number specifically yet. But very soon, we'll be in a
position to share these numbers with you.
Moderator: Thank you. Our next question is from the line of Riya from Aequitas Investments . Please go
ahead.
Riya: Sir, my first question is, you said that the player is world number two, so is this in all the three
segments which you broadly classified or is it just in phosphonates?
Sanjiv Goenka: No, it is in phosphonates.

Riya : It's in phosphonates. And do we have any such company, which is a peer competition to it?

Sanjiv Goenka: Yes, there is one company called Italma tch.
Riya : Sorry, could you spell it out?
Sanjiv Goenka: I'm not sure the spelling, but I'll presume it's I- T-A-L-M-A-X.
Riya : Okay. And my second question is in terms of the geographical contribution since you said that the majority part is in US . So, I would assume that more than 50% is US contribution and rest would be India and Saudi?
Sanjiv Goenka: I don't have the geographical contribution with me. But Kaushik, would you have that now? I think the revenue wise , 65% is US, 18% Europe and 9% India.
Kaushik Roy: Yes, absolutely.
Riya : Sir, nothing from Saudi as of now?
Kaushik Roy : Saudi is at 7%, and it is basically a place for production, it's a hub for production.
Riya : Okay. Got it. Got it. And in terms of phosphonates, what will be the capacity and what will the market size?
Sanjiv Goenka: Kaushik, would you like to elaborate on this?
Kaushik Roy : Yes. Market size of p

hosphonates globally is 250 Kt, and the capacity of Aquapharm is -- the total is about 130 Kt and out of that, 80% is phosphonate at this point of time.
Riya : Okay. So, around 100 Kt would be our capacity, out of the 250 Kt?
Kaushik Roy : Yes. We are one of the top two players. As Chairman just mentioned, the other one is from Italmatch from Italy and the spelling is I- T-A-L-M-A-T-C-H, Italma tch.
Riya : Sorry, could you -- you're not audible?
Sanjiv Goenka: It's Italma tch, I-T-A-L-M-A-T-C-H.
Riya : Okay. Got it. And my next question is in regarding -- since in the management commentary, it was said that the chemical business for this year was a little depressed. So , in terms of realizations of the chemical per se like phosphonates , how much drop on a Y -o-Y basis have we seen in the realization of this chemical?
Sanjiv Goenka: Ma'am, this is something that, as I said, we have less than an hour or just maybe in hour into fix the transaction. Give us a little time, and we will be able to share much more detail.
Riya : Sure. And on future acquisitions, which you said in regards to the EV, would it be of the similar magnitude of the current acquisition?

Sanjiv Goenka: Don't ask -- we can't say at this stage. Please, we will share with you details. But all I can say is the prospects are very, very exciting.
Riya : Okay. Thank you so much.
Moderator: Thank you. Our next question is from the line of Radha from B&K Securities. Please go ahead.
Radha : Hi, sir. Thank you for the opportunity. Many congratulations. Sir, I wanted to understand from the three business verticals that you mentioned, what are the current utilization of three business verticals? And at current capacity , what would be our maximum revenue potential?
Sanjiv Goenka: Those are, again, details, which give us a few weeks though we have some numbers which are done by McKinsey. We would really like to go through it ourselves and validate them and come back to you. And we've given you the broad EBITDA numbers based on the e xisting management forecast, but we will now have to go in, and we will have to evaluate and come back to you with what we believe we can do to the business.
Radha : All right, sir. Sir, secondly, I believe the return ratios from this business would be notch of 20% the return ratios. So, given that we are in a down cycle, as you mentioned, in the chemicals business, what could that number look like in an up-cycle scenario ?
Sanjiv Goenka: Again, those are details which are detailed operational issues, and we are not yet involved with the operation. So, we are not in a position to give you an intelligent response to this. But hopefully, a few weeks from now, we should be in a position to tell you this.
Radha : Okay, sir. And sir, just one last question. You mentioned the margin profile -- EBITDA margin profile 20% for us. Any comparison have you made with respect to the competitors, what kind of margins they are making?
Sanjiv Goenka: So, this is a global leader and the difference in the market share is marginal actually. Italma tch is slightly higher , I think 1% or 2% higher than us. So, it's very, very marginal. And , they're both very comparable companies. But -- we will have very detailed reports out to help you with analysis very soon. But -- an hour into the transaction, there is only so much that we can say. I

mean -- and that's -- there is only so much that -- I mean, we know what we know, but we will
have to get int o much more detail to give you very, very specific data.
Radha : All right. Sir, since you mentioned about the market share, just wanted to ask, you have any
numbers handy in terms of market share ?
Sanjiv Goenka: I mean , I hope our market share will increase.
Radha : All right. Okay. Thank you and all the best.
Sanjiv Goenka : Thank you.

Moderator: Thank you. Our next question is from the line of Shiv Chanani from Baroda BNP Paribas Mutual
Fund. Please go ahead.
Shiv Chanani: Hi, good evening. A couple of questions. One, could you give us some more detail on the
payment schedule, please? I'm just trying to understand, I think if I heard you correctly, you said
that the overall payments will be made over next 18 months to 20 months. So, I'm just trying to
understand, how the cash flows will pan out …
Sanjiv Goenka: No. I think , I knew you got me wrong, maybe. What I said is that within the next three months,
we hope to close the transaction, which is when we will make the payment.
Shiv Chanani: Okay.
Sanjiv Goenka: And over the next -- over the next 30 months, the cash flows from the two combined businesses
would be more than enough to pay this entire money.
Shiv Chanani: Fair enough. So, there are no milestone payments based on certain numbers being achieved?
Sanjiv Goenka: No.
Shiv Chanani: Okay. Understood. And secondly, on the competition side, are there any Indian companies as well competing?
Sanjiv Goenka: No. Again, specialty chemicals are specialty chemicals. There are very few companies which
operate in this space, globally. And that is the advantage of having specialty chemicals and
having companies like this, that's why you can get 35% margin.
Shiv Chanani: Fair enough.
Sanjiv Goenka: That's why in water soluble polymers, you get 35% margin.
Shiv Chanani: Right. Understood. Yes. And lastly, when I look at the Italma tch presentation for the nine month,
if I understand correctly, the PPA segment is the one which probably competes with your
segment. And there, I can see almost a 25% decline in volumes and a 28% decline in revenues
for the nine month. So, how should we read into this?
Sanjiv Goenka: But that is why the Aquapharm performance for the last six months has been low, which is the
industry trend. But as I said, it seems , it is reversing. And -- but again, we are not yet as
knowledgeable on the industry as some of the research analysts would be , give us some time,
and we can come back to you with far more reliable forecast. I mean these forecasts are reliable.
And as I said, they've been validated by McKinsey and other consultants. But -- for us to get
into this kind of detail one hour 15 minutes into the transaction, just request for a little more
time, please.
Shiv Chanani: Fair enough. I mean, can you just share that the first half has the decline been similar, 20%, 25%
compared to Italma tch or has it been different for...

Sanjiv Goenka: Well, I don't think it's -- there has been a decline and we shared the absolute numbers with you,
the decline has been in the range of about 20%, 25%, yes.
Shiv Chanani: Okay. Fair enough. That helps. Thanks a lot and all the best.
Sanjiv Goenka: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question of our question -and-answer session.
On behalf of PCBL Limited, that concludes this conference. Thank you for joining us, and you
may now disconnect your lines.

Call: May 2024

"PCBL Limited Q4 FY-24 Earnings Conference Call"

May 23, 2024

MANAGEMENT : MR. KAUSHIK ROY – MANAGING DIRECTOR – PCBL
LIMITED
MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER , PCBL
LIMITED
MR. SAKET SAH – GROUP HEAD (INVESTOR
RELATIONS & ESG)
MR. PANKAJ KEDIA – VICE PRESIDENT (INVESTOR
RELATIONS)
MODERATOR : MR. SANJESH JAIN – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to PCBL Limited Q 4 FY24 Results Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I, now hand the conference over to Mr. Sanjesh Jain from ICICI Securities . Thank you and over to you sir.

Sanjesh Jain: Thanks Manav. Good afternoon, everyone. Thank you for joining on for PCBL Limited Q 4 FY24 Results Conference Call.

We have PCBL Management on the Call represented by Mr . Kaushik Roy – Managing Director ; Mr. Raj Gupta, CFO ; Mr. Saket Sah – Group Head (Investor Relations & ESG); Mr. Pankaj Kedia – Vice President (Investor Relations).

I would like to invite Mr. Kaushik Roy to initiate the call with his Opening Remarks , post which we will have a Q&A session. Over to you s ir.

Kaushik Roy: Thank you so much. A v ery good afternoon to each one of you, and a warm welcome to the call. Thanks for joining.

As you know that, PCBL is the seventh largest globally in carbon black, with a very, very strong presence in rubber black , performance chemicals and specialty chemicals. And over the years, as you must have observed that we have tried our best to consistently perform well riding on the additional capacity, and a strong focus on research and development. And also over a period of time we have built diversified product portfolio. Simultaneously, we have also increased our global footprint, and I will talk abo ut it later in detail.

FY24 there are ups and downs . As you know globally, there are uncertainties in the global market because of these wars which are going on , there are issues with US economy as well as European economy, but I will say that in spite of this difficult situation PCBL has performed pretty well and we are confident that going forward , we will do the same thing again, repeat the same thing again.

In FY 24, let me now talk about this year in FY 24, we commissioned the Greenfield carbon black project in Chennai with 1,47,000 tonnes and with this our total installed capacity for the company on consolidated basis now stands at 7, 70,000 tons. In parallel, we have also commissioned the cogeneration captive power plant at Tamil Nadu site, having a capacity of 24 megawatt. And with this the total cogeneration power capacity now stands for the organization at 122 megawatts . This new Tamil Nadu Greenfield facility is based on industry standards 4.0 which

provides cutting edge technology that includes AI, machine learning and data analytics and we are confident that it should definitely give benefit financially to the organization as we go along. It is a smart factory that will improve our reliability, our quality, standard and yield benefit. The plant was operating at 60% capacity during quarter four, and on whole year basis it was about 55%. And we are hopeful that we will reach full capacity in Tamil Nadu plant by quarter three , quarter four of FY 25.

Besides this, during last year, we also commissioned one specialty black line of 20,000 tons in Mundra, Gujarat and another specialty line of 20,000 tonne s is under implementation at this point of time and will be commissioned during this current year. This strategic initiatives are expected to increase with its total manufacturing capacity to 7,90,000 tonnes in the current year itself. F urther strengthening the company's position in the industry. And you all are aware of that recently PCBL acquired urban l and measuring 28 acres in M undra and this will help us in future expansion requirements.

I

am also happy to announce at this point of time that we are going ahead with brownfield expansion of 90 KT, that is 90,000 tonnes of carbon black at PCBL Tamil Nadu facility . Greenfield will be completed in 2 phases. The 1st Phase will be having 30,000 tonnes capacity, and the second one will have 60,000 tonnes of capacit y. And we expect to complete this expansion next year. Once this expansion is over, this would take our total capacity to 880 KT, close to 9 lakh ton . We are also in parallel evaluating a new Greenfield expansion for which necessary discussions are already undergoing. This will take our capacity beyond 1 million ton in near future . And this will also help us to significantly increase our global market share.

Most of you are aware that PCBL recently acquired Aquapharm Chemicals Private Limited , which is a leading specialty chemical company with end applications in detergent, water treatment, oil and gas chemicals, and multiple other applications. This acquisition allows us to enter global specialty segments with multiple applications and propels PCBL from single platform to multiple platforms, enhancing it s offering s in-line with company's vision of becoming a trusted global player with a diversified specialty chemical portfolio. It represents a pivotal moment for both PCBL and Aquapharm, changing the company's position in fast growing and high-margin specialty chemical sector.

For your information Aquapharm derives 75% plus revenue from Western markets, USA and Europe. And these markets are pretty lucrative. Their key products include Phosphonates , Polymer , Green Chelates and oil and gas chemicals. In terms of Phosphonates , their global customers represent FMCG majors like Procter and Gamble, Unilever, Henkel , Reckitt & Colman , et cetera. Oil and gas companies like Halliburton and Baker Hughes, they a re their major customers in that particular segment. And on the other hand, there are chemical giants like BASF and ION E xchange as their customers . It has got manufacturing plants in USA, India and Saudi Arabia.

This acquisition was completed on 31st of January 20 24 and a total consideration of Rs. 3850 crores . The current quarters c onsolidated financial capture only two months because it was concluded on 31st January, it captures only two months of operation post -acquisition . At this point of time, we are working on integration of the business with PCBL and aligning the vision of Aquapharm with the growth vision of PCBL .

We plan to expand capacities of various specialty chemical in Aquapharm rapidly and this would help us to accelerate the growth momentum going forward. We have also focused on another area which is a growing segment in EV battery chemical , PCBL and Kinaltek , a Sydney based Australian company has executed a JV agreement on March 16 th, 2024 to form an Indian joint venture company called Nanovace Technologies Limited, I will repeat the name Nanovace Technologies Limited, which will develop nano silicone additives to be used in a node of a lithium ion battery. The transaction involves acquiring the IP s and large -scale assets in Australia by Nanovace Technologies Limited for a consideration of $ 16 million . PCBL will own 51% of Nanovace Technologies Limited and Kinaltek will hold 49% shareholding. It also involve s infusion of INR equivalent amount of USD 28 million by PCBL in the JV company towards capital expenditures and commercialization of the technology over next one and a half to two years.

Kinaltek Private Limited is an innovation company specializing in advanced technologies . Kinaltek has developed a patented noble proprietary technology for direct production of metallic alloys and compounds, including nano silicon, which will have applications in lithium -ion battery. The technology developed by Kinaltek provides a breakthrough in pro

duction of nano
silicone enabling lower cost and lower carbon footprint manufacturing process . Kinaltek has been awarded global patent pertaining to the above -mentioned technology.
This JV will help us to foray into the high growth battery material segment with innovative technology, giving a huge impetus to the origin of the developing conductive carbon black grid like Energia, to a Multi- Speciality material portfolio fo r:
1. Enhance battery capacities , enabling higher mileage to EV .
2. Faster charging .
3. Safer battery chemical .
4. Reduced carbon footprint and cost per unit energy stored .
During the current year, we plan to start work on designing and putting up the pilot plant . In April 2023 , PCBL incorporated a wholly owned subsidiary company in the name of PCBL Europe SRL i n Belgium . The European subsidiary would significantly enhance our capabilities to increase research and development initiatives at our global R &D center, Sushila Goenka Innovation Center in Belgium. It will also allow us to serve our European customers better by enabling local invoicing and just -in-time delivery of both rubber grade material as well as specialty chemical.

Coming to another area, PCBL has also secured t wo patents in relation to oxidize d and surface-modified grade, which will further strengthen the specialty portfolio of the company. Oxidized grade have applications in ink and coating , while the surface-modified grade improve s fuel efficiency and tyre life.
In March 2024, our Board of Directors approved the issuance of 16 million warrants convertible into equity shares at an issue price of Rs. 280 per share aggregating up to Rs. 4.48 billion, to the promoter group. This would help us to deleverage the balance sheet. It also demonstrates the commitment of the promoter group towards the growth of the company.
Let me focus on another area at PCBL research and innovation are important drivers of both technical advancement and business expansion. In recent years, the company has intensified its commitment to research by making substantial investment in infrastructure, human capital and streamline process. These investments have significantly bolstered PCBL capabilities in new product development, customization and applicatio n as well as process efficient.
Let me now give you some detail of our Q4 FY24 performance. Let me talk about some numbers : PCBL reported a strong quarter with the highest ever volumes and best ever quarterly financial performance despite the prevailing geopolitical situation, which I talked in the beginning itself. During the quarter our consolidated sales volume was 142 KT up by about 20% on year -on-year basis, while consolidated revenues from operations was Rs.1 ,929 crores, EBITDA grew by about 66% year-on-year basis to Rs.332 crores. P BT stood at Rs. 149 crores, while PAT increased by 9% year-on-year to Rs.1 11 crores. Consolidated EBITDA per metric tonne in carbon black business stood at Rs. 22,600 . The profit for the quarter factors in an interest cost of Rs. 60 crores approximately and amortization of Rs. 15 crores relating to acquisition of Aquapharm Chemical.
During the quarter PCBL Tamil Nadu achieved the sales volume of 19 KT, that is 19,000 ton which is roughly about 60% of the capacity available during the quarter. We expect other ramp up of Tamil Nadu facility in the current financial year and as I mentioned earlier, we are hopeful that by the end of this financial year we will be operating at full capacity of the plant. O f the total carbon black sales volume domestic sales volume stood at 88,000 ton nes, while international sales volumes stood at 54,000 tonnes.
Now, moving on to our segment performance:
Tyre accounted for 82 KT or 82,000 tonnes. Performance chemical reported sales volume of 45 KT or 45,000 tonnes . We also achieved specialty sales volume o

f over 15 KT of 15,000 tonnes
which is again the high est ever in our history . We continue to expand our product portfolio and customer base. The volumes in our recently launched Energia brand is increasing and that shows acceptance by the customer. Trial runs are being conducted by EV battery manufacturers and we expect good volumes once key approval s are received . We also achieved the highest ever power generation and sale volume during the quarter . Power generation increased from 156

million unit in Q4 2023 FY to 18 1 million unit during the quarter with external sales volume of 106 million unit as against 95 million unit in Q 4 2023. PCBLs average realization stood at Rs.3.98 per kilowatt . With commissioning of 24 megawatt PCBL Tamil Nadu, power generation and sales volume would increase further going forward.
The Q 4 FY24 financial includes two months of financial for recently acquired Aquapharm Chemicals Private Limited. For FY 24 our consolidated sales volume was 531 KT up around 20% on year -on-year basis. Our consolidated revenue grew by 12% on year -on-year basis and came to Rs.6 ,420 crore . EBITDA grew by around 39% year-on-year to Rs.1,074 crores and PBT stood at Rs.6 76 crores while PAT increased by 11% to Rs. 491 crores and I am happy to share with you that this is the first time we have crossed an EBITDA of Rs. 1,000 crores per annum. Thanks for all your support.
The long-term prospects of all the business segment generally look very positive and we believe there will be adequate business potential to sustain the growth momentum what we have at this point of time . Considering the changes i n global supply chain and consumption patterns, demand and margins in specialty chemicals should continue to remain strong. Structurally, we are increasing resource allocation to this segment .
Let me talk about current market scenario and outlook now :
The Indian tyre sector is witnessing a strong growth opportunity, and the industry appears to be well positioned to drive a long -term growth opportunity. Indian tyre sector is a big beneficiary of supply chain derisking strategy by global OEM following the continued supply chain disruptions over the last three , four years. Adding to this favorable government policies that advocate Make in India . We expect tyre industry to grow by high single digit to low double digit for next few years. The only concern which I also talked about in the beginning is the worsening geopolitical scenario. While we don't have much trade with conflicting countries, there may be indirect impact due to trade ro ute disruptions , high oil prices and inflation .
We as an organization remain watchful of the developing situation, and continue to work on strengthening our supply chain , improvement in our product mix and also cost optimization initiatives within the organization. The recent Red Sea crisis has led to export freight remaining elevated on routes to Europe. We remain engaged with our customers to pass on the elevated freight cost to our customers. However, this comes with a lag effect , and it may not be full it may be partial.
And with this, I think I have given you more or less a complete picture. And , I conclude and open the house for any questions. Thank you so much.
Moderator: Thank you. We will begin the question-and -answer session. We have our first question from the line of Sailesh Raja from B&K Securities. Please go ahead.

Sailesh Raja: Europe ban on carbon black which starts the next 38 days. So, do you see any change in the market or the buyers behavior , sir players like Orion Engineered Carbons they mentioned in the recent call that their company is witnessing competition from Indian suppliers in the Europe market.
Kaushik Roy: Can you repeat your query?
Sailesh Raja: Yes, so Europe ban on carbon bla

ck starting next 3 8 days. So, do you see any change in the market or the buyers behavior o r if you see the players like Orion, they mentioned in the recent call that the company is witnessing a lot of competition from Indian supply in the Europe market. So, on an average we are doing roughly 50 KT volumes in the exports. So, in that, how much is going to Europe market right now and how do you see that mix improving in the next two years?
Raj Gupta : We are doing about roughly 14%, 15% of our international volume in Western Europe. And that market is becoming bigger for us. We are also laying down our infrastructure , improving supply chain infrastructure . In last two years we have opened number of offices , we have put up one R&D center , we have created a subsidiary and now we are also invoicing our European customers locally. And Europe shows lot of potential. It is very large when we combine all the Western European countries, about almost close to 2 million tonne market . And they are net net deficit , importing significant quantities from outside Europe . In past they used to import mostly from China and Russia , but now they are also looking to source from other countries. So, it creates a large opportunity.
Sailesh Raja: Yes, so can you give some numbers , how the mix will change?
Raj Gupta : We did over 28,000 tonnes in Europe.
Sailesh Raja: So, how this number will change sir in the next two years ?
Raj Gupta : It will also depend on number of things. See being the industry leader in India, we also have commitment to the local tyre manufacturers .TN plant , we just commissioned in FY 24 and we are going through product approval process from the major customers . So we will also have to

kind of create a balance between how much we would allocate to overseas market. We are currently constrained by capacity in a way . So as new capacities come up , our absolute overseas
volumes will go up and like I said that Europe and North America holds a lot of opportunity as
now that they are looking to change their sources of procurement .
Sailesh Raja: Sir after this 1st June, roughly , the opportunity is going to open up roughly around 1.5 lakh
tonnes of volume in carbon black because of ban on Russian carbon black. So, in that 1.5 h ow
much we can get it sir roughly?
Kaushik Roy : See, it is not that Russia ban means the Russian material is not going to go to Europe, it will still
be going, maybe the route will be via Turkey, already it has started but yes, there will be some

impact the moment it is a longer route and route through Turkey there is some impact o f those .
And as Raj just now mentioned that Europe is a critical focus area for us. And the market is
anyway there's a supply deficit. So, we are looking at Europe, and our desire is to grow as quickly
as possible in Europe. Last year, we did about 20,000 as Raj mentioned , sorry 28,000 last year
and we will definitely be looking at a very fast growth, it is difficult to say exact numbers, but
the intention is to grow as quickly as possible. The exact number depends on the scenario over
there, opportunity over there, but we are already working with quite a few European customers
very closely and they are showing keen interest to our product, so we are very open for a very
fast growth over there.
Sailesh Raja: Okay. Sir, can you give us the CAPEX numbers for next two , three years how much is
maintenance CAPEX and the growth CAPEX in carbon black and chemical business ?
Raj Gupta : CAPEX currently we are looking to add 90,000 tonnes in Tamil Nadu and another 20,000 tonnes
in Mundra which will be a specialty line, but this can only cater to about a year 's kind of a
requirement. So, we have already started working on , at least on the discussion stage, for a larger
Greenfield plant Brownfield expansion of this 110,000 ton, the capital outlay will be

around
roughly 500 to 550 odd crores which will be spent during current year and next year. And by
next year beginning, we would be starting the construction on the Greenfield project also and
that could be kind of similar to our Tamil Nadu size. So, where the capital outlay will be around
roughly Rs.900 to Rs.1000 odd crores. B ut exact specification or the size of the Greenfield is
still under consideration and we will come back to you with more clarity, once we have finalized
everything.
Sailesh Raja: In the chemical business sir?
Raj Gupta : In the chemical business , in India we have some capacity which we plan to utilize this year and
next year. So, in the India we will be doing some small brownfield where we will not be incurring
much maybe about Rs. 100 odd crores , in US they are now running at very high capacity. US in
two phases we will be spending about Rs. 180 odd crores towards current year and next year.
Sailesh Raja: Okay . So, in total you are going to spend around Rs. 1600, Rs.1700 over the next two years ?
Raj Gupta : That will be over next four, four & half years.
Sailesh Raja: Okay. Sir just my rough estimate of cash back over the next three years is roughly around
Rs.1000 crores and working capital requirements are around Rs.650 crores . So, next year for
including interest is around Rs. 2400, so when again this CAPEX of around Rs. 1000 crore in
next three, four years, then the debt reduction including the warrants we are getting from the
promoters , that is around Rs.450 crores . So, rough debt reduction will be only Rs.1100 crores
over next three years , the understanding is right ?

Raj Gupta : I couldn't understand exact math. But , broad numbers just to give you a sense of some color
around how we look at say FY25. We did about Rs.1075 crore of EBITDA this year, which is
FY24 . Tamil Nadu capacity was only utilized to the extent of roughly say 50,000 ton , and we
can go up to 12500 0, 12600 0 ton, so, 75,000 ton additional capacity is available. So, that 75,000
ton capacity is going to give us roughly about 200 odd crores at current run rate. Aquapharm, in
the current year only two months financials got consolidated. And we believe that Aquapharm
on a full year basis is going to add another 250 to 300 crore . Now, if you do the simple math and
if you add these numbers . And I am not considering anything on the efficiency side, like yield
improvement or operating lever at PCBL . if we simply add up these numbers to our current year
performance, then we are already looking at EBITDA of around 1400 - 1500 crores. So, there
will be enough cash generation not only t o support our growth plan, but also to manage our debt
servicing obligation. If that was your question. Your voice was not very clear,.
Moderator: Thank you. The next question is from the line of Aditya Khetan from SMIFS Institutional. Please
go ahead.

Aditya Khetan: Sir, my first question is , in this Tamil Nadu plant off 90,000 ton. So, we are planning to commission this by Q 2 so, we should factor in volumes from second half of FY 26?
Raj Gupta : It will come in two phases Aditya . The 1st Phase will be around 30,000 ton s, which should be ready by the end of this year or maybe the 1st Quarter of next year. So, that capacity will be available for the full of next year, the 6 0,000-ton capacity will come around third quarter or 4th Quarter of next year.
Aditya Khetan: Okay . And so you are talking on to Greenfield expansion. So, you highlighted that the CAPEX could be in the range of 90 0 to 1000 crore. So, that is the estimated CAPEX as of now?
Raj Gupta : Like we said that we are yet to do with the final workings on the size, on the specification, the technology that we are going to use there, and also the location. So, this is very sketchy currently, but typically in carbon back , 150,000 tonnes is

considered as a normal economic size plant . And therefore , we took cue from Tamil Nadu capital expenditure and therefore these numbers . But exact numbers will come back to you once we hav e done the math, et cetera.
Aditya Khetan: Got it. Sir on to the Aquapharm, I believe we have not shared any sort of breakup, so what is the breakup of capacities into Phosphonates and the Green Chelates agents. And then what are the utilization level currently , currently and what we are targeting for next year?
Kaushik Roy : The Aquapharm as I mentioned a while back, there are three, four major products , the biggest one is Phosphonates which is 60% plus and in Phosphonates they are global leader you can say, there's one company from Italy and this Aquapharm. And then other than that, they have o il and gas chemical which is produced in USA and then Green Chelates and polymers which is produced again in India. Now at this point of time in India, the capacity is not fully utilized , our 1st target in India is to utilize the full capital. For example, last year FY24 we were somewhere

around 55% capacity utilization and we are hopeful that in this year we will be going beyond 80% for sure, maybe closer to 90% capacity utilization. And as Mr. Raj Gupta said a while back , in USA the capacity is already fully utilized. And we are going for capacity expansion over there by spending CAPEX. So, this is the situation as of now.
Aditya Khetan: Okay. And sir like as sir has mentioned that the estimated EBITDA from the Aquapharm is 200 to 300 crore in FY 25. So, sir subsequently, what is your estimated PAT for FY 25 and FY26?
Raj Gupta : We don't want to talk about FY25 numbers and also this 200 -300 crores , these are broad indicators, because we are yet to look at the market condition, et cetera, et cetera..
Kaushik Roy : Give us some time, you will see substantial improvement in performance of Aquapharm vis-à-vis what they did in the past in different times. But as far as numbers are concerned give us some more time to get back to with more accuracy.
Raj Gupta : Yes, that number was basically extrapolation of last few months, those num bers will be consolidated in FY 24 Financial . I just gave an extrapolation of that ..
Kaushik Roy : Yes, so that cannot be the exact fair calculation o r the right way to look at it. We have already started taking lot of initiative, both in India as well as in USA focusing on full utilization of capacity , focusing on new product development, focusing on cost control and cost reduction initiative across the whole organization, particularly in the area of say manufacturing, procurement , logistics, et cetera. So, number of areas we have started focusing on, so give us some time, I am sure the res ults will be very positive and all of you will appreciate I am sure.
Aditya Khetan: Got it. Sir just one last question sir, on to the carbon black capacity expansion. S ir, is there an estimated figure how much expansion is coming in India for next year and for the subsequent year, and will this expansion put any pressure like onto the supply side, if supply goes beyond demand, so we have to be dependent on export, some markets like Europe, where we have a lot of potential?
Kaushik Roy : It is not about just expansion of others. The largest expansion is obviously happening with us now, in India as you are aware of the Chennai plant. There are some expansion planned by some other companies, I am not giving too much detail on that, but because of obvious reasons, but at the same time, other than Indian market our focus has been on international market for some time, while as a responsible and the leader of the market in India, it is important that we take care of our customers i nterest in India first, which we are definitely going to do and will continue to do so, at the same time we were looking at

international markets in a big way. As , I mentioned during the opening remark almost 40% of our production goes out today to international market. So, that shows, and we have started putting all the building blocks in terms of having logistics system, in terms of having warehouse, our own offices so that we can do local invoicing, our own people from technical and commercial side so that they can engage meaningfully with our customers over there, overseas customers. So, it is not that we will go away from Indian market ,

we will not, we will remain the leader in Indian market. At the same time, we will be growing outside India in a big way. And that's why we are adding so much of capacity . I don't think there will be any major pressure on us here in India.
Moderator: Thank you. The next question is from the line of Sanjesh Jain from ICICI S ecurit ies. P lease go ahead.
Sanjesh Jain: So, first on the Aquapharm, I know you did mention that this quarter is not a representative one. But, what has gone wrong, it is general weakness in the chemical business, the transition , that's number one and number two, what are we fixing in terms of leadership in the Aquapharm that would be one key area to watch because promoter will be moving out of the business. So, we need a leader there. So, what is the thought there , and number three . How is the competitive intensity in that business now that phosphorus prices have also fallen a nd the ease of procuring phosphorus is there versus what it was, say a year and a half back, how are we looking at this business and what will drive the turnar ound?
Kaushik Roy : Okay . So, about the numbers last two months, and naturally it was a bit disappointing, to be honest, it was not very encouraging, and we are not looking at that kind of number so that's why we are disappointed. The reason I will say is a mix of things, as you rightly said the market was not really good , chemical was at its lowest p ossibly last year. So, that is one of the reasons. The other reason is obviously, the re were kind of internal ly they are planning to sell this company also there was a lack of focus. Honestly, there is lack of focus on the operation and the efficiency and other parameters. So, they lost sight on the business to be honest. And as you also rightly said, that it was a promoter driven company, the re were the MDs and Joint MDs, et cetera. And they lost focus, because they were in a mood to sell it off. So, naturally, it impacted the whole organization, they unfortunately also ended up with one problem, which was possibly because of lack of focus , they ended up with a very high inventory at a high cost inventory of raw materials, because of maybe poor planning it happened, and eventually they had to liquidate that at a very low price in terms of sale price and made huge losses there. So, combination of reasons, these are the basic things now . Now, let us look forward, what is the point in mulling over this whatever has happened , promoters are already out of this by the way, they are not involved at all in this business at all at this point of time, all the decisions are taken by us the us at RPSG basically right. And as far as Aquapharm team is concerned, it is in terms of skill and capability as it is quite decent, maybe some difficult , some areas not so good, some difficult calls we might have to take or rather we have started taking already to bring in right kind of skill, and right kind of competency there. So, that has started happening already. Going forward, we will also be looking at a business head to take care of the entire business, we are already on the search . And in next two to three months' time the person should be in place. So, these changes are happening in the team, at this point of time, the team from PCBL who are kind of interpretation over there, to look at various aspect

s of the business, I am personally spending a lot more time on Aquapharm to ensure that we are able to get right kind of strategy , devised right kind of strategy and set right kind of direction, and actio n plans and the n drive it very hard. We have also engaged

McKinsey to help us in the journey, the initial journey to define the roadmap as we go along. And because of this reason, we feel very confident a nd I talked about primarily, three, four critical areas. The one is utilization of the full capacity. One is new product development, like better portfolio. Third one is efficiency at all different functions, especially in procurement, in logistics, and in manufacturing you just talked about yellow phosphorus , yes there are changes in the pricing, and we should tr y and get benefit out of that. So, these initiatives are already in place. And also we are trying to drive a culture of performance over there a nd aligning it with PCBL in terms of the KPIs and all. So, this is what it is, I will say that FY 25, which is the current financial year, will be more of a transition. But, I am sure we will get to see some good improvements in the numbers , in the performance. And the potential is really, really, really high for this organization Aquapharm .
Sanjesh Jain: Fair enough sir, that's really an elaborate and really appreciate that answer. Second on the carbon black side. What kind of volume growth are we looking for say next two years because it appears that we are adding close to 1, 10,000 metric ton additionally, both Chennai and Mundra . And then we are looking at say another 200 metric ton in a green field. So, w e are adding 300 KT on a base of 800. So, that should come in next three, four that will be a fair assumption?
Kaushik Roy : I think so , what you are saying is right, because we are already about 770 at this point of time. And as Raj already mentioned that 90,000 already the work has started and will be coming in two phases, Mundra further expansion is happening in specialty . And another Greenfield we are

already looking at which will be in terms of size will be again somewhat like Chennai, 1,50,000 type we are looking at 2 50,000 to 3,00,000 tonnes addition. W e are looking at maybe, 11 % to 12% CAGR kind of growth. That's what we are looking at, we are looking at a fast growth. To be honest, we have a big ambition, and we are looking at a fast growth, we will continue to remain leader in India we will not vacate that position for sure. That remains, but we want to grow quickly in international markets if you look at our numbers, over the last couple of years, you will realize that earlier in terms of international market we were just about 30% roughly in terms of export, and today we have already started hitting 40%. So, that shows the intention very clearly that we are becoming more and more a global player with a presence across the globe .

Sanjesh Jain: Got it. Last bit on China competitive intensity, on the China side, how is the competitive intensity from China, it still remain benign ?

Kaushik Roy : It is blow hot, blow cold, sometimes it is very active, very aggressive, and they start dumping at times. And sometimes they just disappear , but it is good for us, I will tell you the reason, the customers have lost confidence in them in the past. They look at China as a kind of fly by night kind of characters. So, sometimes they come in , sometimes they go out, at their convenience. And the reason only is known to them , nobody else knows the reason really. Which in a way helps us because customers get much more confident with companies like us who kind of believe in long term strategic relationship rather than spot transactional relationship . It helps us and as far as the numbers and the competition in terms of technol ogy, in terms of productivity, yield,

et cetera. We are one of the best in the world so why should we bother about China at all . We have enough players to play.

Moderator: Thank you. We have our next question from line of Sunil Kothari from Unique PMS. Please go ahead.

Sunil Kothari: Sir, just one little bit more on this Aquapharm and I have no doubt, you are seeing some really big opportunity in this business and the segment. And that's why we paid this much amount, whatever we have paid and I a m sure you will be able to generate a very good return over time. Just wanted to understand in the past good, whenever in a good time, what type of EBITDA margin or EBIT margin Aquapharm was able to do. And I am sure with your efforts and improvement, you will be getting those num bers again, so something on possibilities to talk ?

Raj Gupta : Okay. If we leave aside FY24 then in the previous three years they were operating at about 20% and this was when they were operating at around 60% - 65% capacity utilization. So, certainly there is significant operating leverage which is available. And we have reasons to believe that , the market has bottomed out already . Things have started looking better, both in terms of demand and also pricing. So, starting from current year , possibly realisation and margins will move up.

Sunil Kothari: Okay. So, their capability to generate revenue is roughly about 2000 crore over at time with your efforts and some balancing and all?

Raj Gupta : You are talking about revenue ?

Sunil Kothari: Current year.

Raj Gupta : No, so they achieved 2000 crore revenue in FY 23 with just about 60% capacity utilization. So, like I said that there is significant upside and also we are adding new products , we are adding new capacity now, especially in US which is currently sold out. So, certainly there is significant scope both for top line and bottom line to move up.

Sunil Kothari: Great . And sir just last question, over a time will be also able to generate EBIT margin which we are generating in our carbon black and specialty chemical business, that hope is or expectation is justifiable , maybe over time?

Raj Gupta : Yes, in terms of chemistry, it's a little more complex chemistry and therefore, it should attract better margins compared to our conventional business . Our business is primarily, though we have now created a large value -added product portfolio , but still almost 60% of our volumes come from kind of foundation grades, like tyre grades, as compared to that Aquapharm portfolio which contains specialty chemicals, which are more complex to manufacture. The market is very niche and we believe that, with proper kind of tailwinds, et cetera , or maybe absence of headwinds, the company should perform much better than what it is performing now.

Moderator: Thank you. We have our next question from the line of Krishan Parwani from JM Financial . Please go ahead.

Krishan Parwani: Firstly, on the Aquapharm you mentioned on inventory liquidation. So, if it had not been there, what would have been EBIT of Aquapharm for this two months, because in the press release you have mentioned EBIT for this chemical, this is only the Aquapharm right?

Pankaj Kedia : We have already said that post acquisition this was only two months of operation since when we have taken control. And the market has been dropped last year. So, post the liquidation o f the high-cost inventory etc,. today, the way we are looking forward is , how to align Aquapharm with our growth vision, the capacity utilization is low , that is a fact. And the markets have bottomed out in terms of chemicals is what we believe s o, the whole thing the way we are looking at is, how do we grow the business this year. And we believe that this year we should be able to grow it nicely with higher capacity utilization, and more customer acquisition, plus we are looki

ng lining up our launch of a large number of new products in our category. So, this will drive growth f rom this year onwards. So, this is how we look at .

Krishan Parwani: Understood. So, basically whatever that was, things should normalize a nd probably as Raj you mentioned earlier about, it can go , EBITDA can go up to 200 to 300 crores or even higher basis the utilization is that correct?

Raj Gupta : Yes, business should perform better. W e are seeing better market conditions currently, FY25 should be better than FY 24.

Krishan Parwani: Understood. And secondly, two bits firstly on the working capital side, and then how do you see the overall working capital cycle with the inclusion of Aquapharm?

Raj Gupta : Aquapharm currently has an operating cycle of about 90 days, which is high. Part of that is also because of their sourcing from a country which is landlocked, and therefore it takes more time to bring in material to India . We are looking at alternate geographies for this and also there is scope for improvement on receivables and payable terms . It will take us some time , but we are taking measures , and of course the market condition is also not very conducive currently . So, maybe gradually , over the next couple of year s, we will try and squeeze the operating cycle to somewhat lower number.

Krishan Parwani: Understood. So, maybe on a consolidated basis, 70, 75 days is the right number to look at?

Raj Gupta : It is possible , though there is no industry benchmark. It's a very niche industry. In India, there is no like -to-like business. But typically, what we have seen in chemical is that 60 to 70 days is common in chemical industry . So, yes, there is scope.

Krishan Parwani: Noted. And just on the continuation on that. On the debt front , where do you see the debt from let's say currently, the gross debt is 47 00 crores, if I am not mistaken so how do yo u see it in FY25?

Raj Gupta : See, i mmediately next one year time, debt may not go down. Though the ratios would improve because we will be generating better EBITDA and our equity will also go up with increase in profitability . So, our ratios would improve, but with the kind of growth plans that we have , our absolute debt number may not go down significantly.

Moderator: Thank you. We have our next question from line of Rohan from Nuvama. P lease go ahead.

Rohan: Sir, first question is on our CAPEX plans and capital cost of putting a new Greenfield plant which you just mentioned that maybe in next year onward we will start looking at a further Greenfield CAPEX. So, what is the ideal CAPEX cost now for the carbon black plant?

Raj Gupta : Carbon black brownfield capital cost is typically around Rs. 50,000, Rs.55,000 and Greenfield it is about a tad higher maybe around roughly Rs. 60,000 a ton.

Rohan: Okay . So, sir in terms of our ambition to keep on growing this business in terms of carbon black, and you mentioned that we are also looking to capture a higher share in the European export market So, if I look at this over next maybe two to three years, three to four years in slightly longer term. So, how much capacity you think that the company you have planned to add and the CAPEX for that at Rs. 50,000, Rs.55,000 per ton, does it justify the margin profile , current margin profile justifies the ROC you will be looking from that angle or you will first put the capacities and then expect the margin to ramp up slowly ?

Raj Gupta : So, first of all when we take a CAPEX decision , this is based on the payback period and we normally don't consider investment unless we see a less than five years kind of a payback. Even Tamil Nadu for that matter, if you look and how it has performed in the first year . The capacity came up in phases in 2024,a nd yet we could utilize to the extent of 55%. So, we do a market assessment and then we tak

e investment decisions based on what is going to be the payback period . Next two to four year s period or rather, I would talk about maybe period up to 2030, our assessment of the market is that we are in a long-term growth phase. T here's a lot of consolidation which has happened in different parts of the world. And which has created a very large and long -term growth opportunity. We believe that every year we will have to keep adding between 80 ,000 to 100,000 tons of additional capacity going forward , part of it will come through brownfield, part through Greenfield . We are acquiring land adjacent to our plant s, we are also planning to acquire more land with government help where we want to put our

Greenfield plant . That's our growth strategy.
Rohan: Okay. Sir, second question is now related to Aquapharm . So, though I understand that in recent timeframe that there will be some high cost inventory liquidation and weak industry dynamics, but in general now since the significant time have occurred acquisition of this Aquapharm . So,

now in your understanding the business dynamics of this Aquapharm what are the sustainable margins and growth profile y ou think that the company can have over the next two years to three years' timeframe and will it require further investment or CAPEX because right now utilization levels are low, but after achieving at 70, 80 utilization we see that there is a further CAPEX opportunity, what are your game plan related to Aquapharm?
Raj Gupta : So, like we said that India currently has some capacity cushion. So, India we are not looking to do any significant amount of CAPEX, US is currently running at almost full capacity and therefore, immediately we are planning some capacity increase there. W ith respect to the margin profile , like I said, except 2024, if we look at the previous three, four, five years, generally this business was generating about + 20% kind of EBITDA . And that was with around 60% capacity utilization. So, at a high er capacity utilization , operating leverage playing its own role, there is significant cushion for the margins to go up. Having said that, it's a new business, we are still trying to integrate it with our businesses efficiently. And that will also play a role . The synergies between the two businesses and the best practices that two businesses have developed even that is going to create some benefits for both the businesses. So, give us some time, maybe two , three quarters later we will be in a much better position to comment on wh at kind of margins can be achieved, but w e are very hopeful about performance of this business.
Rohan: Okay . And sir from the balance sheet point of view, so currently definitely we are running in a very, tough, I will not say that favorable scenario. But yes, still leverage balance sheet is probably we have not seen in many years, the company and so, the current year you mentioned that the debt may not come down, but I am just looking from next two years , three years perspective, the limited cash flow generation and limited free cash flow generation so, to repay the debt, because you still have a greenfield ambition also in terms of PCBLs carbon black business as well that may another 500, 600 crore including, for the top of the working capita l, even the Aquapharm is also looking at the growth so, working capital requirement will remain quite high. So, just wanted to understand that the balance sheet situation you are quite comfortable living the debt level, what we have right now continuously remains there in the same ratio for next two to three years as well or you will try to bring it down by any way so that in any tough situation or any unforeseen industry scenario, we are not stuck with the leverage balance sheet ?
Raj Gupta : Two -three things there . One as a matter of our policy, we our debt averse. All through las

t 10
years, we constantly kept on repaying our debt and brought it down to almost negligible level . We hardly had any long -term debt on our books. And that remains our philosophy. We are not comfortable with any level of debt , leave aside the current level of debt. H aving said that, the current market conditions offers significant opportunity, both for organic and inorganic growth. And just for the sake of avoiding debt as a matter of policy , if we compromise on growth, that would not have been a right strategy. And therefore, the debt that currently we have . Also, with all this capacity addition and new business acquisition, our potential to generate, higher cash from operations, is increasing every year . Between last year and this year a lso, if you look at the cons olidated EBITDA numbers, the FY 23 we did Rs. 775 crore of EBITDA and this year we

have done around Rs.1075 crore so it's a significant 39% kind of a jump in EBITDA and we remain optimistic about return on our new investment , both in or ganic space as well as in organic space. So, from that perspective, with the potential of returns that we can generate, the debt that currently we have on our balance sheet , is not much.
Rohan: Just last bit from my side, so sir in last four to five years, we have seen that our margin profile and EBITDA base has been improving and now have gone to roughly Rs.17,000, Rs.18,000 ton. Still not sure whether these are the margins which are going to remain there because if you look at Rs.17,000, Rs.18000 EBITDA per ton and the CAPEX of brownfield is close to 50,000 to 55,000 tonnes, I think that there is still case for other players to add the capacities and margin may in future come under pressure if the capacity increases. Or do you think that these are the new industry norms and margin profile is going to get petered here and unlikely to go below Rs.17,000, Rs.18,000 in any near future ?
Raj Gupta : See, market and business go through cycles. All industr ies go through cycle , our industry will go through cycle, we understand that . But we don't focus on market conditions and our focus is

primarily on how to improve our efficiency, how to improve our product portfolio, and how to increase our market share. How to ensure that we continue to retain our capacity utilization at a higher level. And those are exactly the few things which have helped us in last few years to maintain good financial performance across different kind of industry situation s. And that gives us confidence that even when capacity is getting added by other players and temporarily there is oversupply, then also we can maintain our margin . In fact having spoken about surplus capacity , in last 3years , India has added almost 600,000 ton nes of capacity and which was 60% of its previous capacity … this addition was almost 6 0% in magnitude. So, markets were over supplied during last two -three years. Yet if you look at our performance, we have constantly improved and that is because of our ability to move between markets, our ability to introduce new products and also to continuously improve our operational efficiencies. I'm not commenting on whether we will be able to improve this margin from here or it will go down , market may have conditions, but we are very confident about our own initiative s.
Moderator: Thank you sir. We have our next question from line of Atif from ICICI Prudential. Please go ahead.
Atif: Sir, just one question on the balance sheet , one is goodwill and the other is the intangible assets. So, goodwill is fine 1160 crores but if you can just help understand what exactly is this 2001 and 66 crores of intangible some breakup or some color and what these intangibles are ?
Raj Gupta : Okay . So, as per our Indian accounting regulation, when we acquire a business at a value which is higher than its net wo rth, then the diff

erence is al located to different intangible assets . So there's a fair valuation of tangible and intangible assets and which is done by a certified valuer. In our case Deloitte has carried out this valuation . So, what has happened is , in the process of fair valuation of assets of Aquapharm , intangible assets got created like technical know how,

their IP , their customer relations, these are all tax deductible. So, there will be amortization of these assets so over a period of 20 to 25 years , goodwill of course, this is not amortized , it is tested for impairment . But all the other intangibles which get created, they carry tax benefits and with the kind of intangible valuation that this business have been able to get, there's a good potential for some 500 -600 crore kind of tax savings going forward.
Atif: Sure. So, basically you are saying this 2000 crore will not get amortized, but you are saying we will test for impairment basically, and basically more or less this is more of technical knowhow, the transaction related goodwill is 1100 crores, but this is their separate which was there on the books of Aquapharm basically ?
Raj Gupta : No, so what happens is , in fair valuation, whatever allocation can be made to specific assets, tangible and intangible , that is firs t made and the residual value appears as goodwill. Now, goodwill is tested for impairment every balance sheet date, but the rest of the intangible s have a amortization period. So, this 2200 crore worth of intangible assets will have an amortization period of 20 to 25 years. T here are a number of intangible assets which have different amortization period .
Atif: Got it. So, basically we have to amortize this 2000 crores over a period of time?
Raj Gupta : Correct. It’s over a fairly long period 20- 25 years. And goodwill, we don’t expect goodwill impairment to be there.
Atif: That’s okay, goodwill I understand.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Aug 2024

“PCBL Limited

Q1 FY '25 Earnings Conference Call ”
August 12, 2024

MANAGEMENT : MR. KAUSHIK ROY – MANAGING DIRECTOR – PCBL LIMITED
MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER | EXECUTIVE DIRECTOR
MR. SAKET SAH – GROUP HEAD, INVESTOR RELATIONS AND ESG
MR. PANKAJ KEDIA – VICE PRESIDENT , INVESTOR RELATIONS

MODERATOR : MR. SANJESH JAIN – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to PCBL Limited Q1 FY '25 Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listened -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on a touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjesh Jain from ICICI Securities. Please go ahead, sir.

Sanjesh Jain: Thanks, Aditya. Good afternoon, everyone. Thank you for joining on the PCBL Limited Q1 FY '25 Results Conference Call . We have PCBL management represented by Mr. Kaushik Roy, Managing Director; Mr. Raj Gupta, CFO, Mr. Saket Sah, Group Head, Investor Relations and ESG; Mr. Pankaj Kedia, Vice President, Investor Relations.

I would like to invite Mr. Kaushik Roy to initiate the call with his opening remarks. Post which, we will have a Q&A session. Over to you, sir.

Kaushik Roy: Thank you so much. A very good afternoon to each one of you, and a very warm welcome as well. I will first quickly take you through the company update, and then open it for question and answer. I'll give you some details first on the Q1 performance. So I'm happy to inform you that PCBL reported its best -ever operational and financial performance during Q1 FY '25.

During this quarter, our consolidated sales volume from Carbon Black segment was highest ever at 1.54 lakh tons , which is up by about 25% on a year -on-year basis. While consolidated revenue from operations increased by 59% to INR 2,144 crores. And this is due to better realization, sales volumes and consolidation of Aquapharm business . Consolidated EBITDA grew by around 72% year-on-year to INR 369 crores. PBT stood at INR 164 crores while PAT increased by 8% year - on-year to INR 118 crores.

Consolidated EBITDA per metric ton in Carbon Black segment stood at INR 20,861 as against an average of INR 20,018 per metric ton during FY '24. During this quarter, PCBL Tamil Nadu achieved a sales volume of 28,228 tons . The state-of -the-art plant in Chennai has received approvals from all major t yre manufacturers in India and locked the capex utilization of 85% plus during the quarter.

Of the total Carbon Black sales volume, domestic sales volume stood at 90,438 metric ton , while international sales volume stood at 63,480 tons . Export sales volume registered a strong growth on year -on-year basis of 56% in Q1 FY '25.

Now moving on to the segmental performance. T yre accounted for 87,945 tons. Performance chemicals reported sales volume of 50,302 tons . And we also achieved specialty sales volume of 15,671 tons, which is again the highest ever in our history. And we continue to expand our product portfolio and customer base.

We also achieved highest ever power generation and sales volume during the quarter. Power generation increased by 24% from 156 million units in Q1 FY '24 to 194 million units during

the quarter with external sales volume of 116 million units as against 98 million units in Q1 FY '24. PCBL average realization stood at INR 4.16 per kilowatt hour.

Now coming to Aquapharm Chemicals. Aquapharm business is witnessing a steady improvement in performance. Post the completion of acquisition, we have been working on an integration process . Various efficiency improvement and cost optimization measures have been undertaken, and we expect this to yield positive results going forward. We are adding capacity for various high-margin products and this will help us to improve the margin profile further. Currently, Aquapharm has approximately 24% of global market share, excluding China, in Phosphonate , we plan to further increase our share with a

dditional capacity and value-added products in the segment. In oil and gas chemicals, Aquapharm has less than 1% of global share, and we are working on a strategy to increase our customer base, presence in multiple new geographies, increasing capacity and supply chain capabilities.

Green chelates, which is another exciting segment, where we see rapid growth opportunity. With the push forward more sustainable and green chelates, there is growing trend for substitution of older chelating agent like STPP in USA and Europe, China and India as well. We are, therefore, working on expanding the portfolio in green chelates. We are already making MGDA and GLDA liquid and are now working on MGDA granules .

A number of new products are under development stage and few are going through the approval process with large global MNC clients. In Q1 FY '25, revenue of Aquapharm stood at INR 359 crores and operational EBITDA at INR 55 crores. The quarterly sales volume was 24,402 tons . The capacity utilization witnessed a steep improvement and stood at around 75% during Q1 FY '25.

Your company is amid an aggressive capacity expansion program across different segments. And is working on strengthening supply chain, product mix and customer reach. The long-term prospect of all business segments look very positive and we believe there would be adequate business potential to sustain the growth momentum.

With the ban on import of Carbon Black from Russia into Europe, the European t yre manufacturers are expected to increase sourcing from India going forward. PCBL is expecting significant growth in international sales volume in the next few years.

At PCBL research and innovation are important drivers of both technical advancement and business expansion. In recent years, the company has intensified its commitment to research by making substantial investments in infrastructure, human capital and streamline processes. These investments have significantly bolstered PCBL's capabilities in new product development, customization, application and process efficiency .

Recently, we received a patent for Hybrid Carbon Black grade comprising graphene to improve performance of rubber compounds. This would lead to improvement of fuel efficiency, t yre durability and load bearing capacity.

Our current Carbon Black capacity stands at 7,70,000 tons annually. Currently, specialty line of 20,000 tons and 90,000 tons of Carbon Black line s are under implementation. And very soon, we will start working on larger capacit y.

We are expediting pace of work of project size to fast -track commissioning. Post commissioning of the above line, our capacity, our C B capacity would reach 8,80,000 tons . This will include specialty capacity of 1,12,000 tons . While the power capacity would be 134 megawatt. This would help us to increase our global market share.

The Aquapharm capital stood at all at 1,30,000 tons , and we have embarked on the capacity expansion program of 38,000 tons in next 6 to 8 months. The company is in multiyear growth momentum. The current annual revenue run rate has already crossed US $1 billion mark and is expected to accelerate further in the ensuing quarters with the capacity ramp -up across different business segments.

And with this, I conclude and open the floor for your questions. Thank you so much, ladies and gentlemen.

Moderator: Thank you very much. We will now begin the question-and -answer session. Our first question is from the line of Aman Soni from Nvest Analytics Advisory LLP.

Aman Soni: Congrats on good set of numbers. Could you please provide the revenue growth guidance for

FY '25? Additionally, can you elaborate on whether the company expects to sustain its EBITDA margin or if there are anticipated changes that could impact margin levels moving forward?
Raj Gupta: Aman, I would give you a little long-ter

m growth guidance. We are confident that the business,
the Carbon Black business can deliver roughly 11.5% -12% CAGR growth I'm talking in terms of volume growth over the next four to five years. And in terms of whether we are able to maintain our margins, there are lot of initiatives that we have taken on yield improvement side, on product mix side.
And also with additional capacity coming up, the operating leverage will also play favourably for the company. With that, our operating margins or our EBITDA per ton would keep on increasing between now and going forward. The next five years, I think we have a strong possibility of EBITDA going up by INR4,500- 5,000 per ton. That's how we see it.
Aman Soni: Please outline the company's capital expend iture plans for the medium term?
Raj Gupta: Long -term capital expenditure, we need to add about roughly 400,000 tons of Carbon Black capacity. And we will also be kind of doubling Aquapharm capacity across geographies. So we have two facilities, two primary facilities. India, we have multiple facility, but India considering as one geography and then U.S. Currently, they have about 130,000 tons. Next six to eight months' time, 38,000 tons capacity is going to come up. And during the next 4-4.5 years, we are going to add another 100,000 tons of capacit y.

Aquapharm capacity is also going to get double in the next five years' time. Additionally, we also created a joint venture company in collaboration with the Australian technology company. And we are already in final stage of closing the agreement. And then we will immediately proceed with implementation of a pilot pla nt. And we expect the first full -fledged plant to be ready, up and running in the next 1.5 to 2 years' time. And that is further going to add to the top line and bottom line at the consolidate d level.
Aman Soni: And the last question is, please detail the strategies the company is implementing to achieve the ambitious goal of increasing the business by 5x?
Raj Gupta: Aman, I didn't get your question correct? What exactly is your question?
Aman Soni: Please detail the strategies the company is implementing to achieve the ambitious goal o f increasing the business by 5x?
Raj Gupta: Yes. So Aman, you work out on this number, this 11- 12% volume growth in Carbon Black segment, doubling our capacity in Aquapharm business and then additionally, there is this battery chemical company coming into picture. I mean, there is a very high possibility of our getting a fivefold jump in bottom line in next five years .
Moderator: Our next question is from the line of Aditya Khetan from SMIFS Institutional Equities.
Aditya Khetan: Just a couple of questions. Sir, first question is on to the Carbon Black. Sir, I think the last two quarters, we have stated that since this sort of spreads in Carbon Black around INR20, INR20.5 per kilo in some sort that would be higher end only. So sir, like are we continue building in such
higher spreads or we see in the near term that this could als o come under pressure? And continuing on this part on to the Aquapharm, this quarter, we had reported around 22,000 tons at the EBITDA spread for Aquapharm. So sir, you can say it is a mid-cycle or at the top end of the -- into the cycle part?
Raj Gupta: Aditya , to answer your first question, the change in our margins or the improvement in our margins is on account of a lot of efficiency measures that we took in last 7 to 10 years. And while still, if you go by segment, the specialty volume might just look about 10% of the total volume, but there are lot of grades that we launched even in the tyre portfolio, which carry very high margin, almost comparable with the specialty portfolio. But we treat them as part of our tyre portfolio. So, in last 2, 3 years , if you track all the filings that we have done in recent past , thos

e are all composites or different grades which are not common grades, which provide superior quality to tyre . And therefore, they carry very high margin as compared to the basic grades which gets into tyre .
So even the margins in the tyre portfolio has improved, and is further improving because the product mix itself is changing within tyre segment also. Not only we believe that these margins are sustainable, we are confident that we can further increase this margin s. So the same kind of movement which has happened in our margins in last five years, we are confident that we can deliver further improvement to the same extent in the next five years.

Coming to Aquapharm. Aquapharm business currently is going through a soft cycle . There is pressure on margins. Also, there is some competition, right? And earlier we were only working in some geograph ies with some clients. Now we are expanding our customer reach and market s. The whole idea is to ensure higher capacity utilization and also because we are ambitiously working on capacity expansion we are also investing in our supply chain capability in this business. So going forward, in Aquapharm, we are very confident of increasing volumes as well as the margin profile.

Aditya Khetan: Got it. Sir, coming on to the Aquapharm, what sort of volumes we can expect for FY '25? And what growth percent can we be building for the next two years in FY '26 and '27?

Raj Gupta: Current year, I think we will be somewhere around 100,000 tons, maybe 100,000- 110,000 tons. The total capacity remains 13 0,000 tons as of now , I mean with current product mix. So maybe we will be somewhere around 100,000-110,000 tons. But capacity utilization will gradually increase towards third and fourth quarter s. So we expect better volumes towards third and fourth quarters. Also some of these lines that we are adding now in the new product segment will be operational towards third and fourth quarters. So that will give us some more volume.

Aditya Khetan: So on to the volume growth, can we expect, sir, 15% to 20% in FY '26 and '27?

Raj Gupta: Yes. Our target is a little more ambitious. I think we can grow between 20% to 25% volume growth going forward, I mean from FY '26.

Aditya Khetan: Got it. Sir, although the capex part you had mentioned, but I missed that point. So if you can highlight the capex we are doing for the next two years and if we can break it up into the Carbon Black and into the Aquapharm?

Raj Gupta: I was giving next five years projections. This 12% growth for which we have very high visibility would require roughly 400,000 tons of capacity addition in our conventional segment, which is Carbon Black including the specialty. And Aquapharm, we would be adding 38,000 in the current year and then an additional capacity of about 100,000 tons more in the next four to five years.

Aditya Khetan: So sir, what would be the capex number?

Raj Gupta: Roughly, you can consider INR60,000-65,000 a ton for c arbon black. So roughly INR2,500 crores of c apex in carbon b lack segment. An d for this additional 38,000 tons that we are adding now, we have already spent about INR 165 crores which is appearing in our CWIP as on 30 June. So the balance expenditure on the 38,000 tons will be roughly about INR 50-odd crores which will come up in the current year itself. And for the additional 100,000 tons we wil l be spending roughly about INR400 crores to INR 500-odd crores.

Additionally, for this battery chemical capacity which we are adding that will involve 2-phase expansion. So in the first phase we are putting up 2,000 tons of capacity which will involve roughly about 28 million USD so roughly about INR 250-odd crores. And in the 3 years' time,

we expect the capacity to be fully utilized so we will be doing another similar size plan. So on

battery chemical side we will be doing about INR450-500 crores worth of capex. So between all three if you add up then we will be doing roughly about INR 3,400 crores kind of c apex in next 5 years' time.

Aditya Khetan: Got it. Sir since like our company would continue to remain in capex and annua l would be somewhere around INR800 crores, INR 900 crores if I just divide by your number. So sir, I just want to know on to the acquisition of Aquapharm we had taken INR 3,800 crores as debt. So how you see that consolidated debt position will remain at this level an annual interest cost of INR420 crores would remain or you expect some decline there also because we are in c apex mode and we would be using all the mone y, cash flow to fund t hat capex ? Any thoughts on to the debt part how that will shape up?

Raj Gupta: Okay. I'll just give you some numbers, Aditya. Yes, we have c apex and we have borrowings in our books roughly INR4,400 crores of net borrowings,, INR 4,300 crores of net borrowings as of now, but if you add up next 5 years cash flow I mean starting from 2025, this year itself we are going to do a cash flow of about 1,000 odd crores before capex a nd if we add up next five years that will add up to about roughly 10,000 crores.

Moderator: Sorry to interrupt. Sir voice has been muffled while speaking. I request you to come c loser to the speaker and speak in b etween your voice has been cut off?

Raj Gupta: Yes. So Aditya I was mentioning that while we have borrowings in our book, roughly INR 4,300 crores and we also have c apex of another INR3,300 -3,400 crores lined up for 5 years. If you calculate the cash flow that we are going to generate in the next 5 years, that is going to add up to almost INR 9800- 10,000 crores . So that is not only sufficient to take care of our c apex, but to also repay the entire debt. And yes our interest cost is going to go down every passing year.

Aditya Khetan: Okay. Sir you mentioned that INR 9,800 crores cash flow for the next 5 years?

Raj Gupta: Roughly INR 10,000 crores, yes.
Aditya Khetan: Okay. And sir our -- I think sir it would be around INR 1,000 crores annually, right? So we are expecting incremental INR 1,000 crores cash flow from '26?
Raj Gupta: It will not be linear . Every passing year . because of volume growth and margin expansion, our cash generation would keep increasing. Current year will be roughly around INR1,000 crores.
And then, of course, it will keep increasing.
Aditya Khetan: Okay. Got it. Sir, one last question if I may. Sir, on to the ban of EU into Russia sir are we getting any incremental inquiries from the EU players and this volume growth in exports market which we had clocked in this quarter how much proportion would be towards the European market and any further sort of inquiries or are we getting it a nd are we looking for a long-term tie-up from that market?
Raj Gupta: Yes, Aditya. Most of our overseas sales are now strategic …to our strategic customer base. So we do sell some quantity in spot market, but our endeavour is always to get into long-term

arrangement with customers who w e consider strategic for business. Now this Russian -- the sanction on Russian c arbon black industry officially it has kicked off from 1st of July, but the real benefit we will start getting from maybe next 2 -3 quarters because there is some stocking which happened in Europe.
But even despite that our volumes in Europe has been going up steadily. Last year we did about 14% of our international volume from Europe . And this quarter we have already reached about 21% , I mean of international volumes coming from the European markets, so it is steadily growing.
And we have made significant investments in our supply chain bandwidth . It is not only in Europe, but across geographic , which we consider important from growth perspec

tive. We are
into aggressive capacity expansion phase and therefore we need to constantly keep on adding customers and geographies. So that remains an area of focus for us.
Aditya Khetan: And sir the incremental contracts which we are doing in Europe that is at a higher EBITDA per ton or at the same level which we have done in this quarter?
Raj Gupta: I would not say a higher EBITDA per ton. The idea is to increase the strategic customer base and eventually profitability will flow.
Aditya Khetan: Okay got it. Thank you.
Moderator: Thank you. O ur next question is from the line of Sanjesh Jain. Please go ahead.
Sanjesh Jain: First, on the Aquapharm part of the business. When we did the acquisition they were doing about INR380 crores, INR370 crores of E BITDA annually . Right now, we are at INR 55 crores of EBITDA (quarterly). I know industry is going through a tough situation, but INR 55 crores looks way too small and how do we plan to improve it?
Raj Gupta: Well, Sanjesh when we acquired this company we did not acquire it basis its current performance, but the potential that the business holds. It is going through a soft cycle currently, and lot of other chemical companies are also facing the same challenge. But we believe that it has bottomed out. And already there is a reflection in margin . It is improving.
My own sense Sanjesh is that by fourth quarter of this year we shoul d be doing somewhere around INR 80 crores to INR90 crores k ind of a run rate, possibly INR 100 crores maybe , if things go as planned. A nd the re are lot of initiatives tha t we have taken, we are taking. W e've also engaged McKinsey here to help us identify areas where we can focus more for improv ing efficiency. So those things are underway currently. And we are very confident that these initiatives will start yielding results s oon.
Sanjesh Jain: Fair enough. Raj, you said that you are looking to increase the market share. We are already at 24%. The in dustry probably is growing at 4 -5%. We are telling if we are doubling say in the capacity in the next 4- 5 years we probably end up having a market share of about 40- 45%. Is that what we are aiming?

Raj Gupta: No. The market is also increasing by roughly about 5% odd.
Sanjesh Jain: Correct.
Raj Gupta: Additionally, global growth rate also tapered down in last few years. So the current demand scenario in the indus try is not reflective of its real potential. So yes of course we intend to increase our market share, but it will not be 47 -48%. Possibly, we will be somewhere around maybe one third of the market share, global market share.

Sanjesh Jain: And whom will be gaining? Because if I look at the China today anything which is based out of phosphorus where China has a raw material advantage. They are only growing mo re aggressive. I can state you a few more chemistry on the phosphorus side where they have been go ing very aggressively a nd India doesn't have a phosphorus advantage. Now how do we plan to be at Chinese and get this market share up from 24% to 33%. So one of the reasons why market today is in slum p is also because of aggressive Chinese?

Raj Gupta: There are few things that we are considering. One, of course, I mean there is a natural advantage over China when we sell in Western markets as there is antidumping duty on Chinese products. So, I mean we get some advantage t here. But having said that, a couple of things that we are doing is we are looking at some kind of bac kward integration on the yellow phosphorus side. The yellow phosphorus is a mineral , it is mine d, but then for it to be used in our processes it needs to be converted into something else and which is very energy intensive. So we are planning to set up some yellow phosphorus processing facility in Middle East, which will save us some costs. Additionally, our procurement t

eam is also looking at different geographies for sourcing. Currently, most of this is coming from Kazakhstan, which is logistically not very efficient. But we are also exploring possibilities of sourcing it from other geographies. And third is, we are also looking at replacing part of the raw material chemicals that we are currently using with some other chemicals, which are not as difficult to procure in India. So those are, of f course, a little long -term kind of initiatives but those are the things which we plan to repair going forward.

Sanjesh Jain: Got it. Sir, just...

Raj Gupta: For natural advantage, which you mentioned that China has, the similar kind of advantage in one point in time, China also had in Carbon Black industry. But gradually, we improved our efficiencies, our manufacturing efficiency, operational efficiency. And t oday, we are far better placed than where we were maybe 6 -7 years back. And now that once we have crossed that path , for us to implement a similar kind of initiative model in Aquapharm, is not going to take as much time.

Sanjesh Jain: Got it. Got it, but phosphorus, India has been struggling for a while, even in the fertilizers...

Moderator: Sir, your voice is not audible, sir. I request you to use your handset while speaking.

Sanjesh Jain: Yes, Yes. I was telling Raj that phosphorus as India has been struggling for a while now. The fertilizer, which is a large consumption in terms of the volume, they also had their own fair share. But I got your point that we are looking at backward integrat ion and to derisk this. That's a welcome point.

Raj Gupta: Also you know what Sanjesh, while we talk so much about phosphorus , all that we deal with is 10,000 -12,000 tons of yellow phosphorus

Moderator: Sorry to interrupt you from the management line, your voice has been cutting off, sir?

Raj Gupta: Yes. So Sanjesh, I was mentioning that while we talk a lot about availability or non -availability of Yellow Phosphorus in India and therefore the cost impact , Yellow Phosphorus for all that we buy annually is just about 10,000 - 12,000 tons. So, it is just one of the many chemicals on raw material side that we purchase. It is not the sole raw material and just accounts for maybe 7 -8% of our total raw material that we consume.

Sanjesh Jain: Only 7-8% of the raw materials?

Raj Gupta: Yes. Yes.

Sanjesh Jain: Clear. Now shifting back to the Carbon Black, Raj. If I look at the global commentary from your peers, they have downgraded the EBITDA expectation for this year. Just wanted to understand how is this Russia ban thing working? Because globally, clearly, it looks like the expectation was high, but it hasn't completely flown through in terms of the benefits.

Raj Gupta: Okay. So the global peers, when you look at their commentary, because they have operations in multi-country, I mean they have manufacturing facilities in multiple geographies , so therefore, when they give guidance, they give guidance based on all these countries local demand -supply condition also. Like Cabot and Orion , they have facilities in China and Chinese Carbon Black industry is not doing well. And therefore, it will reflect on their blended margin. So that will not be reflective of the ind ustry margin profitability or margin profile.

The way we look at it, Sanjesh, a large level of consolidation has already happened in China. Additionally, their cost structure has changed, it has gone up significantly, both on raw material side and also on operating cost side, the labour cost has gone upward, environment management cost has gone up, right? And the raw material cost has gone up significantly for them. So today, we are very competitive in global markets. And therefore, while we have continued to increase our volumes in inte rnational markets, our margin profile has also kept on increasing. It h

as not
gone down. So that 's one reflection of our a bility to compete with all the global peers in global market.
Second, on top of this now with China and Russia consolidating in Carbon Black, it is going to create further deficit of material in the market. Between Russia and China, they used to control 80% of global trade. Now, China facing pressure on the cost side and Russia going out of business in the European market or Western market, some where it is going to create a larger possibili ty for the manufacturers in rest of the world . And Global industry was never in so much

surplus supply. Even before China consolidation, there were regional imbalance only, some countries had more, some countries had less capacity, but industry was never in so much surplus capacity, which could absorb this consolidation in China and Russia.
We believe that industry is going to remain in short supply for at least next 5- 7 years' time. And 3 years back also when we were asked this question that with so much capacities coming in India, how we plan to utilize our capacity that we are adding this green field . And see, it is not even 1 year, and we are already at full capacity utilization. And we strongly believe that this condition is going to continue for next 5-7 years' time. And therefore, we're confident that we can grow at 12% volume. 12%, also, we are saying that additional capacity will take time and possibly even if there is opportunity, we can't grow beyond that.
Sanjesh Jain: Fair enough. That's quite elongate and clear, Raj. Just one question, this expedition of capex, which we have done in the Chenna i facility of 90,000 metric ton . When are we expecting that to come online?
Raj Gupta: This wi ll come in 2 phases, 30,000 ton s we expect in third quarter itself. And balance 60,000 tons, where we will also have to do downstream, that is going to take some time, maybe about 12 months' time, 12 months from now. So by third quarter of next year, second quarter or third quarter of next financial year, it should be up and running.
Sanjesh Jain: So till then, we will be constrained by the capacity, right? We have a full utilization in Chennai and all the other facilities in which we were running at an optimal utilization business, until additional capacity come, we will be short of supply to the growth, right?
Raj Gupta: Not really. See, the way the capacities have st acked up already, we can go up to roughly around 6,25,000 -6,30,000 tons of production based on our existing capacity. Then we are adding 1,10,000 ton capacity in the next roughly 12 months' time, including the 20,000 tons specialty capacity. Now this 110,000 tons capacity is roughly going to give us about 85,000- 90,000 tons capacity.
So, it takes us to roughly about 7,05,000 -7,10,000 tons kind of capacity. We are going to do more downstream. Tamil Nadu still gives us some scope, we acquired a small piece of land there. Additionally, we are also looking at acquiring more land. There is one large piece of land avail able, but it is not exactly in SIPCOT area. We're just trying to see whether we can negotiate with SIPCOT and bring it under the industrial area so that we get al l the facilities of SIPCOT. If that happens than the larger facility that we are planning to build up next, we don't need to do it greenfield and that will save time also.
So, when you're talking about 12% volume growth, last year, we did 5,30,000 tons. we will be doing about 6,00,000-odd tons this year. And next year, we will be doing about 6,70,000-6,80,000. So for FY '25, '26, we have adequate capacity and by '27, we will have more capacity coming up, which will take care of the growth. So, when I am saying we will be constrained by capacity , we are saying that while we can add 12% on a year -on-year basis , growing beyond that

possibly will become a little challenge, because, higher capacity addition in shorter period may be difficult.
Sanjesh Jain: Got it. Got it. That's pretty much clear. And best of luck for the coming quarters.
Raj Gupta: Thank you, Sanjesh.
Moderator: Our next question is from the line of Radha from B&K Securities.
Radha: Congratulations on good result. Sir, my question was that our target is to reach INR 2,500 crores PAT in the next 5 years. So if we take Carbon Black 12% volume C AGR and EBITDA per ton of INR22,000 per ton . So I think you can get INR 1,100 crores PAT...
Moderator: Ma'am please be loud, a little loud? Your voice is not audible.
Radha: To reach the target of INR 2,500 crores PAT if you do a quick back calculation then in Carbon Black, as per your guidance of 12% volume CAGR for the next 5 years and EBITDA of 22 per

kg, we can do around INR1,000 crores to INR 1,100 crores PAT . And in Aquapharm, if you double the capacity and then full utilization in the next 5 years, we could do another INR 500 crores. So can you just please explain me where the gap of INR 500 crores is coming from?
Raj Gupta: Radha, first of all, we always believe that we can increase our margin beyond that. So I was also talking about it while back that there's a possibility of improvement i n our EBITDA to the tune of INR4,500 -5,000 per ton, whic h takes us to roughly about INR25,000-26, 000, even if you consider INR 25,000 per ton on a 12% CAGR volume growth, which kind of takes us roughly 9,40,000 tons in FY '29. If you apply it on t hat, we do EBITDA of roughly over INR2,300 crores. Aquapharm already, we believe that this year with the current capacity and which is not fully utilized, we ar e going to be roughly about INR 300 crores, and the current capacity can give us EBITDA up to roughly about INR450- 500 crores because in FY '23 the company did over INR400 crores of EBITDA, with lower capacity.
If we can go up to INR 500 crores from the current capacity and there will be a doubling capacity, actual ly, it takes us to close to INR 1,000 crores. But even if you consider 70% capacity utilization of Aquapharm by 2029 on the extended capacity, we still do about INR 700 crores of EBITDA.
And then the battery chemical, which is a very high -margin business, we be lieve that it can go around INR1,000 crores to INR 1,200 crores kind of EBITDA by 2029. Now if you add the three up, it will take you to roughly around INR4,200 -4,300 crores of EBITDA. Our debt will almost be paid off with the kind of PAT that we are generating.
And we will just have depreciation of about INR 500 crores. So even if y ou consider the interest of INR200 crores, right? And also, I mean, between depreciation and interest, roughly about INR700 crores. We deduct from EBITDA of INR4, 300 crores, we are still at INR3,6 00 crores. You apply whatever tax rate we are still beyond INR 2,500 crores. That's how we calculate it.

Radha: Okay, sir. And this capex of INR 3,300 crores you mentioned. So that capex is INR 3,300 crores is what we would require to achieve INR 2,500 crores or anything higher?
Raj Gupta: No. Yes, this is adequate for us to achieve those targeted numbers by '29.
Radha: And sir, the INR 1,200 crores EBITDA for the JV, that is for our share of JV or the whole?
Raj Gupta: No, this is whole.
Radha: Okay. And sir, Aquapharm said that in 2023, they did a higher profitability. But I believe that there was some supply chain disruptions. So that's why the profitability was higher and now it is more kind of normalizing.
Raj Gupta: Radha, now it is also not a normal scenario. '22 may have been the exception , but '23 margins are already moderated. And now what we are seeing is industry at its bottom, like most of the chemicals. So this is also not normal. And like I said, 2 things, one, th

e capacity utilization has been very low. We are currently at about 75% capacity utilization. Second, all the efficiency measures that we are taking on cost side and operational efficiency improvement side, those are going to take our bottom line higher. So, by fourth quarter of this year, our performance should increase, which should give us a run rate of about INR360 crores to INR 380-odd crores annualized, EBITDA level.
Radha: Okay, sir. And second question was on the performance chemicals side. So, 2 years back this used to be 20% of our Carbon Black volume. Now we are at all -time high levels, 33% of Carbon Black volume. So what is leading to this high growth in this segment? And do you expect the momentum to sustain?
Raj Gupta: No. The way we look at it, though performance segment carries a little higher margin, but the offtake is not uniform across quarters and across years . So, we keep open eye, we keep on looking at how the markets are behaving. Which segment the demand and pricing and margins are attractive, and we can keep changing our allocation. So this will fluctuate between 25% to 35%, depending on industry dynamics. But our focus is more on to increase capacity, increase our market presence and improve our margins throug h our own efficiency.
Radha: Sir, what is leading to this volatility in performa nce chemical business? And also ...
Raj Gupta: The end user industries are different, Radha. Sometimes when those end user industries perform well, the offtake is better in that case.
Radha: That would be construction and infrastructure.
Raj Gupta: Construction, infrastructure, automotive industry all 3, and also chemicals . I mean, it's a wide universe, very wide universe.
Radha: So here majority of the sales is on spot basis?

Raj Gupta: No. It is not majority on spot basis. While some of the sale is of course spot basis, but the customers are mostly our regular customers. So the sales are mostly repetitive nature.
Radha: Regular customers means your tire customers or...
Raj Gupta: No, not tire. I'm talking about performance segment customers. So, the customer universe is more like stable ,. Of course we are adding more customers every passing year, but then customers are repetitive customers.
Radha: Sir how is the domestic export mix in performance chemicals?
Raj Gupta: It is more in international markets. So we are doing roughly about 35% domestically and 65% international.
Radha: Okay. And this currently which region can see increased demand?
Raj Gupta: Radha, you will have to ask the question again as your voice low.
Radha: Sir in export market, which regions you're seeing the increased demand?
Raj Gupta: We were always very strong in Asia Pacific. These last few years, we have been trying to build roads in Western Europe, North America. And while the market s are growing across , I mean the customers are growing across markets , we are putting a little more focus on Western Europe now.
Moderator: Thank you. Our next question is from the line of from Harsh from Kuber Investments. Please go ahead.
Harsh: Raj, you mentioned that there is a capacity expansion for Aquapharm that is underway. But in the last call, you mentioned that there is some capacity that is going to come up in the U.S. So this 38,000 that you mentioned, is it the one that is going to com e in the U.S.
Raj Gupta: No, this 38,000 is entirely India. U.S we will have to add capacity because we are already operating at almost full capaci ty, but the line specification or the product specification is still being worked upon. So maybe we will start sharing further details about those in a quarter s time.
Harsh: Got it. So this 38,000 is something that you're mentioning is going to come up in the next 6 months to 8 months.
Raj Gupta: Yes, by February or March latest, we should have this entire

38,000 tons
Harsh: Sure. And also, we spoke about the pressure on the Aquapharm margins at this point of time. Is this something that we've estimated during due diligence? Or is this has come as a surprise to us?

Raj Gupta: No, this has not come as a surprise to us because the acquisition got completed in January,. And we already had last 4 months, I mean first half was already a little subdued. I mean I'm talking about the period between April and September and then October to January was even a little softer.
So we had those numbers coming in and we also had the commentary from the industry peers. We knew that it was going to go through a soft patch. But then considering the product portfolio,
the customer s to which Aquapharm is catering to and the markets where they are present, we decided to go ahead with the acquisition .
Harsh: Fair enough. And my final question is regarding green chelates, we heard a lot of bullish commentary from the management regarding green chelates but it's currently only 1% of the total sales. Do we need to do some market development activities to grow thi s segment? Or is there a shift that is already underway and you will ride this trend?
Raj Gupta: I am handing it over to our MD, Mr. Kaushik Roy he will answer question.
Kaushik Roy: Okay. I mean there are 4 major segments. One is phosphonate, where we are 24%. And then we have got 3 major segments where we are around 1% to 2%. Green chelates is one of them. One is green chelate, one is polymer and one is chemical for oil and gas. And all 3 of them are profitability wise all 3 of them was pretty healthy.
Additionally, for green chelate, it is the biodegradable product and therefore a sustainable product, which is the need of hour for the globe in a way you can say. So all these 3 areas, we
feel since we are just about 1% or 2% of the global share there has a lot of headroom to grow.
You have a lot of headroom to grow.
In addition to phosphonate, where we are a strong player, we'll keep on maintaining the strength there but additionally, will grow a lot in these 3 areas particularly. And you're absolutely right.
We need to do a lot of marketing activities, a lot of market development activities, a lot of customer development activities, product development activities also and geographical expansion in terms of having the right kind of logistics support everywhere.
So all these will act as building block. It is somewhat like, as you know, PCBL earlier it was primarily in the India focused organization. And today, almost 35 -40% goes out of India. And
we build all these supply chain blocks over a period of time across the globe for PCBL, including our R&D centre including supply chain, warehouses, logistics partner tying up, having our own
offices in different countries. Similar initiatives will also be taken for Aquapharm.
Harsh: Got it. Thank you for that elaborate answer and final question...
Moderator: Sorry to interrupt, sir. Several participants are waiting for their turn. .

Kaushik Roy: We can take it offline, okay.

Moderator: Thank you. Our next question is from the line of Venkatesh from Logic tree Consultants Pvt Ltd. Please go ahead.
Venkatesh : I just have one question on -- which is more of an optionality. So when I'm reading about the literature and your own commentary about Aquapharm and everything else. Apart from what you've highlighted in terms of volume growth, is there some sort of an opt ionality that we are probably not still -- although we have been very optimistic on the future growth prospects.
And you could talk about the Australian JV or Aquapharm into water treatment nano-rate tubes that you talked about. Is there something where that can come as a very pleasant surprise, which can probably outdo your optimism because these ar

e sectors which can have huge growth when you get it on the cycle, right? So can you expand a little bit on that?
Raj Gupta: Yes. Mr. Venkatesh . So if you noted, the numbers we are sharing, especially for Aquapharm and this battery venture , we have considered the same margin multiplied by the increased volume.
But historically, the margins have been far better.
We are not considering those margins because then that will be a little optimistic. but chemical industry goes through cycles we all know and in 2 -3 years' time if the cycle improves then we can enjoy better margins than what currently we are factoring in our calculation.
On the battery chemical side, currently, the material which we are planning to produce that gets sold at about $300 a kg. For our calculation, we are considering $100 a kg. Now that's the conservative estimate of the selling price and of course the EBITDA as a percentage of the realization. So those are all the positive upsides , which may be there . We are currently taking a conservative estimate of what the margin profile would be.
Venkatesh : Okay. And going on Aquapharm considering that they are in U.S. and Europe that's not a market that we have never been would there be cross -selling opportunities, one and concern that the capex in Europe and U.S. from the major world there is quite limited, would there be chances for more export opportunities of pouring into the U.S. market? Related question is Aqua pharm is into water treatment. That's a big area, big size opportunity. You have some sort of an opportunity price that you can talk a bout for Aquapharm water treatment chemicals.
Raj Gupta: I'll answer the first 2 questions and then hand over to Mr. Roy to talk about the opportunity , the possibility in water treatment segment. In terms of synergy based on their supply chain network, yes, they are present in markets where we historically had low presence. So almost 75 -80% of their volumes come from North America and Western Europe and we hardly had any presence in this market. We are trying to build in roads but that is a s low process. But now that through this acquisition, we have got access to this supply chain network. This is going to speed up things for us. And these are the markets which are not very price sensitive also. So we are going to get advantage of this.
Additionally, if you look at PCBL all of our manufacturing facilities are in India. We never had any overseas manufacturing experience. And therefore, also, there was some kind of scepticism about our building up some capacity outside.

Now we get this company which already has a manufacturing facility in the U.S. And the people in our team are managing it , running it for so many years. So that's a new capability which is served to us. So tomorrow if we want to set up some manufacturing facility in other parts of the world , then that capability will be useful. Now, regarding the possibility in water treatment in , could you repeat your question I will handover to Mr. Roy.
Venkatesh : Would you like me to repeat the question?
Kaushik Roy: Can I have a question on water treatment please? What exactly was the question?
Venkatesh : My question was, I think it's such a large area, and it's very important water as a team. So I'm trying to look at what is the size of the opportunity that you're looking at and what will be the application? For example, if Saudi Arabia is going to get into in a big way on capex on water treatment or whether it is in India , have you evaluated geographies and where this can be used in terms of the overall size of the opportunity size for the water treatment chemical?
Kaushik Roy: You're absolutely right. Water treatment, whole area is actually huge. And I think it is hardly explored it. It is very limited so far. But as we go along it will be more and more -- there will be a l

ot of focus more on in this area. In fact, in our R&D, w e are taking a few more initiatives also in terms of possibility of new products in this area.
So it is not just about different countries and different locations and applications from water treatment point of view but also from a product point of view. So we're looking at that as well.
We're looking at that as well. We are at to quantify that. Give us some more time, we will come back with a better understanding in terms of numbers, what is the size of the opportunity, but you are right, we feel there's a huge amount of opportunity.
Venkatesh : Okay, sir. That’s good. Thank you very much and wish you all the best.
Kaushik Roy: Just generally, for all of you, we are only discussing a few things here like Carbon Black and battery and Aquapharm. But organization is actually looking at a few other things, which we are not sharing at this point of time because it's maybe a little too early. Very exciting initiatives from other areas and maybe even breakthrough areas, breakthrough opportunities.
And I was hearing the question a little while back can it go beyond this. I'm keeping my fingers crossed but if it goes it will go multifold. It will go really multifold. So those initiatives are a very, very big. But little to o early so I’m not sharing any more detail but 3, 4 more areas we are working on. Hopefully, we'll be successful, and we'll come back to you very soon.
Venkatesh : Thank you, sir.
Moderator: Thank you. Ladies and gentlemen that was the last question for the day. On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

6th November, 2024
The Manager, The General Manager,
Listing Department, Department of Corporate Services,
National Stock Exchange of India Ltd, BSE Ltd.,
Exchange Plaza, 1st Floor, New Trading Ring,
Plot No. – C – 1, G Block, Rotunda Building,
Bandra – Kurla Complex, P.J. Towers,
Bandra (East), Dalal Street, Fort,
Mumbai – 400051 Mumbai – 400001

NSE Code :- PCBL BSE Scrip Code :- 506590

Dear Sir,

Sub: - Q2 FY 25 Earnings Conference Call – Transcript
Further to our letters dated 25th October, 2024 and 30th October, 2024 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Q2 FY'25 Results Conference Call held on Wednesday, 30th October, 2024 at 12:30 hrs India Time , for the quarter ended 30th September, 2024. This information will also be hosted on the Company's website at https://www.pcblltd.com/investor-relation/financials/investor -presentation .
We request you to please take the afore -mentioned information in record and oblige.

Thanking you,

Yours faithfully,
For PCBL LIMITED

K. Mukherjee
Company Secretary and Chief Legal Office r

Enclo : As above

"PCBL Limited Q2 FY '25 Earnings Conference Call "
October 30, 20 24

M
ANAGEMENT : MR. KAUSHIK ROY – MANAGING DIRECTOR , PCBL
LIMITED
MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER , PCBL
LIMITED
MR. SAKET SAH – GROUP HEAD INVESTOR RELATION S
AND ESG REPORTING
MR. PANKAJ KEDIA – VICE PRESIDENT -INVESTOR
RELATIONS
MANAGEMENT : MR. SANJESH JAIN – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to PCBL Limited Q2 FY '25 Earning Conference Call, hosted by ICICI Securities.
As a reminder, all participant s' lines will be in the -listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal and operator by pressing "*", then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjesh Jain. Thank you and over to you, sir.
Sanjesh Jain: Thanks, Nivedita. Good afternoon, everyone on the call. Thank you for joining on the PCBL Limited Q2 FY '25 Results Conference Call .
We have PCBL Management on the call represented by Mr. Kaushik Roy – Managing Director; Mr. Raj Gupta – CFO; Mr. Saket Sah – Group Head Investor Relations and ESG; Mr. Pankaj Kedia, Vice President, Investor Relations.
I would like to invite Mr. Kaushik Roy to initiate the call with his “Opening Remarks ”, post which we will have a Q&A session. Over to you, sir.
Kaushik Roy: Thank you so much. Very good day, ladies and gentlemen. Good afternoon and a very, very warm welcome to all of you. And at the same time, I wish you all a very, very Happy Diwali and prosperous New Year.
I will take you through some of the major highlights first for the quarter, and thereafter, will be happy to take questions.
During the quarter, our consolidated sales volume (carbon black) increased by 14% year -on-year to 1.48 lakh tonnes . While consolidated revenue from operations increased by 45% to Rs. 2,163 crore s on the back of better realization, higher sales volume and revenue from recently acquired Aquapharm Chemicals.
Consolidated EBITDA grew by about 53% year -on-year to Rs. 369 crore s. PBT stood at Rs. 164 crore s, while PAT stood at Rs. 123 crore s. Consolidated EBITDA per tonnes in carbon black business further increased to Rs. 21,324.
Of the total carbon black sales volume, domestic sales were at 90,219 tonnes , while international sales were at 58,474 tonnes . Export sales volume registered a strong year -on-year growth of 22% in Q2 FY '25.
Now, let me move on to segmental performance. Tyre accounted for 82,383 tonnes , performance chemical reported sales volume of 49,183 tonnes , while specialty sales volume was at 17,127 tonnes , which is again the highest ever in our history. We continue to expand our product portfolio and customer base.

During this time, we also achieved the highest ever power generation and sales volume during the quarter. Power generation increased by 25% from 167 MU in Q2 FY '24 to 209 MU during the quarter, with an external sales volume of 126 MU as against 103 MU in Q2 FY '24. PCBL's average realizations stood at Rs 3.56 Kwh .
Coming to six monthly performances :
During H1FY '25, consolidated revenue from operations increased by 52% year -on-year to Rs. 4,307 crore s from Rs. 2,834 crore s (H1FY '24). Sales volume increased 19% year -on-year to 302,610 metric tonnes in H1FY '25. The consolidated EBITDA for H1FY '25 was up 62% year -on-year to Rs. 738 crore s. from Rs. 455 crores . Power generation and sales volume also went up by around 20% in the first half of the financial year.
Let me now talk about Aquapharm Chemicals :
Aquapharm Chemicals reported a steady performance during the quarter. Post the completion of the acquisition, we have been working on an integration process. The Company is implementing various cost optimization and operational efficiency measures which w ould result in better capacity utilization, leading to improvement in the Company’s performance in coming quarters.
In Q2 FY '25, revenue stood at Rs. 362 crore and EBITDA stood at Rs. 50 crore s. The quarterly sales volumes stood at 2

4,510 tonnes . The capacity utilization remained above 75% during the quarter.
PCBL is amidst an aggressive capacity expansion program in carbon black, water treatment, detergent, as well as oil and gas chemicals under Aquapharm. The Company is working on strengthening its supply chain, improving product mix and cost optimization initiatives. The long-term prospects of all the business segment s look quite positive, and we believe there would be adequate business potential to sustain the growth momentum.

At PCBL, research and innovation are important drivers of both technical advancement and business expansion. As communicated earlier, the Company has made substantial investment in infrastructure, human capital and streamlined processes. These investments have significantly bolstered PCBL's capabilities in new product development, customization, and applications, as well as process efficiency. The carbon black capacity of the Company stood at 770,000 MTPA . PCBL expects to commission the specialty project o f 20,000 MTPA in Mundra and 30,000 MTPA brownfield expansion of carbon black facility in PCBL, Tamil Nadu i n Q3 FY '25. The second phase of PCBL Tamil Nadu expansion of 60,000 MTPA would take the total installed capacity to 8,80,000 MTPA , with a G reen Power capacity of 134 MW in FY '26.
Aquapharm Chemicals is implementing an expansion project of 38,000 MTPA , which is likely to be commissioned by March 2025.

We aim to reach 1 million tonnes capacity in carbon black by FY '27 -'28, possibly we will surpass this target as well. We are currently evaluating sites for proposed greenfield capacity. This would help us to significantly increase our global market share.
Now, let me share some updates on our recent joint venture in battery chemical space, specific to anode :
PCBL has executed a JV agreement with Ki ndia Private Limited to form Nanovace Technologies Limited for developing nanosilicon products to be used in anodes of lithium -ion batteries. PCBL holds 51% and Ki ndia 49% in Nanovace Technologies. PCBL would infuse $44 million in Nanovace in multiple stages over the next two years for acquiring IPs, setting up pilot plant, and thereafter commercial scale manufacturing facility. Currently, Nanovace is setting up a pilot plant at PCBL, Palej site.
The carbon black business continues to be on a strong growth trajectory and is well poised to capture the growth in the domestic and exports market with new capacity additions, w ide product suite, and strong R&D capability. The Company continues to invest in growth, innovation and supply chain capabilities across the world. We expect significant growth in international sales volume to European markets. With planned capacity additions, PCBL plans to ramp up global sales volume from FY '2 6.
With this update, I will conclude now and open the floor for your queries. Thank you so much.
Moderator: Thank you very much, sir. We will now begin the question -and-answer session. The first question is from the line of Aditya from SMIFS Limited. Please go ahead, sir.
Aditya Khetan: Yes. Thank you, sir, for the opportunity. Sir, my first question is on to the expansion which we are doing of 30,000 tonnes by next quarter. So, has the work at the site been completed fully as of now?
Raj Gupta : Yes. Aditya, the project work is almost complete. We are awaiting Consent to O perate. We have already applied for it. And we expect commissioning soon.
Aditya Khetan: And sir, in this plant, so is it an extension to our existing grades only? So, recently we have also got some patented products into the carbon black space, so that new products we are planning to launch here or so it is an extension of the old product?
Raj Gupta : We have three broad portfolios or business segments under PCBL, one is S pecialty, which requires completely different processes and re

actor design. Rest all grades can be manufactured in this new facility, so other than specialty. Specialty requires separate reactors. Currently we have such reactors in Palej and Mundra. Rest all plants can manufacture all the other grades, including the ones which we recently patented.

Aditya Khetan: Sir my next question is on to the carbon black EBITDA per ton. So, I believe sir for the last two, three quarters, we are maintaining that run rate of Rs. 21,000 per tonnes . So, how sustainable you see this number to be going ahead? Can there be like this can fall down to your original target of Rs. 18,000 per tonnes , which you were alluding one year back, can that number be achieved? Or you think this is the sustainable number for now?
Raj Gupta : So, the global business environment even now , is extremely turbulent. Last quarter, we saw the freight rates moving up by almost 35- 40%. And the margins that you see for last quarter , is in spite of that. We not only believe that these margins are sustainable, but we also believe there is a fair level of cushion for us to go up on margins as our product mix change s, as our operating leverage improves. And we are still working on improving our manufacturing efficiency, so yields also have scope to improve.
Aditya Khetan: But sir, suppose if the freight rates compress or they come down, which we have started to witness on quarter -on-quarter that freight rates are coming down, still you see that the spreads

can maintain because decline in spread rates would definitely impact the spreads also of carbon black. In spite of this you are factoring like this, so this number can be maintained you mean to say?
Raj Gupta : Aditya, when we sell in global markets, we have to compete with the local manufacturers. So, when freight rates are high, our margins get compressed. So, in a low freight scenario, the margins would tend to go up, not go down.
Aditya Khetan: I was actually mentioning so when freight rates are high, so to pass on that impact, you generally keep the carbon black prices at a higher level, just to pass on that incremental freight. So, in that time generally the spread looks optically higher as compared to a normal business environment, but still like you're alluding to the fact that this number can be maintained?
Raj Gupta : Yes. I mean, when the cost of doing business comes down, generally the margins expand, and that is true to our business also.
Aditya Khetan: Perfect. Sir on to the Aquapharm, I believe sir you were guiding earlier around 15 -20% volume growth. In this quarter sir we had witnessed only, you can say, flattish volumes only. Any specific reason, sir, can you highlight for these flattish volumes?
Raj Gupta : Aditya, there are a lot of stuff that we are doing in Aquapharm. We are primarily working on improving their cost structure, improving operational efficiency and improving capacity utilization. But all these initiatives will take some time. So, the real reflection of such measure will flow into the numbers, maybe after two, three quarters. So, in the current quarter, I mean, with all the global uncertainties which are there, plus the turbulence in global business conditions , last quarter was largely flat, but we expect this performance to improve in quarters going forward.

Aditya Khetan: Sir, just one last question. Sir, outlook on the debt what we are foreseeing. And in earlier call sir you have mentioned that we are looking at around Rs. 2,000 crore s of cash flow per annum. In half yearly sir, we have made somewhere around Rs. 700 -800 crore s. Just want to know, so that can Rs.2,000 crore annual cash flow number be maintained for the next two, three years? And how that would be utilized for repayment of debt and for the further CAPEX?
Raj Gupta : Aditya, when we spoke about cash flow,

we spoke about how much cash we are going to generate over the next five years. And we did speak about Rs. 9,500 - 10,000 crore s of cash generation. But cash generation would increase every year with higher capacity and higher sales volume. So, it will not be uniform across every year. So, it will not be like Rs. 2,000 crore every year for the next five years, right. But we will be generating enough cash flow which can support our growth plans as well as also help us reduce our debt.
Aditya Khetan: Sir, any debt figures you have made up in mind? Like for FY '26- '27 what would that number look like?
Raj Gupta : We are not looking at any absolute debt level, but we are not comfortable with our debt to EBITDA beyond 2. So, we will try and bring it down to that. Now, it might take a year more because we will certainly not compromise with our growth plans just because there is a little more debt on our books. But whatever surplus cash that we generate beyond our capital expenditure, that certainly we are going to utilize towards debt reduction.
Moderator: Thank you. The next question is from the line of Radha from B&K Securities. Please go ahead.
Radha: Sir, my first question is that in the carbon black business, according to a previous presentation given by the Company , so just wanted to understand the demand scenario. So, India is expected to create an incremental demand of 4.5 lakh tonnes in the next five years. The Europe rebalancing of supply chain is creating an incremental demand of 2.5 lakh tonnes, and global mar ket ex of India, if we factor in low single digit growth rate, then that is creating around 300 lakh tonnes of demand in the next f ive years.
So, from FY '24 base, PCBL's target is to achieve another 4 lakh tonnes of volumes in the next five years. So, from India, if you assume 33% market share in India, then we can get around 1.5 lakh tonnes from India out of the 4 lakh tonnes of incremental volume that we want to do in the next five years. So, for the balance, that is 4 minus 1.5, can you please help me how the road map is that how much from Europe rebalancing are you targeting and how much from the remaining global market growth?
Raj Gupta : Radha, we are not targeting any particular market for our growth aspiration. It's a fairly large market. It's around 15 million tonnes market already. And if you look at the global growth rate, long term growth rate had been around 3.5%, which creates a large opportunity and scope for further increase in volume. Now, a lot of countries which have large consumption are not adding

capacity. So, the opportunity for Asian manufacturers becomes very large. We are a global Company , and do not depend on any single market .
If you look at our last 3 -4years' export volumes, it has increased from around 150,000 tons to 250,000 tons already. And there's a large market there.
We have invested heavily in our supply chain ability in the last 4-5 years. Currently, we do not have the capacity to cater to all this demand . But the demand is there. So, whatever infrastructure we have already created, that will support our growth plans. We are very confident that growing at 10%- 11% volume CAGR in the next 5 years is not going to be much of a challenge for us, we just need to have capacities.
Radha: Sir, just if you can give this Europe ’s re-balancing of 2.5 lakh tonnes that Russia and China used to supply. So, out of that how much can we get?
Raj Gupta : Radha, we are looking at all markets with equal possibility. So, we are not focusing our growth plans on any particular geography. We will remain flexible. So, wherever we see opportunity, we are trying to create stronger presence in all markets where there is a potential. So, Europe remains important for us, but this is obviously not going to be the only market. So, putting a number to a market, I do not think t

hat will be fair for us at this stage.
Radha: Sir, the second question is on the CAPEX front. So, in the last call you had highlighted that to achieve Rs. 2,300 crore s of EBITDA in carbon black business, we need around 1.4 MTPA of capacity. So, on a base of FY '24 capacity of 7.7 lakh tonnes, we need to add another 6.3 lakh tonnes. So, the CAPEX per metric tonnes was also highlighted in the last call, so that I have taken at Rs. 65,000 per tonnes . So, that gives us a CAPEX of Rs. 4,500 crore s only on the carbon black business. But in the call , it was highlighted that on carbon black we will be spending Rs. 2,500 crore s but I am getting Rs. 4,500 crore s. So, please help me where I am going wrong or help me understand these numbers.
Raj Gupta : Radha, I think the numbers are not correct. We did speak about 400,000 tonnes of additional capacity requirement. So, if we grow at about 10%- 11% every year, by 2029 we will require another 430,000 tonnes of capacity, which will involve a CAPEX of about Rs. 2,500-. 2,600 crore s, and that's the number that we shared during the last call.
Radha: Sir lastly, you spoke about the supply chain that we have created over the years. So, exports have become a very big factor for PCBL, so currently 40% of our carbon black sales are exported. So, that has gone up from 30% in the last two years, and in ACPL also 90% of sales are from
global markets. So, just wanted your thoughts a little bit about if you could speak on how the Company has improved the supply chain in the global markets, both organically and inorganically. If you can tell us a bit of numbers in terms of how many distributors we have added in the region, where we are standing versus peers? And how we are trying to scale this up in the next five years.

Raj Gupta : Well, Radha, for the last 6-7 years we have been investing in suppl y chain bandwidth. Currently, we have seven global offices, we are going to get another one , I think in a month's time, so we will have eight. Then we have our own warehouses, decanting stations, even our R&D center outside India. C urrently there are 21 touch points which include these warehousing facilities, decanting stations and our offices in different parts of the globe. Additionally, we also have tie ups with dealers and distributors. But in all geographies where we see large potential, we have our own office now.
So, in smaller geographies where it is more fragmented sales, we are doing through dealers and distributors. Additionally, now with Aquapharm coming under our fold, they have almost equal number of touch points. So, together if you look at the entire supply chain, currently we have more than 40 global supply chain points outside India. And we are, of course, going to strengthen it further going forward. As I said, we do not depend on India for our growth aspirations, the entire world is our marketplace. So , we are going to further invest in supply chain capability going forward.
Radha: Sir, just one last question. Please help us understand the product from Nanovace. So, what is the USP of the products that we will be making in that compared to the peers? And is there anyone in India having such capabilities or will we be the only Company having the sole advantage?
Raj Gupta : Well, Radha, in batteries there are three important parts, one is anode, one is cathode, and one is the electrolyte. Cathod e is where the reaction happens and the ions are generated, and ions are stored in the anode part of the battery. So, anode plays an important role in battery capacity. So, the higher the absorption capacity of anode, the bigger will be capacity of the battery, lower will be the charging time of the battery.
Now, conventionally, anodes were made from graphite, and graphite has very limited absorption

capacity. What we are going to produce under Nanovace will be an addi

tive which when mixed with graphite in anode , will increase its absorption power, i on absorption power, which will increase battery capacity and which will also reduce the charging time of the battery. Now, it's a breakthrough technology. Currently, while I would not say we are going to be the only manufacturer in this space, a lot of work is happening globally and on differ ent materials. We are working on Silica . And the material that we are going to manufacture is one of its own kind. It's, like I said, a breakthrough technology. This material is very expensive globally, currently it is getting sold at $300 /kg. We believe that even if we sell it at $100 / kg two years from now, we are still going to get about 65% gross margin. That's the kind of potential on the profitability side. So, this is it, Radha, if I have been able to answer your question.

Moderator: Thank you. The next question is from the line of Kunal from Kitara Capital. Please go ahead.

Kunal: Sir, can you give me an outlook for Aquapharm for the next 3-5 years, as in how to understand the business and how's the outlook for the business? And second, again for battery chemical space, as I rightly understand, the revenue will start flowing from FY '27 onwards. So, do we

have any visibility for that revenue? And like you said, 60% gross margin, so what cost advantage do we have, is it the labor or the raw material?

Raj Gupta : It is the process itself, Kunal. So, I will answer your second question first and then I will hand it over to our MD to answer the Aquapharm thing. Currently, the process of manufacturing is extremely power intensive. And consequently, the cost itself is very high. We believe that we can produce it at one-fifth of the cost. So, what this process will involve is conversion of natural silica or the regular silica into nano silicon particles. Silica is one of the most abundantly available material i n the universe, and therefore I mean very cheap. And our process will not be as power intensive and therefore we will have the cost advantage, right . So, that's on the raw material part.

Now, on the profitability part, we are starting with our 2,000 tonnes capacity. Even at $100 /kg revenue, this 2,000 tonnes capacity will generate a Rs. 2,000 crore s top line. So, that's kind of, and we believe that once this plant comes up, which should be in FY '27, it will not take us more than couple of years' time to utilize full capacity. So, by FY '29 we should be doing at least Rs. 2,000 crore s kind of revenue from this facility.

On Aquapharm, long term business plans of course we have. But what we are doing currently, I think, that is more important for you to understand. I will hand it over to Mr. Roy.

Kaushik Roy: Well, on Aquapharm there is two parts to it, one is the Indian portion, and the other one is the US portion. Now, Indian portion, primarily they are into water treatment and detergent application. And the USA is more into the chemical for oil and natural gas production. Coming to India, within detergent and water treatment application, there are three categories of products. One is phosphonate, which is kind of the base and fundamental grade, one is polymer, a nd the third one is green chelates. Aquapharm currently is more focused on phosphonate , but going forward, our major focus will be on gr een chelates and polymer application for water treatment and detergent as well.

The reason is, polymer and green chelates both are more green product s from the point of view of sustainability and will be the need of future for the entire globe. So, therefore, the focus will move more and more towards green chelates and polymers, and this will be driven primarily by the R&D coming out with newer products in both these categories, polymers as well as the green chelates . And we see a clear, very sharp growth opportunity in these two a

reas. While phosphonate will continue to hold a position as the global leader, we'll continue to expand phosphonate as well.

Coming to USA, which is primarily for oil and gas chemical, this is primarily today for U.S. market, but we are likely to expand beyond U.S. to European market as we ll, that is our desire. Current capacity is not fully utilized. We are going to add further capacity as soon as we feel the current capacity is getting consumed fully. So, that is the plan going forward. We expect to invest

roughly around anywhere between Rs. 600- 700 crore over the period of next three to five years, between Aquapharm India and USA.

Kunal: Rs. 600 -700 crore s of revenue?

Kaushik Roy: Rs. 600 - 700 crore s of investment in CAPEX over a period of next 3-5 years between India and USA.
Kunal: And what should be asset turn for the CAPEX?
Raj Gupta: If you look at their current fixed asset block, they have about Rs. 400 crore s of assets which can generate about Rs. 2,000 crore s of top line. We believe the ratio will be largely same.
Kunal: And margins should be better or should be the similar range?
Raj Gupta: See, historically, they have operated at about 20% plus margin, and with the new product launches which are going to be higher margin, we believe that we can improve it further. So, FY '29 we are targeting about 25% EBITDA margin from this business.
Moderator: Thank you. The next question is from the line of Sanjesh Jain. Please go ahead, sir.
Sanjesh Jain: First of all, Happy Diwali to the entire team. First, to the bookkeeping question, let me finish that. This quarter there was a sharp drop in the other expenses on the standalone side, any particular reason? And this is despite freight cost being elevated, that's one. Number two, it appears that there is some compression in the gross profit margin at Aquapharm level and that's leading for EBITDA sequentially declining. Any particular thing happening in the Aquapharm as the weakness in t he enti re market is impacting as well.
Raj Gupta: So, our other expenses contain some of the variable expenses also, and volume this quarter was around 5,000 tonnes lower compared to last quarter. So, there was a proportionate decrease there. Also , in the first quarter there were some shutdowns that we had taken towards the end of the first quarter, so there were some repair and maintenance related expenses which were there, which obviously was not there in quarter two. So, it was primarily on account of that. Coming to Aquapharm thing, I will r equest Mr. Roy to take it.
Kaushik Roy: Aquapharm, the decline what we've seen actually it has happened more from US operation. The US market from the point of view of oil and gas sectors is going through a very, very rough patch in recent times, and the demand has come down substantially. That has put a lot of pressure on our capacity utilization as well as on the margin, and that is what was reflected in the number what we have seen. But our feeling is, it will eventually recover in USA, and that's all the more reason we talked abo ut just now that we will be expanding in the European market for oil and gas chemicals as well. So, that is the reason we are expanding, and we are going beyond, because we do not want to put all the eggs in the same basket. We want to kind of derisk the whole thing and therefore we are looking at beyond U.S. market to Europe.

Sanjesh Jain: Raj, just on the operating cost, of Rs. 14.50/Kg is the operating cost this quarter and for last many quarters if we see, we were hovering around Rs. 15 - 16. There is a genuine reduction in the cost, it's more of an operating leverage which is playing out here, or you feel that we will again go back to Rs. 15-16/ Kg?
Raj Gupta: So, it is largely operating leverage, plus , with all the investmen

ts that we have made in new business, we are also looking at the scope to reduce our cost wherever possible. But it is mostly the function of operating leverage, with higher capacity we are getting that advantage.
Sanjesh Jain: Very clear. Last question from my side on the battery chemical side. How has been the response, have we started switching to the battery OEMs? And are they excited with the scope of integrated silicon, graphite in their battery? Anything on the market side will be really helpful.
Raj Gupta: I think we are constrained to talk. There are some developments.
Kaushik Roy: Okay, there is a lot of excitement in the market, and we are in discussi on with some of the leading battery and auto manufacturers . But at this point in time, we are a little constrained to share those names because of the confidentiality agreement.
Sanjesh Jain: No, no, I am not looking at names, as in have they started integrating it, have they started looking or putting it in a battery?
Kaushik Roy: Yes, absolutely. It has already started so that joint development and how to use it, what is to be done etc., the discussions have already started.
Raj Gupta: Sanjesh, we are very confident that once we get the pilot plant, in a year's time we will have approval from most of the targeted consumers.
Kaushik Roy: And these are some of the global names. Unfortunately, we are constrained and not able to share with you, at an appropriate time we will do that, but these are all big global names from auto and battery.
Raj Gupta: Sanjesh, what we will also do, maybe at a later stage, we will arrange investor interaction with some of the scientists who are part of this project. I think that will provide you with more understanding of the technical part of it and the feasibility part of the project.
Sanjesh Jain: We would love it. Thank you very much.
Moderator: Thank you. The next question is from the line of Bharat Seth from Quest Investment. Please go ahead, Sir.
Bharat Seth: My first question is related to the carbon black. Raj, when we are talking of 10 -11% of CAGR

growth for next 4 -5years, within that , if you can give some color how much will be the specialty
growth and performance chemical?

Raj Gupta: Sir, the whole pie has the opportunity. So, while speciality we will be maintaining about 10,000
tonnes of volume addition every year, in rest of the portfolio also we are going to add similar
kind of growth. So, when we say 10 -11%, both the pies are going to expand by the same. The
only thing is that the base in specialty is smaller currently, so specialty will become almost
double in the next four to five years' time, but this portfolio will increase by about 60- 65%. So,
the volume growth is on the entire pie.
Bharat Seth: And performance chemical side, if you can give a little more color, which I generally believe that has a little
higher profitability than the tyre grade. Is that a fair understanding?
Raj Gupta: Yes, that's a more fragmented market and carries better margins, about 25% more compared to
tyre, which is bulk business for us.
Bharat Seth: So, that will continue to grow at 10 -11%, or there is a room to improve the growth percentage?
Raj Gupta: Yes, more or less, I think the share percentage between performance and tyre grade segment will
remain more or less similar.
Kaushik Roy: Bharat ji, tyre and this performance chemicals market are pretty matured and have a larger base.
So, what Raj talked about in 10% plus will naturally for these two segments will be around that,
whereas the speciality since the base is smaller, in the percentage terms it will look larger. The growth will look little larger in
percentage terms. But as we mentioned, every year we are adding
10,000 MT, like this year we are going to close possibly around 60,000-65,000 MT, we will be
adding another 10,000 MT. So, pe

rcentage number wise it will be little more. But look at the
whole pie, the point here is that we will be growing in all these three. Percentage don't look at
because that's not the right measurement, it depends on the base and the size. And speciality w e
are growing, it is comparatively smaller base, so therefore the percentage will look a little bigger.
Bharat Seth: Now coming onto this Aquapharm, when we spoke about this Rs. 600- 800 crore s kind of
CAPEX over five years and where we are seeing that phosphonate, polymer as well as green
chelates has a better profitability and better growth prospect. So, this capital allocation, if you
can share some how much CAPEX we are going for this polymer and green chelates side?
Raj Gupta: See, these are all part of our innovation, Bharat ji. Now, the margin profile, even in the
conventional business of Aquapharm is good. So, we are not saying that these are going to be an
exceptionally higher margin in this business. But then as a business, we have to constantly move
up the value chain and keep the business relevant for the customers. So, all the renovations which
are happening are towards portfolio expansion, and also cater to part of the market currently to
which we are not catering.
Bharat Seth: And last question, Raj, for you, normally when the oil price is low for carbon black, I mean, the working capital
turns down substantially. So, anticipating oil will remain in $70 to $75 broad
range, how much savings or additional cash flow can be generat ed from working capital?

Raj Gupta: It's a very simple math. So, crude falls by 10% , and our working capital requirement goes down
by around 8%. So, that's a very simple calculation. But then that's assuming that we have the
same turnover. We are expanding in terms of volume and that will also reflect on our top line. So, the savings in working c
apital will also depend on the overall turnover that we are generating
from business. But, yes, the capital efficiency will improve when crude comes down.
Moderator: Thank you. The next question is from the line of Krishnan from JM Financial. Please go ahead,
sir.
Krishnan: Wish you very Happy Diwali. Firstly, on carbon black, what was the reason for the sequential
dip in overall sales volume, especially the exports?
Raj Gupta: So, typically, Krishnan, what happens, most of the tyre companies take maintenance shutdowns
during monsoon season in India. So, that was one reason. And this is usual, I mean, every year
you will see this happening. And also, last quarter the availability of containers was a challenge,
the freight rates also moved up because of that so it also impacted our volumes in overseas
markets.
Krishnan: So, basically some of the volumes were affected due to the container availability and some due
to, let's say, maintenance shutdowns, is that correct?
Raj Gupta: Yes. And overall capacity utilization was still 94%. So, we are operating at almost full capacity.
Krishnan: And you expect going forward kind of this coming back let's say 154 KTPA and higher or do

you expect this to be in the similar range of 148- 149 KTPA?
Raj Gupta: I mean, the idea is to utilize full capacity , and we know the scope is there in market. See what is happening is, now we are left with very little capacity cushion, and therefore we can't commit capacity to the new customers or even for the same customers we can't commit more capacity to them. So, we are awaiting new capacities to be available. And therefore, we are also speeding up our project work. So, initially we had given a timeline of fourth quarter for this 50,000 tonnes capacity. We kind of increased the pace of project work, and now we are targeting commissioning within this quarter. So, that will also give us some more capacity cushion. But it takes time between capacity to come up and then getting requisite approvals from cust

omers and being able to ramp that up, utilize that. But the idea is to have more capacity with us so that we can also get into more contracts with our stable customers.
Krishnan: And secondly, I think Kaushik da mentioned that there was some roughness in the oil and chemical side, so the utilization was lower. So, what is the capacity utilization you are targeting in Aquapharm for the second half and in FY '26?
Raj Gupta: Second half, it will improve marginally. We currently are at about 75% on overall basis, India and USA all combined. We believe that by fourth quarter we should reach around 82- 83%. We are targeting a little more but we have more confidence level at that level. But the idea is to have

full capacity utilization. I mean, this 75 - 80%is not acceptable in our system. There's a fairly large market and all it takes is to spread out and identify opportunities where these are. So, our target is to reach full capacity utilization. God willing, we will achieve that in next few quarters, four, five quarters.
Krishnan: Got it. Thank you so much for patiently answering my questions. Wish you all the best for the coming quarters. And Happy Diwali.
Moderator: Thank you. The next question is from the line of Madhav from Fidelity Investment. Please go ahead, sir.
Madhav: Sir, I just had one question. Basically, if you could just share where we are in the carbon black demand supply cycle from a next three-year perspective. There was quite a lot of disruption which happened in Europe because of the Russian supply and then China obviously had become cost uncompetitive in this space. So, if you could just share some view from a 3 -5 year perspective where we are today. Thank you.
Raj Gupta: We believe that, see, China was dominant and will remain prominent because they have a large market, captive market only in their own country. They account for almost 35% of global carbon black consumption. So, the carbon black companies in China, they will continue to produce and continue to sell. A nd when they produce, they will also have some surplus that they will want to sell outside their country.
Now, so far as cost is concerned, their cost structure is not what it used to be 10 years back. And China's stance also is today that we will sell to outside China customers, but not at a price at which they expect, but at a price which Chinese companies w ant. So, it has created kind of a level playing field. Having said that, not many companies in China are making money in this business, and therefore possibly they will consolidate further and we will not see too much capacity coming up there. So, the mark et size will remain more or less constant or it will consolidate further.
Russia is facing sanctions from entire Western European Union. Now, they are selling this capacity elsewhere in the world, mostly in Asian countries. But what will this situation do to them is, this will kind of reduce their further investment in capacity. Globally, only R ussia and China had advantage in terms of cost. China because of scale and because of coal tar availability, and Russia because of its own crude. Now, if China is consolidating or not adding more capacity or not making money in this business, and Russia again is not making money in this business and they are also kind of not adding capacity, the opportunity for the rest of the world becomes very large. Next three to five years we are looking at, with a lot of confidence, that it will be a large opportunity for Indian manufacturers and a rapid growth phase for us.
Madhav: Is there any other country in the world where carbon black capacity is being added today? Like I think Indonesia, Malaysia used to add some small capacity earlier, but where is the supplier

really coming to service the incremental demand? Because like you said it

's a 15 million tonnes market and we might need 4 lakh tonnes maybe each year, in cremental . So, who is building the

capacity today?
Raj Gupta: Other than India, today India and China, I mean, when we talk about Asia, most of the other countries are marginal in terms of capacity. So, while small, small pieces of capacity will keep coming up, because these markets are also growing in terms of thei r local demand. If you look at say Indonesia or Malaysia or Thailand, these economies are also growing at a rapid rate, almost the same growth rate at which India is growing. So, they will have their incremental demand locally. But in terms of catering to global demand, they do not have that level of surplus or they are not even planning for that level of capacity addition. So, Indian manufacturers will have an edge over their other Asian counterparts.
Moderator: Thank you. The next question is from the line of K hush from Electrum PMS. Please go ahead Sir.
Khush: Sir, I had one question, what kind of growth we are seeing in Aquapharm considering the CAPEX from FY '26, once things are back to normal, what kind of top line growth and sustainable EBITDA margins?
Raj Gupta: Growth in terms of top line, we believe that we can grow at around 17 -18% from FY '26 onwards. And our margins, we believe that from next year itself we will have around 20% EBITDA margin, which will gradually improve towards 25% by FY '29. So, we will see an annual increase.
Khush: And sir, just last question. So, we have seen export s grow year -on-year by 22%. So, can we assume that some contribution was due to increased sale in European region because of the Russian ban?
Raj Gupta: Yes, of course. Our share of sales to the European markets has gone up. In FY '22 it was only about 3.5- 4%, currently we are doing close to 21% in those markets and the scope is much, much better, we are constrained by capacity.
Moderator: Thank you. The next question is from the line of Aditya from SMIFS Limited. Please go ahead Sir.
Aditya Khetan: Sir, my question is on to the battery chemical ’s part. Sir, you had mentioned that, so this battery chemicals business will generate around Rs. 2,000 crore s of top line. Sir, what are the assumptions we are taking here in terms of the realization?
Raj Gupta: We are considering the $100/Kg realization which is around one -third of the current market price of similar material.
Aditya Khetan: And sir, this is on to the capacity of 2,000 tonnes, right, sir?

Raj Gupta: That's correct.
Aditya Khetan: And sir, similarly, how much would be the EBITDA margins, like you have stated, so gross margins would be around 65%?
Raj Gupta: Could be around 50%. Because it's a small capacity, we do not see any kind of elevated fixed overhead structure here. It will be a very lean structure. So, around 50% should flow to EBITDA level.
Aditya Khetan: And sir, I believe, eventually we are talking of around, earlier we were stating that this capacity was around 3,000 tonnes sir. I believe in our earlier meeting you had mentioned 3,000 tonnes, now that size has been reduced to around 2,000 tonnes?
Raj Gupta: No, we are saying that our first plant will be 2,000 tonnes. Of course we will have to add another plant of equal size, and therefore by 2029 we should be doing around 2,000- 2,500 tonnes at least, it can be even more. But the numbers that I am sharing is for the first plant, first capacity which comes up.
Aditya Khetan: And from this pilot project only we would be making around Rs. 400 crore s to Rs. 500 crore s of EBITDA?
Raj Gupta: No, pilot plant is much smaller, and this will be primarily used for sampling purposes.
Aditya Khetan: Sir, Rs. 2,000 crore s of top line, so roughly 50%, so Rs. 1,000 crore s of EBITDA for the JV, and Rs. 500 crore s for the pilot plant itself.
Raj Gupta: No, Aditya, you are confus ing be

tween the two. So, we are initially setting up a pilot plant which should come up in next 6 -7 months' time, we will use that for sampling purpose, that is not meant for commercial purpose. Parallelly, we are also setting up a commercial plant of 2,000 tonnes which should come up in FY '27, and that plant we will utilize for commercial sale.
Aditya Khetan: So, sir, so that technology, we have already tied up with the technology, so what are the key challenges you see on to this? So, if suppose we ramp up from 2,000 tonnes to around 10,000 tonnes , any sort of key challenges you foresee?
Raj Gupta: The market is currently growing at about 25% CAGR, it's about 15,000 tonnes market for this material. Very few producers globally. No one is very sizeable in this space. And the price of this material is currently prohibitive. As I said, $300 /Kg, which kind of also restricts the growth

potential. We bring down the price, the market, I mean the growth can explode from the current
level. We have seen that kind of movement happening in the EV space.
And EV is not going to be the only industry which will create demand, the power saving
requirement across countries that is increasing, and I think that will be one of the biggest

contributors to demand for this material. So, currently, of course, we are focusing on the first
plant and utilization thereof. But I think in this space the opportunity is much, much larger.
Aditya Khetan: Sir on to that 12,000 tonnes, suppose if we commercialize it by 2030, so we can assume some
sort of Rs. 2,000 crore s of incremental EBITDA only from this project?
Raj Gupta: Yes. So, if we put up another 2,000 tonnes capacity, at full capacity utilization level it should be
giving us the same level of bottom line.
Aditya Khetan: Sir, onto the Aquapharm, is there any split between the value added and the commoditized
segments like the phosphonates and the chelates into the segmental basket, how they fit into the commoditized and into the
value -added side?
Raj Gupta: Aditya, nothing is commoditized. I mean, this entire portfolio is very high level of complex
chemistry. What we are doing is trying to create more sustainable material. So, that will be
further moving up the value chain. But that doesn't make the existing portfolio or any part of the
portfolio commodity. And all the businesses will have to constantly move up the value chain.
Today what is relevant, what is speciality, tomorrow it might be treated as commodity as supply
increases or as new technology comes in. The businesses will have to keep moving up the value
chain and this green chelates and polymers, these are all a step towards that direction.
Aditya Khetan: And sir, the backward integration into the yellow phosphorus, so when is the timeline we are
planning to complete that?
Raj Gupta: We are not doing backward integration into yellow phosphorus. Yellow phosphorus is a mineral,
right, so it is mined. What we are doing is we are setting up a processing or filtering plant, right,
sir?
Kaushik Roy: Right. We are going to source yellow phosphorus ; we are trying to tie up with some of the miners
and they will process and make it usable for Aquapharm. That's the thought process. Basically,
from rock phosphate to yellow phosphorus through proper process, that is what we are looking
at.
Raj Gupta: So, part of the process, we will be doing backward integration for, but it remains a mineral , it is
mined , so we cannot get into mining.
Moderator: Thank you. The next question is from the line of Rohit from Centrum Broking. Please go ahead,
Sir.
Rohit: Sir, first question is on the battery chemical side, on the additives front. So, you said that the
pilot plant will be set up over the next six, seven months. So, in terms of scale up, would there
be any challenges that we have faced in the initial lab setup from kilograms to a

few tons? And
even when we set up a commercial plant, will there be any challenges that may come up and that may probably change the
dynamics of the cost and the margins? Thank you.

Raj Gupta: Challenges will always be there because producing something at lab scale and at commercial
level will have different issues. Controlling the chemistry at such larger scale, that will
obviously pose some challenges. But having said, at the lab level, when they increase the
capacity or the reactor size from 2 liters to 20 liter, they got the same result. And therefore, we
are very confident that we should be able to replicate the result at a much larger scale also.
Also, the scientists who are involved here in this whole process and who will be engaged in this
whole setting up of plant and also in the initial production process, they are of very high pedigree.
One of them even got nominated for a Nobel Prize. So, that kind of improves our confidence
level further. And we have ran some close to 1,200 tests on the material in our own lab in
Belgium and also in one of the external labs in Germany, and the results were very encouraging.
So, that gives us confidence that we should be. Challenges will be there, I am not saying that it's
the same cup of tea producing at small and large scale.
Rohit: Sir, second question is on Aquapharm. So, there are predominantly three segments. What could be the breakup of
contribution from each of these segments? And an alike question to that, you also mentioned that we want to go up the value
chain and make more sustainable materials. So,
beyond these three segments or verticals, are we currently working on anything new which is in the pipeline and where it
could be a promising new segment for us? Thank you.

Raj Gupta: So, I mean, the products that we are generating or producing under different segments, these are interchangeable, and these are being used in more than one industry. So, like the phosphonate - based products that we are manufacturing, they also have usage in oil and gas, right. So, therefore, the margin profile remains more or less similar, I mean, there is not much difference at the gross margin level or at, for that matter, at EBITDA level between the different segments to which Aquapharm products cater to. Coming to the second part of the question, Mr. Roy will answer.

Kaushik Roy: The revenue split is roughly between oil and gas chemical and phosphonate, it is close to 85% between the two, and the rest remains between green chelates and polymers. Now, talking about going up the value chain. Now, as Raj mentioned a little while back , even p hosphonate is also a highly engineered product, it is not a very simple product, it is not a commodity, let us accept that reality. It is an engineered technical product. But the objective is to move towards green sustainable product. S o, that is what we are focusing on right now more through the root of polymer and green chelates. And there are different grades within this overall vertical of polymer as well as green chelates. So, first, immediately for the next couple of years we are looking at developing newer products in these two categories, polymer and green chelates. And there is a lot of headroom to grow there, because the market share of Aquapharm in these two particular segments is in single digit, and w e clearly see there's a l ot of opportunity to grow across the globe. The immediate focus will be that. And thereafter, in parallel, we will keep focusing on other opportunities. So, we will come back to you at an appropriate time.

Rohit: Sir, just on the Aquapharm front, given that there is the amount of growth in these segments plus the margins seem to be higher. I just wanted your perspective on competition maybe from outside, particularly from China or any other geographies t

hat may co me up in future, given the opportunity and probably the margin dynamics of the segment. Thank you.

Kaushik Roy: So, fine, let them come up, what is the worry? We are equally efficient and capable. So, we are not too worried about Chinese or any other player. So, Aquapharm globally in phosphonate they are number one, number two. And we have enough capability. So, we are not too worried , competition may come up, it is fine, absolutely fine.

Moderator: Thank you. That was the last question. On behalf of ICICI Securities, I conclude this conference. Thank you for joining us. And you may now disconnect your line. Thank you.

Call: Jan 2025

The General Manager,
Department of Corporate Services,
BSE Ltd.,
1st Floor, New Trading Ring,
Rotunda Building,
P.J. Towers,
Dalal Street, Fort,
Mumbai – 400001

BSE Scrip Code :- 506590 17th January, 2025
The Manager,
Listing Department,
National Stock Exchange of India Ltd,
Exchange Plaza,
Plot No. – C – 1, G Block,
Bandra – Kurla Complex,
Bandra (East),
Mumbai – 400051
NSE C ode:- PCBL
Dear Sir,
Sub:- Q3 FY 25 Results Conference Call – Transcript
Further to our letters dated 7th January, 2025 and 11th January, 2025 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with Schedule III Part A Para A, please find enclosed herewith the transcript of the Q 3 FY'25 Results Conference Call held on Friday, 10th January, 2025 at 17:30 hrs India Time, for the quarter and nine months ended 31st December, 2024. This information will also be hosted on the Company's website and can be accessed at the link : https://www.pcblltd.com/investor-relation/financials/investor -presentation .
We request you to please take the afore-mentioned information in record and oblige.
T
hanking you,
Y
ours faithfully,
For PCBL CHEMICAL LIMITED
K. M
ukherjee
Company Secretary and Chief Legal Office r
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"PCBL Chemical Limited

Q3 FY '25 Results Conference Call "
January 10 , 202 5

MANAGEMENT : MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER – PCBL
CHEMICAL LIMITED
MR. SAKET SAH – GROUP HEAD, INVESTOR
RELATIONS AND ESG – PCBL CHEMICAL LIMITED
MR. PANKAJ KEDIA – VICE PRESIDENT , INVESTOR
RELATIONS – PCBL LIMITED

MODERATOR : MR. MOHIT MISHRA – ICICI SECURITIES

PCBL Chemical Limited
January 10, 202 5

Moderator: Ladies and gentlemen, good day and welcome to PCBL Chemical Limited Q3 FY '25 Results Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference c all, please signal an operator by pressing star then zero on your touch- tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mohit Mishra from ICICI Securities. Thank you and over to you, Mr. Mishra.

Mohit Mishra: Good evening, everyone. Thank you for joining our PCBL Chemical Limited Q3 FY '25 Results Conference Call. We have PCBL Chemical Management on call, represented by Mr. Raj Gupta, CFO, Mr. Saket Sah , Group Head, Investor Relations and ESG, Mr. Pankaj Kedia, Vice President, Investor Relations. I would like to invite Mr. Raj Gupta to initiate with opening remarks, post which we will have Q&A session. Over to you, sir.

Raj Gupta: Thank you, Mohit. Good evening, my friends and thank you for joining our earnings calls today. On behalf of entire PCBL Chemical family, I would like to extend warm wishes for a very happy and prosperous new year. I'll start with some of the major highlights of the quarter and then would be happy to take your questions.

Over the last few years, we have diversified beyond carbon chemistry into new fields within the chemical sector. This growth, both organic and through strategic acquisition and partnerships, has brought us to a pivotal moment. To mark this evolution, we have recently unveiled our new identity. We are now PCBL Chemical Limited. This name change reflects our broadened capabilities and our dedication to pioneering advanced solutions for our customers globally.

Recently, the Andhra Pradesh government has allotted us 116 acres of land in Naidu peta, which would be used for our next greenfield expansion. This proposed site has proximity to major ports like Kattupalli, Krishnapatnam , Nellore and Ennore , which would facilitate seamless movement of goods with high logistics cost efficiency. This would be our 6
th manufacturing site and is
crucial in our journey of crossing the benchmark of 1 million tons of capacity.

During the quarter, our specialty line of 20,000 MTPA capacity in Mundra was also commissioned, taking our total capacity to 7,90,000 M TPA .

Sustainability has been at the core of our decision making. The company has been certified with International Sustainability and Carbon Plus, which is ISCC certification. It emphasizes company's commitment towards responsible consumption and production, also circular economy and reduction of GHG emissions. On this front, we have recently launched a new grade named ECOZENTM6000 , which is based on recycled materials.

Over the last few years, the company deepened its research commitment, comprising forward - looking investments in infrastructure, people and processes, resulting in empowerment of the company with proven capabilities in product applications, process efficiency, and product customizations.

Coming to the quarterly performance, PCBL continued with a steady performance in the challenging microenvironment.

During the quarter, our consolidated sales volume in Carbon Black business increased by over 5% YoY to 144,000 tons. This translates into a capacity utilization of over 90% during the quarter.

Consolidated revenue from operations increased by 21% to INR 2,010 crores on back of higher sales volume and also revenue from the newly acquired business of Aquapharm Chemicals . Consolidated EBITDA in the same period grew by around 15% to INR 328 crores, while PBT stood at INR 124 crores and PAT at INR 93 crores. EBITDA per

ton in Carbon Black business
stood at INR 19,868 per ton. Of the total Carbon Black sales volume, domestic sales volume stood at 84,369 tons , while international sales volume stood at 59,132 tons .

Moving on to our segmental performance, tyre accounted for 86,886 tons. Performance Chemicals reported sales volume of 42,367 tons, while specialty sales volume was 14,247 tons . We continue to expand our product portfolio and customer reach.

During the quarter, we have undertaken a major overhaul of our power unit in Durgapur plant, resulting in lower power generation. Power generation stood at 161 MU during the quarter, with an external sales volume of 94 MU. PCBL's average realization during this quarter stood at INR3.5 /kWh .

Coming to the 9M FY25 performance, consolidated revenue from operations increased by over 40% YoY to INR6,317 crores from INR 4,491 crores during the same period last year. Sales

volume increased around 15% YoY to 4,46,110 tons . The consolidated EBITDA for the
9MFY25 was up 44% YoY to INR1,067 crores, as against INR 742 crores during the first 9M of
the previous year. Power generation also increased by 15% in this period to 563 MU.
Aquapharm Chemicals reported a steady performance during the quarter. We are already seeing
some improvement in the industry dynamics, further improvement in cost and operational
efficiencies, and increased market penetration is going to support the company's financial performance going forward.
We expect strong growth both in sales volume and in operating margins in the ensuing financial
year.
Aquapharm 's Q3FY25 revenue stood at INR 328 crores, with an operational EBITDA of INR 51
crores. The quarterly sales volume stood at 23,000 tons . Capacity utilization remained above
70% during the quarter.
At PCBL Chemical , we continue to work on portfolio expansion and capacity additions across
business verticals, and we are increasing allocation of resources towards strengthening of our
supply chain, improving the product mix, and also optimization of cost.

The long-term prospects of all business segments remain positive, and we are on track to achieve
our mid- and long -term growth targets.
The brownfield expansion of 30,000 tons in PCBL -TN is completed, and we are currently
awaiting consent to operate from the local Pollution Control Board , we expect it in the next few
weeks. Also, the 2nd phase of expansion of 60,000 tons in Tamil Nadu and 12MW green power
is currently underway. We expect this project work to be completed in the next 3 -4 quarters'
time. We have also started project work on one new specialty line, which would cater to
application segments like conductive polymers and batteries.
Aquapharm Chemicals expansion project of 38,000 metric tons per annum are on track and likely
to be commissioned by March ' 25.
On the nano-silica project side, we have started placing orders for equipment for the pilot plant and expect the commissioning
to happen in the next few months' time.
Tyre industry growth outlook, both in India as well as at global industry level, continues to
remain positive. In India, the investment in road infrastructure, steadily rising income levels,
increasing urbanization rates, premiumization, and a grossly underpenetrated vehicle market has
created a significant long -term growth opportunity for the entire auto industry ecosystem.
With our rapidly expanding product portfolio, market penetration, and strengthening supply
chain and R&D capabilities, we have the potential to outpace auto and tyre industry growth rate.
We are geared up to leverage the emerging opportunities and remain on track to achieve our
mid- and long -term growth plans.
Also happy to share that our Board of Directors has declared an in terim dividend of 550%, i.e.
INR5.50 per equity share of face value of INR 1 each for the year ended 31s

t March ' 25.
With this, I conclude my opening remarks and open the floor for your questions. Thank you.
Moderator: Thank you. The first question comes from the line of Aditya Khetan with SMIFS Institutional
Equities . Please go ahead.
Aditya Khetan: Thank you, sir, for the opportunity. I have a couple of questions. First question, is there any particular reason
for drop in the Carbon Black spreads on quarter -on-quarter basis? Is it related
to general market weakness or the product mix of the company has deteriorated? And second question on to this, any further
plans on the speciality Carbon Black ? Like we have completed
Phase 2 . So, are we planning to further expand, any plans on that?
Raj Gupta: Aditya, I couldn't hear your second question properly. Would you repeat that?
Aditya Khetan: Sir, my second question was on to, is there any further plans to expand the speciality grade Carbon Black ?
We have completed the 20,000 tons of Phase 2 . So, is there any newer plan on
the table which has been outlined?

Raj Gupta: Okay. So, I'll answer your first question first. Drop in realization is primarily on account of crude
price movement. Crude prices came down by about $6 compared to the previous quarter. And
you're aware that our principal raw material is a derivative of crude, which has an impact on our
realization. So partly it is on account of crude prices. And also, there has been a product mix
change during the quarter, which has impacted the realization.
Coming to the second question about next specialty line, I was just talking about the new
specialty line. So, we have already started work on a new specialty line. It will come up in Palej .

And here , we are planning to manufacture premium grades for conductive plastics and batteries.
Aditya Khetan: Any numbers we can put, how much tons and what is the capex?
Raj Gupta: So currently it is under the designing phase. Give us a few more weeks' time. In 3 to 4 weeks' time, I'll come back with more details on this.
Aditya Khetan: Got it. My next question is on to, so the recent land allocation in Andhra Pradesh. I believe, sir, we are investing around INR 3,700 crore s. So, this would be largely to set up a Carbon Black plant only, like complete Carbon Black unit only. So, S ir, just if I may ask you, so what would be the capacity which we are outlining? Because I believe with this much of investment, we can add up around 6 lakh tons of additional Carbon Black capacity. So currently somewhere around 8.5 plus 6, so we can reach to 1.4 million tons v/s our, like what we are seeing, that is around 1 million tons. Any thoughts on how much we could add?
Raj Gupta: Aditya, the capex guidance that we shared during our earlier call s was on a consolidated basis, which included all the business segments which had Carbon Black , phosphonates, and nano silicon. So , when you are talking about the INR 3,700 crore s number, then this includes the capex which is planned for all these businesses.
Coming to the current land allocation in Andhra, it's a large piece of land which can house roughly about 400,000 -450,000 MTPA of Carbon Black capacity. But the capacity would come up in phases. So , in the first phase, we expect to put up a 150,000 MTPA plant only.
And on a similar size of plant, we spent roughly about INR 950-960 odd crores. I mean, the plant that we had put up in TN. And it will take about 2 -2.5 years' time for this plan t to come up. And then in the 2
nd and 3rd phase, eventually we will add more capacity t here.
Aditya Khetan: Okay. Sir, on to the Aquapharm . Like on sequential basis, we are seeing a good drop of almost around 13-15% in volumes. Sir, we had already guided for FY '25 volume growth of 15- 20%? Is there a cut on that guidance? And what is the reason for this volume drop?
Raj Gupta: Specialty chemicals, gener

ally, I mean, this whole industry is facing a lot of headwinds in form of tepid demand and also stiff competition from China. You will see it across all the specialty chemical businesses. It is not unique to Aquapharm . it is only just about 9-10 months into our acquisition

and what we are focusing now is one on the cost and operational efficiency side and the other is on the increased market penetration side. We are putting more feet on the ground. And with all these initiatives, we expect that going forward , gradually over the next few quarters, we will be able to deliver better numbers. it will be visible in our performance from here on. But current year, it is because of strong headwinds in the industry.
Aditya Khetan: Sir, the weakness in like Carbon Black spreads in the domestic market and Aquapharm business also like remaining weak. And so, can we expect a similar sort of a performance in the fourth quarters also , like how you see things to change from particularly from which quarter?
Raj Gupta: We are not witnessing any weakness in margins even during the current quarter , it is primarily because of operating leverage and product mix. And Aquapharm like I said that we are expecting better performance going forward. So, even Q4 FY25 should be a better quarter. As of now, that is how we see it.
Aditya Khetan: Okay. Sir, just one last question if I may. Sir, any update on that Kinalte k JV? Sir, how far have we reached on to that part and has the lab testing and sampling and that has been successful and we can take it to a large commercial scale also? Just wanted to know on this part.
Raj Gupta: Yes, that is our plan. And Aditya, as part of that process, we are already participating in a lot of global battery chemical fairs, creating more visibility around the company. And simultaneously, the work on pilot plant is on. I mentioned that we have already started placing orders for project equipment. And in the next few months' time, once the plant is ready, then we will start placing samples with the targeted customers. It is on track.
Aditya Khetan: Sir, we have also transferred 2 patents to the JV, what we have made. Any updates like what is that?
Raj Gupta: Yes, so, we have had a tie-up with this Australian joint venture company. And all these patents were, all the IPs were developed by them. So, as part of the joint venture arrangement, we got them to transfer these IPs into the joint venture company.
Aditya Khetan: Thank you, sir.
Moderator: Thank you. Next question comes from the line of Khush Nahar with Electrum Portfolio Manager s. Please go ahead.
Khush Nahar: Thank you for the opportunity. S ir, my questions are more on the Aquapharm side. So, number one, like you said that there is some weakness in the US industry. So, could you elaborate a bit more, this recovery will be because of the recovery in our numbers will be because of company -

specific reasons like new products or it is more of industry recovery that we are betting on? And
how much volume growth are we expecting once this recovery happens?
Raj Gupta: Well, Khush, there are 2 -3 things which we are kind of relying on. One, the raw material prices which were gradually coming down since last 1.5 years, they have somewhere stabilized . Which

will, therefore, stop impacting our margins and possibly would see a U -turn from here. So, which should have a positive impact on our margins. So, that is on the margin side.
Regarding the volume recovery, , industry now possibly has come to a point where we may not see further deterioration in the industry demand supply dynamics. Possibly, we will see some recovery, but we are not depending on that. Like I said, we are putting more feet on the ground and we are also trying to reduce our client concentration. So

, we are trying to create a broader
base of customers and also creating more penetration in newer geography.
And, of course, it is not going to happen in one quarter's time, but the reflection of all these initiatives would become more and more visible as we travel into quarters in the next year.
Khush Nahar: All right, sir. Thank you for the detailed answer. And then the second question was more on the export side. So, I think this quarter, our exports have grown lower. So, what were the major
reasons and when can we expect a recovery in this?
Raj Gupta: Our overall export volumes have gone up during the quarter.
Khush Nahar: 2.5% for this quarter volumes.
Raj Gupta: Yes, and, despite all the macro headwinds that we are facing . There is geopolitical issues, there are trade relations issues, trade route disruption. And generally, there has been some kind of destocking during the last quarter. December typically is a balance sheet month for most of the overseas customers. And they tend to reduce inventory in their books to show better capital efficiency. And despite that, we have been able to clock better numbers.
Khush Nahar: All right. Okay, sir. Thank you.
Moderator: Thank you. Next question comes from the line of Radha with B &K Securities. Please go ahead.
Radha: Hi, sir. Thank you for the opportunity. So, sir, my question was that Europe was importing around 4 lakh metric tons from Russia. So, that has stopped after the ban. And additionally, there were more sanctions that were imposed from 2nd October on the Russian company OMSK Carbon , which had a plant capacity of 1.6 lakh tons in Russia, in Belarus.
So, with respect to these two events, I wanted to understand that customers had started adding huge inventory in anticipation of the ban. So, do you think this situation is normalizing now? Or how long do you think this can continue? And when do you expect to witness sequential recovery in Carbon Black volumes?
Raj Gupta: Well, year -on-year, if you look at our volumes, our volumes are still higher. But coming to specific answer to your question, there has been some stocking in Europe because of this restriction on import from Belarus and Russia. You're right.

Currently, the customers appear to have a little elevated level of inventory. But despite that, our volumes in Europe and North America are going up. And that is because of being able to add new clients, new customers in these geographies.
I mentioned in our earlier calls also that until 2-3 years back, we were just doing about 4-5% volumes in Europe and another 2- 3% in North America. So, in totality, we were doing about just 7-8% of our total international volumes in the western part of the world. And in the last quarter, we have done close to about 35% of our volume in the se geographies .
And that's the reason why our overall international sales have been going up. If you look at our international sales in last 10 years' time, it has gone up by 3 times. And there is, significant scope
for us to move up from here.
Once the stock levels again come back to the normalized levels, we are very confident that we should be able to do more business in western world. And therefore, we are putting up so much capex.
Radha: Yes. Just to follow up, how much do you think the inventory is lying with them as compared to what we consider normal?
Raj Gupta: It is a very bulky material. And therefore, it is unlikely that anyone would be able to stock more than maybe a couple of months' stock at any point in time , even that looks very high. So, we expect the situation to be normal, close to normal now.
Radha: Okay. So, last quarter, maybe in Q3 , it was slightly above normal. And now, we expect the

situation to have reached normal.
Raj Gupta: Yes, I thin k. I mentioned that December typically is a quarter of balan

ce sheet for them. So, the
capital efficiency is also at play there.
Radha: Sorry, I could not hear you. December is a quarter of?
Raj Gupta: I mean, for most of overseas customers (especially in the western part of the world), December
is a balance sheet quarter for them. And in order to show better capital efficiency, generally there
is a tendency to reduce working capital levels and therefore, de-stocking. We do not see this trend to continue beyond this quarter.
Radha: Okay. And, sir, again, continuing with this question. So, this entire 4 lakh tons and this 1.6 lakh
tons, roughly 5-6 lakh ton s of demand that has been created in European region. So, now that
this situation has been going on for two quarters, how do you think this demand has been
distributed among which nations?
Raj Gupta: So, there will be participation from multiple manufacturers and countries. It is for the most efficient manufacturer s to get the largest share. And we are, of course, going to be one of them.
Our volumes have already increased and PCBL as a brand name is very strong. I mean, it's a
very strong brand name globally in this industry.

Radha: Okay. Sir, second question was with regards to usually in this quarter or in this period, there are
negotiations with customers regarding pricing on the Carbon Black front. So, could you please
share your thoughts regarding the pricing that we expect on Ca rbon Black for FY '25? How is
it expected to fare out when compared to the current prices?
Raj Gupta: Negotiations mostly happen on the volumes. Because our pricing is also dependent on the
movement in crude prices. So , the level of realization would also depend on the behaviour of
crude prices going forward. But we got some new contracts also and I think it will be reflecting
in our volumes going forward.
Radha: So, the pricing we would expect in similar levels to current quarters with respect to the new
contracts?
Raj Gupta: No, I am not commenting on pricing, Radha. Pricing could be anything because tomorrow if
crude goes up to $100, then realization would tend to go up. If it comes down from the current
level, realization would come down because this industry operates largely on formula pricing.
So normally when we participate in tenders, it is mostly for volumes and on the formula.
Radha: Understood, sir. Sir, last question was with regards to ACPL. So, just wanted to understand that as a majority of the revenue in ACPL is coming from the US. Wherein we are supplying this oil
and gas chemicals, so what is our market share, with respect to the oil and gas chemicals in the
US market? And are there inputs from China coming in the US? And with respect to the new
government in the US, do you expect any changes in the supply chain?
Raj Gupta: I could not hear it properly, but I think your question was what is our share of oil and gas
industry, right?
Radha: Yes, sir.
Raj Gupta: So, we currently have just about 1% market share in oil & gas. Oil & gas is a fairly large industry
and we have a very small share. Like I mentioned , we had significant client concentration and
we were not present in a number of geographies. Even within North America, mostly we were
doing business in the USA. I mean, while Mexico and Canada also offer equally big opportunity.
So, now we are focusing on new geographies and customer penetration.
Radha: Sir, any comment on imports from China in the US market or any changes in supply chain you are expecting in that market?
Raj Gupta: I would not talk much about how China is going to play their strategy or whether US is going to
impose any tariffs on them. We rather are focusing on our own strategy. So, even if we consider
that it is going to remain a level playing field for all manufacturers across all countries, how can
we increase our market share? And that's exactly wh

ere we are putting our energy.
Radha: Sir, what drives the demand in these oil and gas chemicals in that market? Is there anything that
we can track to understand, how the situation is changing there?

Raj Gupta: The market itself, the market size is very large, Radha. We just have about a percentage of the
market share. So, even if market grows as 1 % or 2%, (historically it has grown at about 1.5 -2%)

there is still a long space for us to grow.
Radha: Understood. Thanks and all the best.
Moderator: Thank you. Next question comes from the line of Jainam Ghelani from Svan Investments . Please go ahead.
Jainam Ghelani: Hi, sir. Thanks for this opportunity. So, I'm noticing the results that we've taken an impairment of INR554 crores in Aquapharm C hemicals . And I feel that it's quite soon since our acquisition. So, do we expect any further impairment in this company in the near future or are we done for now?
Raj Gupta: Well, so I'll just explain the background of this impairment. This impairment is not there in isolation. You will see that there is an equal amount of write -back of deferred tax liability. So, as such, the impact on our current quarters financial is almost negligible.. Now, I'll just explain the background.
When we acquired Aquapharm , as part of the accounting requirement some temporary assets and liabilities g ot created. So, on one side, deferred tax liability gets created and then on the other hand, equal amount of non- core goodwill also gets created.
And when we merge these two entities, then all these temporary assets and liabilities get knocked off against each other. That's exactly what has happened. So, there is no impact on the carrying amount of other assets in the books of Aquapharm or Advaya . And there is no reason for us to think about any further impairment.
Jainam Ghelani: So, is it fair to assume that it is just because of the mismatch between the assets and liability and nothing related to the business performance?
Raj Gupta: It is not because of mismatch in assets and liabilities. It is because of the accounting regulations around mergers and acquisitions. This is a normal adjustment which has happened, which would have happened in any similar kind of acquisition. And as I said that this is not impacting the bottom line.
Jainam Ghelani: Okay. And so, my second question is that you mentioned earlier that usually December quarter is the quarter where we see a drop in volumes. But in the last 4 years, 3 years, we've witnessed gain in volume. So, is that because currently we have high inventory levels? Or if you could just quantify what would be our inventory levels currently in days or in absolute figures, please?
Raj Gupta: Okay. So, first, I'll answer your first part of the question. You said that in last 3 years, we have grown. So, in isolation, there would not be any drop in volumes or destocking. It will also depend on demand supply situations in the market. When customers see that they already have some level of stocking, they will tend to buy less and they will try to reduce inventory.

And if you track auto and tyre commentary, you will see that the destocking is happening in the entire supply chain. And which did not happen in last 2 -3 years. Last 2-3 years, the market remained buoyant. And therefore, even in December quarter also, the sales went up.
Now, coming to the inventory position, see, if you look at our sales volume, when crude prices go up or down and when customers want to destock, then only 3 -4% is what they can actually manage (inventory reduction or increase), because it's a bulky material. And if you look at our last quarter's volume and compare it with this quarter's volume, it's just about 3.5% decrease in volume. So, it is not significant in terms o

f overall inventory accumulation.
Jainam Ghelani: Okay, sir. Thank you. That's it from my side.
Moderator: Thank you. Next question comes from the line of Prolin Nandu with Edelweiss Public Alternatives. Please go ahead.
Prolin Nandu: Hi, Raj. A few questions from my side. First of all, on the pricing negotiation, right, you mentioned that it's a formula -based kind of a negotiation. So, are you alluding to that that formula has largely remained the same? And can you repeat as to, I mean, how are those negotiations on the volume part?
Raj Gupta: So, we have to participate in tenders in international market, the formula also changes, right? And we have to bid on both volumes and formula, . Formula pricing allows for variable cost pass-through . And so, that is one part of the formula.
And the second part of the formula is the margin over pass -through . Beyond the pass -through part, variable cost includes three things, which is raw material cost, the outward freight, and currency, if you are selling in any currency other than dollars.
Prolin Nandu: So, Raj, what I wanted to understand was that this EBITDA per ton range that we have been reporting, let's say, on a last four -quarter average basis, is that likely to continue going forward as well, based on the negotiations that you had on the formula?
Raj Gupta: So, like I said that when we are bidding, we are bidding on pass -through of variable cost, and then there is also margin. But once we bid and once we freeze the formula, then our margins tend to remain the same over a period of time, during the contract period.
Prolin Nandu: So, that margin markup has not changed, right, versus last year is what I wanted to understand,

right? I mean, on variable cost, the margins that you charge on the variable cost, that has not significantly changed, right, over the last negotiation?
Raj Gupta: That should not change significantly. To some extent, because of product mix, it might go up and down.
Prolin Nandu: Okay. And then that will always have a positive bias, right, given that our share of product mix is tilting towards speciality, right?

Raj Gupta: It does, but, it also depends on demand-supply situation. So, when we are bidding, we'll also have to keep that factor in mind.
Prolin Nandu: Sure. And coming to the slightly more medium -term to long -term outlook on export and maybe specifically on Europe and North American market, right? Now, what is happening is that there has been stocking which has taken place and you called out that maybe this December quarter was weaker because of stocking.
But going forward, when you think about probably the ban on Belarus ’s capacity, so is there a positive outlook on volumes going forward or do you see some risk , that in case if there is some de-escalation in geopolitical matters, there could be some headwinds on volumes as well? How should one think about the medium -term outlook in export for Europe as well as U S?
Raj Gupta: Mid to long -term, we remain fairly bullish on the growth outlook of the industry and our ability to increase our market share. Now, all these events which are happening, the sanction on Russia or Belarus for that matter, this, we believe, would going to be the re for maybe few quarters or
few years at most. And also, it is not that they will stop selling in global markets.
If they are not able to sell in Europe, they will find their customers elsewhere. And if they don't sell to their regular customers, that means they are going to sell at a discount to other customers, which is again, margin negative. So , these restrictions don't give us any benefit other than maybe
increase our market penetration to some extent.
Like in Europe, earlier it was very difficult for us to get access to those customers. The windows were not opening for so many years. And then this issue in Ea

stern Europe happened and all the
customers, they were willing to buy from us.
And once the relationship gets established, then it becomes kind of a long-term relationship. So that's the benefit what actually we are depending on, nothing beyond that. Rest all is our quality of product, our quality of service , our cost efficiencies and pricing.
Prolin Nandu: Understood. And one question on Aquapharm , if I may. So, in Aquapharm , in Q3, you mentioned that there were some macro -US-related kinds of headwinds. Q4 onwards, things should be better. But again, there the outlook on medium -term, right, as to in terms of the profit numbers or operating profit numbers that we did on that before the acquisition. How soon should we be able to see those numbers there?
Raj Gupta: I'll answer the second part of the question first. My sense is that by Q4 of next year, we should reach the run rate of how the business was performing a couple of years back. Coming to the first part of the question, we are seeing some recovery in the industry.
The headwinds are not as strong. And additionally, we have also been able to add new customers.
And we are also preparing to launch some newer grades in the market. And with expansion of product portfolio and higher customer reach, we expect the volume and margin recovery.

Prolin Nandu: Sure. So, by Q4, FY ‘26, we should be tracking a run rate on revenue as well as margins of what we did in FY ‘22. Is that correct?
Raj Gupta: I would not comment on the revenue because, again, I mean, there is some kind of relation between the raw material prices and realization. But EBITDA, for sure, we are confident that we should be reaching somewhere around at least INR 80-90 crores, if not more (the quarterly run rate).
Prolin Nandu: That's great. Thank you so much, Raj. I'll join back the queue. All the best.
Moderator: Thank you. Next question comes from the line of Krishan Parwani with JM Financial. Please go ahead.
Krishan Parwani: Hi, sir. Thank you for taking my question. So firstly, on Carbon Black , just on the destocking bit, do we not work on just -in-time model given high correlation with the crude?
Raj Gupta: No. So , the way we work, see, a good part of our volume , still go to tyre customers , around 60%.
And there we kind of forecast our demand one quarter in advance. And basis that, we do our procurement, our production planning and everything. But two things happened in last quarter.
One, crude prices came down by about $5-6, and the customers know that if they defer part of

their procurement to the subsequent quarter (with formula price working), they will tend to get
that material at a lower cost . And second, some of the overseas customers, because of balance
sheet consideration, etc., they also do it just to show better capital efficiency on their books

Krishan Parwani: Okay. Fair enough. And so, given the current scenario, by when do we expect to achieve, let's say, 160- 170 KT, a kind of quarterly sales volume in Carbon Black business?
Raj Gupta: My sense is that maybe by fourth quarter of next year. But for that, we would require our capacities to be ready because currently we can only go up to maybe 156 -157KT based on our current capacity. So, this TN lines have to come up.
Krishan Parwani: Okay. So that means even though the volumes have been declining for last 2 quarters, we will still continue with the capacity additions, correct?
Raj Gupta: Even in the last quarter, we were at 90% capacity utilization. So, we don't have any capacity cushion now, Krishan. We're very close to full capacity.
Krishan Parwani: So, okay. And last bit on Carbon Black . So, this lower part sales is by any chance accounted in the INR20 per kg EBITDA that you reported for Carbon Black or is it not?
Raj Gupta: Yes, operating leverage has played its ro

le. It is partly operating leverage and partly also the
product mix.
Krishan Parwani: And secondly, on the Aquapharm , can you please give other income number for this quarter previous and 1Q '25?

Raj Gupta: Aquapharm doesn't have much other income. They just have about INR1 crore a quarter, INR1 crore a month, INR2 crores to INR3 crore s every quarter.
Krishan Parwani: So, in that case, so last quarter, if I see depreciation, I think it was closer to INR 30-odd crores. I think this quarter depreciation closer to INR 40-odd crores. So, what's the jump on account of?
Raj Gupta: Aquapharm depreciation has been almost kind of equal. I mean, INR1 -2 crore s here and there.
Krishan Parwani: I'm referring to, let's say, last quarter INR 20 crore s we had reported in the press release and this quarter is about INR 11 crore s. And last quarter in the presentation, we had EBITDA of INR50 crore s and this quarter we reported EBIT DA of INR51 crore s. So, I'm just deducting that. That's why I'm asking where's the disconnect?
Raj Gupta: No sorry. Will you please repeat your question? You're saying the difference between EBITDA and PBT?
Krishan Parwani: Difference between EBITDA and EBIT?
Raj Gupta: No, it is same, I guess. Where did you get EBIT numbers?
Krishan Parwani: In your press release?
Raj Gupta: No, we have not mentioned any EBIT numbers. You may have looked at the segmental numbers, but there are some adjustments also in that. We'll look at those numbers and explain it to you, Krishnan. But the numbers are consistent. There has not been any change from last quarter.
Krishan Parwani: Okay, so depreciation is INR 30 crores or INR 40 crores?
Raj Gupta: It is more or less similar. No, there would not be a INR 10 crore difference in the depreciation. But also, what has happened is during the quarter, the merger has happened between the acquisition vehicle and Aquapharm . So, some items might have got created because of this merger thing. Let us look into that and we will revert on this to you.
Krishan Parwani: Okay, and just last bit, if I may. In the absence of the amortization of the goodwill that is written off, let's say that is impaired. So, I think amortization number should go down. That means EBIT number should look up, right, going forward?
Raj Gupta: No Krishnan. So, this impairment is of the non -core goodwill. Goodwill in any case was not getting impaired . Whatever goodwill is there on the books is going to remain there , as long as our profit projections do not change . And we don't see any change in profit projections. S o whatever exceptional items you see in this quarter's financial report, that is because of the merger. This is the merger accounting.
And you will see that impairment is backed by an equal amount of deferred tax liability right back. So , as such exceptional transactions are not impacting our current quarters or current year's profitability. So, this is profit neutral (all these adjustments).

Krishan Parwani: Okay, no problem, sir. Thank you so much for patiently answering my question. Wish you all the best.
Moderator: Thank you. Next question comes from the line of Bharat Sheth with Quest Investment. Please

go ahead.
Bharat Sheth: Hi Raj, thanks for the opportunity. Russian Carbon Black are also coming to India since they have discontinued to Europe. So , some are going to China and even India also is getting a lot of import from Russia. Is that happening and how that is affecting the domestic market?
Raj Gupta: So, Russia because they are not able to sell it in Europe, they are selling mostly in Asia now. And that is impacting our margins. But mostly they are selling in spot market to small consumers. None of the large tyre companies are buying from Russia as tyre compa

nies are also
exporters in global market and if they buy directly from Russia, then it might attract some kind of sanction from US. So in our earlier commentary also we have been mentioning that this restriction on Russia is not only creating positive side benefits for us, but it also has a negative side. It is also kind of impacting our margins. In some of the customer segments, especially the smaller ones , our margins are getting impacted because of Russian imports .
Bharat Sheth: Is it possible to quantify something?
Raj Gupta: It is not significant. India is importing just around 100,000 tons every year and about 30% of that is from Russia. It is not significant. But even to whatever extent they are selling (1,500-2,000 tons on an average monthly), to that extent there is some impact which we have to bear.
Bharat Sheth: And second thing on this, our export since has increased. So, can you quantify how much export is in dollar currency?
Raj Gupta: Our sales is mostly in dollar terms. So about 95% of our international sales is contracted in dollar terms. Even when we are selling in Europe, our underlying contracts are in dollars. So , a very small portion of our sales, 4 -5% is in non- dollar terms.
Bharat Sheth: Okay. So, do you think that in coming quarters, I mean with rupee depreciation, we will have some kind of a benefit on account of that?
Raj Gupta: We are also importeing . Most of our raw material also comes in dollar terms . The contracts are in dollars. So, as such, we don't get benefit or get negatively impacted because of movement in currency as long as we keep our position hedged. And our policy is to keep our currency exposure fully hedged.
Bharat Sheth: And coming to the speciality side of the Carbon Black, can you give a little more color, how much new product has been added during these 9 months and how many customers?
Raj Gupta: Last year, we did a total sales volume of 57,000 tons around that. And this year, we have visibility of somewhere around 63,000- 64,000 tons on a full year basis. So, this is more or less in line with our earlier guidance to the market.

And every year, we are adding newer lines. So , like last-to-last year, we added one line. And then recently also we commissioned one more line. And with all the new lines, we are getting into newer applications. So, it is not only vertical volume growth for us, it is also expansion of portfolio, which we are achieving through these new lines.
Bharat Sheth: And these new applications are more profitable or more value accretive for us?
Raj Gupta: We are actually moving up the value chain, even in the specialty portfolio. So gradually, one year is not the right period to measure the improvement in contribution. But over the next 2 -4 years' time, we expect decent margin growth in the segment.
Bharat Sheth: And any color , how much are net borrowing vis -a-vis quarter , Q2 to this quarter? Gross borrowing and net borrowing?
Raj Gupta: Our net borrowing has gone up roughly by about INR 98 odd crores in this quarter.
Bharat Sheth: So, this is largely on account of what?
Raj Gupta: This is largely on account of some extra inventory that got accumulated.
Bharat Sheth: Thank you and all the best.
Moderator: Thank you. Next question comes from the line of Nishant Gupta with Minerva Global Capital. Please go ahead.
Nishant Gupta: Thank you for the opportunity. So, the first question is, what kind of a debt -equity level we can see going forward since the finance cost is affecting the bottom line?
Raj Gupta: Nishant, we have fairly high visibility around increase in our earnings. Year -on-year profitability would go up. Last year, we had a debt -to-EBITDA of about roughly 4.5 . By this year end, we should be somewhere around 3.3- 3.4. And a year from now, we should be below 3 for sure

.
Now, where we are comfortable? We are not comfortable with long term debt in our books. So , over a period of time, once we are through with our expansion, we would pare off debt. So, maybe not in next 5 years, because next 5 years are going to be a kind of high growth period for us (significant growth we are going to achieve in these 5 years).
So, we'll do capex and there will also be some investments. But maybe over a period of next 7 -

8 years, you will see reduction in absolute debt also.
Nishant Gupta: Got it, sir. Thank you. Sir my next question is, sorry if you clarified this on previous conference calls around the nano silicon, the JV, which we have done. So, what kind of commercial operations commencement date are we kind of looking at and what kind of market and revenue are we looking from that particular segment?

Raj Gupta: Currently, we are putting up a pilot plant , which will be mostly for sampling. Once we stabilize the product in the pilot facility, we are going to put up a proper commercial plant of 2, 000 tons. Now, this 2,000 tons, based on our back of the envelope calculation , should give us somewhere around INR1,700-1,800 crore s kind of a top line and roughly about INR 800-900 crore s kind of EBITDA. That's how we are seeing it.
Nishant Gupta: Got it, sir. Any tentative timeline by when this proper plant will be coming up?
Raj Gupta: Our sense is by 2027 we should have this plant ready and running. And by , maybe somewhere between FY28 and FY29, we should be able to fully utilize this capacity.
Nishant Gupta: Got it, sir. And the $ 44 million which you mentioned in the previous PPT, that would be sufficient to fund this proper plant?
Raj Gupta: Yes, so this is not capex heavy. We expect to incur just about $20-25 million on this capacity.
Nishant Gupta: Got it, sir. Thank you and all the best.
Moderator: Thank you. Next question comes from the line of Rajesh Jain with RK Capital. Please go ahead.
Rajesh Jain: Hello, sir. I have two questions. What will be the interest cost trajectory over the next 4-8 quarters? Will the interest cost remain elevated such that the major part of the growth in revenue and EBITDA will be eaten up by the interest and even the employee costs? And when will the PAT growth start becoming visible?
Raj Gupta: PAT growth will be visible from next year itself. Last year, we did not have this interest cost and also the amortization. So, this is setting a new base (this year's expense structure). And in terms of absolute reduction in finance costs, the interest rates generally are coming down. And also, when we acquired Aquapharm , we also borrowed money for this acquisition. And acquisition money typically comes at a premium , doesn't come at the normal cost. Now, gradually, that acquisition borrowing is getting repaid. While our overall borrowing may not go down, but we are utilizing our cash flows first to repay the acquisition debt. And consequently, the weighted average cost of borrowing would also come down.
We expect overall borrowing cost to go down. My sense is that borrowing cost should go down by at least 3 -4% in absolute terms. So, currently, we have about INR 120 crore s quarterly run rate. Maybe we can see INR5 -7 crores kind of quarterly reduction going forward
Rajesh Jain: That will be from as soon as the next quarter or 3-4 quarters down the line?
Raj Gupta: Next quarter also will have some reduction because there is some repayment which will start happening. Actually, we have already started repaying , but a big chunk of repayment would happen in January. And therefore, that impact will be there. It may not be INR 5 - 6 crores in this quarter, but it will be there. And from first quarter of next year onwards , gradually, you will see reduction in overall finance costs.

Rajesh Jain: Okay. And sir , are you seeing a noticeable slowdown in Europe economy and the auto sector? And do you see the risk of an impact on your Carbon Black exports to Europe?
Raj Gupta: Not really. So, first of all, the commentary from tyre and auto industry in Europe is not negative. Historically, they had been growing at about 1- 1.5% and for CY ‘25 also, their commentary remains similar to that. Both US and Europe, the commentary is positive. It is not negative.
Second, while our absolute volume in Europe has gone up , , it is still very insignificant portion of their overall requirement. And it is unlikely that they are going to restore their relationship with Russian suppliers soon. So, our share in European market is going to go up from the current level
Rajesh Jain: And so, in your EBITDA or in your PBT, how much impact do you see of the container freight rates increase due to the Red Sea and other issues?
Raj Gupta: Actually, container freight rates have started softening since last quarter. There was a spike in 2 nd quarter, but last 2-3 months, we are seeing some downward trend. The situation is coming back to normalization.
Rajesh Jain: So, you are hopeful of returning to baseline or no impact, basically?
Raj Gupta: If not baseline, at least, it will not remain as elevated as it was in July or August.

Rajesh Jain: And so, to my first question, when you said that the PAT growth will start becoming visible year-on-year from next year. So, next year, does it mean like 4 quarters down the line? I mean, what exactly do you mean by next year?
Raj Gupta: No, I am saying that. See what happened this year, last year, we did not have borrowing. And consequently, the difference between EBITDA and PBT was very small. But this year, because of acquisition borrowing coming in, interest and amortization is eating into our EBITDA.
So, current year's performance has set a lower base. And on this base, next year onwards, from the first quarter itself, you will start seeing improving numbers.
Rajesh Jain: Okay. That is from the June quarter.
Raj Gupta: Just to put it in perspective, if you look at our EBITDA, that has grown significantly from last year. Even in the first 3 quarters, our EBITDA has grown by over 40%. So, overall, operational performance has gone up. But because interest and amortization has eaten into this profitability, therefore, bottom line reflection is lower.
Rajesh Jain: Okay. That is all from my side. Thank you.
Moderator: Thank you. On behalf of PCBL Chemical Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

5th May, 2025

The Manager, The General Manager,
Listing Department, Department of Corporate Services,
National Stock Exchange of India Ltd, BSE Ltd.,
Exchange Plaza, 1st Floor, New Trading Ring,
Plot No. – C – 1, G Block, Rotunda Building,
Bandra – Kurla Complex, P.J. Towers,
Bandra (East), Dalal Street, Fort,
Mumbai – 400051 Mumbai – 400001
NSE Code : - PCBL BSE Code : - 506590
Dear Sir,

Sub: - Q4 FY 25 Earnings Conference Call – Transcript

Further to our letters dated 24th April , 2025 and 29th April , 2025, please find enclosed herewith the transcript of the Q 4 FY'25 Earnings Conference Call held on Tues day, 29th April , 2025 at 17: 00 hrs India Time, for the quarter and financial year ended 31st March , 2025. This information will also be hosted on the Company's website and can be accessed at the link:
https://www.pcblltd.com/investor -relation/financials/investor -presentation .
We request you to please take the afore- mentioned information in record and oblige.
Thanking you, Yours faithfully,
For PCBL CHEMICAL LIMITED

K Mukherjee
Company Secretary and Chief Legal Officer

Enclo : As Above

"PCBL Chemical Limited Q4 FY '25 Earnings
Conference Call"

April 2 9, 2025

M
ANAGEMENT : MR. KAUSHIK ROY – MANAGING DIRECTOR , PCBL
CHEMICAL LIMITED
MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER , PCBL
CHEMICAL LIMITED
MR. ANAND KUMAR – GROUP HEAD, INVESTOR
RELATIONS
MR. PANKAJ KEDIA – VICE PRESIDENT , INVESTOR
RELATIONS
MODERATOR : MR. SANJESH JAIN – ICICI SECURITIES LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to the P CBL Chemical Limited Q4 FY '25
Earnin gs Conference Call hosted by ICICI Securities Limited.
As a reminder, all participant lines will be in the listen only mode and there will be an

opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '* ', then ' 0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjesh Jain. Thank you and over to you, s ir.

Sanjesh Jain: Thank you. Good afternoon, everyone. Thank you for joining on for PC BL Chemical Limited Q4 FY '25 R esults Conference Call.

We have P CBL Management on the call represented by Mr. Kaushik Roy - Managing Director ; Mr. Raj Gupta - Chief Financial Officer ; Mr. Anand Kumar - Group Head , Investor Relations ; Mr. Pankaj Kedia - Vice President, Investor Relations.

I will request Kaushik s ir to open the call with his initial remark post which we will have a Q&A session . Over to you, sir.

Kaushik Roy : Thank you so much. Very good evening to all of you.

I would like to extend a very warm welcome to each one of you for joining this call today to discuss Q4 and FY '25 of PCBL Chemical Limited. I hope you have already gone through the investor presentation and the financial results which we have already uploaded on the Stock Exchange and I am honestly thankf ul to all of you for taking your time to join us today in this call.

Now, coming to last quarter and this year :

I am happy to inform that in the whole year, P CBL Chemical has reported its best ever operational performance and highest ever EBITDA, highest ever C arbon Black sales as well as Specialty Black sales . And in addit ion to that, power sales volume was also the highest in the history of P CBL . And the other milestone which we have achieved is we have achieved in FY '25 a revenue of $1 billion plus.

As you all know, over the last few years, we have diversified beyond carbon chemistry into new fields within the chemical sector and this growth, both organic and through strategic acquisition and partnership ha ve brought us to a pivotal moment. We have broadened our capabilities to pioneer advanced solutions for our customers globally.

Our quest to diversify from a pureplay Carbon Black producer led to the acquisition of Aqua pharm chemical , which you are fully aware of in early 2024. As you know, Aquapharm is a leading S pecialty Chemical player focusing on water treatment, detergent and oil and gas

 chemicals. This particular acquisition provided us with access to an export -oriented Specialty Chemical platform and FY25 was the first full year of operation for Aqua pharm p ost integration.

FY '25 was a bit challenging year for Aquapharm . The business scenario , the business environment was weak, there were sharp corrections in the yellow phosphorus crisis resulted in a soft performance. Phosphonates have a huge opportunity, given Aquapharm's global leadership position. Raw material prices of Phosphonates have now stabilized, which would be beneficial for us going forward. We have strengthened management capabilities. There were some gaps in that area and created a revamped organizational structure in Aquapharm . We expect a very strong improvement in both operational a nd financial performance in Aquapharm in this financial year, which is FY '2 6. The steps taken to improve cost and operational efficiency measures , value added product launches and strengthening of sales teams in the USA and Europe has set a strong foundation for the next leg of growth in Aqua pharm in coming years.

In oil and gas chemicals, A quapharm

has less than 1% of global share and we are working on strategies to increase our customer base presence in multiple geographies, increasing capacity and supply chain capabilities. In the United States, oil and g as chemical opportunity is large considering Mr. Trump's new policies focusing more on increased oil production.

Keeping all these things in mind, we have also gone ahead with expansion projects which are on track and nearing commissioning. This would help us to accelerate the sales volume growth in coming years. We are also evaluating Brown field capex across all manufacturing locations in India as well as in USA. Within Aquapharm, Green Chelates is another segment where we see strong growth opportunity with push towards biodegradable c helating agents in USA and Europe as well as in China and India. We are therefore w orking on expanding the portfolio of G reen Chelates b y using our R&D capability. We have already developed M GDA and GLDA liquid and are now working on MG DA granules.

Now coming to the Carbon Black side, w e are in the process of acquiring 116 acres of land in Naidu peta, Andhra Pradesh for our 6th manufacturing unit. This new facility will primarily focus on rubber black as well as performance and specialty chemicals. This land can eventually accommodate 4,50,000 MTPA of additional capacity. Capex at this site is expected to commence in a year and construction to take 18 months thereafter. The proposed Greenfield plant under PCBL, Tamil Nadu, has significant tax advantage as earnings would be subject to a lower tax rate of 17.2%.

We are also participating in a fast -growing battery chemicals market through Nano vace Technologies. We intend to manufacture nano-silicon, which is to be used in anodes of lithium - ion batteries. It brings significant benefits like extended battery range, longer battery life, faster charging and reduction in CO2 emission, a t the same time it is cost effective. The pilot plant currently is under construction in our Palej plant and should be ready in the next few months' time.

 PCBL has also signed technology transfer agreement with a Chinese Company for Acetylene Black capacity, which finds application in high voltage cable , batteries , semiconductor , packaging, conductive plastics, paints and coatings. Global demand for Acetylene Black is approximately 70,000 MTPA with 90% of suppl ies coming from China. We plan to set up an initial capacity of 5000 MTPA by FY '2 7 at Mundra . We are witnessing strong interest from across value chain partners for this.

FY '25 was the 1st full year operation for our new Greenfield C B facility of 1,47,000 MTPA in Tamil Nadu. We have already announced Brownfield expansion of 90,000 MT in two phases in Chennai, Tamil Nadu . The first phase 30,000 metric ton will be commissioned in a few weeks' time and the second phase of 60,000 metric ton along with 12 MW green power by FY '26 end. We aim to cross 1 million tons capacity in Carbon Black by FY '28.

PCBL anticipates continuous growth in the international market over the next few years , driven by expansion into new geographies, strategic investments in supply chain capabilities, moving up the value chain and the launch of new specialty grades.

The capacity growth in EU and USA has been stagnant and Russian CB is banned by the European Union. In the process, PCBL is gaining market share in both EU and USA.

Tyre industry growth outlook , both in India as well as at global industry level continues to remain positive. With EV penetration rising across two -wheeler s and passenger vehicles, we expect replacement demand to remain steady and positive.

The demand for S pecialty grade Carbon Black continues to be resilient. Since , FY17 -18, PC BL has increased its focus on developing grades , which can be used in these prod

ucts, leading to a corresponding increase in margins , significant increase in share of Specialty Black volume from 1% in FY '15 to 11% in FY '25. PCBL added 20,000 MTPA Specialty Black capacity in Mundra in FY '25 , taking the total S pecialty Black capacity to 1,12,000 MTPA .

We also plan to set up 1 ,000 MTPA Specialty Black capacity dedicated to superconductive grades, where margins are obviously extremely high and is expected to be completed by the end of FY '26.

Over the last few years, the Company deepened its research commitment, comprising forward - looking investment in infrastructure , people and process, resulting in empowerment of the Company with proven capabilities in product, application, process efficiency and product customization.

Now, I will come to a quarterly performance of P CBL Chemical Limited. But before that, just to give you a flavor of how we are looking at the business and what the philosophy of the Company is. Broadly, if you look at PCBL , it has got 3 major baskets or verticals of business , one is relating to R ubber Black , the second one is relating to Specialty Black , Specialty

 Chemical, along with new initiatives and the third one is Aquapharm which is beyond carbon chemistry. When you talk about the R ubber Black, which is our foundation today, w e started with Rubber Black in a big way and we are a leader in India and we continue to grow globally. The growth journey continues and therefore as you know we have already added 5th plant in Chennai and we are working on the 6th plant in Andhra Pradesh. The focus will remain there. We will keep growing in that area both in India as wel l as globally.

Let me come to the second bucket where we are talking about S pecialty Black, where the journey started in 2014 and today , we have reached the position of 4th largest player globally. Along with Specialty, we have also started focusing on things like Nanov ace which you are aware of nano-silicon technology. Acetylene Black, just now I talked about , we are looking at superconductive which will be commissioned very soon. This is another big bucket for us.

And the third one is about Aquapharm . It was the first year of operation , last financial year and we moved from a promoter driven organization to a professionally managed organization. So, it was important to create the right kind of foundation and we have taken all those actions to ensure the organizational structure is in place and it will eventually reflect in the performance and we are very confident that in this financial year, we will be seeing a substantial improvement in

Aquapharm 's performance also . So, the focus remains on all the three verticals , Rubber Black related, Specialty plus new initiatives driven by R&D and innovation and third one is about Aquapharm which is phosphorus -based chemistry moving away from carbon chemistry.
Let me now talk about the quarterly performance;
During the quarte r, our consolidated sales volume in Carbon Black business increased by over 5.3% year-on-year to 1,50,152 MT . This translates into a capacity utilization of over 95% during the quarter. Consolidated revenue from operations increased by 8.2% to Rs. 2,087 crore s on the back of higher sales volume and revenue from Aquapharm Chemicals.
Consolidated EBITDA reduced by around 4.5% year-on-year to Rs. 317 crore s. PBT stood at Rs. 126 crore s, while PAT stood at Rs. 100 crore s. EBITDA per metric ton in Carbon Black business stood at Rs. 17,655.
Of the total Carbon B lack sales volume, domestic sales volume s tood at 86 ,737 MT, while international sales volume stood at 63, 415 MT. Export sales volume registered a strong year-on-year growth of 16.8% in Q4 FY '25 .
Moving on to our segmental performance :
Tyre accounted for 90,080 MT , Performance Chemical reported sales volume of

44,700 MT,
while Specialty sales volume was 15,372 MT . We continue to expand our product portfolio and customer base across all segments.
 Aquapharm Ch emicals reported a steady performance during the quarter. Q4 FY '25 revenue stood at Rs. 372 crores with an EBITDA of Rs. 51 crores . The quarterly sales volume stood at 24,098 metric ton.
Coming to the yearly performance :
Consolidated revenue from operations increased by over 30.9% year -on-year to Rs. 8,404 crore s from Rs. 6,420 crores in FY '24. Sales volume increased by around 12.1% year -on-year to 5,96,262 MT in FY '25 . The c onsolidated EBITDA for FY '25 was up by 28.8% year-on-year to Rs. 1,384 crore s from Rs. 1,074 crore s in the previous year.
During this time, we also achieved the highest ever power generation and sales volume during the year. Power generation increased by 10% from 671 MUs in FY '24 to 738MUs during the year, with an external sales volume growing by about 7% to 436 MUs as against 408 MUs in FY '24. Aquapharm reported revenue of Rs. 1,420 crore and EBITDA of Rs. 193 crores in FY '25.
Now, turning to the macro environment :
We are assessing the current development in the USA . As such, the economies are not really doing too great as all of you know , USA is not showing great signs of improvement in economy. Europe is going almost flat. China is also a little bit down. India is the brightest spot at this point of time, so that is good news for all of us. But at the same time, a certain amount of uncertainties has been generated recently because of the tariff issue which got created recently. We are watching out for the situation. We beli eve that possibly once the dust settled down a bit , things will be sorte d out. India might have an advantage over others and hopefully that will reflect on our Company as well.
India' s Specialty Chemical manufacturers may gain some share in USA because of this tariff issue. We are not sure about the basic Carbon Black, the Rubber Black, whether that opportunity is there or not, but S pecialty for sure, there is an opportunity. We might also see some benefit coming to the Aquapharm as we go along. Currently, the carbon black exposure to USA market is about 5% for PC BL. CB Exports to the USA would be exempted from a tariff for the portion of raw material, which is procured from the USA , which is approximately 75%.
At PCBL Chemical, we continue to work on portfolio expansion and capacity additions across all business verticals and increasing allocation of resources towards strengthening our supply chain, improving the product mix and optimization of cost. T he long-term prospects of all the business segments remain positive and we are on track to achieving our mid and long -term growth targets. All this achievement underscores our strong position within the industry and highlights the progress we have made in global S pecialty Chemical space. PCBL has successfully set a strong foundation for its growth journey upwards. And with this, I would like to conclude and the floor is open for your questions, please. Thank you so much.
 Moderator: Thank you very much. We will now begin the question -and-answer session. The first question
is from the line of Aditya K hetan from S MIFS Institutional Equities. Please go ahead.

Aditya Khetan : Thank you sir, for the opportunity and for the detailed understanding on the business. Sir, my first question is on to the outlook for the Carbon Black. I believe, s ir, in the domestic market in FY '2 6 like most of the auto OEMs have guided for a muted set of growth. Even in the T yre segment also, the growth would be largely in the lower single digit. So, demand seems to be muted for carbon black in domestic. In times of this muted dema

nd, are we able to compensate
for the loss in volumes in domestic in the export market and how the trend in spreads generally takes up like when the demand is muted? Any thoughts on this , sir?
Kaushik Roy : Yes, you are right . In a way , Indian demand at this point of time for A uto and T yre is naturally not very strong as you rightly said. And therefore, the Carbon Black demand in India will not be very strong, though there is a decent amount of demand, which will be there . And what is our plan is that while maintaining the leadership position in India, we will be focusing more on the international market. And our presence, as you will see going forward, will grow further . Just to give an example , about 10 years back, our international sales were around 80,000 MT in a year and already last year we have crossed 2 ,40,000 MT. So, we will keep focusing on the international market and keep growing further in the international market. You are absolutely right, while India might be a little soft at this point of time, but we will be growing more in the international market.
Aditya Khetan : Got it. S ir, on to the international markets , it is rightly understandable that EU and USA, these are the two markets where we would be witnessing volume growth . Sir, in terms of number, if you can put , although we know that the ban by Europe on Russia has led to a supply g ap of almost around 6,00,000- 7,00,000 MT of Carbon Black volume. How much of that is compensated by China and India and what is the wallet share like if you can highlight by Indian players like especially for PC BL, how much we have reached the penetration and how much more room is there, sir ?
Kaushik Roy : Yes, you are right . In Asia , naturally, our wallet share is quite high, but when you look at Europe and the USA , our wallet share is in single digit and therefore the headroom is quite large for us and we see that as an opportunity to grow both in EU and USA. And to be honest, we are putting up capacity that is the primary reason , 90,000 MT we are adding in this year , in Tamil Nadu and again in parallel almost we are initiating the project activities of Andhra plant. So, keeping that in mind, we are going ahead .
Aditya Khetan : Got it. Sir, o nto the Aqua pharm, this quarter, definitely there was a good upturn in terms of volumes and per kilo realizations, any sort of change like which has happened compared to last quarter and we could see this trend to be materially on the higher side. Any sort of a demand uptake in international markets for Phosphonates? Anything has changed if you can highlight that?
 Kaushik Roy : Yes, sure. I think I mentioned that there is a lot of opportunity for Aquapharm to grow in the
field of oil and gas chemical industry, which is a very large one and our share is just about a couple of percentage. So, there is a huge amount of growth opportunity there, huge amount of headroom is there. It is the question of penetrating the market, penetrating the customer and expanding the geography and making the right set of products which is technically reached and precisely that is what we are doing. We had issues in terms of lack of skill, lack of leadership which now we have corrected and therefore, we have already started seeing in the last quarter there is improvement and going forward you will be seeing further improvement in Aqua pharm 's operation. And there is also a lot of focus on better cost management, more efficiency in procurement and all other functions as well. So, on one side, we are focusing on sales, closely working with customers, expanding geographies , and expanding product portfolio. On the other hand, we are focusing on operations to improve costs . So, the combination of these two have reflected already in the last quarter. Going forward, it will be even

more prominent.
Aditya Khetan : Got it. And s ir, the guidance of 15-20% volume growth in Aquapharm that will be maintained ? And sir secondly, in FY '25 the EBITDA was Rs. 194 crores for Aqua pharm . This includes the other income also .
Raj Gupta: Yes, it does.
Aditya Khetan : So, sir, how much would that be in this Rs. 194 crore EBITDA ?
Raj Gupta: Other income was Rs. 11 crores .
Aditya Khetan : Sir, for full fis cal FY '25?
Raj Gupta: Yes.
Aditya Khetan : Sir, just one outlook on the debt side . Sir, this quarter we have witnessed some decline in the finance cost. I believe, s ir, like we were also doing the Capex of around Rs. 5,000-6,000 crores

and the cash flow which we would be generating largely would be used for that expansion going ahead . Alongside sir, are we also focusing on reducing the debt? If yes, s ir, what is the guidance
for debt in FY '26 and '27?
Raj Gupta: Absolute debt level may not go down significantly from the current level unless crude goes down
from here. We would be generating good cash flow, but we also have a Capex pipeline , not Rs.
5,000-6,000 crores , but in the next 5 years , we will be spending around Rs. 3,500 crores . So, on
average, about Rs. 700 crore every year will be the Capex run rate and consequently , absolute
debt may not go down significantly from the current level. Interest rates have started cooling off
a small reflection of which is there in our Q uarter 4 finance costs . We believe that next year,
with more interest rate cuts expected , our interest costs should go down.
Moderator : Thank you. The next question is from the line of Angad Saluja from UBS Securities India. Please
go ahead.
 Angad Saluja : Hi, sir. Thank you for taking my question. T he first one on realizations for the Carbon Black
business for the quarter, I think we have seen a decline now for two consecutive quarters in
realizations and obviously now with crude also being slightly volatile in the last one odd m onth.
How do you see the realization shaping up for the next quarter and the year ahead, like what is
your outlook on realization specific ally?
Raj Gupta: So, this quarter , realization should be mostly flat, small uptick , small improvement because there
is quarter lag between the movement in crude prices and change in our realization. So, in the
first quarter, we would see marginal improvement in realization, but then realization should not
be seen as a reflection of change in margins. It is more reflective of the movement in raw material
prices, which is linked to crude. But margin s would depend on product portfolio and also broader
demand supply situation in the industry.
Angad Saluja : Got it. And s ir, just going back to that you have said product mix will drive more margins , I
think in the quarter we have seen that despite Specialty Black sort of doing better, I think almost
9% Y-o-Y growth overall and the full year as well , our margins for Q4 have di pped Q-o-Q as
well as Y-o-Y, so any specific reason , any one-off or anything that we should know about?
Raj Gupta: Specialty still is about 10% of our total volume, right. So, while year-on-year S pecialty volumes
are going up in terms of percentage, its weight on the overall sales volume is still very small.
Coming to the reason behind drop in prices, Russia, which earlier used to sell in Europe mostly,
now because of ban, is pushing more material in Asia and India a nd they are selling at
unrealistically low prices . And consequently, with our focus on capacity utilization, we also have
to play a bit on pricing , which is reflected in the drop in margins in the current quarter . But with
all the work that we are doing on portfolio building , on efficiency improvement and also with
higher volumes operating leverage would be favorable for us. We believe that from 4–5 year

perspective, we would be largely on track with our guidance of Rs. 25,000 EBITDA /MT.
Angad Saluja : Got it. Thank you. That is it.
Moderator : Thank you. The next question is from the line of Sanjesh Jain from ICICI Securities Limited.
Please go ahead.
Sanjesh Jain: Good afternoon and thanks for taking my question. First, touching upon the Aquapharm, i n this
quarter , EBITDA because if I take Rs. 194 crores for the full year, it appears that we have done
only Rs. 38 crores for this quarter while the earlier run rate was Rs. 50 crores o n a much higher
volume, much higher revenue, anything which has one -off or anything which has happened in
the EBITDA margin for this quarter ?
Raj Gupta: EBITDA for the quarter is Rs. 51 crores. I don't know where you ar e getting Rs. 38 crores.
Sanjesh Jain: Because you have disclosed Rs. 194 crores for the full year ?
Raj Gupta: Yes, Rs. 194 is for the full year, you are right .
 Sanjesh Jain: So, in the first 9 months, what we have disclosed is Rs. 156 crores , so Rs. 194 minus Rs. 196 is
Rs. 38.
Raj Gupta: The EBITDA , Rs. 194 crore s that we are talking , is the reported EBITDA and in the 1st 3
quarters, we were mostly talking about operational EBITDA . This year also , there are some
expenses which are being incurred on the consulting side like BCG and McKinsey and when we
report numbers , those expenses also become part of our operating expenses and consequently
our reported EBITDA comes down.
Sanjesh Jain: Right.
Raj Gupta: So, like to like basis , 4th Quarter is better than the 1st 3 quarters and 4th Quarter is still only a

small reflection of the improvement which is now happening in the business. A good reflection of it will be from the current year , 1st quarter itself of the current year.
Sanjesh Jain: Got it. That is on it, but how do we see this Rs. 194 crores going? Because that consulting fee and all will be done in FY '25, s o from a repor ted basis, where should we see EBITDA for FY '26?
Raj Gupta: So, the business with its capacity has potential, i t did perform Rs. 400 crores plus EBITDA 2 years back and w e strongly believe that now with more capacity addition and more & more product launches and a better portfolio, we can further improve from there. It will take a couple of years ’ time to maybe cross that Rs. 400 crores . But this year itself, we believe we can do 40 - 50% better performance.
Sanjesh Jain: Fair enough. Now coming back to the Carbon Black , again, there is a drop in EBITDA sequentially. Any particular reason you are seeing pressure on the premiums which we were earning or the product mix because the Specialty mix has remained fairly stable. So, what is driving this drop in EBITDA per kg in the Carbon Black business?
Raj Gupta: Fourth quarter was kind of an uncertain quarter from global economic point of view . Post this Presidency election in USA, there was an indication that there would be some tariffs which will be lev ied on trade partners of USA and consequently, lot of our customers wanted to reduce inventory, n ot knowing as to how it is going to impact them . And therefore , the market demand was sluggish generally. Also, Russia , last 2 quarters has started dumping in India and in some of the Asian countries and they are sellin g it at almost $200 lower prices. Now, we want to keep our capacity utilization high and therefore we still booked some volumes which were not at our usual margins .
Sanjesh Jain: And the Russia dumping continues because I don't see why it will not because they need to somehow place their around 0.7 million of capacity somewhere in the market and the market opens up in India and China, which are larger market which can absorb this. This situation is unlikely to change, right?
 Raj Gupta: Yes. Possibly , it will continue with this. We will have to find new markets and customers, which is precisely what we are focusing on.
Sanjesh Jain: So, when we say Rs. 25/Kg EBITDA in next 3-4 years in such a scenario , can you help us understand the bridge, how we really want to transform this from Rs. 17-18/ KG EBITDA to a Rs. 25/ Kg EBITDA ?
Raj Gupta: Sanjesh, the operating leverage itself is going to play a big role . For every 10,000 tons incremental sales volume at the current gross margin that we make, it will be adding about Rs. 400 per ton to the whole portfolio at EBITDA level.
Sanjesh Jain: But we are already using 95% utilization, right? How are we going to add that volume?
Raj Gupta: Yes, b ut we are adding capacity of 90,000 MT. The capacity is going to come in a year's time, 30,000 MT of which is almost ready . And then in a year's time, we will have more Brownfield and then eventually a Greenfield in Andhra Pradesh.
Sanjesh Jain: And Greenfield you are not going to add that much?
Raj Gupta: No. Greenfield will also add because the head office expenses are not duplicated, right , so they remain more or less stable . Maybe the operating leverage will be a little less there, but we will still have operating leverage. And this Rs. 400/MT is at 10,000 MT additional volume. We still have cushions even with the Brownfield expansion, which is in pipeline , to add Rs. 4,000 from operating leverage, but I am not saying that our operating cost structure would remain the same. So maybe half of that is about Rs. 2,000 -2,500 is going to come against this 90,000MT capacity itself and then the product portfolio is also changing . For every incremental 1000 tons of Specialty sales , our blended EBITDA improves by about Rs. 60-70 and every year , we can add between 7 ,000- 10,000 MT additional Specialty volume. Also in S pecialty, we are moving up the value chain . Our M D, Mr. Roy, has just mentioned about 1000-ton superconductive capacity. Now, here the margin profile is likely to be $10,000+ as against our current $400 average gross margin. So, the margin profile in the new product lines will be very different from the conventional products that we have in the portfolio. And add to that the work that we have been doing on the yield side , which still has sufficient cushion . We are not the best manufacturer even now. So, when we are talking about Rs 25,000/MT , we are not saying that at that level , we will get saturated . That is just our next 5-year target , maybe we will do better.
Sanjesh Jain: Got it. But any example, is any operator in the Carbon Black doing Rs. 25/Kg EBITDA ?
Raj Gupta: Rs. 25/Kg EBITDA, it will be difficult because different countries have different cost structures , but at a gross margin level , there are certainly companies which have at least Rs. 7,000-8,000 better margins than us.
Sanjesh Jain: Fair enough. Just last question from my side . This Acetylene Black , what we are trying to do,

the Specialty , the raw material will come from China and the capacity which we are putting , the
 technology is also coming from China. Is that fair understanding and how much more profitable is this product from the EBITDA per kg perspective?
Raj Gupta: Your understanding is correct , with respect to the technology and the raw material and what we are seeing in India, India currently imports about 2000 tons of Acetylene B lack and it is sold at around $4,000 -5,000 a ton an d with $ 800-1,200 kind of margin per ton.
Sanjesh Jain: Which is almost 3 x what we do ?
Raj Gupta: Yes.
Sanjesh Jain: Fair enough. That is it from my side. Thanks for taking all those questions and best of luck for the coming quarters .
Raj Gupta: Thanks , San jesh.
Moderator : Thank you. The next que

stion is from the line of Krishan Par wani from JM Financial. Please go ahead.
Krishan Parwani : Yes. Hi, s ir. Thanks for taking my question. Three from my side. First on the Carbon Black side, what is the volume growth headroom in FY '2 6 considering the time taken to bring the capacity downstream?
Raj Gupta: We should be doing about 65 0,000 tons, which is about 9% -10% increase over our FY '25 volumes.
Krishan Parwani : So, you do have growth headroom from that 90,000MT expansion that you are doing at Tamil Nadu , so from there you are expecting an incremental probably is 50,000 -60,000 MT, is that correct?
Raj Gupta: We have about 35 ,000 MT of capacity cushion already and then one 30,000 MT line is ready for commissioning in Tamil Nadu which is part of 90,000 MT . So, that itself would give us this additional 50,000 -60,000 MT. And then once the larger line of 60,000 MT is commissioned , which will be towards maybe the 3rd or 4th Quarter of this year , then, we will have more capacity available. But we are not counting that in our current numbers of 50,000-60,000 MT volume .
Krishan Parwani : And you are fairly confident with the domestic demand not very strong, I think, Kaushik sir's earlier commentary , so with the strong export volumes, we are confident of achieving 650 -660 KTPA, correct?
Raj Gupta: Yes, we are.
Krishan Parwani : Secondly, I don't know, if you mentioned it earlier, the reason for decline in Carbon Blacks price this quarter and probably, what is your aspiration for the next year and the year after that ?
 Raj Gupta: See, the market remains extremely volatile and therefore it may not be a very linear kind of improvement in our margins. So, like in the past , you have seen that in some years , our margin jumped by Rs. 2,000 -2,500 also and similarly in some years it tends to remain flat. So , while on a long -term basis , maybe 3-4 years' basis, we are fairly confident that with our initiatives , with change in portfolio and with operating leverage playing its role, we will be moving towards the targeted number. But immediately in 1-2 years , there are a lot of things which are changing very rapidly. Like this , this USA tariff thing, how it is going to impact the entire ecosystem of auto industry across globe , that is yet to be assessed. So, I would say that this is a little early for us to comment on how margins are going to be this year , but we believe that we should be able to maintain our margins.
Krishan Parwani : Maintain probably Rs. 18000-20000/ MT . Is that correct or?
Raj Gupta: Our current year's average EBITDA margin is around Rs. 20,000/ MT.
Krishan Parwani : Yes. Rs. 18,000 - 20,000/MT that is the range , yes. And lastly , on Aqua pharm , just one or two clarifications , so our 4 Q FY '25 EBITDA is Rs. 51 crores, while our EBIT is Rs. 19 crores. So, I think depreciation is closer to Rs. 32 crores. So just wanted to understand why is that depreciation so high for largely depreciated assets that you were required ?
Raj Gupta: We acquired this Company at around Rs. 4,000 crore a nd as per accounting regulations in India, the difference between the value of physical assets and the acquisition value becomes intangible assets , which are available for amortization and which also carries tax benefits . A good portion of this depreciation and amortization is on account of amortization of intangible assets . The quarterly run rate is Rs. 23 crores .
Krishan Parwani : And then what explains the difference between the Rs. 32, is it other income Rs. 9 crores or was it what?
Raj Gupta: The balance is the physical asset depreciation .

Krishan Parwani : Fair enough . You a re saying that the physical asset depreciation is Rs. 9 crores quarterly and then the intangible is okay, fair enough.
Raj Gupta: And this intangible a mortiz

ation is also entitling us for a tax shield . It is going to be huge, almost around Rs. 500 crore s and which kind of makes profit of India business exempt from tax for next 7-8 years. That is the kind of shield that we are going to get out of it.
Krishan Parwani : Fair enough. G ot it. And I think, just one last bit. On the Aqua pharm EBITDA side, I think you were till about last guiding that by the end of FY '25 exit run rate , EBITDA s hould be about Rs. 70-80 crores so how far are we from that exit run rate of Rs. 70-80 crores quarterly in Aqua pharm ?
 Raj Gupta: Rs. 70-80 crores guidance was for FY '2 6 4th Quarter is what we said we will be reaching and we are fairly co nfident that we would reach and God willing , cross that number.
Krishan Parwani : Fair enough, s ir. Thank you for patiently answer ing my question.
Pankaj Kedia : Krishan, if I can add on the Aquapharm side, see the green shoots are visible from last quarter onwards, both on our top 2 categories of business which is the oil and gas chemicals and the detergent si des. On both these businesses, we see a very good growth opportunity this year. And the fact that we have a local manufacturing facility in the USA in Texas , with this whole trade tariff thing happening today, there are a lot of uncertainties, but we see a very clear advantageous situation emerging in the next few weeks and months . Hopefully, when we come back to you by the end of the first quarter of this year, we should be able to come and tell you about the significant growth prospects on the Aquapharm side. So overall, we are still talking about almost 50% of EBITDA growth coming in Aqua pharm this financial year. So , that kind of number we think we should be able to deliver .
Krishan Parwani : In terms of the capacity expansion in A quapharm, the 38,000 MTPA , I think it was supposed to come on stream in March ‘ 25. So, is there a delay of 1 -2 months or when will that come on stream?
Pankaj Kedia : Some capacities have been commissioned before Mar ch and the rest is in process of getting commissioned.
Kaushik Roy : It is already ready at this point of time and it has just commissioned 2 -3 days back. So, it has already happened. There i s slight delay, not exactly delay from the point of view of completing the activity. It took some time to get clearance from local government. What you call is Consent to Operate. That took a little longer than expected and that is why this delay is, but it has already happened now.
Krishan Parwani : Understood. Thank you so much for patiently answering my question. Wish you all the best, s ir.
Kaushik Roy : Thank you so much.
Moderator : Thank you. The next question is from the line of Sailesh Raja from B &K Securities. Please go ahead.
Sailesh Raja : Thanks for the opportunity, sir. We are planning to set up the Nano vace facility in Palej and also capacity for Acetylene Black in Mundra. So why are we not considering Naidupeta for these two projects ? Are these two projects not eligible for 17% concessional tax rate?
Raj Gupta: No, Sailesh, actually our R&D team operates out of Palej plant and these products …these lines would require lot of t echnical support and R&D support and therefore we are planning to set it there. S o, Andhra will take time. And hra, for getting the MoEF approval, etc., will take at least a year's time. We can't afford to delay our projects , right.
 Sailesh Raja : Sir, m y second question on the input -output ratio trend, this has been enough, key driver behind the improvement in our gross debts over the last 5 years, so currently our approximate input - output ratio stands at 1.8: 1 in standard and performance Carbon Black. So based on my estimate it is 10

bps improvement in ratio translating to saving of Rs. 150 crore s if my understanding is right and what is our target input ratio over the next 2- 3 years?
Raj Gupta: So, you may not be able to calculate it based on the raw material consumed and the overall production level, because the portfolio itself is changing and not all grades have the same input - output ratio. But internally, we have th e benchmarks for each of the grades that we produce. And for 1% improvement in yield, it is almost like Rs. 100 -150 odd crores . It will also have a relevance to crude prices . At current crude prices , about 1% yield improvement is roughly Rs.

1,300- 1,400/MT EBITDA for us.
Sailesh Raja : Thank you.
Moderator : Thank you. The next question is from the line of Siddhant from Tusk. Please go ahead.
Siddhant : Sir, I just wanted to have clarity on the Nanovace technology. So , what is the progress so far and what update are we looking to commercialize the plant in FY '27?
Kaushik Roy : Yes, so Nanov ace, currently we are working on the pilot plant. All orders have been placed and ground activity will start very soon once the supply starts and we are expecting by end of this calendar year which is October to December during that quarter , we should be able to commission that plant and in parallel , we have already started discussion with the prospective customers, both in battery side as well as anode side and in addition to that also with some of the leading automobile manufact urers. So, both activities are going on in parallel and once we get approval from them based on the pilot plant samples, we will immediately start the commercial plant thereafter.
Siddhant : But in terms of technology, we have already established credibility, right?
Kaushik Roy : Yes, absolutely.
Siddhant : And regarding FY '27 , we are looking to commercialize the plant, right?
Kaushik Roy : No, we are looking at FY '28 mid to commercialize the plant. The pilot plant will be ready by the end of this calendar year. A fter that we will need to give some time for approvals and to put up the new capacity, the commercial capacity, which will take roughly about little more than a year.
Siddhant : And just to understand the technology, basically, we are replacing the g raphite part in the anode with silica, right?

Kaushik Roy : No, not really. We are mixing nano -silicon with graphite at certain percentage. We are not replacing.
Siddhant : Both are combined together to increase the life cycle of the battery?
Kaushik Roy : It is a hybrid thing. It will increase the life cycle of the battery, the charging between two charging intervals . It will be much higher. The life of battery will be much longer and at the same time, the emission level will come down substantially. So, a combination of all three and additionally, the overall cost will go down over a period of time. Per running kilometer, the cost will go down .
Siddhant : And in terms of this technology, is there any competitor who is also looking to explore this or are we the only ones having this technology right now?
Kaushik Roy : You can say in a way that nano -silicon , the kind of technology we are exploring, we are one of its kind s in this area. There are other players, but it is so far not commercially viable or cost effective.
Siddhant : So, the first -move r advantage will remain with us?
Kaushik Roy : Absolutely. That is what the expectation is.
Siddhant : And like the revenue will be $100 /kg. We are still sticking to that number ?
Raj Gupta: No, that was an assumption that we took, which is a conservative assumption. Obviously, if it is selling at a higher price in the market , there would be only some discount to it that we will offer, but it may be higher than $100 also for all we know . This is a little early for that. That was for our internal conservative calculation of profitability.
Siddhant : Right. Thank you so much, s ir. That will be it for me.
Moderator : Thank you. The next question is from the line of Pro lin Nandu from E delweiss Public and Alternatives. Please go ahead.
Prolin Nandu: Hi, team. Thank you for taking my question. I just want to understand our philosophy on this capex , right. See given that in domestic market , we don't know by when this Russia dumping will end . Now on the export market also , there is uncertainty on tariffs, right. But at the same time, you mentioned that you can't wait for approval to come in Tamil Nadu where we have probably a favorable tax regime there, right in some sense and hence we are expanding our facility. So just wanted to understand that, given that the demand outlook is not very encouraging at least for the near term, why is there an urgency to put capex ?
Raj Gupta: Well, we are already operating at above 90% capacity. That is number one. Number two, the lines that Sa ilesh was talking about were more on the Specialty grades of Carbon Black side for

which we would require to provide a lot of technical and R&D support, which currently is not available in our Tamil Nadu plant and consequently, we will have to keep these capacities station ed near to the R&D c enter , which is Pal ej on Mundra. So that is the reason . And third, the demand outlook . Even when, we say the demand outlook in India is not good , globally , still demand will grow by a certain percentage. Last 10 -year CAGR has been around 3.5% industry growth rate, which adds about 500,000 MT of incremental demand every year . And that is on the regular Carbon Bl ack side, not specialty . Specialty is a different market dynamic altogether. So, there is sufficient cushion in the market . And all said and done, we are just about 4% of the overall market size currently . Who stops us from taking this 4% to maybe 8% or 12% going forward , over a period of time.

Prolin Nandu: Sure. Understood. So, this And hra capex that you have announced, right , is this going to be only for Specialty or it is going to be the mix, right because you mentioned that talent is available nearby for the S pecialty line . So, what could be the level break up that we are looking at between Carbon Black and S pecialty here?

Raj Gupta: I guess you misunderstood. I said our R&D and technical team are in Gujarat , not in Andhra. But having said that, in Andhra in the first phase, we will be putting up regular black lines and then maybe based on requirement , availability of feed stock and maybe availability of talent , we might also decide to add S pecialty capacity there. But as of now , we are planning t o put up 150,000 tons of Carbon Black capacity, which will be rubber grade capacity mostly , in the first phase of capacity in Andhra.

Prolin Nandu: Sure, and just to, last question from my side, just to double click last question from my side to double click on this capacity utilization , right at the question that you mentioned, could you help us understand what is the capacity utilization for S pecialty Carbon Black?

Raj Gupta: Specialty , we are almost at 100 %. Last year, which is FY '25, w e added a 20,000 MT line and where we have about 7 ,000-8,000 MT of capacity available, which we hope to utilize this year. So immediately we will have to add one more line of S pecialty.

Prolin Nandu: And when will that come , the new line or S pecialty?

Raj Gupta: Next 12- 15 month s' time .

Prolin Nandu: So, till that time , we have that constraint on the S pecialty mix, right? Is that understanding, correct?

Raj Gupta: Not constrained because this year , we already have capacity cushion. So, the capacity which came up in FY '25 is largely available for this year's growth and by the

end of this year, we will have that line almost ready , the new line.

Prolin Nandu: That is from my side. Thank you, team.

PCBL Internal Document Moderator : Thank you. The next question is from the line of Rom il Jain from Electrum PMS. Please go ahead. Excuse me, Mr. Romil , your line has been unmuted. Please go ahead with your questions. As there is no response from the line of the current participant, our next question is from the line of Sarah from UVR Fund advisory. Please go ahead.

Sarah : Hi. Thank you for this opportunity. S ir, my questions are related to Aqua pharm. In Aqua pharm, what is the current logistics cost and what are the plans to optimize these cost?

Kaushik Roy : You are saying that in terms of percentage?

Sarah : No, sir, absolute and per ton basis, sir?

Raj Gupta: No, it could be very different. Aquapharm has manufacturing facilities in 3 geographies, USA, India and Saudi Arabia and from there , it caters to different markets , so there will not be any uniform logistics cost. Typically, if you were to look at the co ntainerized freight rates, from India to Middle East or Southeast Asia, it will be about $20- 25/ton. For Western Europe, it would be about close to $100/ ton and from India to USA, it will be around $150 /ton. These are the rates .

Sarah : Alright, sir. In Aquapharm, 85% of sales come from the USA and Europe. What is the outlook on demand and pricing in these key regions and what is the target addressable market in USA and Europe and how much of the current market is catered by China?

Kaushik Roy : Well, the USA market is the strongest for Aquapharm fro m the point of view of demand as well as from the point of view of margin. So that is the best possible market what we have. Europe is a decent market, but obviously not as good as the USA . So therefore, as an organization our thrust and focus right now is to increase our sale in USA as much as we can. So that is going forward will be our strategy as we go along while maintaining the presence in Europe because there are players like for example P &G, we are the largest supplier to P &G and mostly it is supplied in Europe, so it remains but at the same time lot of focus will be there in USA market. This I am talking about products which are sent or manufactured in Aquapharm India.

Sarah : Do we have the demand size for the same for the USA and Europe?

Kaushik Roy : In USA, the demand is strong because oil production is going at full swing in the USA and with Mr. Trump coming in, possibly that will increase further, the demand will increase further. So, the USA side is pretty strong. Europe is little soft, or I will say it is a bit muted and as I said ,

therefore , more focus is there for USA right now for us from Aquapharm side.
Sarah : That I understood, sir. I wanted some numbers like if you could give on demand side.
Kaushik Roy : On the demand side, the USA economy is growing roughly about 1.7% this particular financial year that is the projected growth around 1. 7%, w hereas for Europe , it is almost flat. It is just about 0.5% -0.6%. So that is what the growth looks like in Europe and the USA .
 Sarah : Alright, sir.
Kaushik Roy : But of course, the USA is the largest economy, so on that almost 2% growth is not that bad, but it has definitely come down from the earlier numbers .
Sarah : Alright, sir. At what prices are China dumping and how competitive is Aqua pharm pricing as compared to these prices that China is dumping?
Kaushik Roy : So right now, China is not able to dump in the USA because of the current tariff which is 145% . They are not in a position to dump, but yes, earlier China used to dump a lot of material and because of that at places we used to kind of compete with China and therefore i

t used to be a
problem for us, but right now , a bit of an advantage for us , I will say, particularly from USA perspective with 145% duty.
Sarah : One last question. In the total debt that we have, how much is Indian debt and how much exposure do we have for foreign debt?
Raj Gupta: It is entirely rupee denominated debt.
Sarah : Alright , sir. That is it from my side. Thank you.
Kaushik Roy : Thank you.
Moderator : Thank you. Ladies and gentlemen, this was the last question for the day. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

30th July, 2025

The Manager, The General Manager,
Listing Department, Department of Corporate Services,
National Stock Exchange of India Ltd, BSE Ltd.,
Exchange Plaza, 1st Floor, New Trading Ring,
Plot No. – C – 1, G Block, Rotunda Building,
Bandra – Kurla Complex, P.J. Towers,
Bandra (East), Dalal Street, Fort,
Mumbai – 400051 Mumbai – 400001
NSE Code : - PCBL BSE Code : - 506590
Dear Sir,

Sub: - Q1 FY 2 6 Earnings Conference Call – Transcript

Further to our letters dated 18th July, 2025 and 23rd July, 2025, please find enclosed herewith the transcript of the Q 1 FY'2 6 Earnings Conference Call held on Wednesday , 23rd July, 2025 at 16: 00 hrs India Time, for the quarter ended 30th June, 2025. This information will also be hosted on the Company's website and can be accessed at the link: https://www.pcblltd.com/investor -relation/financials/investor -presentation .
We request you to please take the afore- mentioned information in record and oblige.
Thanking you, Yours faithfully,
For PCBL CHEMICAL LIMITED

K Mukherjee
Company Secretary and Chief Legal Officer

Enclo : As Above

PCBL Internal Document

"PCBL Chemical Limited

Q1 FY26 Earnings Conference Call "

July 23, 2025

MANAGEMENT : MR. KAUSHIK ROY – MANAGING DIRECTOR – PCBL CHEMICAL LIMITED
MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER – PCBL CHEMICAL LIMITED
MR. ANAND KUMAR – GROUP HEAD INVESTOR RELATIONS
MR. PANKAJ KEDIA – EXECUTIVE DIRECTOR – INVESTOR RELATIONS

MODERATOR : MR. SANJESH JAIN – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the PCBL Chemical Limited Q1 FY 26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions

after the presentation concludes. Should you need assistance during the conference call, please
signal an operator by pressing st ar then zero on your touchstone phone. Please note that this
conference is being recorded.
I now hand the conference over to Sanjesh Jain from ICICI Securities. Thank you and over to
you, sir.
Sanjesh Jain: Thanks, Vishakha. Good afternoon, everyone. Thank you for joining on for PCBL Chemical
Limited Q1 FY '26 results conference call. We have PCBL Chemical management on the call,
represented by Mr. Kaushik Roy, Managing Director; Mr. Raj Gupta, Chief Financial Officer;
Mr. Anand Kuma r, Group Head Investor Relations and Mr. Pankaj Kedia, Executive Director,
Investor Relations . I would like to invite Mr. Kaushik Roy to initiate the call with his opening
remarks, post which we will have a Q&A sessio n. Over to you, sir.
Kaushik Roy: Thank you so much. Good evening, ladies and gentlemen. A very, very warm welcome to each
one of you and thank you for joining Q1 FY '26 earnings conference call of PCBL Chemical
Limited. Today, we'll be discussing our business and financial performance for the quarter in
details. I hope that you've got a chance to review our financial results and the investor
presentation, which are also available on stock exchanges as well as on your company website.
Before we begin, I would like to express my sincere appreciation to all of you for taking the time
to join us today and for your continued interest and support in our journey.
Amid rising global uncertainties, including the Iran -Israel conflict, India -Pakistan tensions, Red
Sea disruptions and escalating tariff risk from U.S.A., macroeconomic pressure continued to
affect global sentiment. While intensity of dumping into India n market has moderated but
remains at somewhat elevated level. This is reflected in the pricing environment. Despite this
backdrop, PCBL Chemical delivered a steady and stable performance in Q1 FY26 , marked by
volume growth across all key business segments. We remain confident in our ability to navigate
the prevailing volatility in business environment and strengthen our competitive edge in the evolving global landscape.
The global t yre industry is undergoing a structural shift with manufacturing steadily moving
towards cost -efficient hubs like India - driven by the need to optimize cost and enhanced supply
chain resilience. Also, as higher tariffs have been imposed on some of the key t yre exporting
countries, India is well positioned to increase its export share.
Recently, one of the major global carbon black producers announced the planned closure of few
of its production lines in Europe and North America by the end of this year. This development further underscores the shift in
global manufacturing dynamics. It also provides India an

opportunity to capture larger market share in the global trade of carbon black. This is likely to
be beneficial for PCBL in the long run and as we add capacities.
In India, the t yre sector is witnessing steady growth, supported by OEM, expanding replacement
tyre market and strengthening of export demand. As the world's 3rd largest t yre market, India
continues to play a pivotal role in the global supply chain. PCBL remains strategically aligned
to this momentum, backed by its scale, specialty offerings and commitment to innovation and
reliability.
PCBL is rapidly expanding its capabilities via customized offerings and continued innovation,
particularly in high -performance applications like battery c

hemicals and energy storage. With
tightening regulations on export of new age battery technologies from China, we are seeing a
natural shift in preference towards alternative and reliable sources. Our upcoming Nanovace
facility is well positioned to offer advanced solutions to meet the growing needs of both domestic
and global customers. The pilot plant is expected to be ready by the end of the calendar year,
post which the sampling process will commence. We are encouraged by the strong level of
interest from the partners across the battery value chain, reinforcing the potential of this new
segment for PCBL .
Recently, we have been granted a process patent by the U.S. Patent Office on our proprietary method of developing
nanomaterials designed for next -generation energy storage technologies.
This breakthrough patent represents a significant milestone in our R&D efforts and strengthens
our intellectual property portfolio in the energy storage domain. The grant of this patent not only
validates our technological innovation, but also opens new avenues for strategic partnerships,
licensing opportunities and potentia l commercialization in global markets.
The technology transfer process for our upcoming Acetylene Black expansion has been
successfully completed this quarter. We have started detailed engineering work for setting up
India's 1
st Acetylene Black capacity. This has applications in high -voltage cables, batteries,
semiconductor packaging, conductive plastic , paint and coatings.
And it is drawing strong interest from the partners across value chain. Currently, India is 100%

dependent on import of Acetylene Black. Once PCBL facility is ready, we would be well positioned to meet the domestic requirement and serve the global customer s. We believe this development will have a significant positive impact on the company's long-term growth prospects and aligns with our vision to be a leader in sustainable energy solutions.

Now coming to Carbon Black projects. The first phase of our Brownfield expansion of 30,000 MTPA at PCBL Tamil Nadu has commenced trial runs and will be commissioned in next few weeks' times . The second phase comprising an additional 60,000 MTPA , along with 12 MW power capacity will be commissioned by the end of this financial year.

We are in the process of completing the acquisition of 116 acres of land at Naidupeta in Andhra Pradesh for a G reenfield Carbon Black project. This new facility will focus on producing Rubber Black and Performance Chemicals. Capex at this site is expected to commence once we obtain environmental clearance in this year.

We are also planning to set up a new line of Specialty Black of 20,000 MTPA capacity, which is expected to be ready over next 3 -4 quarters. This would take our total Specialty Black capacity to 1,32,000 MTPA . This line will be coming up in Mundra.

Capex activity is going on for 1,000 MTPA Specialty Black capacity dedicated for superconductive grade and as expected will be completed by the end of FY '26 in Palej. We are on track to achieve our targeted capacity of over 1 million tons by FY '28. This provides a good visibility of consistent growth in our Carbon Black business with an improving margin profile.

PCBL anticipates continuous growth in international sales volume over the next few years, driven by expansion into new geographies, strategic investments in supply chain capabilities, moving up the value chain and the launch of new specialty grades. The de mand for Special ty Black continues to be steady.

Over the last decade, we have been focusing on developing newer grades with varied applications in plastics, pigments, inks, paints and coatings as well as conductive applications. We continue to expand our product portfolio, enter newer geographies, while moving up the technological curve.

Now coming to Aquapharm Chemicals.

The initiatives taken in the last few quarters have started yielding benefits and is setting a strong foundation for accelerated growth in coming years. We are focusing on expanding our business in U.S., Latin America, Eu rope and Middle East.

Corresponding increase in capacity, product development and supply chain capabilities have already been undertaken. We are also working on end-to-end integration of the 3 business segments, detergents, oil and gas chemicals and industrial water treatment chemicals, with focus on opportunities for cross -selling across business segments with higher capacity utilization.

Aquapharm Chemicals expansion projects are on track and nearing commissioning. We have commissioned capacity of 11,500 MTPA to produce polymer at Mahad plant. We are also working on debottlenecking as well as Brownfield projects, both in India as well as U.S.

We plan to commissio n additional capacities for PBTC, green chelates, acetyl chloride, granulations, amines, imidazoline in Q2 FY '26. Aquapharm is on track to deliver strong growth in FY '26 versus FY '25 with focus on new product development and capacity growth for the existing portfolio. PCBL has established a resilient and far -reaching global footprint supported by a seamlessly integrated manufacturing and distribution network.

As the company scales into high -margin, high-growth segments, it continues to demonstrate discipline in capital allocation and agility in responding to evolving demand cycles. Coming to the quarterly performance, PCBL continued with a steady performance in challenging macro environment.

During the quarter, our consolidated sales volume in Carbon Black business increased 2.6% QoQ to reach 1,54,093 MT . This translates into a capacity utilization of over 97% during the quarter. In Aquapharm business, our sales volume increased by over 9% YoY to 26,523 MT during the quarter.

Consolidated revenue from operat ions during the quarter was INR 2,114 crores. Consolidated EBITDA increased by around 2.5% QoQ to INR325 crores. PBT stood at INR120 crores, while the PAT stood at INR94 crores. EBITDA per metric ton in Carbon Black business stood at INR17,791/ -.

Of the total Carbon Black sales volume, domestic sales volume stood at 89,606 tons, while

international sales volume stood at 64,487 tons in Q1 FY '26, which is 2% YoY growth. Moving on to our segmental performance. T yre accounted for 91,140 tons, Performance Chemicals reported sales volume of 46,888 tons, while Specialty sales volume was 16,065 tons.
With this, our specialty contribution in volumes has reached over 10% from less than 1% in the year 2015. We expect this share to continuously ramp up over the next few years. We continue to expand our product portfolio and customer base. Aquapharm Chemica ls reported a steady performance during the quarter. Q1 FY '26 revenue stood at INR382 crores with an EBITDA of INR50 crores.
Under Aquapharm, the detergent accounted for 9,419 tons, oil and gas reported sales volume of 8,501 tons, industrial water treatment accounted for 3,944 tons, while remaining 4,660 tons pertains to other segments.
This Quarter , we also achieved the highest ever power generation and sales volume during the quarter. Power generation increased by 11% YoY from 194 MUs to 215 MUs with an external sales volume growing by around 14% YoY to 132 MUs as against 116 MUs in Q1 FY '25.
PCBL's transformation into a multi -chemistry platform reflects a clear intent to deliver science-driven, scalable and sustainable solutions across high-impact sectors.
With offerings that span traditional performance materials and emerging specialty chemicals, the company has created a portfolio that is both diversified and future ready. This diversity enables PCBL to address varied customer needs across mobility, industrial processing, infrastructure, water treatment and ener

gy storage, while reducing concentration, risk and enhancing profitability. With this, I conclude and open the floor for your questions. Thank you so much.

Moderator: Thank you very much. We will now begin the question -and-answer session. Th e first question is from the line of Sailesh Raja from B&K Securities. Please go ahead.
Sailesh Raja: Thanks for the opportunity. S ir, my first question is in the Rubber Carbon Black segment, next pricing cycle negotiations are scheduled to begin in the month of August with the revised price set to take effect from October month. So , considering the uncertainty around the U.S. potential tariff and the elevated inventory levels and the customer, there is likely to be a pricing pressure. So how do you see this scenario playing out in the near term?
Kaushik Roy: See, at this point of time, you're right, there is some strong headwind and there is a lot of uncertainty in the market. As such, the economies were not very strong and on top of that, the uncertainty got created because of Mr. Trump's initiatives, what is going on at this point of time. So, headwind is definitely very strong.
We know that this might have some impact on the pricing. But at the same time, you need to understand there are markets where supply is less than demand and U.S., Europe are examples for that. So , there will still be opportunities in this market. There will be imports into this region from Asia. So , we'll be looking at that opportunity.
As far as specific to the pricing, of course, it will depend on when we finally get into a discussion and negotiation and what is the economic situation at that point of time. And at the same time by that time, hopefully, there will be more clarity on the tariff side. Once those clarities are there and we have got another 2-3 months' time before we get into a final negotiation with all big t yre companies across the globe, which will be effective 1st of January next year. So that will continue.
But the other thing is, as an organization, to take care of the situation in terms of performance, we are taking a lot of initiatives internally, which are in our own hand in terms of improvement in efficiency across all functions, trying and improving our working capital management so that overall, the organization's performance remains strong financially.
So, this is our strategy. And at the same time, we continue to grow and be ready for future because we are quite confident and optimistic about this that eventually the market will turn positive going forward. Maybe it will take some time, but we are quite po sitive and optimistic about it.
Sailesh Roy: Sir, for the whole year, can we see this EBITDA p er kg to be maintained at INR17 -18 per kg?
Kaushik Roy: As I said, I don't want to give you any guidance for this. But as I said that there's a lot of focus internally in the organization for improvement in efficiency. And I'm quite hopeful that will bring a lot of value on the table. So, I can't give you a number or guidance, but yes , we are positive. Why should only talk about maintain, maybe at some point of time, we'll talk about improvement from here on.

Sailesh Raja: Okay, sir. Sir, my second question on the exports front. So , our volumes to Europe and U.S. that
has grown significantly in the last 3 years from 9,000 tons to 85,000 tons. So , with increasing
consolidation in the global Carbon Black industry, how do you see our mix going up in the next
1-2 years?
Given the current exports contributing, it is around 41 % of the overall volumes. So how do you
see that mix going up? And within U.S. and Europe today, it is around 35% of overall exports. So how do you see that mix to
go up in the next 2- 3 years?
Kaushik Roy: Again, I'll not put a number how much it will go up by but I can gene

rally tell you about our
strategy. As I said that we'll be continuously growing in all segments, value -added as well as our
regular Rubber Black . Now in regular Rubber Black, as you already know that in India, the
supply-demand situation is in favour of the customer because supply is almost 1.8 million tons,
whereas demand is just about 1.1- 1.2 million.
So, India should be looked at as a manufacturing hub for the globe. And we are already a very
strong player in India. We are the leader. So , we'll continue with our leadership. But at the same
time, the major growth will come in the international market, where there is a lot of headroom for us. The market share of
PCBL there is not as high as what we have in domestic market. So
naturally, ther e is a lot of headroom over there.
We're looking at the international market as a growth opportunity for us. Entire Asia, European Union as a whole and, of
course, U.S.A., subject to the tariff situation doesn't go out of control
completely because the logistics cost is obviously a little higher for U.S.A. a nd on top of that, if
tariff goes haywire, then of course, there is a concern.
But then at the same time, the tariff, if it is applicable in India, I'm sure the tariff rates will be
even higher for some of the other countries. So maybe net , we will be in a beneficial position.
So, as we see the international market growth will be very sharp going forward.
And with new capacities which are coming up, Brownfield in Tamil Nadu and eventually after
that, in Andhra Pradesh, a major share will definitely go to the international market. But at no point of time, we'll be ignoring or
neglecting domestic market. We are a leader and we'll continue
to be the leader.
Sailesh Raja: Okay. Sir, you said 1.8 million tons supply in the India market. Of that, how much it is coming
from China and Russia imports?
Raj Gupta : That's not much. India in totality imports about 9,000- 10,000 tons a month. So, India net -net is
an exporter.
Sailesh Raja: Okay. Last question. In Aquapharm, last year and 1Q it was muted EBITDA. But how do you
see the performance to pan out in the next three quarters in terms of volume as well as the

margin? Also, this business is diluting the overall ROCE. So, what kind of ROCE you are
targeting internally over the next 2-3 years?
What are the steps that we are taking in terms of customer acquisition, then raw material sourcing
and improving the conversion cost? Also, the capital allocation policy in Aquapharm, can you please discuss?
Raj Gupta : Last few quarters, a lot of work has been done towards market building, creating higher
bandwidth in our sales and marketing team, expanding the product portfolio. And these have
started yielding results. Maybe this will be more visible in subsequent 3 -4 quarters. We expect
this year to be significa ntly better than last year. And, of course, this business has significant
potential to grow from here.
Now in terms of ROCE, see the internal expectation is always that , whatever investment we
make, whether organic capacities or inorganic, these acquisitions, etcetera, that we have, at least
17-18% kind of minimum return on invested capital, but it takes time to reach to those numbers.
In 3-4 years' time, this business as it becomes bigger in terms of top line, we'll start getting better
and better returns on capital. Hopefully in 3-4 years' time, we should be there.
Sailesh Raja: How much c apex we have, sir, in this business?
Raj Gupta : In totality, during the quarter, we have done about INR 112 crores of capex .
Sailesh Raja: Only in Aquapharm, I mean?
Raj Gupta : Aquapharm is not much. Aquapharm, it was ongoing. So , a good part of cap ex has already been
incurred in last year. This year, in the first quarter, it was about INR 15-16 crores.
Sailesh Raja: Okay, sir. Thank you, sir.
Moderator: Than

k you. T he next question is from the line of Sanjesh Jain from ICICI Securities Limited.
Please go ahead.
Sanjesh Jain: First on the Orion plant closure. Any sense is that the pl ants were old and not efficient o r do you
see that Europe and North America, it's becoming incrementally less viable for them to produce

at those cost level and become competitive versus India and China? What's playing out in market of Europe and North America?
Kaushik Roy: Yes, you are right, absolutely, Sanjesh. That is precisely what is the reality. I think the cost structure is such for them in U.S.A. and Europe and these plants are very old plants. And what we understand that our intelligence says that they're trying to close down the Rubber Black lines.

I mean, so -called not the high value -added lines they are trying to stop. And put that money, whatever they save from there, more on the specialty lines. That is their target. And indications are there, out of these five what they're talking about, possibly two to three will be in U.S.A. and a couple will be there in Europe.
That is the indication. And this is clearly indication that competition -wise or competitiveness - wise, India and China are definitely ahead of them today from those regions. It is difficult for them to compete and that is what is reflecting. And this is hon estly an opportunity for organizations like PCBL for growth. Definitely, there's an opportunity for us.
Sanjesh Jain: And do you expect more such closure to come? Is it fair to assume that in net -net every year, there will be less of addition and more of closure.
Kaushik Roy: Yes, addition for sure will not be there. A ddition for sure is ruled out for the regular black. Specialty, something may happen. But Specialty, possibly what will happen, they'll convert some of these lines to Specialty. They may not add anything new, but they will be converting some of the conventional lines to Specialty b ut that also requires a lot of c apex, it will be a call of those companies.
But you'll definitely be not seeing any addition. So, therefore, this gap between demand and supply will only grow in future, which will be, in a way, advantage for Asia.
Sanjesh Jain: Very clear. Second, on the Specialty, now including acetylene and the 1,000 metric ton in the superconductive grade, is it fair to assume that the growth will accelerate with all these products coming up next year in the Carbon Black side and eventually that should lead to a much better EBITDA per kg, right?
Kaushik Roy: You are right, absolutely. I'll tell you, as an organization, our strategy is on one side, looking at continuous growth on the conventional items where we supply largely to tire companies and some of the non-t yre rubber companies. So that continues to grow through expansions in Tamil Nadu, in AP Greenfield, etcetera.
But at the same time, to keep an eye on the profitability improvement, we have taken all these initiatives like Acetylene Black, superconductive, then Nanovace, the battery thing. So , both will continue in parallel. So, we are going to grow. At the same time, profitability also will improve. And I think rest Raj can add from the point of view of finance, what is his thinking on that.
Raj Gupta: All these things will take some time. The real reflection of all these new technologies on our bottom line would be more visible from FY '28.
Sanjesh Jain: We said the plant should be all available by end FY '26 or early FY '27. So, we will have some benefit showing up in '27, right?

Raj Gupta: We will have some benefi t, but the approval process, et cetera will also take some time, Sanjesh. So, the real reflection, I'm not talking about the marginal reflection, but the real reflection would come with a time lag.
Sanjesh Jain: Got it. Raj, so that

Carbon Black oil used to trade at a premium in China. Has the situation changed with slowdown?
Raj Gupta: Yes. The gap between the feedstock that we use and that of our Chinese counterparts use, that has come down a bit. Currently, it is about USD 130.
Sanjesh Jain: Okay. And any reason why China dumpi ng has come down. Sir you mentioned in your opening remarks that the dumping intensity in India has come down. Is that the freight cost not availa ble or domestic or matching and or the grade is not right for India? Any particular reason why there is a sudden drop in the intensity by Russian?
Raj Gupta: Russian import intensity has not changed much. It all started a couple of quarters back and Russia continues to sell in India but the quantities are not very significant. They are doing about 2,000 tons a month out of roughly 9,000 -9,500 tons which is coming in India. And mostly this is being imported by small time traders.
So, none of the t yre companies are buying directly from Russia because of the quality concerns and also because of the sanctions on Russian material. So, it is mostly on spot market where this

is being traded.
Sanjesh Jain: So where are Russians selling right now, the quantities?
Raj Gupta: China, mostly China.
Sanjesh Jain: Okay. And then last question on the Aquapharm. I think since we took over the EBITDA has been consistent at INR50 crores. When should we see this trajectory changing? We were expecting INR 300 crores plus kind of an EBITDA this year. Will Q2 show that trajectory changing for us in the Aquapharm?
Raj Gupta: See, we are still maintaining that guidance of INR300 crores for the current year. And first quarter was also marked by all this U.S. first announcing tariffs and then withdrawing it. And the level of import in U.S. significantly increased during the quarter because of the announcement and then withdrawal of that.
So, this quarter, again, is not a normal quarter from a performance point of view. Second quarter onwards, you will start seeing the numbers.
Sanjesh Jain: Got it. Thank Kaushik. Thanks Raj for answering all those questions so patiently and best of luck for the coming quarters.

Moderator: Thank you. The next question is from the line of Aditya Khetan from SMIFS Institutional Equities . Please go ahead.
Aditya Khetan: Yes. Thank you for the opportunities. Si r, my first question is on to the power business. Sir, since last quarter, so sequentially we have seen power business EBIT contribution has gone up.
So, some INR25 crores incremental EBIT has been added in power business alone, whereas Aquapharm and Carbon Black seems to be flattish only. Sir, what has changed since last quarter? Because I was checking the volumes, they have not gone up much like on QoQ basis. So, what explains this INR25 crores jump?
Raj Gupta: So, there is increase in both volume as well as realization.
Our power volumes have gone up to
13 crores unit from roughly 10 crores unit in the previous quarter. And realization also has improved by roughly INR0.50 paisa per unit. So that explains the increase in the bottom line.
Aditya Khetan: Okay. And sir, so this power business contribution has gone up, but other businesses seem to remain muted only, s ir. For the last few quarters , we have seen like a muted.
Raj Gupta: Yes. So Aquapharm business and also the Carbon Black business, the performance was kind of flattish during the quarter.
Aditya Khetan: Got it. Sir, what explains this dip in the spreads of Aquapharm? Because I believe we had mentioned earlier as volumes increase, operating leverage benefits the EBITDA. But the realization is spreads of Aquapharm has declined. Is this because of higher imports from China are we facing today or any other reason?
Raj Gupta: It is not imports from China. I mean, the reason for profitability to be not reflecting in the

current
quarter. One reason is higher freight cost that they had to incur because of all this geopolitical disruption.
Aditya Khetan: Okay. But sir, freight cost, like it could have gone up by almost around 30- 40% in a quarter's time frame?
Raj Gupta: The impact of freight cost is around INR6 crores during the quarter.
Kaushik Roy: I'll explain something to you. While you're talking about numbers, we can definitely talk about specific numbers. But I think you need to understand the overall perspective of business. Now last quarter and this quarter i.e. Q4 and Q1, possibly are the 2 most difficult quarters and most probably it will continue for a little more time.
The whole economy has gone upside down across the whole world. None of the big economies are doing well today. You look at U.S.A., you look at Europe, you look at Asia as a whole and within that, India and China, none of them doing too well. And on top of that, these policy changes which were announced by Mr. Trump created further confusion and uncertainty in the whole system.

So today, if some company is at least able to hold on to their performance of previous quarter or previous year, then I think it is reasonably good achievement, I'll put it that way. You need to see the overall perspective and then kind of analyse the whole situation. So that is my suggestion to you to kindly look at it that way. Within that, of course, we can talk about specific numbers to analyse and understand more. That is fine.

Aditya Khetan: Got it, sir. Thank you, sir, for that explanation. At Aquapharm, so we have commissioned 11,500 tons in this quarter. So, the remaining capacity would be completed by FY '26?
Raj Gupta: This should come up in next 2-3 months' time.
Aditya Khetan: Okay. Sir, any idea like for the next 2 - 3 years, how much capacity in Carbon Black would be added and in which country? And roughly how much expected closure could be there?
Raj Gupta: There is very little coverage on industry, but the historical trend has been… every year about 300,000- 400,000 tons of new capacity get added.
Aditya Khetan: Okay. Okay, got it. Thank you, sir.
Moderator: We'll take our next question from the line of Madhav Marda from FIL.
Madhav Marda: Hi, good evening. Thank you so much for your time. Sir, I just wanted to understand, if I look at the Carbon Black margins for us, we had a very strong improvement just after COVID had improved until last year. So, could you give some colour in terms of the softness which you've seen this quarter? If you could break it down in terms of maybe domestic versus export market or how we should best understand sort of the impact on margins this quarter? I understand the global macros are quite weak, but just some more colour for our understanding would be great.
Raj Gupta: Madhav, there has not been much difference in terms of margins in different markets. I mean international market, domestic market, more or less margins have been in parity. T he challenges that we are facing primarily is in the spot market trades, not the contractual trades, where because of little oversupply and plus all these global macroeconomic conditions weighing down on businesses, which is impacting margins.
Madhav Marda: Sir, could you remind me like what is our spot volume mix versus the contracted volume mix for PCBL today?
Raj Gupta: We are doing about 60% to t yre companies and roughly around 10% on the specialty side. The balance 30% kind of remains in spot market or under short -term contracts.
Madhav Marda: Okay. Got it. Understood, understood. And the competition is there like in the spot market is from the Russian producers or sort of who are the players who are kind of creating the pressure or is it just some demand softness, which is leading to temporary margin pressure here? What's happening here?

Raj Gupta: See, in recent past, capacity addition has been at a little higher pace as compared to the demand growth in industry. And that certainly is one of the reasons. A good part of the new capacities are in Asia, primarily India. And then, of course, Russia, because of sanctions, they are not being able to sell in Europe. So, they are also dumping it in some of the Asian countries.
And Asia, in totality is still very big for us. We do about 60% volumes in India and then another roughly about 24-25% in rest of Southeast Asia. So, all this Russian dumping and rapid capacity addition has impacted. And of course, the demand growth has not kept pace with capacity addition. So that's, of course, one more factor.
Madhav Marda: Okay. And the Orion plant closure, sir, what is the capacity which is shut down there? Any ballpark number like the sort of 2- 3 facilities in U.S. and a couple of them in Europe? How much would that be?
Raj Gupta: We don't have exact details so far. We are trying to get some more details. Our sense is that it could be somewhere around 250,000 -300,000 tons.
Kaushik Roy: We do not know really how much it will be and by when. They're indicating by end of this year, but it has not happened yet. So, we have to wait and watch for a while.
Madhav Marda: Okay, okay. Got it. And sir, just one more question was on the capital allocation. Could you give some sense in terms of capex in the next couple of years? How much do we plan to spend in the Carbon Black business and then Acetylene Black and Nanovace? If you could give some breakup, that would be great. Thank you.
Raj Gupta: Acetylene Black and Nanovace would not require much investment. These are low investment businesses. Carbon Black, I mean, between all the businesses that we have, Aquapharm, PCBL and the Nanovace now, on an average, we would be doing about INR600- odd cror es every year.
Madhav Marda: Okay. And how much of that would go into Carbon Black versus non-Carbon Black businesses?
Raj Gupta: Total commitment for Nanovace will be around INR200 -250-odd crores. I'm talking about the residual portion. And Aquapharm would require roughly about INR100- 125 crores on an average every year. The rest will be for Carbon Black.
Madhav Marda: . And the Acetylene Black project, how much capacity do we plan to add? You're saying it's not capex intensive. So, any outlook in terms of what capacity you want to add and by when?
Raj Gupta: Initially, we are planning 4,000-5,000 tons but we will be creating higher cushion upstream and downstream. And in between, the reactors are kind of small reactors of 1,000 tons. So, we can keep on adding reactors based on our market seeding and all.
Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Yes. Hi, sir. Thank you for taking my questions. Sir, did you give Carbon Black offtake guidance for FY '26 and per kg EBITDA guidance, which stood at, let's say, INR17.4 a kg ex of other income?
Raj Gupta: No, we have not given any guidance, Krishan. If you have seen our current quarter's number, you would see that we are already operating at 96 -97% capacity. I think we will reach almost full capacity this year. We'll maintain this kind of capacity utilization a little higher. And realization would also depend on movement in crude prices.
Krishan Parwani: Yes. Okay. So basically, you are at 154 kt run rate, and annualizing it, you would be closer to 616 kt-odd and then probably some incremental. So, 630-635 kt should be a fair assumption?
Raj Gupta: Maybe a little more. We are also about to commission one small line in Tamil Nadu in the next, 2-3 weeks. And that will be available for a good part of the year.
Krishan Parwani: Got it. And so, realization, I understand it's crude linked, but from the spread p

erspective, I was asking like, let's say, per kg EBITDA, I think you had indicated in the last call that your overall or 2-3-year aspiration is to be at INR20 -22 per kg EBITDA. For F '26, where do you stand?
Raj Gupta: I would not talk about current year's number s, but we are on track to achieve targeted EBITDA per ton. We spoke about some INR4-5 increase from the current level in next 4 -5 years' time. And that will come because of the product portfolio expansion , moving up the value chain. Some part of it will come from operating leverage and also a good part will come from all the work that we are doing towards conversion efficiency improvement.
So, we are on track to achieve that. I mean the business environment volatility is very high every quarter, there's some or other development, which is negative for our industry.
Krishan Parwani: Got it. Coming to Aquapharm, we can see your volume has gone up. However, your EBITDA has not gone anywhere. So, what actually happened there?
Raj Gupta: We just spoke about that. So, first quarter, again, I mean, we were talking about US announcing tariff and then again deferring it by a quarter, which kind of resulted in the US importing a lot more during this quarter from China and some other countries, which impacted our business volume. So, this is again not a usual quarter for this segment's performance. But the guidance that we gave for Aquapharm for the current year, we are holding on to that.
Krishan Parwani: Yes. That I got it. I mean, I think you said volumes were impacted, but I'm saying that the volume did go up, but your EBITDA went down. So, something had to give, right? I mean or was it costs were high or was it the realization went down or you were holding some inventory? Because volume, we can see its material.

Raj Gupta: No. So , the product mix also changed and also there was pressure on pricing, which resulted into lower margins. Additionally, freight costs during the quarter went up because of this trade route disruption.
Krishan Parwani: Yes, that is probably explains the INR204 crores other expense went up to INR231 crores. That is fine. And I think you mentioned that you are holding on to your guidance of INR300 crores.
So just wanted to understand what will drive almost like INR80 crore s kind of a quarterly run rate if you were to just take it for the next 3 quarters. What will change to give you a INR30 crores uptick from the coming quarters?
Raj Gupta: We are operating at low capacity. Operating leverage is going to give us that improvement in the subsequent 3 quarters. We are planning to increase capacity utilization.
Krishan Parwani: Okay. So, I thought your capacities are closer to 130 KTPA plus you added 11 KTPA. So probably 140 and you're already running at 110 KTPA kind of a run rate. Is that fair...
Raj Gupta: So, we are going to get about 38,000 tons from the new facility, out of which only 12,000 tons have been commissioned so far. And we had 130,000 tons before this capacity addition. So, in totality, we will have about close to 170,000 tons.
Krishan Parwani: Yes. But isn't that the case like in the initial quarters or initial couple of months, the opex is higher until your plant stabilizes. So, are you still confident of operating leverage playing out just from this quarter and then the next quarter or operati ng leverage play out could happen probably 2- 3 quarters down the line?
Raj Gupta: The pricing this quarter was also not the usual pricing.
Krishan Parwani: Yes. And that has changed?
Raj Gupta: Right. So, I mean, we can't extrapolate current quarter for the full year's profitability. We are already seeing some improvement in the current quarter. And hopefully, every quarter, you will

see improvement going forward.
Krishan Parwani: Got it. And just the last bit, if you may allow me. So, what led to the increase

in the interest expenses this quarter?
Raj Gupta: Interest expense is going down. It is one capitalization which happened in the last quarter of last
year. So, for one of our unit s, PCBL Tamil Nadu, where we are putting up this brownfield
expansion, there was some interest expense, which I mean, for the capex that we are incurring.
And ideally, that should have been capitalized in the first 3 quarters, but capitalization for the whole year happened in the fourth quarter.
And consequently, fourth quarter interest cost went down to that extent. And on that base, current
quarter interest cost is looking higher. But actually, in terms of overall cash outflow for interest

payments, it has gone down in this quarter. And every quarter from here on, you will see further
reduction.
Krishan Parwani: Okay. And on this continuation, what was your gross and net debt at end June '25? If you have
that number in mind, yes.
Raj Gupta: There is some, we don't publish balance sheet in first quarter, but there is some reduction.
Krishan Parwani: Yes, I was just saying just a ballpark number if you have handy, but in case you don't, that's fine.
Moderator: The next question is from the line of Yash Sinha from MIPL Family Office.
Yash Sinha: I had a bit of a unit economics question around the Carbon Black business. Just wanted to
understand the difference in realization between your Specialty Carbon Black, Performance
Carbon Black and your normal Carbon Black?
Raj Gupta: It would depend on grade to grade. I mean we have a portfolio of some 100- odd grades between
these 3 portfolios. At the portfolio level, we are getting about roughly 25% higher realization in
Specialty, 25 -30%, and about roughly 7 -10% kind of higher realization in the performance
segment.
Yash Sinha: Yes, I was asking if after this Orion plant closure announcement, any of the larger export clients
have intimated to you that they would be providing slightly larger orders going forward?
Raj Gupta: It is little early for that. Of course, we expect to get some benefit out of it going forward, but it
is going to take time. And these plants are still running. Orion has announced that they will close
by the end of this year. So, I mean, there's still some time before we start getting concrete benefit
out of this.
Moderator: The next question is from the line of Aditya Khetan from SMIFS Institutional Equities.
Aditya Khetan: Yes. Thank you, sir, for the follow -up. Sir, the new Carbon Black greenfield line like which we
have planned, any idea, sir, when we are planning to start the construction and when it would be fully completed?
Raj Gupta: It takes about roughly 18 months to get the plant ready once we have all the necessary approvals
in place. But the approval process is a little lengthy. We expect all the approvals to be in place
in next 4 quarters. So, from now, maybe around roughly 2.5- 3 years.
Aditya Khetan: Sir, my question was on to the Specialty Carbon Black line, which we are planning in the next 3-4 quarters.
Sir, our current capacity utilization is around 50%. I think that would be fully
operated by in the next 1- 2 years. So, this capacity addition, any outlook like we are adding on
to the same capacity into the similar grade and what will be the capex?

Raj Gupta: Okay. So first of all, there would always be a gap between the rated capacity and the actual
achievable capacity based on the product mix. And in Specialty, we can reach maximum around
64-65%. I mean that's the maximum that we can achieve. So, against 112,000 tons, maybe we
can reach about 70,000- 75,000 tons.
And we are already operating at a run rate of 16,000 tons plus every quarter, which is very close
to kind of full capacity utilization or in a year's time, we are going to achieve that. And therefore,
we re

quire more capacity. And to get this line commissi oned will take about 4 quarters' time.
The second question, I think you asked about the capex for this line. Is that right?
Aditya Khetan: Yes, sir.
Raj Gupta: Okay. So, it will be somewhere around INR85- 90-odd crores.
Aditya Khetan: Okay. And sir, the grades are similar like which we are manufacturing today, it is into the similar
grade’s expansion?
Kaushik Roy: This will be mostly similar, some new grades come in the category of ink and coating.
Moderator: Thank you. Ladies and gentlemen, on behalf of ICICI Securities Limited, that concludes this conference. Thank

you for joining us, and you may now disconnect your lines.

Call: Oct 2025

24th October , 2025
Th
e Manager, The General Manager,
Listing Department, Department of Corporate Services,
National Stock Exchange of India Ltd, BSE Ltd.,
Exchange Plaza, 1st Floor, New Trading Ring,
Plot No. – C – 1, G Block, Rotunda Building,
Bandra – Kurla Complex, P.J. Towers,
Bandra (East), Dalal Street, Fort,
Mumbai – 400051 Mumbai – 400001
NS
E Code : - PCBL BSE Code : - 506590
Dear Sir,
Sub: - Q2 FY 26 Earnings Conference Call – Transcript
Further to our letters dated 14th October, 2025 and 17th October, 2025, please find enclosed herewith the transcript of the Q2 FY'26 Earnings Conference Call held on Friday, 17th October, 2025 at 17:00 hrs India Time, for the quarter and half year ended 30th September, 2025. This information will also be hosted on the Company's website and can be accessed at the link: https://www.pcblltd.com/investor-relation/financials/investor-presentation .
We re quest you to pl ease t ake the a fore-mentioned informati on in reco rd and o blige.
Thanking You,
Yours faithfully,
For PCBL CHEMICAL LI MITED
K. Mukherjee
Company Secretary and Chief L egal O fficer
Enclo : As Above

"PCBL Chemical Limited Q2 FY'26 Earning
Conference Call "

October 17, 2025

M
ANAGEMENT : MR. KAUSHIK ROY - MANAGING DIRECTOR , PCBL CHEMICAL LIMITED
MR. SURESH KALRA - CEO, AQUAPHARM CHEMICAL
MR. RAJ GUPTA - CHIEF FINANCIAL OFFICER , PCBL CHEMICAL LIMITED
MR. ANAND KUMAR - GROUP HEAD, INVESTOR RELATIONS
MR. PANKAJ KEDIA – EXECUTIVE DIRECTOR , INVESTOR RELATIONS

MODERATOR : MR. SANJESH JAIN - ICICI SECURITIES

 Moderator : Ladies and gentlemen, good day and welcome to PC BL Chemical Limited Q2 FY'26 Earning
Conference Call Hosted by ICICI Securities Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '* ' and '0' on your touchtone phone.
I now ha nd the conference over to Sanjesh Jain from ICICI Securities. Thank you and over to you, sir.
Sanjesh Jain: Thanks, D hanesh. Good evening, everyone. First of all, Happy Dhanteras and H appy Diwali to everyone and thanks for joining on to P CBL Chemical Limited Q2 & H1 FY'26 Earning s Conference Call.
We have PC BL Chemical Management with us on call represented by Mr. Kaushik Roy – Managing Director ; Mr. Suresh K alra – CEO, Aqua pharm Chemical ; Mr. Raj Gupta – CFO ; Mr. Anand Kumar – Group Head, Investor Relations ; Mr. Pankaj Kedia – ED, Investor Relations.
I would like to invite Mr. Kaushik Roy to initiate the call with his opening remarks post which we will have a Q&A session. Over to you, sir.
Kaushik Roy: Hi, good afternoon, everyone and thank you for joining us for the Q2 FY'26 Earnings Conference Call of PCBL Chemical Limited. It is a pleasure to connect with all of you once again as we share the highlights of our performance for the quarter and discuss key business developments. Our Results and Investor Presentation have been uploaded on the Stock Exchanges and the Company website for your reference.
In Q2 FY'26, PC BL Chemical reported healthy growth in carbon black sales volume on both YoY as well as QoQ basis and improved capacity utilization across three product lines. However, the margins are impacted by continued pricing pressure in a relatively softer market environment. We believe that this phase has largely bottomed out and expect a steady recovery in profitability in coming quarters.
This quarter, we achieved highest ever power generation and sales volume. Our working capital cycle improved by 12 days in H1 FY'26, releasing around Rs. 240 crores of cash and overall cash generation remain healthy, with a reduction in gross debt of over Rs. 300 crores since March 2025. Our specialty and solution segment under Aqua pharm witnessed a gross margin improvement of 10% on t he back of a better product mix.
Margins in carbon black during the quarter were influenced by a challenging global environment, following the imposition of high input tariffs by the United States. We have also noticed customers being quite cautious in their purchasing patterns, reflecting broader economic uncertainties and tighter inventory position across society. Currently, our carbon black exports

 to US account for around 5% of total volume and with a 50% tariff in place, the business remains constrained. However, as US continues to be imported dependent for carbon black, we expect both volume and margin to recover once the situation stabilizes. Meanwhile, we are proactively taking steps to mitigate the impact and strategically rebalance our export strategy.
Given this backdrop, in this environment, we have identified specific areas where operations can be improved and efficiencies can be enhanced. Dedicated teams are already working and actively implementing initiatives across functions to optimize process, m anage costs and strengthen overall competitiveness. These focused efforts are helping us stay resilient and well positioned for recovery.
With the recent GST cut in India, we are already seeing signs of recovery in auto sector. Demand is picking up and we expect this growth to sustain. Domestic tyre demand is projected to grow at 6-8% in F

Y '26, led by stronger replacement demand in the second half.
Now coming to global scenario :
Major international tyre companies have announced significant investment to expand production capacity in North America with project planned through 2029. Just for instance, Goodyear is investing around $865 million, Hankook is committing $1.6 billion, Bridgestone is bringing in about $6 10 million and Michelin plans to invest nearly $540 million and some other tyre companies together are investing approximately $4 billion. This reflects long -term optimism in the sector despite current demand problems.
While this quarter reflected certain short -term challenges including the impact of US tariffs, temporary deferment of purchases following the GST rate cut and subdued overall economic sentiment, the long -term carbon black demand -supply dynamics of the industry remain strong. With improving market conditions and expected pickup in demand, we are entering a phase of renewed growth momentum.
In line with this PCBL Chemical is poised for exciting period ahead with several strategic projects scheduled to come on-screen in phases over the next 18 months, positioning us well for sustained growth and long- term value creation.
Let me share some of these projects with you :
Specialty Black Line dedicated for super conductive grades of 1,000 MTPA capacity will be

commissioned in Palej , Gujarat by this month end and commercial production will begin from 2025 November, which is next month.
Brown field expansion of 90,000 MTPA rubber line in Tamil Nadu is under commissioning stage and likely to be operational in the current quarter itself.
Number 3, commissioning of Specialty Black Line, 20,000 MTPA in Mund ra is likely to be preponed to March ' 26.

 On the battery chemical side, Nanovace's pilot plant project is on track. Process patent for the nano-silicon for battery applications already granted in US and likely to be received in Japan, South Korea and Europe over the next two quarters. The Company has also applied for two project patents, namely carbon -silicon composites and battery -grade graphite from bio -sources.
Acetylene Black plant of 4,000 MTPA is expected to be commissioned over next 18 months.
We are on track to achieve our targeted capacity of over 1 million tons of carbon black capacity in next couple of years.
The global conductive carbon black market continues to grow steadily, supported by rising electrification and the expanding energy transition worldwide. Demand is driven by multiple sectors including electronics, energy storage, EVs and industrial applications. Three key major trends, the global shift to renewable energy, increasing electrification and rapid expansion of data centers are reshaping the need for advanced conductive materials. Asia-Pacific remains the largest production and consumption hub whi le the United States and Europe continue to be strong high- value markets.
PCBL Chemical 's expansion into superconductive grade carbon black will position us to tap into this growing global market and cater to next generation high- performance applications. We are expanding our capabilities via customized offerings and continued innovation, particularly in high -performance applications like battery chemicals and energy storage. We are the first company globally w ith all three advanced technologies, namely superconductive carbon black, nano-silicon and acetylene black, catering to conductive solutions and next generation battery applications.
In our Specialty Black business, we maintain growth despite current market challenges, demonstrating strength of our supply chain and customer relations while continuing to expand product, coverage and applications.
We have strengthened our sales force, warehouses, technical support and distribution network to enhan

ce customer connect and service. Our successful EU strategy now serves as a blueprint for the Americas, MEA and Asia with the focus on service excellence, positive turnaround and portfolio expansion. The aim is to position P CBL as a local player in each region, defend our stronghold in the Indian subcontinent, at the same time expanding to high -potential market s like ASEAN, China and the EU.
During the quarter, P CBL achieved two significant milestones in its sustainability journey. The Company successfully registered under the International Renewable Energy Certificate, IREC platform , entitled to credits for clean energy generated across our plants.
In addition, P CBL was once again honored with the Gold Medal in the Eco Vadis Sustainability Rating for financial year 2023- 24, placing us among the top 5% of companies globally. Together these achievements reinforce our commitment to sustainability and further strengthen P CBL's

 ESG profile and brand positioning globally. P CBL Chemical has established a resilient and far - reaching global footprint, supported by a seamlessly integrated manufacturing and distribution network. As the company scales into high -margin, high- growth segments, it continues to demonstrate discipline in capital allocation and agility in respon ding to evolving demand cycles.
Now coming to the quarterly performance:
During the quarter our consolidated sales volume in the carbon black business increased by 5% QoQ to reach 1,61,728 metric tons. This t ranslates into a capacity utiliz ation of over 99% during the quarter.
Consolidated revenue from operations during the quarter was Rs. 2,164 crore and consolidated EBITDA were Rs. 278 crores . PBT stood at Rs. 78 crores while PAT stood at Rs. 62 crores . Of the total carbon black sales volume, domestic sales volume stood at 99,549 tons while international sa les volume stood at 62,179 tons i n Q2 FY '26, which means a 6% YoY growth.
Now moving on to our segmental performance :
Tyres accounted for 93,892 tons, performance chemical stands at 50,331 tons while specialty sales volume was 17,505 tons. We expect this share to continuously ramp up over next few years

with increasing demand and capacity addition. During this time, we also achieved the highest
ever power generation and sales volume during the quarter. Power generation increased by 7% year-on-year from 209 MUs to 223 MUs with an external sales volume growing by around 10%
year-on-year to 138 MUs as against 126 MU s in Q2 FY'25.
Coming to the 6-month performance during H1 FY '26:
Consolidated revenue from operations stood at Rs. 4,278 crores as against Rs. 4,3 07 crores in
H1 FY' 25. Sales volume for carbon black increased 4% year -on-year to 3,15,821 MT in H1
FY'26 as against 3, 02,610 MT in H1 FY '25. The consolidated EBITDA for H1 FY '26 stood at
Rs. 603 crores as against Rs. 738 crores in H1 FY '25. Power generation went up by around 9%
and sales volume by 11% in the first half of the financial year. Despite macroeconomic volatility and evolving trade barriers, PCBL is strengthening its position as a multi-chemistry platform
focused on innovation, scalability, and localization. By expanding capacity, leveraging
digitalization and automation and partnering with global technology leaders, we are c reating
future -ready solutions.
Let me now hand over to my colleague , Mr. Suresh K alra – CEO of Aqua pharm Chemical, who
will update you on Aqua pharm performance and outlook. Suresh, good evening. Thank you for
joining us. Over to you, Suresh.
Suresh Kalra: Thank you, Kaushik. Good evening, everyone. Thank you for joining us in this call. I will update
you on Aqua pharm Chemical Limited, especially for Q2 FY '26. Aqua pharm has a challenging
external environment. The different dynamics shaping performance across our key markets. I
will take it

one by one.
 India delivered strong growth, which was supported by expanding reach and deeper engagement with key customers, while Saudi Arabia continued to scale on the back of strategic accounts .
Our U.S. business hit some near -term softness, being a technical business, and the oil prices
were almost at a very low from longer time on a WTI index basis, but sales trend seems like
improving in August and September.
Our Home Care business delivered promising growth of 18% QOQ (Q2 FY' 26 versus Q1 FY '26)
in quantity sold driven mostly by expanded reach and stronger engagement with our key
customers, especially our large key customers like P &G Unilever, etc.
Our water solution maintained also very strong momentum, growing at about 16% QOQ, driven
by strategic accounts.
The fourth segment is applications -in conductive solutions, which are almost flat, a bit slowdown
in the domestic textile industry. And in O il & Ga s segment, which is, as I said, our U.S. -based
business, the plant at U.S., their volumes were a little down by 40%.
So, overall, all of our four market segments, H ome Care saw robust growth. Water solution
growth was very strong. Applications -specific solutions were flat, and oil & gas saw some
volume downtrend because of the cyclicality of the oil market in U.S.
Geopolitical tensions continue to remain elevated, as we understand, and the recent 100% tariffs
imposed by U.S. and China actually created some good opportunities for Aqua pharm's
phosphonate and Green Chelates business, because the U.S. customers are now also looking
forward to diversifying sourcing beyond China. They were l ot dependent on China for that. So,
that's creating an opportunity. At the same time, the recent application of tariffs by the U.S. on
India, especially on the biocides and select polymers exported from India, has impacted a portion
of our business, which leads to some temporary headwinds in the near term. In spite of that,
Aqua pharm delivered a steady performance in Q2 FY '26, closing the quarter with a revenue of
Rs. 395 crores, with a growth of 9% on topline, and an EBITDA number of Rs. 48 crores. During
the quarter, our focus remained on strengthening our commercial capabilities and technical depth to suppor t long -term sustainable growth.
We also recently onboarded a very senior level industry expert as H ead of our R&D and
innovation center, a very experienced guy from the industry and we are now going to steer our
innovation efforts also for the future, which will help us advance our next phase of product
development.
We also have enhanced our sales organization in the USA. As I said, the business is driven by
cyclicality, sometimes we really need to work on very strong opportunity pipelines. So, we are
enhancing our sales organization with very strong technical orientation people, with great customer engagement focus, laying the foundation for improved market reach and market resilience in the coming quarters. That effort has already been taken and we are going to see
benefit from that in the coming quarters.

PCBL Internal Document A few more key business updates I would like to share.
Aquapharm now offers a complete green chelates portfolio. So, Aqua pharm is possibly the only company today in the entire industry which has the entire portfolio of green chelates . So, green chelates – GLDA, MGDA and IDS, they are ready for the commercial sales. Alongside two new Polymer products, one of them is PESA Granules , which is used in dishwashing like Reckitt kind of customers, and second is PM 300 which is used in water treatment, like Ecolab kind of customers . So, these trials and discussions are underway with multiple customers. We have now the complete range ready with us.
We also have co

mmissioned a new plant of PBTC As you have seen before, it was a traded product for us for a long time, and now we have commissioned a plant which will move from a traded product to a manufactured product for us. A sampling has been initiated for all strategic accounts and discussions are ongoing for the global water treatment players.
We are also undertaking a de-bottlenecking initiative, which is also complete, for acetyl chloride. This is one of the product lines that were completely sold out. So, we undertook a de - bottlenecking operation, which is complete now and that will increase the efficiency of our business. Along with that, we are also putting granulation lines to support our new granulated products.
Coming to our segmental performance in terms of volumes, H ome Care, which is our product line basically for public care and home cleaning , reported ~10,000 tons of volume. Oil & gas reported ~6,500 tons of volume. Water solutions reported ~ 5,000 tons and the application-specific solutions reported ~ 4,000 tons of volume.
We are pretty confident now of delivering a visible EBITDA improvement from Q3 onwards because of all the initiatives which are complete. We are building new opportunities and have already seen some tender wins, especially a very large tender at Saudi Water Authorities RO and Purification Plants tender and we are also participating in tenders with Procter & Gamble for the green chelates for their US operations.
Our focus on expanding the customer base is across three regions, coupled with very strong distributor partnerships. We are also entered in to have new distributor partnerships in Africa with Solevo and a couple of other distributors which we are currently appointing in the Latin American market.
At the same time, there's an extensive workshop -style approach which we have taken for our new product development to identify new molecules through close collaboration with our customers. We have very strong standings with a lot of our customers, and we are using the voice of customers there to identify the new products required in that workshop-style approach. Our commercialization approach would be going along with it, strengthening our NPD pipeline, looking forward to enhancing profitability and support ing our sustained growth momentum.

PCBL Internal Document With this, I will conclude my remarks. Thank you for your attention. I would now welcome any questions from the participants.
Moderator: Thank you, sir. Thank you very much. Ladies and gentlemen, we will now begin with a question-and-answer session. Our first question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.
Aditya Khetan: Thank you, sir, for the opportunity. So, just a couple of questions. Sir, in your initial remark, you mentioned that the US tariff impact and GST related changes have led to slower volume uptick . So, if you can quantify like if the situation were normalized, if this were not about to happen, how much volumes we have lost in this quarter?
Raj Gupta: Yes, just for specifically US, we have cut down our volumes by roughly about 2000 tons in this quarter. And so far , as GST impact is concerned, we have not lost volume, in fact our domestic volumes have gone up but due to more sales in spot market , we did face pricing pressure. So, the impact of this deferment of auto purchases was felt not directly on the volume but on the pricing more, specific to us.
Aditya Khetan: And this is for gross price, like what we understand that market demand is also soft. Comparatively, is there also higher supply which is coming from Russia? We knew like earlier the share was lower, now it has doubled up. So, because of higher imports coupled with lower demand, is this the reason to blame for lower price?
Raj Gupta: We do not see a structural change in the dema

nd supply scenario but last 5-6 months, the markets and the industry have been facing a lot of headwinds. Everything came together , like this US tariff which was initially introduced at a lower level, then increased, then GST rate cut announcement, which also kind of resulted in some deferment of auto purchases. Russian imports have been happening since last 1 year. So, overall levels have not gone up. So, India still is importing almost about 8 ,000-10,000 tons a month, which is not much honestly, but of course, these imports are happening at a lower price. So which is kind of creating pressure on the spot prices. But we do not see anything which can destabilize our plan going forward. We have our own strategy to deal with all these headwinds. But of course, it takes some time to respond to the situation. But we remain very optimistic about our performance in the subsequent quarter s.

Aditya Khetan: Got it. Sir, earlier, like in earlier calls, we used to highlight that from our commodity carbon black space only, we have some specialty products also over there. That will also help to improve EBITDA by Rs. 1 per kg. I mean, for the last 1 year, we were highlighting this point. So, is that thing taking place right now or you see like that will be slow from here on?

Raj Gupta: Our specialty volumes are going up. Even this quarter, if you look at our volume, they have gone up. Quarter -on-quarter, we have a 9% increase. Even year -on-year also we have increase. And on a full half year basis, you will see that there is an increase. This year, based on our capacity, we can reach maybe about 7 2,000-73,000 tons and we are on track to achieve that volume. So,

 the product mix is changing for better. But of course, the current situation is not a usual one. And therefore, the impact on the margin s.

Aditya Khetan: Okay. Sir, on Aquapharm in your initial presentation, you highlighted, so there will be a visible EBITDA improvement. You mentioned like, I believe, sir, for the last few quarters, we are at the similar EBITDA in Aqua pharm . We are stocking around Rs. 20 per kg on EBITDA. You see like, sir, most of the negatives, like earlier we used to mention about higher cost and lower product mix. All these things are there in the current spreads and EBITDA. And you see how much jump if you can quantify li ke for FY '26 and for FY '27?

Suresh Kalra: So, our business is divided into four major market segments. And also, right now, it is aligned pretty well geographically. Okay. So, India business, which is basically we call it Aqua pharm India, is manufactured in India and mostly supplied in Europe to some extent in US. So, I would say, for example, Aquap harm India business is 20% of the revenue come from US. So, that is the only business that is impacted due to tariffs. Now, if you see it at the global level, that business becomes only 9% impact. So, the tariff situation on India product is impacted for sure. Some of the products are exempt also. So, the imp act there is still limited. On the other hand , the benefit to us due to tariffs is because we have a manufacturing location for oil & gas in Houston, US and most of the customers also in US in Permian Basin . So, we have a benefit over Chinese and any other suppliers. Now, right now, our India business is clearly showing visible improvement, but overall numbers are still looking the same to you at an EBITDA level because of US business right now is going through a low end of cycle because of the oil prices are staying between $62 -65, which is possibly one of the lowest. Usually, the sweet spot for oil prices is between $75 -80. And the better it goes, the better efficiency products are needed. So, right now, we are facing headwinds du e to the type of business in our US manufactured business, while India manufactured business is seeing

quite a growth and overall, it is still offsetting it. That's why we are seeing looking at the normal. If I take a number, for example, the India business alone EBITDA grew at Rs. 28 crores in Q1 and in Rs. 33 crores in Q2. So, a very clear visible improvement in the Indian business. When we are saying that overall improvement will be visible in the coming quarters, because we know oil is a cyclical busine ss and it has to change in the coming quarters.

Aditya Khetan: Sir, just a follow -up on this. At what crude oil price level will you start getting operating leverage?

Suresh Kalra: Yes. So, it's not always directly as such linked, but this is very clear that the crude oil price, so we talk about Brent and WTI. WTI is about $4 lower. So, WTI today is about $62, $65 or $62.9 last night. So, the moment it starts improving the efficiency products, because we make efficiency products mostly, which are basically scale inhibitors, original inhibitors and H_2S scavengers . They are used more and more and especially the high -end of the ones that require more, when the efficiencies are needed more. And that's linked with oil prices, but not a linear, I would say, comparison which we can make, but it definitely see improvement when the oil prices goes up.

 Aditya Khetan: Sir, just one last question. This acetyl chloride, you had mentioned in your earlier remarks. So, this expansion figure is included in our numbers like we have stated to double from 1.4 to some

3 lakh tons. So, this de -bottlenecking is included in that figure?

Suresh Kalra: Yes, that is included, but it's not clear. It's just de -bottlenecking. It is not completely expansion projects, but yes, that is included. You're right.

Aditya Khetan: Got it. Thank you, sir. That's it for me.

Moderator: Thank you. Our next question is from the line of Sanjay Jain. Please go ahead.

Sanjay Jain: Yes, good evening. (Inaudible)

Kaushik Roy: Well, at this point of time, there are a lot of uncertainties in the market. As you know, one is of course US tariff and specific to India, it is also about GST. And beyond that, even the global economies, if you talk about USA, Europe or Asia, including India and China , other than India, in the first quarter, only we had shown a good number 7.8% GDP growth, economic growth. Most of the places, the fundamentals are little soft and ultimately the growth is not very strong at this point of time. Projections are also little soft at this point of time. But having said that, we feel that we have kind of reached a level from where it will start improving. How fast the recovery can happen, that is something possibly time will tell. But a lot of actions have been taken internally to manage or sail through this difficult headwind or the strong headwind what we are facing at this point in time with more focus on operational excellence. So, that is one initiative. So, that should take care of the challenges what we are facing. But this thing do take time, I am sure all of you will appreciate it . But on the other side, since our feeling and we are quite clear about it, that going forward things will improve. And therefore, our expansion plans are all in place. The CAPEX are all in place. As we explained a while back, that 90,000 tons of Tamil Nadu is coming on stream within next few weeks' times . Simila rly, in Mundra and Pal ej, both places , specialty lines are coming up. Nanovace's pilot plant is also . So, overall, in nutshell , our thinking and our outlook are very positive. And we should be able to overcome it . I mean, it is a global phenomenon at this point of time. So, I am sure it is a matter of time, things will get sorted within USA. And US is a potential market for us going forward. So, we should be able to recover fast. And we are all ready with all our arms and ammunition in pla

ce. We are making sure that we are fully geared up. The moment opportunity comes, we should be able to capture that opportunity. So, that is the overall outlook. And in a way, you can see the positive thinking from our side. Some headwinds are there, but we should be seeing better times going forward and not too far off. It is just around the corner, possibly.

Sanjay Jain: Got it. One additional question. Last quarter, we spoke elaborately , we were trying to complete the capacity expansion and what time line we expect the capacities to be operational ?

Kaushik Roy : You're absolutely right. Some of the not -so-viable production lines are going under closure in near future. I am not taking the name, but you are fully aware of it . Some of them are based out of US, some of them are based out of Europe and South Africa, in Africa. So, which is kind of

advantage for us, of course. And since the efficiency level of manufacturing is pretty high with Asian manufacturers particularly and we are adding capacity, we are already in discussion with some of the global players for our next year contract, which is just another 2 -3 months away. So, that discussion has already started. So, now, this capacity utilization will take time. 90,000 tons is equivalent to a medium size of plant. It will not happen overnight, but gradually, production will go up in line with buying from the customers. We have started discussion of that and trials will start now as soon as the lines come on stream, which is end of this month and commissioning early next month. We will start the trials and thereafter, it is more about discussion with the customers, tying up the volume and quickly scale up and our endeavor is to utilize capacity as far as possible in next financial year itself. It should be mor e than 50% I guess, in next financial year. And by exit, we should be, by exit of next fi nancial year, we should be touching the run rate to achieve full 100% utilization. That is the level of confidence we have.

Sanjay Jain: Got it.

Moderator: Thank you. The next question is from the line of Radha from B& K Securities. Please go ahead, ma'am.

Radha: Hi, sir. Thank you for the opportunity. Sir, for Aqua pharm based products, what percentage of the U.S. market is being catered by China directly or indirectly? And now, if there are 100% tariffs on China, how much volume growth as well as any margin expansion that you are expecting due to this?

Suresh Kalra: Thank you, ma'am. I will answer this question. So, U.S. market, as I said, is divided into two major parts. One is oil & gas. Oil and gas is where we manufacture locally and we supply locally. So, we basically do not compete with a lot of Chinese products there. We would rather use them a lot for our buying raw materials, okay, for the oil & gas market. A lot of production happens in oil and gas, but a lot of imports also come through . So, it is a combination. So, we get some benefits when we are competing with them and the duty becomes very high. But at the same time, if the raw materials for us get expensive also because of the duty on China, then also we get impacted. So, it is kind of an offset impact. While our other business, which is H ome Care business, there we are going to see a lot of benefits coming to us, although we are supplying from India. But right now, at this moment, we know that it is uncertain, it is changing every day. As of now, the duty structure on China on these products has become 100% effective last week, okay. If that continues, we are going to see a significant benefit. Now, how much to quantify it is that we are looking at all the pluses and minuses. For example, we are seeing some demand drivers also in our favor with smart appliances for the H ome Care industry coming and they are phasing out of the EVPA

mostly in the phosphonate side of the business for the H ome Care. So, that net overall, we are looking at currently, we are at an average of Rs. 50 crores of EBITDA every quarter. We look forward to end this financial year with the Rs. 75 crores of EBITDA overall, the global business for nine -months' basis . So, that is an exit we are looking at today. We are comparing all those pluses and minuses coming to us in the business.

 Radha: Yes, so just to confirm, 75 crores of EBITDA you want to end it on a quarterly basis by this year end?

Suresh Kalra: By this year end, that is right. So, that is where our exit is planned at this moment.

Radha: Okay, great sir. So, second question is on Nano silicon . With regards to Nano silicon , the company is investing Rs. 500 crores in a rapidly evolving technology and targeting a substantial Rs. 1,200 crores EBITDA by 2030. So, can you please highlight any customer approvals or feedbacks that have been received in the initial stages as of now?

Pankaj Kedia : Can you repeat your question?

Radha: Yes, I wanted to understand any customer approvals or feedbacks recei ved with in terms of Nano silicon ?

Pankaj Kedia : Sir, we are waiting for the pilot plant of ours to get commissioned and once the pilot plant is commissioned, we will be sending the approval grade material to a lot of customers and then we hope that in the next 6 to 9 months post sending of the approval grade material, we will be able to get product approval. The interest level in this product remains high and so sometime by the second half of next year, we look forward to a lot of positive news around this.

Kaushik Roy: And in addition to that, based on our lab samples, we have already started producing this in our lab. So, we have kind of approached some of the global names. I cannot take those names for obvious reasons but there is a lot of excitement with this product. There is a lot of interest and as Mr. Pankaj just now mentioned, now as we are moving from lab to pilot, once the pilot is ready, which should be by FY '26, another 2-3 months ' time, thereafter we will start submitting the sample and then the engagement will be much deeper and we are pretty confident that we will get a very positive response from most of them.

Moderator: Thank you. Our next question is from the line of Dhruvin Kadakia from S KP Securities. Please go ahead.

Dhruvin Kadakia : Hello, sir. Thank you for the opportunity. I just wanted to confirm that given the current situations that are going on overall in the market, for carbon black as well as for Aqua pharm for the next 2 years, what are our expectations with respect to sales realization per ton and EBITDA per ton?

Raj Gupta: With The level of crude and raw material prices at a steady level, we believe that whatever drop we had to absorb because of the current market condition, I think we can get back to that in couple of years' time. So, our EBITDA which used to be around say Rs. 20,000, has come down to about Rs. 16,000. So, that is a margin of Rs. 4,000 ,we are fairly confident of recovering once the market stabilizes.

Dhruvin Kadakia: Okay. That is for carbon black and Aqua pharm in particular?

 Suresh Kalra: Yes, I think the principle remains the same. So, in that sense, a lot of our business actually depends on how the crude oil moves. So, net sales realization would definitely also be part of that. It does not mean that it improves the EBITDA level. So, I mean, of course, I mean, this is another metric which is used. But at the same time, I would say that we are focusing more on how much per ton we are going to make a profit. And that is what we are currently mostly finding because the product r esource changes significantly. So, the selling

price becomes less important.

Price is about 115 per kilo. I believe if I just go by that, then we will be looking at increasi ng it

to more than 200 actually, w ith the product mix which we are planning, yes.
Dhruvin Kadakia: Okay, sir. Thank you, sir.
Moderator: Thank you, sir. The next question is from the line of Krishan Parwani from JM Finance. Please go ahead.
Krishan Parwani : Hi, sir. Thank you for taking my question. So, I actually joined the call late. So, I am not sure whether you have answered any of these. So, just first on the carbon black side, there has been a sharp decline in per kg EBITDA. So, do you already respond to that? Why is that?
Raj Gupta: Yes, Krishan, we kind of responded to that. As I said , one, we had to bear the burden of US tariffs. And just to give you a sense, in carbon black business, annually, we were doing about Rs. 350 odd crores of business there. In our case, the effective tariff rate is 20%. So, though it is 50%, but we get some exemption . But it is still 20% and which makes it a Rs. 70 crores a year kind of an impact at EBITDA level. Now, part of that has hitour numbers this quarter. So, expenses to that extent are higher. So, that is one. The second is, if you look at crude, it came down steeply in last quarter from about $ 72-73 in the previous quarter to about $63-64 in July-September quarter. Now, when this happens, then some of the operators who can buy oil from spot and sell in the spot market, they price their product s differently. And we have to compete with them, especially considering that the market conditions currently are soft. I mean, the GST deferment also had some impact in pushing the auto sales towards the last part of the quarter.
And consequently, market was kind of oversupplied and which further created the pricing pressure . So, a ll of these conditions kind of hit us in one quar ter and therefore the impact on the margins.
Krishan Parwani: Okay, great. Thank you for the elaborate answer. Just on that particular inventory losses, if I may, if I call it that, how much of an impact do you think it would have made on your per kg .
Let us say it is X of 100 income, Rs. 14, Rs. 13 .5. So, X of that inventory losses would you have been around 15-15 .5?
Raj Gupta : I would not call it inventory losses, because it was not a write down that we had to take. But it is only that it gave opportunity to some of the producers to buy lower priced oil, produce and sell at market at a lower rate. And we wanted to keep our capacity utilization high. And consequently, we had to compete with them in the spot market. So, it was more of that. But if you look at our volumes, volumes have gone up. I mean, despite all the challenges, all the
 headwinds that we were facing, we could still keep our capacity utilization at almost full level. I mean, we were at about 99% in this quarter.
Krishan Parwani: And just a clarification on that front, because I think you mentioned about US tariffs. And as I see your exports sequentially has declined to about 62 KTPA compared to 65, 63 run rate . So, and how much of a volume is to US? Because as far as my understanding is probably not more than 5% to 10% of the overall carbon black sales. Or is it high?
Raj Gupta: No, it was 5% only. We were doing about 30,000 tons. Last year, we did 30,000 tons and that was the run rate . But of course, I mean, we see US as a large market, large opportunity for us. US imports about 200,000 tons a year. And once the tariff settles to some lower level, we obviously would be doing more volume there. But again, for these 30,000 tons , it converts into almost Rs. 350 crores of sales , of revenue.
Krishan Parwani: Got it. And second question is on the A quapharm. I think I did hear that there is a tariff impact also there in the A quapharm. But when do you think you c

an get to a Rs. 70 crores -Rs. 80 crore EBITDA run rate , I think which we had initially planned or hoped that F Y'26 will see somehow like a Rs. 70-80 crore EBITDA run rate. So, are we still on track to achieve that?
Suresh Kalra: Yes, thank you. So, as I said earlier, we are kind of hovering around Rs. 50 crore EBITDA. And with all the initiatives which I discussed without repeating them, we are looking forward to reach at end of this year, financial year with an exit of Rs. 75 crores EBITDA. So, while we maintain our current set of business, that new product lines which we have introduced and looking at the positive demand drivers which are coming from Europe and looking at the additional business which we are going t o generate from Saudi side, I think with that pipeline, it seems right now pretty confident for us to reach an exit rate of over Rs 75crores , which is something which we promised you earlier. So, it’s not changing. Just as I said again, tariff situation uncertainty slightly delayed our plan. So, something which we would have achieved at once, possibly would be achieving at Q uarter 4, it's only change. And also, earlier when you said about the net realization, I think also was clarified pretty much. There will be a lot of things that will change in the product mix in the future, but I don't see any significant change in the net reali zation in the coming quarters. We are looking at a lot of new product development in the next year and two years, which I have already discussed, that in our innovation centre, we are putting a workshop-side approach. With that, we are going to a lot of new ends of products with high realization. But in these coming two quarters, I see a lot of improvement from our EBITDA perspective. S o, in the end of Quarter 4, as I said at the beginning, we will be close to about Rs.

75 crores.
Krishan Parwani: Got it, got it. Thank you. And one last clarification, if I may, or rather a question. So, with the kind of EBITDA decline and our net debt not going anywhere, do you want to rethink your dividend policy? I mean, do you want to conserve that Rs. 200 crore -Rs. 300 crore cash, whatever that you have? That's my last question.

 Pankaj Kedia : Frankly speaking, in this quarter itself, we saw significant improvement in the working capital days and we do not see the current quarter's performance as an indication of performance going ahead. The fact remains that we are running at over 99% capacity utili zation on the carbon black business. And in a matter of, going forward, you would see significant improvement in the performance. So, cash generation is likely to remain healthy and that probably gives the confidence to the board to maintain a strong dividend payout policy.
Krishan Parwani: Okay, got it. Thank you so much for answering my question. I wish you and the entire PC BL team a very happy Diwali. Thank you.
Moderator: The next question is from the line of Shashank K anodia from ICICI Securities. Please go ahead.
Shashank Kanodia: Good evening to you and thanks for the opportunity. Sir, firstly, just wanted to check, is there anything to follow in the employee expenses because it is a sharp 25% jump on Y -o-Y basis?
Raj Gupta: Shashank, our appraisal cycle is July to June. And therefore, typically in second quarter, employee expenses go up. N ow, if you compare year -on-year, it has also gone up because of some fresh hiring. We are building capability , we are expanding both organically and inorganically, and also we are investing in technology. And therefore, we will require more talent in the organization. And some of this hiring has happened in last one year's time. And consequently, the effect is visible in the employ ee cost.
Shashank Kanodia: So, should we expect a new run rate for us, quarterly new run rate for us?
Raj

Gupta: Yes, it will be kind of quarterly run rate. There is some one time also because some senior level employees joined during the quarter and there were some joining bonuses, etc. But that is not much, that is Rs. 2-3 crores . But more or less, this is indicative of the going forward run rate.
Shashank Kanodia: Right. Secondly, sir, as you rightly mentioned in the first half, EBITDA per ton on the carbon black , which is roughly Rs. 16,000 to a ton. So, given the fact that you mentioned the things being bottomed out , so for the full year basis, can we clock an annual rate of Rs. 16,000 as EBITDA p er ton, both fiscally and then, return to a course of 20,000 plus kind of thing, ' 27 onwards? Any take on that front ?
Raj Gupta: Though it is early in this quarter and the major issues like US tariffs and all, those are still unresolved, b ut what we are seeing is that crude has stabilized kind of around $ 60-62. And the disadvantage that we faced last quarter because of steep decline in crude price, is not likely to be there this quarter. Basis that we have confidence that Q uarter 3 EBITDA per ton should be better than this quarter.
Shashank Kanodia: Right. Sir, for a full year basis, can we do something like 16,000 or is it still early to take a call on that ?
Raj Gupta: I guess we should do better. But, the situation globally, both in domestic market as well as in international market, a lot of things are happening one after another. If we assume a steady state

 kind of a scenario, if we assume that this US tariff situation is going to be resolved with some kind of rational tariff, I think we can do much better.
Shashank Kanodia: Right. And so, usually we maintain a target like, giving a Rs. 20,000 base cas e an EBITDA per ton to improve around Rs. 1-2 per kg, as we are taking as to a kg by effect of FY' 29-FY'30. So, does that really alter that game plan or is it still very much possible for us to really traverse that journey?
Raj Gupta: So, long term guidance remains same and we remain on track. All the initiatives that we discussed with you all, those have already been initiated internally and we are pretty confident that we will deliver those numbers. But those numbers again, I mean, wh en we were at Rs. 20,000, the market conditions were different, we did not expect so many disruptions. So, this again Rs. 16,000 is not a normal margin profile of the business. This is due to that and we therefore expect the c ompany to come back to the previous run rate level once we have some solution to these issues. And with all the changes that those are happening at the product mix level, operating leverage and then yield improvement, operational efficiency and all, we expect us to be on track for that Rs. 24,000- 25,000 EBITDA per ton.
Shashank Kanodia: Right . Sir, just a small feedback, it has taken a, knowing personally with me for last 7 -8 years,

this has taken a long time explaining to the investment community the main strength of the business and a non-commodity feature. But this kind of performance reall y does not match up
with the initial commentary and the thing. So, just a small question, if you can be a little more realistically, if you can give us guidance to the community in future. That is the only feedback from my side.
Raj Gupta: When we give guidance, those are based on some basic assumptions, right, like external situations remaining stable. And of course, today it is not a normal situation. If you compare our current year's performance with, say 3 -4 years back performance, even in good market conditions , we used to deliver about Rs. 12,000 -13,000 kinds of EBITDA. And now, even with so many headwinds, we are still able to deliver some Rs. 16,000 kinds of EBITDA. So, definitely there is improvement in our operating efficiencies, size of business , and our

product mix. So,
those changes are visible. And we are pretty confident that the numbers that we have communicated to you all, we will deliver. Long -term guidance, we are on track, we are pretty confident. But short -term disruption, it takes some time to respond to the headwinds. But we are confident of our capability as an organization and as a team. And God willing, in a couple of quarters, we will again start showing improvement.
Shashank Kanodia: Perfect. Thank you so much .
Moderator: Thank you. Next question is from the line of Mr. Kumar Soumya. Please go ahead.
Kumar Soumya : Hi, sir. Good evening. Sir, just one question from my side. This quarter, we had a healthy growth on the domestic front . So, how sticky is that? And how do you see the domestic volume spanning out in the rest of the course of the business?
 Raj Gupta: See, market was soft during the quarter. And we, of course, our focus was on to utilize our
capacity. But then we also had to compete with some of the spot players, and which is reflecting in our margins. It will take some time for us to reroute our materials to the targeted market. We will have to move more volumes out of domestic market. Because if we continue to sell more here, it will further impact the pricing and the margin. So, I would not call it a very steady state
or a steady number. Of course, we will ensure that our capacities are utilized to full. But it will take a couple of quarters before we can find the right market mix and customer mix.
Kumar Soumya: Got it. And sir, the second question, the point that you highlighted, the effective tariff that you have is 20%. Is that because you a re sourcing raw material from US ?
Raj Gupta: Yes. We are importing raw material from US. And 60% of the price at which we sell in our material in US consists of input from US. So, raw material part of that is about 60%. And therefore, that portion becomes exempt from tariff. So, it is only the balance 40% which gets tariffed at 50%.
Kumar Soumya: Got it, sir. Thank you.
Moderator: Thank you so much. That was the last question. On behalf of PC BL Chemical Limited and by ICICI Securities Limited, that concludes this conference call. Thank you for joining us a nd you may now disconnect your lines.

Call: Feb 2026

9th February , 202 6

The Manager, The General Manager,
Listing Department, Department of Corporate Services,
National Stock Exchange of India Ltd, BSE Ltd.,
Exchange Plaza, 1st Floor, New Trading Ring,
Plot No. – C – 1, G Block, Rotunda Building,
Bandra – Kurla Complex, P.J. Towers,
Bandra (East), Dalal Street, Fo rt,
Mumbai – 400051 Mumbai – 400001

NSE Code – PCBL BSE Code – 506590

Dear Sir,
Sub: - Q3 FY 26 Earnings Conference Call – Transcript
Further to our letters dated 29th January , 202 6 and 3rd February , 202 6, please find enclosed herewith the transcript of the Q3 FY'26 Earnings Conference Call held on Tuesday , 3rd February , 2026 at 15:00 hrs India Time, for the quarter and nine months ended 3 1st December , 2025. This information is hosted on the Company's website and can be accessed at the link: https:// www.pcblltd.com/investor -relation/financials/investor -presentation .

We request you to please take the afore -mentioned information in record and oblige.

Thanking you,

Yours faithfully,

For PCBL CHEMICAL LIMITED

K. Mukherjee
Company Secretary and Chief Legal Officer
Enclo: As above

"PCBL Chemical Limited Q3 FY'26 Earnings
Conference Call "

February 03, 2026

MANAGEMENT : MR. NILESH KOUL - MANAGING DIRECTOR , PCBL
CHEMICAL LIMITED
MR. RAJ GUPTA - CHIEF FINANCIAL OFFICER , PCBL
CHEMICAL LIMITED
MR. ANAND KUMAR - GROUP HEAD, INVESTOR
RELATIONS
MR. PANKAJ KEDIA - EXECUTIVE DIRECTOR ,
INVESTOR RELATIONS

MODERATOR : MR. SANJESH JAIN- ICICI SECURITIES

Moderator : Ladies and gentlemen, good day and welcome to PCBL Chemical Limited Q3 F Y'26 Earnings Conference Call hosted by ICICI Securities Limited.
As a reminder, all participants' lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Please note that thi s conference is being recorded.
I now hand over the conference to Mr. Sanjesh from ICICI Securities. Thank you and over to you, sir.
Sanjesh Jain: Thanks, Pari. Good afternoon, everyone. Thank you for j oining on for PCBL Chemicals Limited Q3 & 9-month F Y'26 Results Conference Call.
We have PCBL Management on the call, represented by Mr. Nilesh Koul – Managing Director , Mr. Raj Gupta – CFO , Mr. Anand Kumar – Group Head (Investor Relations), Mr. Pankaj Kedia – ED, Investor Relations.
I would like to invite Nilesh to initiate with his opening remark, post which we will have a Q&A session. Over to you, sir.
Nilesh Koul : Good afternoon, everyone, and a warm welcome to you on PCBL Chemicals Q3 and 9 -month FY'26 Earnings Conference Call.
Our result documents were shared with you earlier and I hope you have had an opportunity to glance through them. I will initiate by briefly taking you through the key financial and operational highlights for the quarter and 9-months ended 31st December 2025. Following that, we will ope n a forum for your questions.
Before I talk about business, a quick introduction is in order. I have taken over this role from Mr. Kaushik Roy on the 3rd of November 2025. Prior to j oining PCBL Chemicals, I worked in Castrol, British Petroleum, Lafarge Holcim in a career spanning 28 years, and my last assignment was with Hindalco Industries Limited as Senior President , Aluminum and CEO , Downstream Business.
Now , about the business :
As we reflect on the quarter, our Q3 performance has been shaped by geopolitical developments and volatile market conditions across segments. While this has put pressure on near -term profitability, the underlying fundamentals of our business remain strong an d unchanged. Domestic demand remains healthy, supported by high domestic consumption and rising tyre exports. Globally, carbon black demand has been impacted in the short term due to trade tensions, tariffs and geopolitical challenges. Following significan t capacity addition over the last few years, industry utilization currently around 75% is lower compared to the normal level of

80%. As utilization improves in coming quarters, pricing power should gradually return. Given the uncertainty around global trad e policies, particularly the U.S. tariff around 50% on India, we saw very cautious behavior from customers in the U.S. The conclusion of Indian -U.S. trade deal announced yesterday at a substantially reduced tariff of 18% will meaningfully benefit both PCBL and Aqua pharm in expanding our sales volume and profitability in the U.S. market. The trade deal is a major boost to India's export competitiveness as India has now a significant advantage to its Asian peers. Recent announcement of the India -EU FTA is als o positive for us. The EU carbon black market is around 1.5 million tons in size and offers meaningful headroom for Indian players to increase their presence in a more conducive trade environment. Overall, improved trade relations should be supportive acro ss our chemical businesses.
Over the past three years, India's carbon black exports have more than doubled to around 450 KT. This gives us confidence that export momentum will continue and recent signing of multiple FTAs will increase the export opportunit y in medium to long term. The continuous decline in crude prices over the past years impacted margins and led to inventory adjustments, while also helping reduce working capital requirements. With crude now stabilizing and moving up around $65 per barrel, we do not expect the same margin pressures going forward. China's anti - involution policy may also gradually moderate price competition, althoug h the timing remains uncertain.
In the end -use industries, such as tyres, capacity addition across Asia, U .S. and Europe are expected to support downstream demand. Globally, the tyre industry is expected to see close to $29 billion of new investment by 2029. In India, tyre demand remains healthy, supported by improved affordability following GST cuts, premiumization trends, EV adoption and upcoming tyre investments.
While Q3 has been challenging, we have remained disciplined in execution and sharply focused on strengthening the core. In parallel, we have embarked upon a company -wide cost

optimization drive, focused on procurement optimization, yield and productivity improvement, further reduction in downtime, logistics optimization, and expanding our market reach. These are measurable execution -led projects, and we are targeting cumulative cost savings of Rs . 200 crores over the next two years, which we expect to translate into visible improvement in profitability over the coming quarters. Alongside cost initiatives, our R&D teams are working on diversifying our feedstock mix, including evaluating alternates, which include coal tar. This enhanced supply chain flexibility reduces concentration risk and strengthens our ability to manage volatility across market cycles. Our growt h strategy remains volume -led, supported by geographical diversification, efficiency initiatives, new value -added product streams, and improving performance at Aquaph arm. We have also taken initial steps towards integrating circularity in our operations, i ncluding evaluating the use of tyre pyrolysis oil and end -of-life recyclable carbon black. These efforts are currently at an early stage, but they align with our focus on sustainability, cost resilience and long -term competitiveness. As technology has matu red and adoption improves, we expect momentum in this area to gradually accelerate.

In the Specialty Carbon Black segment, the near -term environment has been influenced by slower infrastructure activity and consumer trends and continued capacity addition, leading to lower pricing power. However, our newly developed value -added grades are gaining acceptance in applications such as industrial coatings, supported by their performance characteristics. That said, we are seeing encouraging traction in segments li ke semiconductors, data centers and AI - led investments. Overall, we remain constructive on the outlook and continue to selectively increase our focus and resource allocation in this segment.
Alongside our ongoing focus on execution, we are progressing with strategic capa city expansion across segments. I will now share a brief update on these projects.
a) We have commissioned 60,000 MTPA brownfield expansion of rubber carbon black at our Tamil Nadu plant. This takes our total installed capacity to 8,50,000 MTPA
b) Trial runs commenced for Super -conductive Specialty black grades of 1,000 MTPA at Palej, Gujarat
c) Pre-commissioning process has started for the Specialty Black line of 20,000 MTPA in Mundra
d) Nanovace pilot plant project of 80 tons is expected to be live by the end of Mar 2026
e) Work on the 4,000 MTPA Acetylene black plant has been initiated, and we expect it to be commissioned by the end of FY27
f) For the proposed Greenfield CB project in AP - we have applied for environmental clearance , and we expect to receive them within a period of 12 months.
We are committed to meaningful investment in technology and digital capabilities also, aligni

ng
with our long -term vision.
We firmly believe that the coming quarter will reflect the benefit of all these investments and the India -US and India -EU trade deal, positioning the company on a stronger, more sustainable growth trajectory.
We continue to strengthen PCBL's sustainabili ty and safety performance alongside business execution. PCBL has retained its gold rating from Eco Vadis , placing us among the top 5% of companies globally assessed on environmental, soc ial, and governance parameters.
During the year, we have also made measurable progress across our sustainability priorities, including reduction in greenhouse gas emission, specific water consumption, and energy intensity. PCBL's TN plant and Durgapur plant received ISCC plus certificati on, demonstrating our initiatives towards circularity and responsible consumption and production. Year -to-date, specific water consumption has reduced by 3.9% in Durgapur and 5.3% in Kochi, while specific

power consumption has reduced by 1.3% in Durgapur a nd 3.6% in Kochi. All manufacturing sites have achieved zero waste to landfill certification, platinum diversion rating. Importantly, we have also maintained a strong safety track record with zero loss time injuries in FY '26, reflecting continued focus on operational discipline and people safety.
Coming to the quarterly performance :
During the quarter, our consolidated sales volume in carbon black business marginally declined by 2% YoY to 141,271 metric tons. Consolidated Revenue from operations during the quarter was Rs. 1,846 crores and Consolidated EBITDA were Rs. 231 crores. Further, in alignment with recent changes in the labor code, we have recorded a one -time provision of Rs. 21 crores during the quarter.

Of the total carbon black sales volume, domest ic sales volume grew by 6% YoY to 89,615 tons, while international sales volume decreased by 13% to 51,656 tons in Q3 FY '26.
Moving on to our segment performance :
Tyres accounted for 81,219 tons, performance chemicals 43,352 tons, while specialty sales volumes were up by 17% YoY to 16,700 tons. Power generation increased by 28% YoY from 161 MUs to 206 MUs, with an external sales volume growing by around 33% YoY to 125 MUs as against 94 MUs in Q3 FY '25.
Coming to the nine -month performance during FY26 :
Consolidated revenues from operations stood at Rs. 6,124 crores as against Rs. 6,317 crores in 9-months FY '25. Sales volume from carbon black increased 2% YoY to 4,57,092 metric tons in 9-months FY '26 against 4,46,11 1 metric tons in 9-months FY '25. Consolidated EBITDA for 9-months FY '26 stood at Rs. 834 crores as against Rs. 1,067 crores in 9-months FY '25. Power generation went up by around 14% and sales volume by 18% during the 9 months of fiscal year.
Despite microeconomic volatility and trade barriers, PCBL continues to strengthen its position as a diversified multi -chemistry , anchored in cost discipline, innovation, scalable operations, and long-term resilie nce.
Now, I would like to talk about our Specialty and Solutions business at Aqua pharm. Recently, there has been a chan ge in the leadership at Aquapharm . Mr. Suresh Kalra, who was the CEO of Aqua pharm has resigned due to personal reasons. Interim leadershi p has been placed for effective business continuity and smoother operations.
In coming weeks, we plan to organize an investor day at the Aqua pharm facility to take you through the various steps being taken to take the business to the next leg of growth. In the short term, the business faced a challenging external environment. There are different dynamic shaping performances across our key mark ets. I will take it one by one.

Performance was weak as geopolitical tensions remained elevated like tariff s under few of our products in USA and slowdown

in end offtake . Aqua pharm reported revenue of Rs. 327 crore
and an EBITDA of Rs. 35 crores in Q3 FY '26. Hom e Care sales volumes declined by 8% on a QoQ basis. Our water solutions business also faced headwinds, resulting in a 26% QoQ decline. Application -specific solutions remained flat while the oil and gas segment declined by 23% QoQ impacted by lower oil rig counts and fra c spreads in the U.S. While lower oil prices have led to more cautious customer behavior and then an indirect impact on realization, but with crude prices stabilizing and moving higher, visibility has improved.
Home care and water solutions a re largely supplied from India and U.S. tariffs on biocides and select polymers have impacted part of the business, while impact on home care business is seasonal. This is now expected to improve with the lowering of the U.S. tariffs. However, we continue to focus on our opportunity funnel.
In Q3 FY '26, we saw some strong conversations.
Green chelates
■ For GLDA , we received a formal allocation from P&G (MENA and Europe for the first time) and we are also on track to initiate supplies to Henkel from Q1 FY '27 in Europe.
■ IDS received REACH registration and initiated commercial supplies in Europe.
■ MGD A Liquid initiated seeding through distributors in Europe.
In water treatment ,
■ From Saudi water authorities, we received a letter of intent from them for anti-scalant for RO plants and anti -foaming for thermal plants (both for the first time).
■ New product development - PBTC : initiated sampling of our own produc ed PBTC across all major water treatment companies
In Oil & gas,
■ Initiatives are taken to diversify business geographically. With dedicated hiring acros s LATAM region and Midland Basin. We are further looking forward to hiring more people to cover other basins as well.
■ New product pipeline includes launch of new products to ensure increase in wallet share with all our existing customers.

Recent regulatory tailwinds will lead to a significant uptick in coming quarters.

■ China VAT refund of 13% revocation for products like PBTC will help us to expedite sales conversion.
■ Constructive positive movement in imposing anti -dumping on China for HEDP and ATMP coming in India should also help.
■ India -Europe FTA will also remove the 6.5% duty on our chemical exports.
■ And of course, the India -US trade deal agreed at lower tariff at 18% will also help.
We have built a well -researched opportunity pipeline across green chelates, biocides and phosphonates. To support execution, we are strengthening our sales organization and appointing new distributors in markets where we have limited presence such as Africa, Latin America, Canada and Australia, which should enhance our market reach over the coming quarters.
We are also focusing on optimization of our vendor and raw material supply base for Aqua pharm .
Now that these initiatives are largely completed, we are confident they will start reflecting in better EBITDA.
With this, I conclude my remarks. Thank you for your attention and I now welcome your questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Aditya K hetan from SMIFS Institutional Equities. Please go ahead.
Aditya Khetan: Thank you, sir, for the opportunity. Just a couple of questions. Sir, when we look in this quarter holistically, overall volumes have seen 23,000 ton s decline quarter -on quarter -on-quarter basis. But the realization and gross profit still look okay despite all the tariff related uncertainty. But again, on hindsight , our fixed cost has gone up. So, what has led to this steep dip in volumes and higher fixed costs during the quarter?
Raj Gupta: Aditya, if you look at our quarter -on-quarter cost changes, the fix ed overhe

ads have not gone
up. So, there is a saving in fixed cost. But operating leverage has played negatively. And consequently, when you look at EBITDA level, then it is slightly lower compared to the last quarter.
Nilesh Koul: In terms of the volume d ecline, it's predominantly come from a reduction in the export volume. While we maintained domestic market share, the export environment being a little more tricky is where we have lost volume and that's impacted on the bottom -line.
Aditya Khetan: How much volume, sir, we have impacted because of tariff in US?

Nilesh Koul: So, it's difficult to put a hard number on that. One of the things that happened with the US customers was that even when we were competitive, because they were not sure about wha t the eventual duty structure would be, they were not willing to commit. We shall now see how we engage back with them and get back that volume. So, there's not a particular number I can give you. But yes, it did impact us not being able to convert a lot o f opportunities which were being discussed earlier in the year.
Raj Gupta: Last quarter was end of calendar year. And a lot of our customers are in international market for them, that is balance sheet period. And consequently, historically, we have seen so me inventory reduction s on their books. And which last quarter has also kind of hit us, the changes in inventory level. And consequently, there was impact not only in US, but in number of other geographies also.
Aditya Khetan: Got it, sir. S ir, my second question is, when we look at the current business structure, we have not been able to ramp up Aquapharm, like it has been a very long period of time now. So, what gives us the confidence that in our future businesses, like your Nanovace and you r Super-conductive grades , wherein I believe a bigger share of EBITDA going ahead would be coming from the Nanovace . So, what gives us the confidence that , that also would be a linear ramp up or the Company can start the plant, what they have said, conside ring what has happened in the hindsight in Aquapharm, we have not been able to get that number. Can you let us know how things will move ahead and whatever we have said, can we deliver on that?
Pankaj Kedia : Aditya, on Aquapharm side, while we have not been able to ramp up in the past, that point is true. But a lot of steps have been taken in the recent past and a lot of regulatory tailwinds are also supporting us now, which gives us a belief that next financial year, we will see a significant ramp up on the volume side. If you recall, we almost added 30% of capacity in Aquapharm in the last couple of quarters, first half of this year. And those were those products where we were seeing customers demanding products. Having commissi oned those capacities, it takes some time to ramp up those capacities, which we believe will start happening going forward.
Secondly, if you see on multiple product sides , practically, primary reason of Aquapharm not doing well in the last quarter was a decent degrowth in the oil and gas business, where lower crude prices were kind of impacting in terms of customer demand to us. But with crude slightly moving up, we believe that demand should pick up. On some of t he other products, specifically

on the green chelate s side, where we have in the past also spoken about a very large opportunity, because we see very specific movement from the customer side requirement towards green chelates . We have added capacities in t he past for green chelates . We are working on new capacity addition on green chelates a nd from the existing capacities, which we have in the past, we have now, after a lot of effort and product approvals in place, we have started getting orders. As Nilesh mentioned in the call, for the first time, we have got an allocation from P &G. And from Q1, we are also

looking to initiate initial supplies to Henkel. And as these top -end, top -tier customers in Europe and then in US also start accepting our product, prob ably a few quarters down the line, we are expecting significant growth in the green chelates portfolio. From the

Saudi facility, which we have, we have received a letter of intent for some of the anti-scalant products, which will add a decent volume to us next year. On the oil and gas segment, we were primarily not present on the Latin American market, which we believe , will now open up. And while it is a little early, but again now Venezuela becomes a market for us, which was practically not available. Also, there are a couple of regulatory tailwinds, which I am re -highlighting to you, which is on the PB TC product, the 13% VAT removal from Chinese side, will now ensure that our margin on PB TC will move up sign ificantly. And it's a reasonably decent portfolio for us. And last year in September end, we filed an anti -dumping petition with DGTR for our HEDP and ATMP product, and have already spent almost four months on that. The investigation is in process. As and when the ADD is imposed on these products, you would see a meaningful increase in both the revenue and bottom -line contribution from them. So, I think overall, while Aqua pharm has not grown as we anticipated, but we believe in the coming few quarters, you will see a gradual upward movement in both topline and contribution.

Nilesh Koul: If I can take on the Nanovace question, I think what you should get confidence from is, we ha ve put together a very strong project management framework in taking this product from lab to commercial, with very strong engagement with customers, already on the pilot stage. Dedicated teams being hired ahead of time. And I think rigor in execution is s omething that we are prioritizing with strong project management. I think we are very confident that we will be able to take it to the commercialization stage as per the plan.

Aditya Khetan: Got it, sir. So, putting things into perspective for Aqua pharm, y ou have said like you are also starting Henkel suppl ies in Europe by 1st Quarter , anti-dumping duty imposition on HEDP and all. So, putting these things like what sort of volume growth we are anticipating in Aqua pharm for the next two years ? And similarly, in Carbon Black, is there any change in the volume guidanc e which we have earlier stated?

Pankaj Kedia : On the Aqua pharm side, I think we should be comfortably looking atleast a 20% volume growth next year.

Aditya Khetan: But sir, this volu me growth figure of 20% was despite the current order of Henkel and all these anti-dumping duties. So, ideally, it should be much higher?

Pankaj Keida : It should be higher. Some products are under approval stage and supply ramp up takes time. So, we have c onservatively estimated at that number. We will be happy to report higher growth going forward.

Aditya Khetan: And on the Carbon Black side, sir?

Nilesh Koul: On the Carbon Black side, again, we should be seeing growth. As I talked about earlier, we have commissioned and started up an additional soft line in TN, which should demonstrate that we are confident that volumes are going up. Both in the domestic market, it will be in line with the growth of the market. And in the international market, we expect t o grow market share. So, you

should see strong growth coming in. We are already seeing some green shoots in Q4 itself. But the real value will start coming in from Q1 -Q2 next year.

Aditya Khetan: Got it. Sir, just one last question. So, when we look at the spread cycle of history , today we might be standing at the lower of the spreads. And quarter -after-quarter, management has reiterated that this is the bottom. But every quarte

r, we see a new bottom in spreads. So, just I want to know, considering all the negatives today what we have, and we are seeing US volumes ramp up inside. Is it fair to say, so this number could be the bottom, and from here on, we could see better numbers only? And on the demand side from the tyre customers, is there any visibility you're getting in the export market and in domestic market, whether we could inch up volumes further?

Nilesh Koul: As I said, the domestic tyre market demand is robust. We should be expecting single -digit growth, but strong single -digit growth, I would say b etween 5 -6%. So, tyre demand will continue to grow. And I think we can confirm that this quarter is the turning point with both international volume s shaping up and the growth returning. I think you should expect b etter performance going quarter -to-quarter .
Aditya Khetan: Got it, sir. Thank you. That all from my side.
Moderator: Thank you. The next question is from the line of Suyash from Mangaldas Venichand Trades and Investments LLP . Please go ahead.
Suyash: Thank you for taking my question. I wanted to know about the Nano vace project. The pilot project is in place. So, can you tell me more about this?
Nilesh Koul: So, Nano vace is a project we are entering into the battery energy segment. This is a partnership with an Australian company. So, the concept in terms of Nano vace is a new way of making the product and we are already engaged with customers in validating the properties of the product. And we have got very, very interesting and encouraging returns from them. After the pilot project is d one in March, we expect a validation period of a few months before we look at final ramping up of the capacity. This is a significant growth opportunity for PCBL to diversify and get into the battery materials industry.
Suyash: Okay. And what is the expected revenue and EBITDA margin from this product for FY '27 and FY'28?
Raj Gupta : Commercialization of this product is going to take some time. We are planning to put up a 2,000-ton commercial plant. And at full utilization level, it should generate som ewhere around close to about Rs. 1,700 crore kind of topline and alm ost 50% of that going to bottom -line. But the full utilization is going to take beyond FY'28. So, our sense is that it should be end of FY'29 or beginning of FY'30 that we will reach the q uarterly full run rate of utilization.
Suyash: Okay. So, that means the Rs. 1,700 crore topline will be achieved after '28?

Raj Gupta: No. So, while the commercial plant should come up by end of FY'28, utilization thereof will still take a few more quarters. It can take 4 to 6 quarters or maybe even more. This is a little early for us to comment on that. But at full utilization level, it should generate about Rs. 1,700 crore topline and about 50% of that s hould be flowing down to bottom -line.
Suyash: So, the commercialization will be end of FY'28, not '27. I thought this was in second half of FY'27?
Raj Gupta: Correct. You are right.
Suyash: Okay. Thank you, sir.
Moderator: Thank you. The next question is from the line of Radha from B&K Securities. Please go ahead.
Radha: Hello, sir. Thank you for the opportunity. Sir, in the investor meet, you had suggested that there will be no debt reduction in the next three years as you are planning to go for higher CAPEX , which was I believe about Rs. 3,200 crore s. But the recent presentation mentions that there is a release in working capital and which was used for reduction in debt. So, I wanted to understand, is there any change in st rategy on the CAPEX and debt front?
Raj Gupta : So, Radha, we are largely through with our ground field expansion. We just commissioned , one soft line in Tamil Nadu , this quarter. And while the other line is also ready, I mean, the commissioning might take a few mor

e months, but the CAPEX has been incurred. For Andhra Greenfield, we have applied for environmental clearance. And again, based on our past experience, we think that it will be good 3-4 quarters before we get the clearance from government to start the project. So, next one year, the CAPEX intensity is going to be very low. Now, coming to the debt side, at the beginning of the year also, we said that we are trying to make our working capital cycle more efficient. And that's where we have worked. So, partly because of our being able to negotiate better credit terms with our vendors and our customers and better inventory management, we have been able to reduce the overall working capital. And also because crude came down in this period , so that has als o supported. Now, on a net debt basis, there is already a reduction of about Rs. 400 crore s plus in the first 9 months. And we believe , that by end of this year, we should see about a couple of hundred crores reduction in the debt.
Radha: Sir, how much CAPEX are you expecting for FY'26 and FY' 27?
Raj Gupta : FY26 , it will add up to about Rs. 550 odd crores. So, far, we have spent about Rs. 400 crores. There's one specialty line which is under way currently, but that's the number for the current year. Next year, it should be somewhere around Rs. 300-400 odd crores.
Radha: So, FY26 is Rs.550 crores and FY'27 is Rs.300 crores to Rs.400 crores.

Raj Gupta : In FY 27, we expect sub Rs.400 crores capital expenditure, which includes maintenance CAPEX and CAPEX on Nano vace. One acetylene black line would come and maybe some small capital expenditure in Aqua pharm.
Nilesh Koul : Operationally, Radha, for next year, we will be spending more effort on utilization rate improvement in India because we have lines which are yet to get commissioned, which is what will happen by the end of this quarter so that we will have effective capacity available next year, which is in line with the growth ambition we have earlier talked about.
Radha: Sir, actually, previously, our CAPEX guidance was more aggressive than the current numbers. So, that was because we were expecting higher growth in terms of volumes in our business. So, since you have reduced the near -term CAPEX estimates, is there also a reduction in terms of volume growth t hat you were expecting previously in your business versus now?
Raj Gupta : Radha, in terms of the mid -term to long -term prospects of the industry, the dynamics remain very positive. And therefore, the guidance that we gave, we are on track to achieve that. And therefore, we have acquired this land in Andhra and applied for environment clearance. But these are all regulatory processes which take some time and therefore, this delay in incurrence of capital expenditure. But Brownfield expansion, we have already completed. There is some Brownfield expansion which will happen next year. And by that time, we will also receive environmental clearance, and we will start working on the first phase of Andhra. So, from 4 to 5 years kind of a p erspective, we remain very much on track.
Radha: And from next one year perspective, sir?
Raj Gupta : Next one year perspective also, Nilesh just mentioned that domestic market, we expect to grow at industry growth rate about higher single digit, maybe arou nd 5-6%. And in the international market, we are still very small compared to the overall opportunity. And that's where we are trying to garner a bigger share. We have plans to invest more in infrastructure, which will give us inroads into some of the high margin markets.
Radha: Can we expect double digit growth in international market , mid-teen?
Raj Gupta : I don't think, very honestly speaking in immediate next one year, because the geopolitical situation is still very volatile. We are targeting double digits, but I think in FY '27, it will

be a
very high single digit.
Radha: Sir, secondly, the PPT mentions that Company has embarked upon a cost optimization drive in Carbon Black segment , which can reduce the cost by 200 crores . So, first quest ion is, can this be done in ACPL also? And second, if you can give us some roadmap as to which are the, I mean, if there is a yield improvement then from what to where are we targeting? So, any more color on this?

Nilesh Koul: So, it's a widespread project that we hav e taken, which is multifaceted. So, it starts with procurement, where we are looking at diversifying our feedstock. So, we expect 1 -2% improvement there. In yield , across different grades, we are expecting further improvement. This is project where we have already finished our pilots and now, we are looking at expanding and horizontally deploying these solutions. On productivity improvement also, through the use of digital and analytics, we have got projects now which will deliver productivity improvement for us as well. Even on quality side, we are going to be looking at reducing off -spec production within the production cycle. This is not quality that goes to the customer s that we are very, very good at. But within the manufacturing process, any off -spec generation reduction improves both yield as well as productivity. So, we will look at that. On logistics, there is an opportunity for us to improve. And as I said, on the procurement side also, we see opportunity to improve our costs . So, we have spent the last 60 days identifying these projects. And they are now in the execut ion phase. Of course, we won't have a 100% hit rate. But we are fairly confident that this program is going to deliver on the promise that we are making today.
Radha: Okay. And the last question to you, Mr. K oul. So, since you joined, which has been three months, you must have understood about the Company and the pain areas of the Company. So, according to you, what are the current pain areas and what changes are you planning to bring to create value for the shareholders?
Nilesh Koul: I think, yes, it's been nearly three months now and I have visited all our plants and met up with a lot of our customers. I think what I can confirm to you is that the fundamentals are very, very strong. I think we have got excellent people. There is a huge amount of ownership. There is excellent execution on the field that is happening. And , there is a willingness and openn ess to change. And therefore, we are embarking on some of these projects with the help of external consultants as well. So, what we have already started doing is getting some external consultants and experts to advise them on some of the projects I was tal king about earlier in terms of yield and in terms of productivity improvement. And I think in terms of the feedstock diversity, that's

an opportunity for us to leverage. The other opportunity for us to leverage beside the value -
added part of the business, which is Nanovace and other battery materials, where we are
strengthening the team and creating more focus , is that key account management with
international players, which also requires us to invest in the supply chain assets in specific
geographies. Espe cially with the improvement in FTAs, which are coming through Europe,
certain geographies will become very interesting for us. So, it's not just about appointing a
distributor or supplying directly to the customers. One of the areas we will try to improve is to
reduce the lead time for customers by putting in supply chain infrastructure in specific
geographies, not everywhere, but in a few specific geographies, which we believe is one of the
keys asks of the customers. So, with these initiatives, I think we have the people to do it. We
have the focus to do it. And we have now embarked on creating a roadmap on which each of
these

milestones is going to be tracked very rigorously to deliver on the promises that we make.
I hope that helps.
Radha: Yes, sir. Thanks and all the best to your team.

Moderator: Thank you. The next question is from the line of Sanil Jain from Ambit Capital. Please go ahead.
Sanil Jain : Hello. Just one question I have, what is the EBITDA per ton for the carbon black business for
the 3rd Quarter, as well as the 9-month of FY'26? And do we expect to maintain the guidance of
25,000 per ton over the next 2-3 years?
Raj Gupta : Well, third quarter, we had Rs. 13,800 EBITDA per ton. And this number is for 9-months Rs.
15,300 / ton. What was the next question, Sanil?
Sanil Jain: And the guidance .
Raj Gupta : Yes, so beginning of the year and earlier earning calls, we had spoken about all the initiatives
we are taking on our product portfolio improvement side, manufacturing efficiency and the
operating leverage playing its role as we grow higher in terms of volumes and capacity. All of
that, I am not talking about immediate short term, but 4-5 years, w e stick to our earlier guidance.
The potential is huge. And we should be reaching some where near Rs. 24,000-25,000/ ton in
next five years. That's how we see it.
Moderator: Okay. Thanks. That's all from my side.
Moderator: Thank you. The next question is from the line of Ashwini Singh from Santosh Finlease Private
Limited . Please go ahead.
Ashiwani Singh: Okay. So, sir with the European FT A and American tariff reduction in place, so would you like
to quantify what percentage gains in volumes you expect in exports for FY '27 and considering
crude at $65, which is lower than your comfort zone of $72- 75, what should be the overall
margin profile of PCB L in FY '27?
Raj Gupta: Okay. I will answer the second part of the question. The first part , I will let Nilesh to answer.
Crud e as such doesn't impact our margin in absolute terms . So, the movement in crude becomes
built into the pricing and passed on to the customers on a very macro level. I mean, there are
some segments, of course, which is kind of impacted by change in crude p rices, but it is more
about demand and supply dynamics than the movement in crude .
Nilesh Koul : So, in terms of the volume, I think it's a dual question. One, what we did when the tariffs went
up from 10 % to 50% is we stayed engaged with our customer base, which did result in us taking
a little bit of a hit on profitability. But we were expecting that tariffs would settle down, which
is what has happened right now. However, it will take us a few months before the customer
switches back over to us. So, I expect growth to happen in terms of volume as competitiveness
improves with the US and European customers. The other element which we have to focus on is
also the building of supply chain infrastructure in these locations, which is something that we
have embarked on. I think a combination of that will deliver volume growth. I am not able to
quantify it for you right now, but I expect strong growth from both these markets, especially

with focus on a few select ter ritories where we believe the investment in local supply chains will
impact both volume as well as profitability.
Ashiwani Singh: Okay. And sir, I have one more question. So, would you like to stick to the FY29 PA T guidance
of Rs. 2,500 crores as were claimed by the earlier MD of PCBL around, I think in 2024, or do
you wish to postpone or revise that guidance?
Raj Gupta : No, we don't want to make any changes in our long -term guidance now because all the levers
which we built into our numbers for FY29, those work in progress, very much work in progress.
Ashiwani Singh: One last question is like this quarter, there was no dividend declaration. So, this is probably the
first time in many years in

Q3, there is no dividend. So, earlier in Q2, you had a dividend, but it
was termed to be an interim dividend. So, would you like to comment anything about what
should we expect on the dividend policy going forward?
Pankaj Kedia : Typically, if you see last few years, the board has declared the interim dividend either in Q3 or Q2. And while last financial year, it was in Q3, this time the board chose to deliver in Q2. And currently, I think at the board, there was no proposal to go for any further round of dividend. So, overall, in the past few years, typically, we have been maintaining a payout of 40 -45% to 50% kind of a range. And generally, we should be able to maintain that going forward.
Ashiwani Singh: Okay, sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Disha from Sapphire Capital. Please go ahead.
Disha: I just wanted to know what's the total CAPEX that we are spending on the Nanovace plant?
Raj Gupta : On the commercial pilot plant, it would be just about $4 -5 million. On the full -scale, our current estimate gives us a number of about between $25 -30 million.
Disha: And this we are expecting to commercialize by the end of FY '28, right?
Raj Gupta : Yes.
Disha: Okay. So, what's the utilization that we are targeting for FY '29?
Nilesh Koul: So, this is something that we will have a better hang of after the pilot results are in and further qualification of the material happens. But we expect after qualification s, the ramp up to be fairly quick.
Disha: Okay. So, can we expect to reach peak by the beginning of FY '30?
Nilesh Koul: FY'30, I think we should be seeing closer to where we want to target in terms of utilization. But as I said, it will require us to work on further downstream applications of Nanovace and work

with customers and see how that supply chain improves as w ell. But yes, we are confident that the ramp up will be fast.
Disha: Okay. All right. That's it from my side. Thank you.
Moderator: Thank you. The next question is from the line of Sanj esh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: Thanks for the opportunity. I have got a few questions. First, on Europe , the Euro 7 norms are being proposed to be started from November of this calendar year. Where for the first time, there is a pollution norm getting introduced for the braking and the tyre, which should mean that there will be much stricter regulation. And hopefully, that should benefit somebody like us who has a stronger legacy in the carbon black business. Are we preparing anything for that? Or is that , l be a game changer for us in t erms of winning more market share and all? Can you help us understand that?
Nilesh Koul: So, we are working very closely with the customers in developing new solutions for them. And , you're absolutely right. Our hope is that we should be able to increase o ur market share in the European tyre customers. We are also working in our Belgium R&D center on developing unique solutions for the EV ecosystem as well, because that's where a lot of growth and request for innovation has come from customers. So, on both these fronts, we are working very closely with customers. It should benefit us in the medium to long term.
Sanjesh Jain: Got it. Second, now that crude has stabilized, has increased from the lows we have seen, I think there could be some demand from the restocking. Are we looking at some restocking demand because crude is stabilizing or moving up? Any of those signs are visible today for us?
Nilesh Koul : As of now, we haven't seen too much of that yet. But let's see if the uptick continues because there a re different models people are using in terms of what the trajectory is going to be. We haven't seen any uptick right now, but if there is, we will be more than happy to support that.
Sanjesh Jain: Got

it. My third question is on the domestic business. It appears that auto is doing very, very well. While domestic sequential numbers have declined, anything that we have picked up for us to not do as good as auto OEMs?
Nilesh Koul : I think there is one is the seasonality issue, which played a little bit of a r ole in Quarter 3. Second is that , there has been additional capacity in the domestic market, which has come in as well. So, there is some jostling for market share, which has happened. However, our market share with tyre companies continues to be robust and we continue to stay engaged for long -term relationships with them, which are beyond transactional in terms of co -creating and working together for long-term strategic partnerships, which should help us continue to stay in a good strong position in the tyre market. But yes, we expect to leverage the growth, which we are expecting from the domestic tyre market which will b e around 5-6% growth next year as well.

Sanjesh Jain: Got it. One last question on this U.S. tariff side. Earlier in the call, we have mentioned that the

U.S. business was not profitable due to the tariff. This was still yesterday. Today , we have an 18% tariff. Does the U.S. business become profitable equal to th e existing run rate with the 18% tariff or we will still see this 18% is incr eased from zero? That will still have some kind of an erosion in the profit from where we started, say, a year back?
Nilesh Koul: No, we should see a significant impro vement. So, we started from a 10% tariff, where the effective tariff on us is roughly around 4%, because we source CBFS from the U.S., so there is an offset that we get. This 18% also will see the effective rate being less, maybe around 8-9% or so. So, we definitely , see margin improvement happening. And , equally importantly, we hope to see volume improvement happening as well as customers get s more confidence on the stability of the tariff rate. The customers were more worried about the instability and unpredictability of the tariff than o n the absolute number s. So, we should see improvement in both.
Sanjesh Jain: India now relatively tariff lower within the Asia peers. Will that put us in a better position to supply to the U.S. versus Chinese?
Nilesh Koul: Short answer, yes. But as I said, we need to do more work. We need to put in the infrastructure. We need to wait for some of the customers who have entered into medium term agreements with their other vendors, local vendors, so that it might take a little bit of time. But yes, definitely on the overall, we should see better competitiveness from us compared to some of the other Asian players.
Raj Gupta: And China doesn't supply much to the U.S. It's very small. I mean, they do annually some 10,000 tons to 15,000 tons to the U.S.
Sanjesh Jain: Okay , that's it. I think the tyre supply has increased. I think that is where at least global carbon black OEMs have been talking of significant dumping of tyres from China to North America and South America. That scenario is not changing, right? Or you think Indian tyre exports will become now competitive? Because I think Section 232 remains unchanged. At least that's what the news says.
Nilesh Koul: Yes, we will have to observe it. But yes, you're right on that. And there is, of course, also additio nal capacity being set up in Latin America as well as America on the tyre investments. So, in the medium term, we should see more demand for carbon black as tyre capacity increases there.
Sanjesh Jain: Got it. That's it from my side. Thanks for answering a ll those questions and best of luck for the coming quarters. Thank you.
Moderator: Thank you. The next question is from the line of Bharat Seth from Quest Investment Advisors. Please go ahead.

Bhar

at Seth: Hi, sir. Thanks for the opportunity. All my questions have been answered. I have only one question when we are talking of yield improvement. So, what kind of improvement currently we have at Tamil Nadu, which is a new plant vis-à-vis old plant and where do we have a strategy to improve when you tal k about yield improvement measure?
Nilesh Koul: So, just to give you some of the interventions we are looking at is, for example, the type of refractories we are using, we are getting international consultants to come and support us in that and minor CAPEX investments to improve efficiency. So, we should see a 1-2% improvement in the near term with some of the interventions that we are planning.
Bharat Seth: Near term in the sense that when you are talking of two -year plan, correct? Is that we are understanding?
Nilesh Koul: That improvement might come earlier. As I said earlier, we have done a pilot test and there we have been able to realize the yield improvement. And now it's about horizontally deploying this across the other plants.
Bharat Seth: Okay. And medium term, what kind of improvement are we looking for?
Nilesh Koul: I think , we are looking at a minimum 1-2% improvement. Of course, there are multiple other initiatives. This one is attributable to one specific new intervention that we are making, but there are other projects being identified which might take, there'll be different phasing for multiple different initiatives to come into play. But I would say over the next two quarters, we should start seeing this improvement.
Bharat Seth: Okay. Thank you and all the best.
Nilesh Koul: Thank you.
Moderator: Thank you. The next question is from the line of Shashank Kanodia from ICICI Securities. Please go ahead.
Shashank Kanodia: Hi, good afternoon, sir. Just wanted to check, sir. Can you share the geographical mix of your exports? Apologies , if we have already shared that and I missed in the initial remarks.
Raj Gupta: In international market, about ~50% goes to Southeast Asia, about 20% to Europe, 13 -14% to US. And rest is spread across Middle East, Africa, and Australia, New Zealand.
Shashank Kanodia: Right. So, this is for the current quarter or is this at a normal level? Does it factor your decline

in US?
Raj Gupta: I am talking about the average of current year. Earlier, I mean, 2-3 years b ack, our Asia weightage was much more. It was more than 65 %. And Europe was very small, about 4-5%. So, from there, our North America and Europe volumes are on an increase.

Shashank Kanodia: Okay. So, effectively, 13 -14% volumes will tend to benefit from the reduced US tariffs, right?
Raj Gupta: It is not exactly US tariffs. Like, I tried to explain that there's also inventory destocking, partly because of December being balancing month for a number of our international c ustomers. And crude price has seen some correction, continuous correction. And when that happens, typically the inventory level goes down in the system. So, both things and also , in some of the markets , some of the customers where our margins were very low , we took a co nscious call to reduce volumes.
Shashank Kanodia: Sir, in the case of Aquapharm , you have the manufacturing facilities spread across US, Middle East and India. So, from India, do we export to US in the case of Aquapharm as well?
Nilesh Koul: Yes, we do.
Shashank Kanodia: And what proportion?
Raj Gupta : That's very small. That' s more of raw material for some of their end products. But in terms of overall percentage of India business, it will be like 4 -5%.
Shashank Kanodia: Right. And sir, in ou r broader scheme of things, we were supposed to spend Rs. 3,000 crores on incremental growth CAPEX , right? And you have considerably downward revised your CAPEX guidance for this next year. So, by 2028 onwards, do we pent up

our CAPEX spends or it's going to be at a simil ar level going forward as well?
Raj Gupta: No. So, when we spoke about CAPEX spend , that was kind of addition of all the Brownfield expansion, Greenfield expansion, the new project in the conductive segment, and also bit for the Aqua pharm . Part of that expenditure, Shashank , we have already incurred, like the Brownfield expansion in Tamil Nadu is complete. The specialty expansion in PCBL Mundra, that is also about to get completed. The pilot plan t of Nanovace is ready. Acetylene black plant will come up next year. So, it is not that we are cutting down on the size of our expansion plan. It is only that part of that we have already incurred and part is waiting to get started, pending some approvals from the government, which is Greenfield primarily.
Shashank Kanodia: You were supposed to do a Brownfield expansion of 90,000 tons in Tamil Nadu, right?
Raj Gupta: So, that 90,000 tons included one soft line and one hard reactor. The soft line, 60,000 tons, that is already commissioned. The hard line is currently under trial run and we would announce commissioning of that too soon.
Shashank Kanodia: Okay, thanks. And sir, is there any possibility of advancing commissioning of a Nan o-Silica plant because that is something which is interesting ?
Nilesh Koul: So, it's a new technology. So, we want to take it step by step. We want to ensure that the pilot project goes well. So, we have enough adequate focus on it. We are continuing engagement with

the customers. But I think it's bes t to do it in a structured step -by-step way rather than trying to rush it and then sort of not being able to deliver on the promise. So, as I said, new technology, we should have the pilot on time and eng agement with customers will dictate if we want to fast track this or not.
Shashank Kanodia: Are FY'30 plants included 2,000 tons of Nano -Silica plant to commission, right? Or is it now scaled back to 1,000 tons?
Nilesh Koul: No, we have not made any change s yet. As I said, the pilot project will dictate the next steps on this one in terms of timing. But as of now, we continue to hold on to that the next phase will be a 2,000 -ton plant.
Shashank Kanodia: And sir, one l ast thing , in the case of Aquapharm , last call guidance was 75% EBITDA at the existing run rate. So, do we stay by that guidance for Q4 for the case of Aquapharm?
Pankaj Kedia : Next quarter, we expect improvement from the current run rate. But yes, the EBITDA gui dance will be slightly delay ed.
Shashank Kanodia: Right. And on the dividend payout, sir, you said that you maintain tend to be at 40 -45% of PAT. Last quarter, you already distributed 226 odd crores . Do you feel you've gone overboar d on dividend payout this time?
Pankaj Kedia : From t he current quarter profitability, if you add up, the overall payout will look high. But from a normalized level, it would still be 45-50% kind of a payout.
Raj Gupta : One thing I will add here, Shashank, the visibility around performance and cash flow remains very strong. And therefore, the board has decided not to reduce dividend payout for now.

Shashank Kanodia: Sure, sir. Thank you so much and wish you all the best.
Moderator: Thank you. The next question is from the line of Aditya K hetan from SMIFS Institution Equities. Please go ahead.
Aditya Khetan: Thank you, sir, for the follow up. Sir, my question is on to the feedstock. Sir, you mentioned that you are looking at coal tar also as a feedstock. And some 1 -2% benefit from it. So, currently our raw material mix is of the CBFS, which is a mix of feedstock like anthracite, quinone and petroleum oil. So, then moving towards coal tar or carbon black oil, how benefit it is in the near term? And also, can you share the difference in price between CBFS and CBO as on today?
Nilesh Koul:

So, we have predominantly been operative in the CBFS, which comes from the crude. And now we are looking at diversifying. So, it's a strategy to diversify and sort of ensure that in different market cycles, we are equipped to mix and match. The other advantage is that we produce a lot of different grades and types of products, which have different quality requirements in specifics, like, for example , Sulphur, as an example . Now, if you are able to blend the products together,

we should see improvement in both being able to deliver quality at a lower cost, as well as diversifying our sources of feedstock. So, it's more in that direction. So, we continue to work on it. In the past also, we used to use coal tar -based products as we ll. So, it's a question of optimizing that flow and building optionality for ourselves.
Aditya Khetan: Got it, sir. And the difference, sir, in prices?
Raj Gupta : Currently, it is about $200 per ton.
Aditya Khetan: Okay. got it. Sir, my second question is on to the EBITDA per kg number, which you have mentioned of Rs. 24-25 per kg. So, these number includes the new -age businesses EBITDA also, or this is your core carbon black EBITDA?
Nilesh Koul: No, that is carbon black.
Aditya K hetan: Okay. So, sir, carbon black EBITDA, like Rs. 24-25 per kg, seems like on the higher side, because the current number looks quite lower. So, what is that confidence like into, to get this sort of a number?
Nilesh Koul: I think we are looking at both sides, in terms of efficiency improvements, so that there is a cost reduction, as well as realizing better premiums, given we are going up the value chain in terms of different types of carbon black products as well. So, combination in the medium term, we are fairly confident that we will hit that number.
Aditya Khetan: Okay, sir. Got it. Thank you.
Nilesh Koul: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

Date: 7th May, 202 6
The Manager, The General Manager,
Listing Department, Department of Corporate Services,
National Stock Exchange of India Ltd, BSE Ltd.,
Exchange Plaza, 1st Floor, New Trading Ring,
Plot No. – C – 1, G Block, Rotunda Building,
Bandra – Kurla Complex, P.J. Towers,
Bandra (East), Dalal Street, Fort,
Mumbai – 400051 Mumbai – 400001

NSE Code – PCBL BSE Code – 506590

Dear Sir,
Sub: - Q4 FY 26 Earnings Conference Call – Transcript

Further to our letters dated 2 5th April , 2026 and 3 0th April , 2026, please find enclosed herewith the transcript of the Q 4 FY 26 Earnings Conference Call held on Thursday , 30th April , 2026 at 1 4:30 hrs India Time, for the quarter and financial year ended 31st March , 202 6. This information is hosted on the Company's website and can be accessed at the link: www.pcblltd.com/investor -relation/financials/investor -presentation .

We request you to please take the afore -mentioned information in record and oblige.

Yours faithfully,
For PCBL CHEMICAL LIMITED

K. Mukherjee
Company Secretary and Chief Legal Officer

Enclo: As above

"PCBL Chemical Limited

Q4 FY26 Earnings Conference Call "
April 30 , 202 6

MANAGEMENT : MR. NILESH KOUL – MANAGING DIRECTOR – PCBL CHEMICAL LIMITED
MR. RAJ GUPTA – CHIEF FINANCIAL OFFICER – PCBL CHEMICAL LIMITED
MR. PANKAJ KEDIA – EXECUTIVE DIRECTOR – INVESTOR RELATIONS

MODERATOR : MR. SANJESH JAIN – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to PCBL Chemical Limited Q4 FY 26 Earnings

Conference cal l hosted by ICICI Securities Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the c onference over to Mr. Sanjesh Jain . Thank you and over to you Mr. Jain .

Sanjesh Jain : Thanks, Renju . Good afternoon, everyone. Thank you for joining the PCBL Chemical Limited Q4 FY 26 Results Conference call. We have PCBL Chemical Management on the cal l represented by Mr. Nilesh Koul -Managing Director, Mr. Raj Gupta -Chief Finan cial Officer, Mr. Pankaj Kedia -Executive Director , Investor Relations . I would like to invite Mr. Nilesh to initiate the call with his opening remarks, post which we will have a Q&A session. Over to you, sir.

Nilesh Koul: Hi, good afternoon, everyone and a warm welcome to you on the PCBL's Q4 and Full year 26 Earnings Conference call. When we last connected at the Q3 Earnings call, we had outlined the headwinds shaping our business, softer global benchmark spreads, surplus domestic capacity, geopolitical uncertainty and a sharp inventory adjustment by international customers. Most of these pressures persisted through th e fourth quarter and FY26 whole has truly tested our resilience and our business amid a challenging microeconomic and industry environment.

That said, while we faced significant headwinds last year, the broad industry dynamics have now started to show clear signs of recovery. Spread appear to have found a floor, exit quarter momentum has turned positive, the recent rationalization of U.S. tariffs has restored a meaningful cos t advantage for Indian exports.

Customer pipelines in our specialty business are firming up and the ratification of the India -EU FTA opens up a duty -free access to 1.8 million tons of carbon black market. We expect this recovery to consolidate progressively over the next 2-3 quarters. Today I'll walk you through headwinds we navigated, the challenges that have emerge d from the West Asia situation.

The recovery signals we are seeing, the steps we are taking to strengthen our position and the outlook for the year ahead. I will initiate by briefly talking you through the key financial and operational highlights of the quarter and full year. The most def ining feature of the quarter was the escalation of the West Asia conflict, which began in February and created significant disruptions across our value chain and substantial increases in cost.

With approximately 75 % of our raw materials sourced from the U.S. Gulf Coast and around 40% of our business driven by exports across geographies, we have significant dependence on global supply chain and this quarter we felt the impact on multiple fronts. The West Asia situation has created new challenges in terms of massive increases in logisti cs cost, cost of feedstock and the availability of ships and access to markets.

While availability of CBFS itself has remained uninterrupted as we continue to source from the U.S. Gulf Coast, raw material prices have risen, packing material costs have moved up materially

and freight costs have escalated sharply, exerting significant pressure on our margins during the period.

Our key export routes to Europe and U.S. pass through the conflict zone, causing disruption to the normal trade routes. Vessels are being rerouted via the Cape of Good Hope, adding at least 14 days to transit time and increasing logistics costs significant ly. This rerouting has tightened container availa

bility globally as vessels are caught in longer loops and the effect is visible in ocean freight rates, which remain significantly elevated compared to pre -conflict levels.

Through all of this, our priority has remained unchanged. The company is fully focused on ensuring timely supply to customers with no disruptions. I would also like to particularly acknowledge that most of our customers have been very considerate in sharin g the increased costs with us, and I sincerely thank them for their partnership during this period.

Our raw material is directly linked to crude price and this quarter crude rose sharply and witnessed high volat ility. Brent started at around $60 per ba rrel and ended March at around $100 per barrel . As we speak, it's hovering close to $120 per barrel. A significant portion of our volumes flow through formul a-based contracts with tyre majors.

Given that price contracts carry an inherent quarterly lag effect, the full impact of cost pass -through will reflect in our numbers by Q2 FY27, at which point our margins profile should normalize. In the spot market, cost pass -through has been initiated an d will help offset the rise in input costs.

We will continue to manage this actively as the situation evolves. The second important development is a clear shift in how customers are approaching their inventory. We are seeing a trend of stocking up at the customer level, which appears to be driven by uncertainty regarding the availability of materials going forward.

Global t yre majors are increasingly building strategic inventory buffers, transitioning from just - in-time to a more resilient just -in-case approach in order to mitigate supply chain disruptions. We expect this transition to translate into an incremental demand enviro nment driven by restocking of carbon black across the region.
Over the past few months, we have added 90,000 tons of carbon black capacity, enabling us to effectively cater to this increased demand. With the global carbon black market continuing to grow over the long term, we believe we are well -placed to benefit from this structural shift.
The domestic sales have remained stable, supported by steady demand across key segments. In our limited exposure to conflict -affected regions, except maybe a little bit for the specialty volumes, exports have remained resilient despite the uncertainty arising from the West Asia situation. Around 40% of our total sales volume is exported, with South Asia being the primary market and remaining unaffected by the ongoing conflict.
To navigate the disruptions in West Asia trade routes, we have proactively rerouted shipments to alternate geographies, ensuring continuity and minimizing any impact on international sales.

With supply chain stabilizing, we expect both domestic and export growth to continue in the coming quarters.
We are deepening our presence through a service -led model in Europe and Japan, aiming to drive volume and market -shared growth through customized solutions with key players in these markets. Beyond the near -term disruption, the underlying fundamentals of o ur industry remain intact and several structural tailwinds are turning in our favor.
The India -EU FTA has been ratified, bringing duty -free access to an important market within sight. The recent U.S. tariff reduction and duty refund benefits will also work in our favor. We are already in active conversations with customers in these markets and see good headroom for growth.
Despite cost headwinds, the t yre industry is navigating globally , tyre demand in the U.S. and replacement segment has remained resilient. The Indian t yre sector in FY27 is poised for ro bust, high single -digit growth. High vehicle usage and aging commercial vehicle fleet support steady tyre replacement demand in India. The industry is also benefiting from capacity ex

pansion,
premiumization and electric vehicle adoption.
In the special black segment, we took some price hike s to meet the rising cost s during the quarter. The near -term environment has been influenced by slower infrastructure activity. However, our products are gaining acceptance in applications such as industrial coating, supported by their performance characteristics. That said, we are seeing encouraging t raction in segments like EV, semiconductor s, data center and AI -led investment. Overall, we remain constructive on the outlook and continue to selectively i ncrease our focus on resource reallocation in this segment.
Just a word on Nano vace, which is our platform for battery chemicals and the pilot plant at Palej is fully equipped and ready for commissioning within the coming weeks. On the R&D front, the team has been significantly strengthened with enhanced lab capabilities. Business development has also been expanded across key markets, including Europe and South Korea. Engagement with large battery manufacturers is already underway to validate product properties.
Post-commissioning, a validation period of a few months is anticipated before capacity ramp -up begins. This represents a significant opportunity for PCBL to diversify into battery material industry, a high -growth, high -margin segment with strong long -term potential.
A word on the cost reduction initiative s I had talked about in the last quarter. This initiative has made significant progress in unlocking efficiencies across manufacturing and procurement. I'm pleased to share that the program is progressing well. Cost initiatives across yield improvement, throughput enhancement and feedstock diversification are on track to unlock over INR200-250 crores of savings over the next 4-6 quarters.
We have also begun introducing agentic AI solutions on the shop floor. Early signs are very, very encouraging. Faster decision making is already visible and we expect this to translate into improved up-time, better quality and more consistent operations. This shift also calls for new ways of working and focused upskilling, which remains a priority for us.

An added benefit is faster speed to market, from lab to actual commercialization and the ability to introduce new solutions that support a more sustainable value chain. As part of our long -term cost resilience strategy, we are also actively pursuing feedst ock diversification through backward integration into coal tar distillation. Increasing the share of coal tar-based feedstock for select applications is a key lever. Technical feasibility studies are currently underway and we'll share more details in the next quarter.

Now for the outlook. At PCBL, we are no strangers to adversity and PCBL has navigated these challenging cycles in the past, be it raw material volatility, demand disruption or global macroeconomic headwinds and each time we have emerged stronger and more r esilient.

Through all of this, our priority remains unchanged. Ensure our customers face no disruption in supplies. We are doing everything necessary to meet their r equirements without compromise.

We have already taken steps to address the current environment by tightening procurement, accelerating cost optimization and improving supply chain efficiency.

As the environment normalizes and volumes recover, we are confident of delivering double - digit EBITDA growth fueled by volume momentum, leaner cost structure and better pricing realization. We are maintaining capital discipline with investment priorities t owards specialty carbon black, battery chemicals and other value -added segments, where margins are higher and growth is much faster.

Importantly, we have used this period to strengthen the balance sheet. Net borrowings reduced by INR454 crores to INR4,536 crores during FY26, even while we funded INR75

0 crores of

capex . Our working capit al cycle has tightened further. The platform we are entering FY27 with is materially stronger than we were 12 months ago.

Just a quick update on the projects. With the 90,000 tons Brownfield expansion of rubber carbon black at our Tamil Nadu during this quarter, our total installed capacity is now 880,000 tons per annum. The superconductive specialty black line of 1,000 MTPA at Palej, Gujarat is mechanically ready for commissioning . However, commissioning has been delayed due to gas shortage. The specialty black line of 20,000 tons in Mudra is now ready as well and we'll be commissioning it in the next few weeks.

Coming to the quarterly performance, during the quarter, our consolidated sales volume in carbon black business increased by 8% YoY to 1,61,865 MT.

Consolidated revenue from operations during the quarter was INR2,066 crores and consolidated EBITDA were INR248 crores. Of the total carbon black sales volume, domestic sales volume grew by 21% YoY to 1,05,055 tons, while international sales volume decreased by 10% to 56,800 tons in Q4 FY26.

Moving on to our segment performance, t yres accounted for 88,591 tons, performance chemicals 53,888 tons, whi le specialty sales volumes grew by 26% YoY to 19,386 tons. Power generation increased by 12% YoY from 175 MU s to 196 MUs with external sales volume of 116 MUs as against 100 MUs in Q4 25.

Coming to the full year performance during FY26, consolidated revenu es from operations stood at INR 8,189 crores as against INR8,404 crores in FY25. Sales volume for carbon black decreased 4% YoY to 6,18,956 metric tons in FY26 as against 5 ,96,262 metric tons in FY25. The consolidated EBITDA for FY26 stood at INR1,081 crores as ag ainst INR1,384 crores in FY25. Power generation was up around 14% and power sales volume by 17% during this financial year.

Turning to our specialty and solutions business at Aqua pharm, it continues to face challenging external environments. There are different dynamics shaping performance across our key markets. I'll take it one by one. Aqua pharm reported sales volumes of 21,998 MT, revenue of INR339 crores and an EBITDA of INR29 crores in Q4 FY26. Fo r the full year, revenue was INR1,443 crores and EBITDA INR 162 crores.

Amidst the geopolitical conflict around the year, total sales volume in FY26 was resilient at 94,445 MT. During the year, home care sales volumes increased by 11% on YoY basis. Our water solutions business also faced headwinds, resulting in a 12% YoY decline.

Application -specific solutions increased by 18%, while the oil and gas segment declined by 19% YoY , impacted by low oil rig counts and frack spreads i n the U.S. Lower oil prices pre -war led to more cautious customer behavior and an indirect impact on realizations. In Q4 FY26, we faced multiple challenges during the West Asia conflict.

Lead time and freight rates increased significantly, alongside a 25 -30% rise in raw material prices. Yellow phosphorus, acrylic acid, malic acid and other raw materials . Packing material costs also went up materially (up to 1.5 times). Disruption in LPG supply and increase in price during the war impacted production, as LPG is used in a few of our processes.

However, to ensure wallet share loss, we reduced deliveries in consultation with customers. And once again, I would like to thank our customers for their continued support and consideration during this period. In home care, we are locking in orders for FY2 7 with our key customers, and

new products are also under approval.
Similarly, for water solutions and green chelates, several products are at the approval stage and we expect these to materialize in the next few months. During the year, we have successfully expanded our capacity from 1,30,000 tons to 1,67,000 tons, enabling us to serve higher volumes going fo

rward.
We are expanding our oil & gas business by increasing wallet share and strengthening new customer engagement. We now have presence in Midland and North Dakota and have also received product approval from new customers in LATAM. Overall, we remain positive about the strong growth opportunities in oil and gas.
And based on historical trends, drilling activity should r ise by around 30% at current crude levels. Overall utilization level should also increase with faster commercialization of new products and diversification of our product portfolio. With China implementing supply -side

reforms, including VAT rebate cuts, provincial value -added mandates an d stricter capacity guidelines , we expect structural price improvement across various chemicals and we expect to benefit from the same in the near future. To summarize, FY26 was a year that tested us. But it's also a year in which we de -leveraged, advanced our growth pipeline and built a sharper operating platform . The fundamentals of our industry remain strong, the early signs of recovery are clear and we are entering FY 27 with great co nfidence and purpose.
With this, I'll conclude my remarks. Thank you for your attention and I welcome your questions now.
Moderator: Thank you. We will now begin the question -and-answer session. The first question com es from the line of Sanjesh Jain with ICICI Securities Limited. Please go ahead.
Sanjesh Jain: Yes, thank you. Thanks for taking my questions and for this opportunity. I got a few across the business es. First on the carbon black, what is benefiting us because the profitability in the segment has gone up? It's purely because U.S. tariff has changed ways. We were struggling or there is a lower import coming from Russia, thanks to the Middle East crisi s?
I can also sense inventory gain s during the quarter, considering that there was a sharp increase in prices across commodities , which should have benefited. In this backdrop, how do you see FY27 panning out, both from a volume perspective and the profitability perspective in the carbon black business? Thank you.
Nilesh Koul : I think, first U.S. tariff reduction has definitely improved prospects, which also means that more players are exporting material outside of India. And therefore, there's a little bit of reduced pressure on the prices in India. While the t yre business is based on pass -through, in the non -tyre business in India, we have been successful in increasing prices over the last few months.
Of course, after the West Asia crisis, we were forced to increase even more prices, but structurally we have been able to improve some pricing in that area. That's one. Going forward, I think we are optimistic on both fronts in terms of volume improvement, both domestic as well as export, because the headroom for us to grow in export markets is significant.
And we are implementing some supply chain initiatives, which will unlock some markets which we could not access, given the transit time, etc etera . On the pricing front also, while the industry continues to be in overcapacity, we believe that structurally, we will be able to take some price increases with value -added products coming into play as well as introducing new services for the customers, which unlock more value for the entire value chain and therefore shar ing that with the customers.
Sanjesh Jain : Got it. But what is the reason for a jump in profitability this quarter? If you can break that up, that will be really helpful?
Nilesh Koul : Raj, you want to get into details. But essentially, it's a contribution increase a nd yes there is a lag in inventory valuation as well.

Raj Gupta: Sanjesh , if you're comparing it with last quarter, it was not a usual quarter. And our profitability dipped signif

icantly. So, while quarter -on-quarters , when you're looking, it is a ppearing as a significant jump, b ut this is not where we should be with the kind of volumes that we have done.
And, of course, this quarter the vol umes have gone up by 20,000 tons and the volumes have contributed. EBITDA margins remain the same. There's not much improvement at EBITDA per

ton level. So, the real impact of all the initiatives which Nilesh just spoke about is yet to come. It is still not reflected in the performance.

Sanjesh Jain: That's clear. Second, Nilesh, on the entire shift towa rds coal tar distillation, we have been positioned ourselves as a crude -based feedstock producer. And coal tar, which in which way is finding more buyers, thanks to the multiple applications there. Now, what is driving us to reconsider a business proposition to shift towards coal -tar distillation? That's number one. And number two, there's already established where we're procuring the coal tar. Now, how do we ensure that we get the feedstoc ks?

Nilesh Koul : I'll get into more detail on this in the next call, because the project feasibility is being finalized right now. But at the core of it is that we need to diversify our feedstock base. Second, it's not that we will use coal-tar for all applications. This will be specific application based. So, there are app lications where coal tar-based feedstock is slightly better. We have also upgraded our facilities , to be able to use combination of feedstocks. So that will help. And as I said, I'll get more details for you in the next call, where we would have already signed off the capex investment.

Sanjesh Jain : Got it. One last question on carbon black and t hen probably one question on Aqua pharm. With the existing West Asia crisis, do you think we a re in a better position from a c arbon black manufacturing perspective and tapping the US market o r do you think Russia now has a chance of selling their product in Europe or that's not happening?

Nilesh Koul : We are seeing good traction from US customers, given that the tariff has gone down now. Of course, people are waiting for final stability in that structure. The logistics cost is a little bit challenging, but I think we are more compet itive now than we were in pre-war. So, we stay optimistic for both EU as well as the US markets.

Sanjesh Jain : But how do you read the jump in the logistic cost b ecause we are a bulky material, right?

Nilesh Koul : Yes. But even with that we are competitive in the US market. It's an underserved market. And the US customers are also trying to diversify away, because the competition is China, Russia as you said, they want to diversify to other Indian players. Therefore, we believe we are still competitive in multiple applications .

Sanjesh Jain : Okay. Last one from my side on the Aqua pharm side. Phosphoric acid prices have g one up very sharply. That should itself has given a lot faster growth in my view. Number two, crude prices very beneficiary for us in our US business. A combination of this, does it improve th e outlook for Aquapharm in FY27? Now, for last two quarters, we hav e been doing EBIT losses there?

Pankaj Kedia : So Sanjesh , yes, the phosphoric acid prices have gone up. We have also taken immediate price hikes from March onwards. So, it will have some cushioning effect going forward. But as far as the oil and gas business is concerned, with this jump in oil prices, we see substantial restocking impact coming in the first two quarters of FY27. So most probably you will see a decent growth in the oil and gas business in Aqua pharm in FY27.

Sanjesh Jain: And how should we see part to profitability ?

Pankaj Kedia : From a profitability perspective what has happened is significantly lower capacity utilization in the last couple of quarters. That has led to some kind of a negati

ve operating leverage playing to our numbers . As we see Q1 and Q2 onwards, oil and gas business moving up sharply, the same thing will turn into positive to our advantage. So, you will see profitability moving up as our overall capacity utilization moves up from Q1 FY27 onwards.

Sanjesh Jain: That's very clear. Just one balance sheet question. Considering there is a sharp increase in the feedstock prices, that will put significant pressure on working capital and hence on the net debt position, which already appears to be stretched in c orrect profitability situation. How do we want to manage this entire leverage situation and still continue to grow?

Raj Gupta: Our overall borrowings have come down by roughly INR450 odd crores this year, as you must have seen from the balance sheet. You must have also noticed that our investment in working capital ha s also gone down significantly. So, we are managing our receivables and inventory very tightly.

And we feel that there is further scope for us to improve there. So, we are instituting better controls. We believe that despite the increase in crude price s we don't expect crude is going to be here for the full year. We believe that maybe in a quarter's time, we'll see crude soften back to that 80 -90 level .

Even if crude remains at $90 level, I think considering the volume growth, the revenue growth, we will require another INR100 crore s worth of incremental working capital. That's how we are estimating it as of now. And the cash generation with higher volumes and better margins will be far more than what we require to invest in our growth, pay out to shareholders and invest in working capital for this incremental requirement.

Sanjesh Jain: Got it, Thanks, Nilesh, t hanks, Raj for all those questions. And best of luck for the coming quarters.
Raj Gupta: Thank you.
Nilesh Koul: Thank you.
Moderator: Thank you. Next question comes from the line of Rohit Sinha with Sunidhi Securities . Please go ahead.

Rohit Sinha: Yes. Thank you for taking my question, sir. So already som e of my questions have been answered. Just a few from my side. One is, as sir, in the opening remark indicated about this price increase pass -on would be majorly reflecting from Q2 onwards, I guess. So just wanted to understand how this pricing pass -on would be, I mean, being out in the different segments for us for carbon black as well as for the Aqua pharm also.
And I think from March onwards, we have some higher prices which came down in mid -April. But again, again it started moving up a nd probably there would be some adjustment in the contracts also. So how the contracts have shaped and how we should look at basically going forward our Q1 performance also?
Nilesh Koul : So, as you said, different segments in our market have different pricing linkages. So, in case of tyres, for example, there is a structure where pricing can be linked to and we have different types of contracts with tyre consum ers. Some are Q minus 1, some are M minus 1. So, there are different pass -through mechanisms.
So those will come into effect as and when the contract terms move along with it. There is also a significant piece of volume which is based on spot pricing. There we have anticipated and taken price increase early. As I said in March itself, we had started taking prices up a nd price increases have gone through because obviously, the entire industry is facing the same challenge. So, we expect prices to be strong in Q1. And depending on how the crude situation moves, this will sustain. Some part of it we will lose later on as the cr ude prices hopefully come down. But we expect profitability improvement given the cost of our raw materials available with us for Q1. Aqua pharm is going to be a similar story for some segments where we have pass -through and prices are linked to

Q minus 1 or M minus 1 in some cases.
Rohit Sinha: Got it. And sir, from our new battery business, how things are progressing there? When we should be seeing the material numbers in that segment?
Nilesh Koul : I think the pilot plant is ready. This, of course, is a very high -value business with high margins. But it also req uires qualification. So, the pilot plant is designed to start getting qualifications done within this year. Then we will move on to putting up a commercial plant with additional capacities. I would expect that FY28 is when we will start seeing commercial v olumes going up. We will share more details as we progress in getting more qualifications with our customers.
Rohit Sinha: Got it. And one last question for maybe for the guidance point of view and how we should be looking at the volume growth in the carbon black side for next year. And for the power business also, I think I mean some outlook wanted to know as the demands are quite st rong there, but pricing has not been to that extent. So, are we seeing any material price increase also going forward in the power side or it will remain more or less in this similar range?
Nilesh Koul : I think in the carbon black business now with our additional capacity coming in, we expect to see a high single -digit volume growth. We should see more than double -digit growth in EBITDA as well for next year. As Raj was saying, Q4 results are not what we aspire to be.

So, you should see significant improvement in that going from Q1 onwards. On power side, the pricing, there are two components of it. One is the bila teral agreements that we have. Now there the price is moving well. And I would also expect that because of the fuel crisis in West Asia, we should start seeing some better pricing realization Q1 onwards as well. So, we should see structurally better pricing in power business as well.
Rohit Sinha: Okay. That's i t from my side, sir. Thank you. Thank you very much.
Moderator: Thank you. Next question comes from the line of Aditya Khetan with S MIFS Institutional Equities. Please go ahead.
Aditya Khetan: Thank you, sir, for the opportunity. Just a couple of questions. Sir, you mentioned in your opening remarks on the carb on black spreads bottoming out. So, what are the indicators like if you can highlight and what is giving you that confidence that this has bottomed out? And what are the triggers wherein it can improve apart from what we say that t yre demand will grow? Any

structural change in the business we can see o kay now this has bottomed out and sir compared with last quarter actually s preads look much lower here, adjusting for the inventory gains. So, what has changed and what is giving you that confidence that it has bottomed out?

Nilesh Koul : For the Indian players, some of the positive things that we are seeing is because the US tariff issue is to some extent sorted out. So, the additional volume coming into the Indian market is now moving towards US as well. So, you see some improvement in volumes being exported out of India, which therefore reduces the pressure on pricing in India. That's number one.

I think we are also continuing to see some inventory built up by our customers as well, which is a little bit of an additional demand coming through and again should allow us to start charging a little bit more premium. Third, of course, the value -added component of our business is going up and we expect to see that also helping us improve our spreads.

Aditya Khetan: Got it. Sir, on to the customer side, like you mentioned, so customers are keeping some inventory, which earlier they were taking just in time. So, can you highlight like what are the inventory levels today with the t yre players of carbon black and specialty and Aqua pharm across businesses?

Nilesh Koul : It varies by customer to customer. So,

depending on the market that you're talking about, for example, our domestic customers usually keep, were keeping about 3-7 days depending on t he location of their plants, et cetera, which they are dialing up a little bit given the uncertainty in export markets. Again, it varies across the value chain.

What we are looking at doing is actually providing some more additional inventory stock points for just -in-time delivery as well for the longer term. This is not going to come in effect right now. It will take a little bit of time to do that, but our custo mers are increasing their cover for beyond increasing that by at least 3-4 days minimum as we see as of now. And this is true for specialty as well as for t yre customers.

Aditya Khetan: Got it, sir. Sir, on to the Aqua pharm like you mentioned, so with the rise in crude prices, definitely coming quarters should look good. But you also mentio ned that restocking is picking up. So, suppose that if tomorrow all these things stabilizes, the West Asia crisis, everyone is anticipating crude price to fall down. So still this thesis will remain intact that demand will pick up and resto cking thing also will continue o r we could be back to that original le vel like we were saying earlier ?

Nilesh Koul : So, we are not banking only on the inventory increase. We are also making efforts to increase share of wallet in terms of providing value -added services and solutions for customers. As I mentioned, there is a lot of new prod uct approvals that we have got. So, we are seeing positive traction beyond the immediate impact of inventory increase.

So structurally, we believe there is enough growth in the key segments, oil and gas in water treatment and the home care segments, especially as we have got now greener products coming into the mix. And we should see increased volume. So no, structurally, we are making efforts to ensure that profitability goes up.

Aditya Khetan: Sir, current quarter when we look, so we are sitting at around INR29 crores sort of an EBITDA, which you have mentioned in the presentation. So, sir, next year, considering if things normalize and you are mentioning that premium mix will go up, can we ag ain go back to the levels of INR50 -55 crore s EBITDA per quarter in Aqua pharm?

Pankaj Kedia : Yes, we believe we should be able to do that.

Aditya Khetan: Got it. And sir, on to the volume side, any numbers for FY27 -28 like earlier, we had said for 26, so double -digit volu me, but I think we are at flat. For FY27 -28, any number guidance?

Pankaj Kedia : Aqua pharm should see a very strong growt h in top line in FY27. I think in the region of 20 -25% is something which we believe sh ould be able to achieve.

Aditya Khetan: Got it. S ir, just one last question, on to the debt part you had mentioned that we have also reduced some of the debt. Along with that, we are also into capital expenditure mode. So, this will continue in FY27 also, both paying off deb t and simultaneously doing capex FY27-28. How you see things shaping up on this front?

Raj Gupta : Yes, we feel that we can generate more cash from operations and what we require to invest in growth. And therefore, there should be net -net reduction in overall leverage.

Aditya Khetan: One last question that we had mentioned i n our investor day earlier, lumpsum 40 bil lion guidance of EBITDA by 2030. So, does that hold or is there any change on to that?

Raj Gupta : See t he long -term fundamentals of the industry remain intact. These are short -termheadwind s that we are facing currently. So, from 2030 perspective, we are very confident ,we remain on track and with all the initiatives that we are taking, we believe that we should be able to deliver those numbers.

Aditya Khetan: Got it, sir. Thank you. That's it fr

om my side.
Moderator: Thank you. Next question comes from the line of Prit Nagersheth , Wealth Finvisor. Please go ahead.
Prit Nagersheth: Yes, thank you. My question is back to the EBITDA per ton for FY27. So, if I understand, you said you are expecting double -digit growth on EBITDA . So, should I assume that the 14,900 odd per ton, we should see at least about a 14 -15% increase on this number? Is that what this leads to?
Nilesh Koul : We should easily see that, yes. Just to clarify i t's a mix of both. We expect pricing to move up and we also are taking s ignificant initiatives on cost. So, combination of that should definitely deliver that.
Prit Nagersheth: And here you are coming to this number based on two factors, one being the volume growth of high single digits of 7 -10% and the value growth of the remainder to get to this number. Is again my understanding, correct?
Nilesh Koul : So let me recapture. So, there's three elements. One is, of course, the volume growth. Second is a product mix change. We are getting higher value -added products coming through. The third one is the general price increase. And sorry, there's a fourth one, which is the cost initiatives, which we are also taking.
Prit Nagersheth: Understood. So basical ly, effectively, the EBITDA ton moves up by a strong double -digit number and we should also see maybe revenue increase, volume increas e alongside all of these things?
Nilesh Koul: Yes.
Prit Nagersheth: Okay, great. Thank you. The other questions have been answered.
Moderator: Thank you. Next qu estion comes from the line of Sailesh Raja with B &K Securities. Please go ahead.
Sailesh Raja: Yes. Sir, in the last call, we had mentioned that Aqua pharm received incremental allocation from customers like P&G , Henkel. So, could you quantify the potential volume growth expected from these two allocation s over the next 1 -2 years? Also, regarding the recent, the removal of 13% VAT, the export debate which you were talking with b enefit in China. So specific to PBTC product, so within the Aqua pharm the overall volume mix, what proportion of volum e is currently derived from PBTC product a nd what about the operating profit growth that we are expecting in Aqua pharm?
Pankaj Kedia : So, Sailesh, specifically, if you talk about the green chelates portfolio, where we last quarter also mentioned that we have started receiving trial orders and supplies have started to both P&G and Henkel. There, I think, from Q2 and Q3 onwards, we see significant increase in the expected sales revenue as we get produc t approvals .

So, from a potential perspective, potential is large. We ourselves have limited capacity, our overall green chelates capacity is 4 ,000 tons. And we have been look ing at expanding that capacity, b ut we have been waiting for product approvals to come in so that we don't set up capacity too early.
Now, as we see increasing sales in the green chelate s portfolio, both FY27 & 28, you should see significant increase in the revenue side. And we will be adding more capacities to the green portfolio for Aqua pharm, once we get these product approvals from P&G and Henkel . We are also working with more customers to get product approval from the non -detergent side of the business too. So, this should help us to have a larger revenue growth from this green chelates portfolio.
Sailesh Raja: Hello. Yes. Sir, we are expecting 20,000 tons incremental number. Can you please quantify the volume that you are expecting from these two customers and also the growth that you are expecting from Aqua pharm?
Pankaj Kedia : A couple of things. The requirement of these customers is pretty large. I mean, we will not be able to supply that requiremen t with what capacities we have. So, if I tell you about the opportunity si ze, it is pretty

big. We have received the trial orders in the last quarter and the supplies have started now, we have to build up that portfolio gradually.
So, if you recall, a couple of years back also we mentioned that we have a very large ambition for the green chelates portfolio. We have some capacity. We are now getting trial orders and

more orders are expected to come in a couple of quarters. So, by the end of this year, we should have a much larger say when we talk about the green chelates portfolio.
The challenge is not the target market or the size of the market. And from an EBITDA perspective, I think while last quarter has been a challenging quarter in Aqua pharm and we faced multiple challenges, which Nilesh also mentioned during his opening comment, we believe that our goal remains to reach that INR75 crore s per quarter EBITDA run rate, which we have been trying to achieve in the last few quarters.
And if the market had been in a normalized scenario, we probably would have achieved it by now. But over the next 2-3 quarters, we believe that that goal remains intact for us to reach 75 crore s run rate on a quarterly basis.
Sailesh Raja: Okay, sir. Great, sir. The Europe market, the carbon black, size is around 1.5 million tons. Just to understand better to see just potential benefits from EU FTA, could you please help us with the current supply mi x, how much of demand is met through domestic production versus imports? Within imports, what is the share from China, India? Is there still some Russia sup ply is coming to Europe market, can you p lease talk about that.
Raj Gupta : West ern Europe on average imports about 500,000 tons of carbon black every year. And earlier, almost 80% of it used to come from Russia. Now, of course, it is spr ead across number of countries. India currently is doing about close to 100,000 tons to our understanding. And China share would be a little more compared to us. Rest comes from multiple geographies.

Now, in terms of how this EU FTA is going to benefit us, there is no import duty on carbon black in Europe. So, there is no direct benefit. But when you look at indirect benefit, currently, tyre imports in EU from India attracts 4.5% duty. So once this FTA is signed, then the duty is likely to get to 0%. And Europe accounts for one third of India's t yre exports. So, I mean, that should boost up domestic production in India a nd from that perspective, it is going to be positive.
Sailesh Raja: How much is do mestic carbon black imports here ?
Raj Gupta : In Europe?
Sailesh Raja: India imports.
Nilesh Koul: In India, it is not significant.
Raj Gupta: China and Russia are not much. China does about roughly about 1,500 tons a month. And Russia would b e around similar 1,500 tons, 2,000 tons a month. India in totality imports about 8,000 - 10,000 tons a month.
Sailesh Raja: Okay. Thank you. Thanks.
Moderator: Thank you. Next question comes f rom the line of Shashank Kanodia with ICICI Securities. Please go ahead.
Shashank Kanodia: Yes, good afternoon. Thank you for the opportunity. So given the current crude prices, what kind of blended carbon by regulations should we look for Q1, F27, given that you clock closer to INR105 to a kg in Q4?
Nilesh Koul : Sorry, I couldn't get the question. If you can say that again, please.
Shashank Kanodia: Yes. So, what kind of blended carbon black realisation should we expect in Q1, F27, given the crude prices that they are currently hovering at ?
Raj Gupta : Around $1,400-1,500.
Shashank Kanodia: Okay. And that is true for Indian markets as well, right?
Nilesh Koul : Yes, I'm talking about average blended, both domestic and international.
Shashank Kanodia: Right. And s ir at the current level of crude price s, how is the CBO versus CBFS profitability ? So, do we see more of Chinese supply getting into the market at

the current crude prices, which is coal -type based or CBFS as a root is still at an advantage position?
Nilesh Koul : The coal -type prices have also moved up. So, it is even keel as of now. So pre -war versus now, it's about the same levels of difference. So, when it is imported coal tar into India, it's still a little bit more expensive on a TCO basis, because there is a difference in yield which w e get between CBFS and coal tar . So competitive, but CBFS is better for us right now.

Shashank Kanodia: And sir f or a quarterly breakup of volume that you have shown in the presentation, your t yre space volume has declined f rom 90,000 odd tons in Q4 to 88,500 tons for this quarter, whereas the domestic t yre space has grown healthy d ouble digit. So, is it just purely out of profitability angle that we have supplied less to the industry or is there some market share loss, some angle to it?

Shashank Kanodia: Yes, quarterly sales volume for t yres performance specialty that you have showcased in your presentation?
Nilesh Koul : Performance specialty , one second.
Shashank Kanodia: I'm talking about t yre in particular getting potentially declining in sales volume from 90,000 MT last quarter, as in Q4 to 88 ,600 MT this quarter?
Nilesh Koul : This is just a customer mix that we had and it's just a timing effect in terms of when the material got supplied. So overall, we are going to see growth in t yre business as well.
Shashank Kanodia: Right. And lastly, sir, do you see.
Nilesh Koul : Q1, you should see higher volume from us on t yres.
Shashank Kanodia: Okay, sir. So, given that there are state elections in the home state, is there any recurring one - time expense charged to a P&L for this quarter or do we expect something in Q1?
Nilesh Koul: Shashank, you have to repeat.
Shashank Kanodia: So, I'm saying that sir, given that there are state elections in your home state, do we see any one - time recurring charge, which is non -recurring in nature, either in Q4 or in Q1? So, we had a history of some donations in the past. So, do we see that as an element for Q4 or next quarter Q1?
Pankaj Kedia : Nothing significant, Shashank.
Shashank Kanodia: Okay. And, sir, given that you're expecting a good amount of profitably incr ease for base carbon black as Aqua pharm, do we surpass the FY25 base case profita bility in terms of EBITDA and PAT
Nilesh Koul: Yes.
Shashank Kanodia: Sure, sir. Thank you so much and wish you all the best. Thank you, sir.
Nilesh Koul: Thank you.
Moderator: Thank you. Ladies and gentlemen, we have reached the end of question -and-answer session. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us.
You may now disconnect your lines.